



SUPREME COURT REPORTS

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Union of India and Others
v.
Rohith Nathan and Another, Etc.
(Civil Appeal No(s). 2827-2829 of 2018)
11 March 2026
[Pamidighantam Sri Narasimha and
R. Mahadevan,* JJ.]

Issue for Consideration

Whether the clarificatory letter dated 14.10.2004 can have any overriding or superseding effect over the Office Memorandum dated 08.09.1993, which expressly lays down the criteria for exclusion from the benefit of reservation for Other Backward Classes (OBCs) by identifying the creamy layer namely, the socially advanced persons of sections among the Socially and Educationally Backward Classes; whether there can be hostile discrimination between employees of the Government and those working in Public or Private Sector Undertakings, when both occupy posts of the same grade or class.

Headnotes[†]

Reservation – OBC reservation – Creamy layer status – Determination of, solely on the basis of income brackets without reference to the categories of posts and status parameters enunciated in 1993 Office Memorandum, unsustainable – 1993 OM laid down the criteria for exclusion from the benefit of reservation for OBCs by identifying the creamy layer namely, the socially advanced persons of sections among the Socially and Educationally Backward Classes, wherein income from salary and agricultural income stood excluded from the Income/Wealth Test for determination of creamy layer status – However, 2004 clarificatory letter, directed inclusion of salary income of PSU and private sector employees under Category II(C) – Respondents-candidates (parents of all respondent candidates were PSU employees, bank employees or otherwise fell under Category II(C) of the Schedule to the Office Memorandum dated 08.09.1993) qualified the Civil

* Author

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Services Examination however, as the equivalence of posts in PSU, banks and other organisations *vis-à-vis* Government posts had not been formally determined, the DoPT applied the Income Wealth Test under Category VI of the 1993 OM r/w 2004 Letter and upon assessing the parental income of the respective candidates for the preceding three financial years, and classified them as falling within the Creamy Layer of the OBCs, rendering them ineligible for OBC (Non-Creamy Layer) reservation benefits – Thus, their cases were not considered for service allocation under the reserved category – CAT passed orders in favour of the respondents – Challenged by appellants, writ petitions dismissed by the High Courts of Madras, Delhi and Kerala:

Held: No infirmity in the impugned judgments – Determination of creamy layer status solely on the basis of income brackets, without reference to the categories of posts and status parameters enunciated in the 1993 OM is unsustainable in law – Overemphasis on the 2004 clarificatory letter to the extent of making income alone determinative without regard to parental status or category of service would defeat the structural framework of exclusion envisaged under the 1993 OM – Under the 1993 OM, salary income and agricultural income are consciously kept outside the common pool while determining exclusion under the Income/Wealth Test – A mere government letter cannot have the effect of overriding, overruling or superseding any proceeding in the nature of an executive instruction or an Office Memorandum issued in exercise of executive power u/Art.162 – Therefore, the clarificatory letter must be construed strictly as one explaining or supplementing the foundational guidelines laid down in the 1993 OM, which was issued after due deliberation and following the requisite procedure and not as altering its substantive framework – Salary income cannot be mechanically aggregated in a manner that defeats the constitutional objective articulated in *Indra Sawhney* – A comprehensive reading of the 1993 OM along with the 2004 clarificatory letter shows that income from salaries alone cannot be the sole criterion to decide whether a candidate falls within the creamy layer – The status as well as the category of post to which a candidate's parent or parents belong is essential – Mere determination of the status of a candidate as to whether he/she falls within the creamy layer or the non-creamy layer of the OBCs cannot be decided solely on

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the basis of the income – Any attempt to read paragraph 9 of the 2004 Letter in isolation, so as to dilute or override the substantive scheme of the 1993 OM would be legally untenable – Appellants to consider the claims of the respondent candidates and intervenors in accordance with the principles laid down in the present judgment, and to implement the same within six months from the date of this judgment. [Paras 21.15, 21.17, 26, 30, 31, 44]

Reservation – OBC reservation – Creamy layer status – Whether there can be hostile discrimination between employees of the Government and those working in Public or Private Sector Undertakings, when both occupy posts of the same grade or class:

Held: Treating similarly placed employees of private entities and PSUs differently from Government employees and their wards, while deciding their entitlement to reservation, would amount to hostile discrimination, as rightly held by the High Court – Treating the children of those employed in PSUs or private employment, etc., as being excluded from the benefit of reservation only on the basis of their income derived from salaries, and without reference to their posts (whether Group A or B, or Group C or D) would certainly lead to hostile discrimination between parties who are similarly placed and would amount to equals being treated unequally, thereby attracting the rigour of the equality doctrine under Articles 14, 15 and 16, of which reservation is a facet – Art.16(4) is a structural reflection and a conceptualized representation of the principle of substantive equality embodied and envisaged u/Art.16(1) – Therefore, any interpretation of the 1993 OM or the 2004 Letter that results in unequal treatment of similarly placed OBC candidates would not only be legally erroneous but constitutionally impermissible. [Paras 34, 37, 40]

Parent policy – Clarificatory instruction:

Held: A clarificatory instruction cannot introduce a substantive condition that does not exist in the parent policy – If it travels beyond explanation and alters rights or liabilities, it ceases to be clarificatory and assumes the character of an amendment. [Para 24]

Reservation – Constitutional and statutory background of reservation in India – Reservation framework for Other

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Backward Classes (OBCs)/Socially and Educationally Backward Classes – Examined. [Paras 21.2-21.17]

Reservation – OBC reservation – Creamy layer status – “equivalence of posts”, a matter of policy:

Held: The question of “equivalence of posts” as contemplated both in the 1993 OM and in the subsequent 2004 Letter, is fundamentally a matter of policy – Such equivalence must be determined by the Government on the basis of a detailed analysis of data by experts in the field – Until such equivalence is formally evaluated and notified by the Government, the entitlement of candidates whose parent(s) work in organisations other than in Class I or II of the Central or State Civil Services, shall be decided by the Income/Wealth Test. [Para 23]

Case Law Cited

Indra Sawhney v. Union of India and Others [1992] Supp. 2 SCR 454 : (1992) Supp. 3 SCC 217 – followed.

Ashok Kumar Thakur v. Union of India [2008] 4 SCR 1 : (2008) 6 SCC 1; *M.R. Balaji and Others v. State of Mysore* [1963] Supp. 1 SCR 439 : AIR 1963 SC 649; *Indra Sawhney v. Union of India and Others* [1999] Supp. 5 SCR 229 : (2000) 1 SCC 168; *Neil Aurelio Nunes v. Union of India* [2022] 11 SCR 585 : (2022) 4 SCC 64; *Madhuri Patil v. Commissioner, Tribal Development* [1994] Supp. 3 SCR 50 : (1994) 6 SCC 241; *R.P. Bhardwaj v. Union of India* (2005) 10 SCC 244; *Sushma Gosain v. Union of India* (1989) 4 SCC 468; *Dr. PPC Rawani v. Union of India* (1992) 1 SCC 331; *Union of India v. Vijay Kumari* (1994) Supp. 1 SCC 94; *Dr. D.K. Reddy v. Union of India* (1996) 10 SCC 177; *Delhi Administration v. Nand Lal Pant* [1997] Supp. 1 SCR 510 : (1997) 11 SCC 488; *Union of India v. Parul Debnath* [2009] 9 SCR 969 : (2009) 14 SCC 173; *State of Andhra Pradesh and Another v. P. Sagar* [1968] 3 SCR 595; *K.C. Vasanth Kumar and Another v. State of Karnataka* [1985] Supp. 1 SCR 352 : 1985 SCC OnLine SC 339; *K.S. Jayasree v. State of Kerala* [1977] 1 SCR 194 : (1976) 3 SCC 730; *R. Chitrallekha v. State of Mysore* [1964] 6 SCR 368 : AIR 1964 SC 1823; *State of Kerala and Others v. N.M. Thomas and Others* [1976] 1 SCR 906 : MANU/SC/0479/1975 – referred to.

K. Sampath v. State of Tamil Nadu MANU/TN/9958/2006 – referred to.

Union of India and Others v. Rohith Nathan and Another, Etc.**Books and Periodicals Cited**

21st Report of the Parliamentary Committee on Welfare of Other Backward Classes (2018–19) – **referred to.**

List of Acts

Constitution of India.

List of Keywords

Reservation; Other Backward Classes (OBCs); OBC reservation; Non-Creamy Layer; Creamy layer; Exclusion from the benefit of reservation for OBCs; Office Memorandum dated 08.09.1993; 1993 Office Memorandum; OBC (Non-Creamy Layer) reservation benefits; Hostile discrimination between employees of Government and those in Public or Private Sector Undertakings; Income / Wealth Test for determination of creamy layer status; Determination of creamy layer status on the basis of income brackets; Categories of posts and status parameters; Income from salary and agricultural income excluded; Similarly placed employees of private entities and PSUs treated differently from Government employees and their wards; Denial of OBC-Non-Creamy Layer status to wards of PSU employees; Socially and educationally backward classes; Unequal treatment of similarly placed OBC candidates; Discrimination between employees of the Government and of Public or Private Sector Undertakings; Discrimination between the wards of Government servants and of PSU/private sector employees; Reservation policy; Social justice; Principle of advancement of weaker sections; Socio-Economic Refinement and Means Test; Mandal Commission; Caste; 2004 Clarificatory letter; Office Memorandum; Principle of substantive equality.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No(s). 2827-2829 of 2018

From the Judgment and Order dated 31.08.2017 of the High Court of Judicature at Madras in WP Nos. 6387, 6388, and 6389 of 2017

With

Civil Appeal No(s). 3130-3141 of 2024 and 3297 of 2026

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Appearances for Parties

Advs. for the Appellant(s):

Ms. Aishwarya Bhati, A.S.G., Ms. S. Janani, Sr. Adv., Aman Mehta, Mrs. Alka Agrawal, Apoorva Kurup, Navanajay Mahapatra, Madhav Sinhal, Mayank Pandey, Ms. Sansriti Pathak, Shreekant Neelappa Terdal, Ms. Sonali Jain, Ms. Manisha Chava, Ms. Shagun Thakur, N. Visakamurthy, Arvind Kumar Sharma, Kamal Kumar Pandey, Deepak Goel.

Advs. for the Respondent(s):

Basavaprabhu Patil, Sanjay Hegde, T. Raja, Sr. Advs., Vikram Hegde, Ms. Hima Lawrence, Ms. Chinmayi Shrivastava, Trishan Dollny, Ankit Tiwari, Arijit Sukla, Ashish, Tanay Hegde, Roy Abraham, Ms. Reena Roy, Adithya Koshy Roy, Yaduinder Lal, Sarswata Mohapatra, Himinder Lal, Vikram Hegde, Ms. Hima Lawrence, Ms. Chinmayi Shrivastava, M.t. Arunan, Trishan Dollny, M.A. Aruneshe, Arijit Sukla, Prateek K Chadha, Sreekar Aechuri, Aniket Chauhaan, Harsh Parashar, Shreekant Neelappa Terdal, Vardhman Kaushik, Arindam Sarin, Mayank Sharma, Dhruv Joshi, Vinay Kaushik, Mrs. P S Vijayadharni, Nishant Gautam, Varinder Kumar Sharma, Ms. Manju Jetley, Parmanand Gaur, Abhikalp Pratap Singh, Dhanesh Relan, Ashish Batra, Siddhartha Jha, Vikram Hegde, Ms. Hima Lawrence, Ms. Chinmayi Shrivastava, Trishan Dollny, Ankit Tiwari, Arijit Sukla, Ashish, Tanay Hegde, Vikram Hegde, Prateek K Chadha, Sreekar Aechuri, Aniket Chauhaan, Vikram Hegde, Ms. Hima Lawrence, Ms. Chinmayi Shrivastava, M.t. Arunan, Trishan Dollny, M.A. Aruneshe, Arijit Sukla, Anuroop Chakravarti, M.S.Vishnu Sankar, Ms. Dimple Nagpal, M/s Lawfic, Varun Thakur, Ms. Shraddha Saran, Ramkaran, Varinder Kumar Sharma.

Judgment / Order of the Supreme Court

Judgment

R. Mahadevan, J.

Leave granted in SLP (C) No. 17651 of 2022.

2. This judgment deals with three matters arising out of separate orders passed by different High Courts. Since the questions of law involved in all the cases are substantially identical and common, they were heard together and are being decided by this common judgment.

Union of India and Others v. Rohith Nathan and Another, Etc.**FACTUAL BACKGROUND**

3. The facts giving rise to the respective appeals are set out below.

C.A. No(s). 2827 – 2829 of 2018 [Union of India & Ors. v. Rohith Nathan and Anr. Etc.]

4. The present Civil Appeals have been filed against the common judgment dated 31.08.2017 passed by the High Court of Judicature at Madras in W.P. Nos. 6387, 6388 and 6389 of 2017, whereby the High Court dismissed the writ petitions filed by the appellants and affirmed the common order dated 12.01.2017 passed by the Central Administrative Tribunal¹, Chennai Bench in O.A. Nos. 1133, 1132 and 1375 of 2014.
- 4.1. Respondent No. 1 in CA. Nos. 2827 and 2828 of 2018, Rohith Nathan, secured All India Rank 174 in the Civil Services Examination, 2012 under the OBC category. His father was employed in a private organisation namely M/s. HCL Technologies Ltd., and was drawing a salary exceeding the prescribed creamy layer limit under the extant guidelines. On that basis, he was treated as falling within the creamy layer. Though he was recommended by the UPSC as a General Merit candidate and allocated to the Indian Police Service against an unreserved vacancy, Respondent No. 1 sought benefit of OBC reservation and allocation to the Indian Foreign Service against the vacancy reserved for OBC candidates by treating him as OBC (Non-Creamy Layer) candidate. He accordingly filed O.A. No. 1132 of 2014 before the CAT, Chennai seeking a direction for allotment to the Indian Foreign Service as per his OBC rank in the Civil Services Examination, 2012. He also filed O.A. No. 1133 of 2014 seeking to quash the portion relating to Category II(C) in the Schedule to the Office Memorandum dated 08.09.1993 (O.M. No. 36012/22/93-Estt (SCT)).
- 4.2. Respondent No. 1 in C.A. No. 2829 of 2018, G. Babu, appeared in the Civil Services Examination, 2013 under the OBC category and secured Rank 629. His father was employed in a Public Sector Undertaking namely Neyveli Lignite Corporation, as

¹ For short, "CAT"

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a Senior Executive Engineer. As his father's salary income exceeded the prescribed limit, he was also treated as falling within the creamy layer under the applicable guidelines. To claim the benefit of OBC reservation for allocation to a service against a vacancy reserved for OBC candidates, Respondent No. 1 filed O.A. No. 1375 of 2014 before the CAT, Chennai Bench seeking reallocation to the Indian Police Service or any other service as per his OBC rank.

- 4.3. The CAT, having heard the parties, held that under the Office Memorandum dated 08.09.1993, income from salary and agricultural income stood excluded from the Income / Wealth Test for determination of creamy layer status. It further held that paragraph 9 of the clarificatory letter dated 14.10.2004, insofar as it directed inclusion of salary income of PSU and private sector employees under Category II(C), resulted in hostile discrimination between the wards of Government servants and those of PSU/private sector employees. By its common order dated 12.01.2017, the CAT allowed all three Original Applications and directed as follows:

"We direct the DoPT to withdraw the clarification in para 9 of the OM dated 14.10.2004 to the extent it is made applicable to II-C and reformulate it appropriately in the light of the observations made herein within a period of three months. The respondents are also directed to reallocate the service of the two applicants on the basis of their OBC status within a period of three months from the date of receipt of a copy of this order."

- 4.4. Aggrieved, the Union of India and others filed W.P. (C) Nos. 6387, 6388 and 6389 of 2017 before the High Court of Madras. By common judgment dated 31.08.2017, the High Court dismissed all three writ petitions primarily on two grounds:
- (i) The failure of the Union of India to formulate an equivalence / comparability test resulted in placing the sons and daughters of PSU employees at a disadvantage compared to similarly placed Government servants; and
 - (ii) When salary income of parents serving in State/Central Government in Group C and D posts, or those entering

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Group B and A posts, after attaining the age of 40 years, was not considered for creamy layer determination, inclusion of salary income of PSU employees under Category II-C introduced an element of hostile discrimination.

- 4.5. Challenging the aforesaid common judgment, the appellants have preferred the present Civil Appeals.

C.A. No(s). 3130 – 3141 of 2024 [Union of India v. Ketan and others etc.]

5. The present batch of Civil Appeals has been preferred against the common judgment dated 22.03.2018 passed by the High Court of Delhi at New Delhi in W.P. Nos. 3073 – 3084 of 2017. By the said judgment, the High Court disposed of the writ petitions, set aside Letter No. 36033/5/2004- Estt. (Res.) dated 14.10.2004, and directed the appellants to verify the creamy layer status of the respondent candidates (except Sagar Chourasia, who had already been selected) strictly in terms of Office Memorandum dated 08.09.1993.
 - 5.1. According to the appellants, the respondents had appeared in the Civil Services Examination, 2015 claiming reservation under the OBC (non-creamy layer) category. The parents of all respondent candidates were PSU employees, bank employees or otherwise fell under Category II(C) of the Schedule to the Office Memorandum dated 08.09.1993². The candidates were recommended by the UPSC for service allocation. While forwarding their dossiers, UPSC requested verification of their creamy layer status.
 - 5.2. Upon verification, it was found that equivalence of their parents' posts *qua* Government posts had not been established. Accordingly, applying the 1993 OM read with the clarificatory letter dated 14.10.2004, the department applied the "income / wealth test" under Category VI and computed the parents' salary income for the preceding three years. Since the income exceeded the prescribed ceiling, the respondents were treated as falling within the creamy layer. Consequently, by publication dated 22.06.2016, the respondents were denied allocation under the OBC category.

2 For short, "1993 OM"

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- 5.3. Challenging the same, the respondent candidates filed W.P. Nos. 3073 – 3084 of 2017 before the Delhi High Court *inter alia* seeking quashment of the clarificatory letter dated 14.10.2004 and issuance of a direction for allocation of services treating them as OBC (Non-Creamy Layer) candidates.
- 5.4. During the pendency of the matter, the Union of India issued Office Memorandum No. DPE-GM-/0020/2014-GM-FTS-1740 dated 25.10.2017, clarifying gradation and creamy layer criteria in Central Public Sectors Enterprises, indicating that Board level and Managerial-level posts (below Board level) subject to the proviso that executives whose annual income as per 1993 OM was less than Rs. 8 lakhs, would not fall under the creamy layer.
- 5.5. By the impugned judgment dated 22.03.2018, the Delhi High Court disposed of the writ petitions, by holding that the 1993 OM contemplated consideration only of income from “other sources” for applying the Income / Wealth Test where equivalence had not been established. It further held that the clarificatory letter dated 14.10.2004 impermissibly introduced salary income as a determinative factor and lacked rational basis. Consequently, the High Court set aside the letter dated 14.10.2004 and directed re-verification strictly in accordance with the 1993 OM.
- 5.6. Pursuant thereto, the appellants issued a speaking order dated 22.05.2018 reconsidering the matter under the 1993 OM, but again rejected the claim of Non-Creamy Layer status by taking into account parental salary. Certain respondents thereafter filed Contempt Petition (C) Nos. 684/2018, 972/2018 and 973/2018 before the Delhi High Court, in which notices were issued.
- 5.7. Apprehending coercive proceedings, the appellants have preferred the present appeals.

Civil Appeal @ SLP (C) No. 17651 of 2022 [Union of India & Anr. v. DR. Ibson Shah. I. and Anr.]

6. This Civil Appeal challenges the final judgment dated 25.02.2022 passed by the High Court of Kerala at Ernakulam in OP (CAT) No. 94 of 2021, whereby the High Court declined to interfere with the order dated 13.10.2020 passed by the Central Administrative Tribunal, Ernakulam Bench in O.A. No. 718 of 2018.

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- 6.1. The UPSC had issued notification for the Civil Services Examination, 2016 and the Department of Personnel and Training³ notified the detailed rules *vide* Gazette Notification dated 27.04.2016. Rule 24 required candidates to possess requisite certificates in the prescribed format for OBC reservation. Rule 25 stipulated that OBC status, including creamy layer determination would be reckoned as on the closing date of applications.
- 6.2. Respondent No. 1 appeared in the Civil Services Examination, 2016 and the Civil Services Examination, 2017 under the OBC category and secured Rank 540 (2016) and Rank 620 (2017). His father had been directly recruited as a Lower Division Clerk (Group C) in the Legal Metrology Department, Government of Kerala, and died in 2012. His mother was directly recruited as Junior Assistant (Group C clerical cadre) in Kerala State Financial Enterprises (KSFE), a State PSU.
- 6.3. Upon verification, DoPT found that the mother, being employed in a PSU under Category II(C), earned salary exceeding Rs. 6 lakhs per annum for three consecutive years (as revised by the Office Memorandum dated 27.05.2013). Accordingly, Respondent No. 1 was treated as falling within the creamy layer. In CSE-2017 he was denied allocation; in CSE-2016 he was treated as a General Merit candidate and allocated Indian Defence Accounts Service (IDAS) *vide* letter dated 21.08.2017.
- 6.4. Aggrieved, Respondent No. 1 filed O.A. No. 718/2018 before the CAT, Ernakulam, which ruled in his favour on 13.10.2020. The High Court of Kerala affirmed the same and dismissed OP(CAT) No. 94/2021 filed by the appellants, on 25.02.2022, *inter alia* holding that:
- The respondent possessed a valid OBC-NCL certificate before the cut-off date;
 - Both parents were Group C entrants (clerical cadre) below Group A and B;
 - Under Category II of the 1993 OM, mere parental service in a PSU could not lead to creamy layer exclusion;

3 For short, "DoPT"

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- The comparability exercise under Category II(C) was transitional;
- The Government's failure to determine equivalence could not prejudice candidates; and
- Denial of OBC-NCL status to wards of PSU employees, while granting it to similarly placed Government servants, would constitute hostile discrimination.

Therefore, the appellant, Union of India, is before this Court with the present appeal.

SUBMISSIONS OF THE PARTIES

7. The learned Additional Solicitor General of India appearing for the appellant in CA Nos. 2827 – 2829 of 2018 / Union of India submitted that the impugned judgment dated 31.08.2017 passed by the High Court of Madras in W.P. Nos. 6387, 6388 and 6389 of 2017 is *ex facie* unsustainable in law and deserves to be set aside. It was urged that the exclusion of persons falling within the Creamy Layer is aimed at ensuring that reservation benefits are not extended to those who are no longer backward. Any legislative or executive action to remove such persons, individually or collectively, cannot be constitutionally invalid but is in consonance with the principle laid down by this Court in ***Indra Sawhney v. Union of India and others***⁴. This Court in ***Indra Sawhney v. Union of India and others***⁵, explained the rationale underlying the rule of exclusion of the Creamy Layer, holding that nonexclusion thereof would amount to discrimination and violation of Articles 14 and 16, inasmuch as unequals cannot be treated as equals. It was further submitted that the Union of India was fully competent and empowered to issue the clarificatory letter dated 14.10.2004 in order to ensure that the intended benefits of reservation reach the truly deserving candidates among the backward classes. To sustain the spirit of the constitutional provisions of equality, it is obligatory on the State to identify the most deserving candidates, as the State is obliged to remove inequalities and backwardness from society. If nondeserving candidates are given the benefit of reservation, it

4 (1992) Supp. 3 SCC 217

5 (2000) 1 SCC 168

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would breach the spirit of the constitutional provision. Reliance was also placed on the decision in **Ashok Kumar Thakur v. Union of India**⁶, wherein this Court held that the Government should not proceed on the basis that once a class is considered backward, it should continue to be backward for all times, as such an approach would defeat the very purpose of reservation.

- 7.1. The learned counsel further submitted that the respondents have reached a comparatively higher level of social advancement and economic status, and therefore, as a matter of law, the declaration of such persons as being nonentitled to be treated as backward is sustainable. The Department has rightly considered the respondents as falling under the Creamy Layer, and vacancies reserved for OBC candidates are earmarked and allocated to other nonCreamy Layer candidates who are eligible and entitled.
- 7.2. It was contended that the High Court erred in dismissing the writ petitions solely on the ground of alleged discrimination between wards of PSU employees and wards of Government employees, without examining the merits of the individual cases decided by the Tribunal. The income from the salary of the parents of the respondents was not considered by the High Court while deciding the case. The delay in determination of equivalence between PSU employees and Government employees should not result in providing an undue advantage to the respondent candidates who belong to a comparatively higher strata of the OBC category by virtue of their parents' salary income as this would deny the benefit of reservation to deserving candidates.
- 7.3. It was further contended that the 1993 OM has been upheld by this Court in **Ashok Kumar Thakur (supra)**, and the High Court erred in holding that the 1993 OM and the clarificatory letter dated 14.10.2004 bring about hostile discrimination. Clause IIC of the Schedule to the 1993 OM clearly states that employees in PSUs, banks, insurance organisations, universities etc. are to be treated on the same footing as Government employees, and pending evaluation of equivalence, the criteria specified in Category VI would apply. All candidates producing certificates for

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claiming the benefit of reservation under the OBC NonCreamy Layer category must undergo all six tests given in the Schedule to the 1993 OM to determine their Creamy Layer status. The service status of the parents of persons employed in PSUs or private enterprises, in which equivalence has not been established visàvis Government services is determined by the quantum of salary that they receive.

- 7.4. It was submitted that the clarificatory letter dated 14.10.2004 was issued only to clarify the procedure to be adopted for applying the income / wealth test in the case of sons and daughters of parents employed in PSUs, etc., where equivalence has not been established. The High Court erred in holding that para 9 of the letter was not in consonance with the 1993 OM. The timely rise in the income of Government servants through successive Pay Commissions has not erased the importance of the social status criteria to be adopted in their case. For determining Creamy Layer status, the sons and daughters of Government servants undergo both social and economic tests, whereas those of PSU and private employees undergo only the economic test.
- 7.5. The learned counsel further contended that an appointment given to a noneligible candidate deprives an eligible NonCreamy Layer OBC candidate of appointment. The judgment of the High Court is contrary to the established policy of the Government. This Court has held that it is not within the domain of the courts to embark upon an inquiry as to whether a particular public policy is wise or acceptable, or whether a better policy could be evolved. Such a policy decision would normally not be interfered with unless it is capricious, arbitrary, or offends Article 14.
- 7.6. It was thus submitted that the 1993 OM and the letter dated 14.10.2004 form part of a consistent and constitutionally sound framework for the identification of the creamy layer, and that the inclusion of salary in gross annual income aligns with the principle of substantive equality and prevents distortion of the reservation system. Further, it was contended that the exclusion of salary would subvert the constitutional goal of social justice, lead to reverse discrimination, and create administrative chaos, thereby undermining the rights of genuinely backward OBC candidates.

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- 7.7. On these grounds, the learned counsel prays that the impugned judgment of the High Court dated 31.08.2017 deserves to be quashed and that the respondents be declared as falling within the Creamy Layer and not entitled to reservation benefits under the OBC category.
8. The learned senior counsel appearing for Respondent No.1 (Rohith Nathan) submitted that the 1993 OM carries the authority of law, having been issued pursuant to the directions in ***Indra Sawhney and others v. Union of India and others***⁷ after due deliberation by an Expert Committee, parliamentary scrutiny, and interministerial consultation. He pointed out that the Expert Committee had evolved criteria for the exclusion of socially advanced persons from the benefit of reservation for OBCs, with emphasis on social status and high income from business, profession, or other sources, while expressly excluding income derived from salary and agricultural land. The report of the Committee was laid before both Houses of Parliament and formally accepted by the Government, and the 1993 OM was issued after vetting by the Law Ministry and consultation with the Ministry of Social Justice & Empowerment.
- 8.1. In contrast, the learned senior counsel submitted that the clarificatory letter dated 14.10.2004⁸ was issued without consultation, deliberation, or any traceable administrative record, and by the DoPT, which was not the competent authority under the Allocation of Business Rules, 1961. He referred to RTI responses confirming that no consultation with the Ministry of Social Justice & Empowerment preceded the issuance of the 2004 letter, and that the file notings were not traceable. He therefore contended that the 2004 Letter is *non est* in law and cannot override or dilute the binding effect of the 1993 OM.
- 8.2. The learned senior counsel further submitted that the implementation of the 1993 OM itself demonstrates that salary and agricultural income are excluded from the income/wealth test. He referred to the DoPT's Office Memorandum dated 15.11.1993 annexing a model application form which expressly excluded salary and agricultural income, and pointed out that

7 (1992) Supp. 3 SCC 217

8 For short, "2004 Letter"

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various State Governments such as Andhra Pradesh, Telangana, and Tamil Nadu, as well as statutory bodies including the National Commission for Backward Classes and the Ministry of Social Justice & Empowerment, have consistently followed this principle.

- 8.3. The learned senior counsel contended that it is incorrect for the Government to submit that OBCs belonging to Category IIC of the 1993 OM are to suffer exclusion until the equivalence of posts is conducted. The Expert Committee had expressly recommended that, pending evaluation of equivalence of posts in PSUs and other bodies, persons falling under Category IIC would still be entitled to reservation, subject only to exclusion under Category VI by application of the income/wealth test.
- 8.4. The learned senior counsel also submitted that the Government's interpretation of Explanation (i) to the income/wealth test is erroneous. The Government has contended that either income from salary or income from agricultural land is to be considered, but not both excluded, in determining whether the monetary limit has been exceeded. He argued that this interpretation is unsupported by reasoning, contrary to the consistent implementation of the 1993 OM, and inconsistent with the Union's own stand in ***Neil Aurelio Nunes v. Union of India***⁹. In that case, the Union distinguished OBC and EWS criteria by clarifying that for OBCs, salary income is excluded, whereas for EWS, salary income is included. Acceptance of the Government's present stand would obliterate this distinction, leading to arbitrariness and inconsistency.
- 8.5. Thus, the learned senior counsel urged that the 1993 OM, having statutory force and having been consistently implemented, must prevail, and that the 2004 Letter, lacking authority, cannot dilute or override the settled criteria.
9. The learned counsel appearing for Respondent No. 1 (G. Babu) submitted that the DoPT cannot question the validity of an OBC certificate once it has been duly issued by the competent authority. He contended that DoPT is not the authority empowered to issue

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or scrutinize OBC certificates. Under the DoPT Office Memorandum dated 15.11.1993, the competent authorities for issuance and verification of OBC certificates are District Magistrates, Collectors, Deputy Commissioners, SubDivisional Magistrates, Tehsildars and other designated revenue officers. These authorities are specially entrusted with determining whether an applicant belongs to the OBC category and whether he or she falls within the Creamy Layer, strictly in accordance with the criteria prescribed in the Schedule to the 1993 OM.

- 9.1. The learned counsel emphasised that the model application form appended to the 1993 OM mandates disclosure of detailed particulars regarding parental qualifications, employment, income, assets and wealth, which are verified by the issuing authority. Further, the revised OBC certificate format introduced by the DoPT's Office Memorandum dated 30.05.2014 expressly requires the certifying authority to declare that the candidate does not belong to the Creamy Layer. The certificate is thus issued after comprehensive scrutiny of contemporary data, including parental income for the preceding three financial years. He contended that such certificates cannot be lightly disregarded or questioned in a cavalier manner. Reliance was placed on ***Madhuri Patil v. Commissioner, Tribal Development***¹⁰, wherein this Court held that a social status certificate remains valid unless it is found to be false or fraudulently obtained pursuant to investigation by a duly constituted Scrutiny Committee.
- 9.2. The learned counsel further submitted that the 1993 OM issued pursuant to the recommendations of the Mandal Commission, the directions of this Court in ***Indra Sawhney and others v. Union of India and others***¹¹, and the report of the Expert Committee of the Ministry of Social Justice, comprehensively delineates the categories falling within the Creamy Layer exclusion. He argued that the Union of India seeks to rely upon the 2004 Letter; however, such a letter cannot override or qualify the binding provisions of the 1993 OM. It was submitted that while the 1993 OM excluded salary and agricultural income from the income / wealth test, the 2004 Letter sought to include salary income in

10 (1994) 6 SCC 241

11 (1992) Supp. 3 SCC 217

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the case of PSU employees, thereby introducing an artificial and hostile discrimination between children of government servants and those of PSU employees.

- 9.3. It was further submitted that it is settled law that a mere executive letter cannot override or amend a subsisting Office Memorandum. In support, reliance was placed upon ***R.P. Bhardwaj v. Union of India***¹², wherein this Court held that an operative Office Memorandum cannot be modified or curtailed through a mere circulation of a letter. Reference was also made to ***K. Sampath v. State of Tamil Nadu***¹³ reiterating the same principle. Accordingly, the 2004 Letter was contended to be devoid of statutory authority and incapable of diluting the binding effect of the 1993 OM.
10. The learned counsel appearing for the Intervenors submitted that the Intervenors adopt the oral and written submissions advanced on behalf of the respondents. He urged that no separate or novel relief is required to be crafted. The present Civil Appeals were instituted by the Union of India against judgments of various High Courts, seeking direction to the DoPT to reallocate services to the concerned applicants. In the event of dismissal of the appeals, the said directions would revive, and the DoPT would be obligated to proceed with reallocation and verification of OBC status in accordance with law.
- 10.1. The learned counsel submitted that the Union of India has been aware of these directions since 2017, 2018 and 2022, and had in certain matters obtained interim orders of stay. The Union was thus fully conscious that, if unsuccessful, it would be required to implement the High Court directions. It cannot now plead administrative inconvenience. He drew attention to the 21st Report of the Parliamentary Committee on Welfare of Other Backward Classes (2018–19), wherein representatives of the DoPT had informed the Committee that supernumerary posts would be created to implement the decision of the Delhi High Court dated 22.03.2018. It was argued that having undertaken to create such posts, the Union cannot resile from its stated position upon dismissal of the appeals.

¹² (2005) 10 SCC 244

¹³ MANU/TN/9958/2006

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- 10.2. The learned counsel further submitted that this Court in W.P.(C) No. 914/2016, by order dated 20.03.2017, had directed that candidates selected through the Civil Services Examination, 2016 be notified that their selection and seniority would remain subject to the outcome of litigation initiated by OBC candidates. The DoPT complied with this direction by issuing an Office Memorandum dated 20.12.2016. It was contended that delays in disposal of the present batch were attributable to repeated adjournments sought by the Union of India. In such circumstances, the Union cannot invoke equitable considerations to avoid compliance with binding directions.
- 10.3. It was submitted that this Court possesses ample powers under Article 142 of the Constitution to direct creation of supernumerary posts where candidates have been wrongfully denied appointment or promotion. In this regard, reliance was placed upon decisions including ***Sushma Gosain v. Union of India***¹⁴, ***Dr. PPC Rawani v. Union of India***¹⁵, ***Union of India v. Vijay Kumari***¹⁶, ***Dr. D.K. Reddy v. Union of India***¹⁷, ***Delhi Administration v. Nand Lal Pant***¹⁸ and ***Union of India v. Parul Debnath***¹⁹, wherein directions for creation of supernumerary posts were issued in exceptional circumstances. While acknowledging that cadre management ordinarily falls within the executive domain, it was contended that in special situations, this Court may exercise its plenary power to do complete justice.
- 10.4. Finally, it was urged that upon dismissal of the Civil Appeals and application of the doctrine of merger, subordinate fora would be bound to apply the ratio of this Court in the present batch, namely, that Creamy Layer status must be assessed without reference to the 2004 Letter. Relegation would only result in multiplicity of proceedings, delay and administrative uncertainty. Many Intervenors have been litigating the issue

14 (1989) 4 SCC 468

15 (1992) 1 SCC 331

16 (1994) Supp. 1 SCC 94

17 (1996) 10 SCC 177

18 (1997) 11 SCC 488

19 (2009) 14 SCC 173

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for more than five years. It was therefore submitted that this is a fit case for exercise of power under Article 142 to render complete justice by extending the benefit of the present decision to the Intervenors, thereby conserving judicial and administrative resources and minimizing disturbance to existing cadres and seniority positions.

11. The learned Additional Solicitor General of India for the appellant in CA. Nos. 3130 - 3141 of 2024 / Union of India submitted that the Delhi High Court fundamentally erred in construing Column 3 of the Schedule to the 1993 OM as being confined merely to an “officer class” criterion.
 - 11.1. It was further submitted that the High Court erred in holding that Category VI of the 1993 OM excludes the component of “salary” entirely from the expression “gross annual income”. According to the learned counsel, there are three distinct components of income – income from salary, income from other sources, and income from agriculture – and Explanation (a) to Category VI merely prohibits the clubbing of salary and agricultural income with income from other sources; it does not mandate exclusion of salary *per se*. The income from each source, it was contended, must be assessed separately. If either the income from salary or the income from other sources exceeds the prescribed threshold for three consecutive years, the candidate would fall within the creamy layer.
 - 11.2. With respect to Category II-C of the 1993 OM, which pertains to employees of PSUs, banks and similar institutions where equivalence with Government posts has not been established, it was submitted that the 1993 OM itself provides that pending evaluation of equivalence, the criteria specified under Category VI, namely, the Income / Wealth Test, shall apply. In such circumstances, Clause VI operates as the primary test for determination of creamy layer, and exclusion of salary from consideration would render the test otiose. The 2004 Letter, it was argued, merely harmonizes Paras 9 and 10 of the 1993 OM and does not override or amend the 1993 OM; rather, it clarifies that in the absence of established equivalence, income from salary is relevant for applying the income test.

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- 11.3. It was further contended that a purposive interpretation must be given to the expression “gross annual income”. Exclusion of salary of PSU or private employees from consideration would lead to anomalous and absurd consequences, whereby children of highly placed PSU executives drawing substantial salaries could continue to claim non-creamy layer status merely because their income from other sources falls below the threshold. Such an interpretation, it was submitted, would defeat the constitutional principle of qualitative exclusion recognized in **Ashok Kumar Thakur (supra)** and reaffirmed subsequently, and would run contrary to the object underlying the creamy layer doctrine.
- 11.4. The learned counsel contended that exclusion of the creamy layer is a constitutional imperative and that the State possesses policy latitude in identifying reasonable parameters for such exclusion. In the absence of established equivalence between Government posts and PSU posts, there exists, according to the Union, an intelligible differentia which justifies a distinct method of applying the income test to Category II-C employees. The delay in determining equivalence, it was submitted, cannot operate to confer an unintended benefit upon comparatively advanced sections within the OBCs. It was further argued that the High Court failed to consider the broader policy framework and instead proceeded on an erroneous assumption of discrimination, without appreciating that the income test under Category VI would be rendered redundant if salary were excluded in cases where equivalence had not been determined. Consequently, the impugned judgment, which has the effect of nullifying the 2004 Letter and reopening settled selections, was stated to be unsustainable in law and contrary to the constitutional scheme governing OBC reservations.
12. The learned senior counsel for Respondent(s) in CA. Nos. 3130 – 3141 of 2024 submitted that the Constitution Bench in **Indra Sawhney v. Union of India** (supra) directed the Union of India to specify appropriate socio-economic criteria for excluding the socially advanced sections – commonly referred to as the Creamy Layer – from the ambit of Other Backward Classes. Pursuant thereto, the Government constituted the Ram Nandan Prasad Committee,

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whose report was laid before both Houses of Parliament. The recommendations of the Committee were accepted in toto and culminated in the issuance of the 1993 OM.

- 12.1. It was submitted that under the 1993 OM, the sons and daughters of Government officers directly recruited to Class I posts, and those promoted from Class II to Class I before the age of 40, were to be treated as falling within the creamy layer. Children of employees in autonomous bodies, public sector undertakings, banks, insurance organisations, universities and private enterprises were to be considered creamy layer where their parents held posts equivalent or comparable to those specified for Government servants. Further, the income / wealth test prescribed that persons whose gross family income for the preceding three years exceeded the notified threshold (Rs. 6,00,000 at the relevant time; presently Rs. 8,00,000) would fall within the creamy layer. Crucially, income from salaries and agricultural land was expressly excluded from such computation.
- 12.2. Learned counsel emphasised that DoPT itself interpreted the 1993 OM as excluding salary income, as reflected in its Office Memorandum dated 15.11.1993 and the Model Form appended thereto. The Model Form specifically required disclosure of income excluding salary income. This form, it was submitted, continues to be uniformly adopted by all certificate-issuing authorities across the country without modification.
- 12.3. Reference was then made to the 2004 Letter. Paragraph 3 thereof acknowledged that the criteria prescribed for Government servants were to apply *mutatis mutandis* to similarly placed employees of PSUs, banks and other organisations. Paragraph 10 reiterated that income from salaries and agricultural land shall not be taken into account while applying the income / Wealth Test. However, paragraph 9 of the same 2004 Letter, it was contended, introduced a contradictory position by providing that where equivalence of posts had not been determined, income from salaries and other sources was to be assessed separately, and if either exceeded the prescribed limit, the candidate would be treated as creamy layer. Agricultural income alone was excluded.

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- 12.4. According to the learned counsel, paragraph 9 effectively introduced a discriminatory regime whereby salary income would be counted in the case of PSU employees and others falling within Category IIC, but not for Government servants, armed forces personnel, or constitutional functionaries. The failure of the Government to determine equivalence of posts could not justify imposing dual income thresholds for Category IIC. Such an interpretation, it was argued, runs contrary to the spirit of the Expert Committee's report and the 1993 OM, and may lead to anomalous results – disqualifying even the wards of lower-level employees such as peons, drivers or typists solely on account of salary progression.
- 12.5. It was further submitted that paragraph 9 of the 2004 Letter was not operationalized until the Civil Services Examination 2015 and even thereafter its implementation remained confined to the UPSC Civil Services Examination, without adoption by other recruiting bodies. The interpretation is thus peculiar to DoPT and lacks uniform application.
- 12.6. On the aspect of estoppel and legitimate expectation, learned counsel contended that the Union of India is precluded from assailing the impugned judgment of the Delhi High Court dated 22.03.2018, having complied with it by issuing a Compliance Order dated 22.05.2018. Having accepted and acted upon the judgment, the Union of India cannot now resile therefrom without first recalling or withdrawing its compliance.
- 12.7. It was also urged that the Government cannot adopt a stand before this Court diametrically opposed to its representations before Parliament, the National Commission for Backward Classes²⁰ and this Court in other proceedings. Reliance was placed on:
1. Legal Opinion of the Law Secretary dated 06.02.2019 opining that pending determination of equivalence, salary cannot be used as a criterion for Category IIC and that such cases must fall for consideration under Clause VI(b).

20 For short, "NCBC"

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2. The observations of the Parliamentary Committee recommending withdrawal of the Union's affidavit founded upon paragraph 9 of the 2004 Letter, as being contrary to the Law Ministry's advice and the NCBC's stance.
 3. The Tenure Report (2019-2022) of the NCBC holds that salary ought not to be included in computing gross total income for creamy layer determination.
 4. The affidavit filed by the Union in **Neil Aurelio Nunes v. Union of India**, WP(C) No. 961 of 2021 (EWS matter), wherein it was specifically distinguished that the Rs. 8 lakh thresholds for EWS includes salary income, whereas the threshold for OBC creamy layer excludes salary income.
 5. The inconsistency between the stand taken in the EWS matter and the position now advanced in *Union of India v. Ketan* (Civil Appeal No. 3130 of 2024).
- 12.8. On the strength of these representations, it was argued that a legitimate expectation has arisen that the Government would maintain consistency in its stand. Any deviation would not only defeat such expectation but also undermine parliamentary accountability and the constitutional principle of collective responsibility.
- 12.9. Lastly, learned counsel submitted that this Court by order dated 28.11.2016 in WP(C) No. 914 of 2016 and connected matters, directed that all subsequent selections would be subject to the final outcome of the pending petitions. The matters were transferred to the Delhi High Court, which rendered its judgment on 28.03.2018. The same was complied with on 22.05.2018. The present appeals were filed after a delay of more than 600 days, without withdrawal of the compliance order. In these circumstances, the concurrent findings of the CAT, Madras Bench; the Delhi High Court; the Madras High Court; and the Kerala High Court warrant affirmation along with consequential relief.
13. Adding further, it was submitted on behalf of the appellant in SLP (C) No. 17651 of 2022 that the 1993 OM expressly employs the expression "gross annual income" and therefore, the Kerala High Court erred in inferring that only "income from other sources" forms

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the basis for determination of creamy layer status in the case of PSU employees where equivalence has not been established. According to the learned counsel, such an interpretation is contrary to the spirit and consistent understanding of the 1993 OM, as clarified on multiple occasions by the Reservation Division, and amounts to reading into the 1993 OM, a restriction which it does not contemplate.

- 13.1. It was further submitted that equivalence of posts in State PSUs vis-à-vis Central or State Government posts has not yet been comprehensively undertaken, as the exercise involves complex comparative assessment of a multitude of posts across States and Union Territories, differing pay structures, service conditions, and attendant perks and privileges. It was contended that precisely to address such contingencies, the 1993 OM provides under Category VI for application of the Income / Wealth Test pending evaluation of equivalence, and that this mechanism ensures continued implementation of the creamy layer principle even in the absence of formal equivalence.
- 13.2. The learned counsel also assailed the Government Order dated 31.05.2018 issued by the State of Kerala purporting to determine equivalence in respect of posts in the Kerala State Financial Enterprises, contending that the said order was passed on the basis of an individual representation and not as a policy decision founded upon objective and quantifiable data. It was urged that such an exercise is not in consonance with the principles laid down in ***Indra Sawhney and others v. Union of India and others***²¹, which require identification of socially and educationally backward classes based on objective criteria and quantifiable data before extending reservation benefits.
- 13.3. It was further submitted that in any event, even assuming the validity of the Government Order dated 31.05.2018, the said equivalence determination came into existence subsequent to the relevant selection process and was not in force at the time of consideration of the respondent's candidature. Reliance was placed on Rule 10 of the Civil Services Examination Rules,

21 (1992) Supp. 3 SCC 217

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2017, to contend that candidates seeking reservation benefits must be in possession of requisite and valid certificates in support of their claim as on the closing date of the application, i.e. 17.03.2017. Since the equivalence, even if assumed valid, was not operative on the relevant date, the respondent could not claim its benefit retrospectively.

- 13.4. On these grounds, learned counsel prayed for setting aside the impugned judgment and allowing the appeal.
14. The learned counsel for Respondent No. 1 in SLP (C) No. 17651 of 2022 submitted that by the impugned judgment dated 25.02.2022 passed by the Kerala High Court, the respondent was directed to be considered as an OBC-NCL candidate in the merit list for the Civil Services Examination, 2017. This was on the ground that the sole surviving parent (mother) of the respondent was appointed as a Group C employee in a Public Sector Undertaking owned by the Government of Kerala, and that the PSU was governed by a subsisting order of equivalence with corresponding posts in the Government of Kerala. The said equivalence order had been produced before the DoPT by the candidate.
- 14.1. It was further contended that the High Court in its judgment, examined the validity of the equivalence order and held that such an order could only have been issued by the Government of Kerala. The High Court substantively validated the equivalence order after examining the comparability methodology adopted therein. In paragraph 27 of the judgment, it was categorically held that the post to which the candidate's mother was appointed was equivalent to a Group C post in the public services of the Government of Kerala. In paragraph 30, the High Court declared that the DoPT had erred in denying OBC-NCL allocation to the candidate. It was submitted that the DoPT had adopted a mutually contradictory position first demanding an equivalence order and thereafter disregarding it when duly furnished.
- 14.2. It was submitted that the High Court highlighted the arbitrary conduct of the DoPT in paragraphs 20 and 25 of the judgment. The DoPT had altered the procedure for verification of Creamy Layer status of candidates whose parents were appointed to State Public Sector Enterprises, both during the Civil

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Services Examination, 2016 and midway through the CSE-2017 process, without any public notice or notification, thereby violating settled procedures and principles of natural justice. In 2016, the procedure adopted was to seek clarification from the concerned State Government regarding comparability of posts. However, in 2017 midway through the examination process, the DoPT began insisting upon formal equivalence orders issued by the State Governments.

- 14.3. Reference was also made to paragraph 31 of the judgment, wherein the High Court observed that there was no justification for the DoPT to reject the equivalence order issued by the State Government. It clarified that the equivalence order to be submitted could only be an order of the State Government, and in the present case, one issued by the Government of Kerala. It was contended that “State Public Services” and “State Public Service Commissions” fall within the exclusive domain of the State List under the Seventh Schedule to the Constitution. Consequently, the jurisdiction to declare comparability or equivalence between posts in the public services of the State of Kerala and Public Sector Enterprises owned by it lies exclusively within the State Government. It was urged that this constitutional demarcation had been disregarded by the DoPT in filing the present appeal.
- 14.4. It was further submitted that the DoPT had not disputed the status of the post held by the candidate’s deceased father (who passed away in 2012) which had been accepted as a Group C post in the Government of Kerala based on orders issued by the same State Government. However, the DoPT was disputing the equivalence order issued by that very Government in relation to the candidate’s mother, who was appointed to a Group C post in a State PSU. This differential treatment, it was contended, amounted to discrimination against the candidate’s mother alone and reflected arbitrariness in administrative decision-making. The High Court had noted such arbitrariness in paragraph 33 of its judgment and dismissed the petition filed by the DoPT.
- 14.5. It was also contended that the action of the DoPT in treating the salary of an employee of a State PSU, irrespective of

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the post held, as income for determining Non-Creamy Layer status was discriminatory, particularly when, in the case of employees of the Central Government, State Governments, or Central PSUs, salary income was exempted from such computation. This aspect had been extensively dealt with by the High Court.

- 14.6. Finally, it was submitted that the DoPT lacked *locus standi* to raise disputes on behalf of the Union Government against orders issued by State Governments regarding equivalence of posts within the State. The DoPT's powers are circumscribed by the Allocation of Business Rules, 1961, and the subject matter of challenging equivalence determinations of State Governments does not fall within its assigned business. It was contended that the DoPT neither possesses authority to reject orders issued by the appropriate State Government nor to issue directions or requisitions to State Governments in that regard. Consequently, the challenge to the equivalence order issued by the Government of Kerala was said to be contrary to the Allocation of Business Rules, 1961, and violative of Article 77(3) of the Constitution of India.
- 14.7. It was emphasized that procedural violations were writ large in the actions of the DoPT in altering verification norms during the conduct of the Civil Services Examinations and in adopting inconsistent verification practices from year to year. Until 2016, the DoPT had sought clarification from State Governments regarding the nature of posts held by parents serving in State PSUs. In 2017, however, it insisted upon formal equivalence orders midway through the examination process, without amending the governing rules or issuing any notification, and thereafter rejected or ignored such orders when produced. According to the learned counsel, this arbitrary shift in procedure appeared designed to deny OBC claims of candidates whose parents were employees of State Public Sector Enterprises. It was further submitted that State Governments have consistently exercised their constitutional authority under the Seventh Schedule to issue equivalence orders whenever officers of State Public Services are posted to State PSUs. By disputing such actions of the "appropriate

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Government” within the exclusive domain of the State, the DoPT was alleged to have engaged in unconstitutional overreach in filing the present appeal.

15. The learned counsel appearing for the Union Public Service Commission (UPSC) submitted that the role of the said respondent is strictly confined to conducting the Civil Services Examination in accordance with the Rules and Regulations framed by the DoPT. The UPSC conducts the examination, processes the results, and makes recommendations for appointment to the various services based on the vacancies requisitioned by the respective Cadre Controlling Authorities. It was contended that the UPSC neither frames policy nor possesses the authority to adjudicate upon issues relating to reservation status or the application of the Creamy Layer criteria.

- 15.1. It was further submitted that the determination of eligibility for reservation benefits, including verification of OBC Non-Creamy Layer status, falls exclusively within the domain of the DoPT, which is the appellant herein and the nodal authority for such matters. Therefore, the issues raised in the present proceedings, as well as the reliefs sought by the appellants pertain solely to the DoPT, and no substantive relief has been claimed or could be claimed against the UPSC.

DISCUSSION & FINDINGS

16. We have heard learned counsel appearing for the parties at length and perused the materials available on record.
17. The present batch of Civil Appeals arises from judgments of the Madras High Court, Kerala High Court and Delhi High Court. By the impugned judgments, the respective High Courts adjudicated upon the eligibility of certain candidates claiming the benefit of OBC (Non-Creamy Layer) reservation in the Civil Services Examination conducted in different years.
18. It is not in dispute that the respondent candidates were successful in the Civil Services Examination. However, as the equivalence of posts in Public Sector Undertakings, banks and other organisations vis-à-vis Government posts had not been formally determined, the DoPT applied the Income /Wealth Test under Category VI of the 1993 OM read with 2004 Letter. Upon assessing the parental income of

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the respective candidates for the preceding three financial years, the DoPT classified them as falling within the Creamy Layer of the Other Backward Classes, thereby rendering them ineligible for OBC (Non-Creamy Layer) reservation benefits. Consequently, their cases were not considered for service allocation under the reserved category. Aggrieved thereby, the respondent candidates approached the CAT and obtained orders in their favour. The writ petitions filed by the appellants challenging the said orders were dismissed by the High Courts of Madras, Delhi and Kerala. It is in these circumstances that the present Civil Appeals filed by the appellants have been placed before us for consideration.

19. The issues involved are allied and overlapping, though they require distinct treatment for the purpose of analysis. The first issue is whether the clarificatory letter dated 14.10.2004 can have any overriding or superseding effect over the Office Memorandum dated 08.09.1993, which expressly lays down the criteria for exclusion from the benefit of reservation for OBCs by identifying the creamy layer namely, the socially advanced persons of sections among the Socially and Educationally Backward Classes. The second issue is whether there can be hostile discrimination between employees of the Government and those working in Public or Private Sector Undertakings, when both occupy posts of the same grade or class.
20. Since the issues raised are broader in nature and concern the constitutional architecture governing identification of the creamy layer, the validity and interpretation of executive instructions, and the equality mandate under Article 14, it is neither necessary nor appropriate for this Court to enter into the granular factual matrix of each individual case. Moreover, the judgments impugned before us record largely concurrent findings on the material aspects. The controversy, therefore, turns essentially on questions of law of general public importance, warranting authoritative determination by this Court.
21. Before proceeding further, it is apposite to examine the constitutional and statutory background of reservation in India.
 - 21.1. India's reservation framework for Other Backward Classes (OBCs)/ Socially and Educationally Backward Classes (SEBCs) has evolved through a sustained dialogue between

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constitutional text, legislative intervention, and judicial doctrine. The objective has consistently been to reconcile the mandate of substantive equality with the imperatives of administrative efficiency.

Constitutional framework

21.2. The Constitution embedded the principle of advancement of weaker sections through:

- Article 46 (Directive Principles of State Policy), which mandates the State to promote with special care the educational and economic interests of the weaker sections, particularly, Scheduled Castes and Scheduled Tribes;
- Article 15(4) (inserted by the First Constitutional Amendment, 1951), enabling the State to make special provision for the advancement of socially and educationally backward classes of citizens or for the Scheduled Castes and the Scheduled Tribes;
- Article 16(4) empowering the State to make provisions for reservation in appointments or posts in public services for any backward classes inadequately represented;
- Article 15(5), later inserted, enabling reservation in admissions to educational institutions, including private educational institutions whether aided or unaided by the State, other than the minority educational institutions.

For ease of reference, the above provisions read as under:

“46. Promotion of educational and economic interests of Scheduled Castes, Scheduled Tribes and other weaker sections. —

The State shall promote with special care the educational and economic interests of the weaker sections of the people, and, in particular, of the Scheduled Castes and the Scheduled Tribes, and shall protect them from social injustice and all forms of exploitation.”

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“15. Prohibition of discrimination on grounds of religion, race, caste, sex or place of birth-

(4) Nothing in this article or in clause (2) of article 29 shall prevent the State from making any special provision for the advancement of any socially and educationally backward classes of citizens or for the Scheduled Castes and the Scheduled Tribes.”

(5) Nothing in this article or in sub-clause (g) of clause (1) of article 19 shall prevent the State from making any special provision, by law, for the advancement of any socially and educationally backward classes of citizens or for the Scheduled Castes or the Scheduled Tribes in so far as such special provisions relate to their admission to educational institutions including private educational institutions, whether aided or unaided by the State, other than the minority educational institutions referred to in clause (1) of article 30.”

“16. Equality of opportunity in matters of public employment-

(4) Nothing in this article shall prevent the State from making any provision for the reservation of appointments or posts in favour of any backward class of citizens which, in the opinion of the State, is not adequately represented in the services under the State.”

From its inception, Article 16(4) was conceived not as an exception to equality, but as an instrument to achieve it.

Early Judicial Evolution

21.3. In *M.R. Balaji and others v. State of Mysore*²², this Court held that caste may be a relevant factor in identifying backwardness, but it cannot be the sole or dominant test. Social backwardness, the Court observed, is on the ultimate analysis

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closely linked with poverty, and excessive reservation under the guise of special provisions would subvert the constitutional scheme. The Court broadly indicated that reservation should ordinarily remain below 50%, recognising the need to balance advancement of weaker sections with societal interests at large. The following paragraphs are pertinent:

*“23. Besides, if the caste of the group of citizens was made the sole basis for determining the social backwardness of the said group, that test would inevitably break down in relation to many sections of Indian society which do not recognise castes in the conventional sense known to Hindu society. How is one going to decide whether Muslims, Christians or Jains, or even Lingayats are socially backward or not? The test of castes would be inapplicable to those groups, but that would hardly justify the exclusion of these groups in toto from the operation of Article 15(4). It is not unlikely that in some States some Muslims or Christians or Jains forming groups may be socially backward. That is why we think that though castes in relation to Hindus may be a relevant factor to consider in determining the social backwardness of groups or classes of citizens, it cannot be made the sole or the dominant test in that behalf. **Social backwardness is on the ultimate analysis the result of poverty to a very large extent. The classes of citizens who are deplorably poor automatically become socially backward. They do not enjoy a status in society and have, therefore, to be content to take a backward seat. It is true that social backwardness which results from poverty is likely to be aggravated by considerations of caste to which the poor citizens may belong, but that only shows the relevance of both caste and poverty in determining the backwardness of citizens.***

...

34. If admission to professional and technical colleges is unduly liberalised, it would be idle to

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*contend that the quality of our graduates will not suffer. That is not to say that reservation should not be adopted; reservation should and must be adopted to advance the prospects of the weaker sections of society, but in providing for special measures in that behalf care should be taken not to exclude admission to higher educational centres to deserving and qualified candidates of other communities. A special provision contemplated by Article 15(4) like reservation of posts and appointments contemplated by Article 16(4) must be within reasonable limits. The interests of weaker sections of society which are a first charge on the States and the Centre have to be adjusted with the interests of the community as a whole. The adjustment of these competing claims is undoubtedly a difficult matter, but if under the guise of making a special provision, a State reserves practically all the seats available in all the colleges, that clearly would be subverting the object of Article 15(4). In this matter again, we are reluctant to say definitely what would be a proper provision to make. **Speaking generally and in a broad way, a special provision should be less than 50%; how much less than 50% would depend upon the present prevailing circumstances in each case.**"*

Similarly, in ***State of Andhra Pradesh and another v. P. Sagar***²³, this Court reiterated that classification for the purposes of Article 15(4) cannot rest solely upon caste; the objective remains the advancement of socially and educationally backward classes.

Socio-Economic Refinement and Means Test

- 21.4. By 1985, the doctrine had matured further in ***K.C. Vasanth Kumar and another v. State of Karnataka***²⁴, where a Seven-Judge Bench emphasised that reservation policy cannot

²³ [1968] 3 SCR 595

²⁴ 1985 SCC OnLine SC 339

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remain static but must be subjected to periodic review to ensure that the truly backward continue to receive its benefits. *Justice D.A.Desai* in his concurring opinion, stressed that economic criteria must increasingly inform the identification of beneficiaries and cautioned that reservation cannot be allowed to crystallise into a vested or hereditary entitlement. The Court endorsed the “caste-cum-means” test, drawing support from ***K.S. Jayasree v. State of Kerala***²⁵, where the imposition of an income ceiling within backward classes was upheld as constitutionally valid. Likewise, in ***R. Chitrallekha v. State of Mysore***²⁶, the Court recognised income and occupation as permissible indicators of backwardness. These decisions marked a decisive shift towards economic refinement within socially backward classes, a principle that ultimately took firm doctrinal shape in ***Indra Sawhney v. Union of India (supra)***, where the exclusion of the ‘creamy layer’ was constitutionally crystallised. The relevant paragraphs from the judgment in *K.C. Vasanth Kumar* read as under:

“26. Therefore, a time has come to review the criterion for identifying socially and educationally backward classes ignoring the caste label. The only criterion which can be realistically devised is the one of economic backwardness. To this may be added some relevant criteria such as the secular character of the group, its opportunity for earning livelihood etc. but by and large economic backwardness must be the loadstar. Why I say this?

...

30. Let me conclude. If economic criterion for compensatory discrimination or affirmative action is accepted, it would strike at the root cause of social and educational backwardness, and simultaneously take a vital step in the direction of destruction of caste structure which in turn would advance the secular character of the Nation.

²⁵ (1976) 3 SCC 730

²⁶ [1964] 6 SCR 368 : AIR 1964 SC 1823

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This approach seeks to translate into reality the twin constitutional goals: one, to strike at the perpetuation of the caste stratification of the Indian Society so as to arrest regressive movement and to take a firm step towards establishing a casteless society; and two, to progressively eliminate poverty by giving an opportunity to the disadvantaged sections of the society to raise their position and be part of the mainstream of life which means eradication of poverty.

31. *Let me make abundantly clear that this approach does not deal with reservation in favour of Scheduled Castes and Scheduled Tribes. Thousands of years of discrimination and exploitation cannot be wiped out in one generation. But even here economic criterion is worth applying by refusing preferred treatment to those amongst them who have already benefited by it and improved their position. And finally reservation must have a time span otherwise concessions tend to become vested interests. This is not a judgment in a lis in an adversary system. When the arguments concluded, a statement was made that the Government of State of Karnataka would appoint a Commission to determine constitutionally sound and nationally acceptable criteria for identifying socially and educationally backward classes of citizens for whose benefit the State action would be taken. This does not purport to be an exhaustive essay on guide lines but may point to some extent, the direction in which the proposed Commission should move.”*

125..... *While caste or community is a relevant factor in determining the social and educational backwardness, it cannot be said that all members of a caste need be treated as backward and entitled to reservation under Article 15(4) or Article 16(4). Caste-cum-means test would be a rational test in identifying persons who are entitled to the benefit of those provisions. This principle has received acceptance at the hands of this Court in **K.S. Jayasree v. State of Kerala** [(1976) 3 SCC 730]. In that case a Commission*

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appointed by the Government of the State of Kerala to enquire into the social and economic conditions of the people of that State and to recommend as to what sections of the people should be extended the benefits under Article 15(4) of the Constitution found that only the rich amongst certain castes or communities were enjoying the benefit of reservations made earlier. It, therefore, recommended adoption of a means-cum-caste/community test for determining the sections of the people who should be given the benefit under the relevant constitutional provisions. The State Government accordingly stipulated that applicants who were members of certain castes or communities and whose family income was less than Rs 10000 per year were only entitled to reservation under Article 15(4). The petitioner in the above case who belonged to one such community but whose family income was above Rs 10,000 per year questioned the order before the Kerala High Court on the ground that the imposition of the ceiling of family income was unconstitutional. The learned Single Judge who heard the petition allowed it. The Division Bench of the Kerala High Court, however, reversed the decision of the learned Single Judge and dismissed the petition. On appeal, this Court while affirming the decision of the Division Bench in the above case on the question of social backwardness observed at pp. 199-200 thus: (SCC p. 735, para 21)

.....

143. *Since economic condition is also a relevant criterion, it would be appropriate to incorporate a “means test” as one of the tests in determining the backwardness as was done by the Kerala Government in Jayasree case⁶³. These two tests namely, that the conditions of caste or group or community should be more or less similar to the conditions in which the Scheduled Castes or Scheduled Tribes are situated and that the income of the family to which the candidate belongs does not exceed the specified*

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limit would serve as useful criteria in determining beneficiaries of any reservation to be made under Article 15(4). For the purpose of Article 16(4) however, it should also be shown that the backward class in question is in the opinion of the Government not adequately represented in the Government services.

144. *There is one other basis on which a classification made for purposes of Article 15(4) or Article 16(4) of the Constitution has received the approval of this Court in **Chitralekha case**. In that case the Court was concerned with a list of backward classes prepared on the basis of economic condition and occupation. According to that Government Order, persons whose family income was Rs 1200 per annum or less and who were engaged in occupations such as agriculture, petty business, inferior services, crafts or other occupations involving manual labour were treated as belonging to backward classes. The petitioner who had filed the petition in the High Court did not challenge the validity of the said classification. But on a submission made on behalf of the State Government, the Court expressed its general approval to the method of classification...."*

21.5. Thus, the above decisions collectively established three guiding propositions:

1. Caste may serve as an initial identifying marker but cannot be the exclusive determinant.
2. Economic condition is a relevant and rational refining criterion.
3. Reservation policy must balance social justice with broader societal interests.

Mandal Commission and OBC Reservation

21.6. The Mandal Commission, formally known as the Socially and Educationally Backward Classes Commission (SEBC) was constituted in 1979 under the chairmanship of B.P. Mandal with the mandate to identify the socially and educationally

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backward classes in India. In its 1980 report, drawing upon data from the 1931 Census (the last caste-based census) along with contemporaneous sample studies, the Commission estimated that Other Backward Classes (OBCs) constituted approximately 52% of the population. It recommended 27% reservation in civil posts and services under the Government of India and Public Sector Undertakings, as well as in higher educational institutions, thereby bringing the total reservations for SCs, STs and OBCs to 49.5%.

- 21.7. Acting upon the said report, the Government of India issued an Office Memorandum dated 13.08.1990 providing for 27% reservation in civil posts and services for Socially and Educationally Backward Classes (SEdBCs). The said O.M. was amended on 25.09.1991 to provide that preference within the 27% reservation would be given to candidates belonging to the poorer sections among the SEdBCs. The implementation of the Mandal recommendations led to widespread public debate and social unrest, ultimately resulting in a constitutional challenge before this Court.
- 21.8. The validity of the above mentioned 1990 O.M. was considered by nine-Judge Bench in ***Indra Sawhney and others v. Union of India and others***²⁷. This Court upheld the constitutional validity of 27% reservation for OBCs under Article 16(4), but imposed crucial limitations. It held that total reservations ordinarily should not exceed 50%, save in extraordinary circumstances, and most significantly, it mandated the exclusion of the “creamy layer” from among the OBCs. The Court emphasised that backwardness under Article 16(4) is primarily social and that reservation cannot be sustained purely on economic criteria.
- 21.9. *Justice Sahai*, while concurring with the majority, underscored that backwardness is not static and that individuals within a backward class who have achieved higher social or economic status must be excluded to prevent monopolisation of benefits. He observed that while a collectivity may be backward, individuals from that group who have achieved advancement

27 (1992) Supp. 3 SCC 217

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in status, service, or affluence must be disentitled from claiming reservation. The exclusion of the creamy layer was thus articulated as a constitutional necessity to preserve substantive equality. The following passage from the decision in *Indra Sawhney* is relevant:

“629. More backward and backward is an illusion. No constitutional exercise is called for it. What is required is practical approach to the problem. The collectivity or the group may be backward class but the individuals from that class may have achieved the social status or economic affluence. Disentitle them from claiming reservation. Therefore, while reserving posts for backward classes, the departments should make a condition precedent that every candidate must disclose the annual income of the parents beyond which one could not be considered to be backward. What should be that limit can be determined by the appropriate State. Income apart, provision should be made that wards of those backward classes of persons who have achieved a particular status in society either political or social or economic or if their parents are in higher services then such individuals should be precluded to avoid monopolisation of the services reserved for backward classes by a few. Creamy layer, thus, shall stand eliminated. And once a group or collectivity itself is found to have achieved the constitutional objective then it should be excluded from the list of backward class. Therefore,

(1) No reservation can be made on economic criteria.

(2) It may be under Article 16(4) if such class satisfies the test of inadequate representation.

(3) Exclusion of creamy layer is a social purpose. Any legislative or executive action to remove such persons individually or collectively cannot be constitutionally invalid.”

- 21.10. The Court further directed the Government of India to specify, within four months, the socio-economic criteria for excluding

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socially advanced persons or sections from the OBC category and made implementation of the 1990 O.M. subject to such exclusion. It is in furtherance of these directions that the Ministry of Social Justice appointed an Expert Committee to evolve criteria for exclusion of the socially advanced sections, the term “creamy layer” being only a shorthand expression for this constitutional principle. The Expert Committee, keeping in view the directions in **Indra Sawhney**, evolved criteria centred primarily on social status arising from positions and placements in life, rather than on income alone. The guiding principle was to identify positions whose occupants could reasonably be deemed to have ceased to be socially backward and to have attained social advancement. Accordingly, the Committee framed exclusion criteria under various categories, including the Service Category.

- 21.11. Under the Service Category, the Committee recommended that the criteria applicable to officers directly recruited in Central and State Government services should apply mutatis mutandis to officers in equivalent or comparable posts in Public Sector Undertakings, Banks, Insurance Corporations, Universities, Autonomous Bodies, Local Self-Government Bodies and other similar institutions. Importantly, to avoid delay in implementation pending equivalence evaluation, the Committee recommended that during the interim period, the Income / Wealth Test (Category VI) would apply to such persons.
- 21.12. The Expert Committee made it explicit that even during this interim phase, persons falling within such PSU and analogous categories would continue to be entitled to reservation, and exclusion, if any, could only be on the basis of the prescribed Income / Wealth criteria. The intent was clear: status-based exclusion would operate once equivalence is determined; until then, economic filtering under structured criteria alone could apply.

Evolution of Non-Creamy Layer

- 21.13. The doctrine of exclusion of the “creamy layer”, crystallised by this Court in **Indra Sawhney and others v. Union of**

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India and others²⁸, forms the constitutional foundation of the 1993 OM. The subsequent executive framework must therefore be understood as an operational mechanism to give effect to that binding constitutional mandate.

1993 OM

- 21.14. Pursuant to the said constitutional mandate and the recommendations of the Expert Committee, the Government of India issued the 1993 OM, which codified the above structural framework. For better appreciation, the OM is reproduced below:

“No.36012/22/93-Estt. (SCT)
Government of India
Ministry of Personnel, Public
Grievances & Pensions (Department of
Personnel & Training)

New Delhi, the 8th
September, 1993

OFFICE MEMORANDUM

Subject:- Reservation for Other Backward Classes in Civil Posts and Services under the Government of India - Regarding.

The undersigned is directed to refer to this Department's O.M. No. 36012/31/90-Estt. (SCT), dated the 13th August, 1990 and 25th September, 1991 regarding reservation for Socially and Educationally Backward Classes in Civil Posts and Services under the Government of India and to say that following the Supreme Court judgment in the Indra Sawhney and others Vs. Union of India and others case [Writ Petition (Civil) No. 930 of 1990] the Government of India appointed an Expert Committee to recommend the criteria for exclusion of the socially advanced persons/

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sections from the benefits of reservations for Other Backward Classes in civil posts and services under the Government of India.

2. Consequent to the consideration of the Expert Committee's recommendations this Department's Office Memorandum No. 36012/31/90-Estt. (SCT), dated 13.08.90 referred to in Para(1) above is hereby modified to provide as follows:

(a) 27% (twenty seven percent) of the vacancies in civil posts and services under the Government of India, to be filled through direct recruitment, shall be reserved for the Other Backward Classes. Detailed instructions relating to the procedure to be followed for enforcing reservation will be issued separately.

(b) Candidates belonging to OBCs recruited on the basis of merit in an open competition on the same standards prescribed for the general candidates shall not be adjusted against the reservation quota of 27%.

(c)(i) The aforesaid reservation shall not apply to persons/sections mentioned in column 3 of the Schedule to this office memorandum.

(ii) The rule of exclusion will not apply to persons working as artisans or engaged in hereditary occupations, callings. A list of such occupations, callings will be issued separately by the Ministry of Welfare.

(d) The OBCs for the purpose of the aforesaid reservation would comprise, in the first phase, the castes and communities which are common to both the report of the Mandal Commission and the State Government's Lists.

A list of such castes and communities is being issued separately by the Ministry of Welfare.

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(e) The aforesaid reservation shall take immediate effect. However, this will not apply to vacancies where the recruitment process has already been initiated prior to the issue of this order.

3. Similar instructions in respect of public sector undertaking and financial institutions including public sector banks will be issued by the Department of Public Enterprises and by the Ministry of Finance respectively effective from the date of this Office Memorandum.

Sd/-
(Smt. Sarita Prasad)
Joint Secretary to the
Government of India

To

All Ministries/Department of Government of India."

The Schedule appended to the above 1993 OM enumerated specific categories for exclusion and operationalised the status-based criteria, while providing a residual Income / Wealth Test under Category VI.

Under Category II (Service Category), the Schedule classified Government servants into sub-categories II A and II B, referring respectively to officers directly recruited to Class I (Group A) and Class II (Group B) services. These provisions unmistakably pertain to higher echelons of service and do not concern lower-level employees. Category II C extends the same principle to employees of Public Sector Undertakings, Banks, Insurance Organisations, Universities and similar bodies, by stipulating that the criteria in sub-categories II A and II B shall apply *mutatis mutandis* to officers holding equivalent or comparable posts in such organisations.

Income / Wealth Test

21.15. However, the 1993 OM expressly provides that pending evaluation of equivalence or comparability of posts vis-à-vis Government services, the Income / Wealth Test under

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Category VI alone would apply. This is significant. The specific criteria for disentitlement under II C, namely direct recruitment to a post equivalent to Class I / Group A, or promotion to such post before the age of 40, remain inoperative until equivalence is determined. Thus, in the absence of such evaluation, the entire category II C cannot be automatically deprived of reservation; exclusion, if any, can only be under Category VI.

Category VI, which embodies the Income / Wealth Test operates as a residual filter. Explanation (i) under this category specifically provides that income from salaries and income from agricultural land shall not be clubbed with income from other sources for the purpose of computing gross annual income. Explanation (ii) pertains to the periodic revision of the prescribed income limit. The plain language of these explanations makes it clear that salary income and agricultural income are consciously kept outside the common pool while determining exclusion under the Income / Wealth Test.

2004 - Letter of Clarification

- 21.16. In 2004, a letter of clarification was issued to address practical issues that had arisen in implementation. The clarification recognizes that where equivalence of posts in PSUs and similar organisations has not been evaluated, creamy layer status must be determined on the basis of the Income / Wealth Test. It reiterates that income from salaries and income from agricultural land shall not be taken into account while applying the test. The clarification further explains that income from salaries and income from other sources (excluding salaries and agricultural land) are to be assessed separately, and exclusion would follow only if either component exceeds the prescribed limit for three consecutive years.
- 21.17. Thus, the evolution of the non-creamy layer principle demonstrates that the 1993 OM read with the 2004 Letter, preserves the primacy of status-based exclusion and confines economic exclusion to the structured parameters of Category VI. Salary income cannot be mechanically aggregated in a manner that defeats the constitutional objective articulated

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in *Indra Sawhney*. The interpretation of the 1993 OM and its implementation in the present case must therefore be tested against this constitutional architecture. In this backdrop, we now proceed to examine the issues involved herein.

Issue No. 1

Whether the clarificatory letter dated 14.10.2004 can have any overriding or superseding effect over the Office Memorandum dated 08.09.1993, which expressly lays down the criteria for exclusion from the benefit of reservation for OBCs by identifying the creamy layer namely, the socially advanced persons of sections among the Socially and Educationally Backward Classes?

22. A bare perusal of the 1993 OM makes it abundantly clear that certain categories of persons, namely, the sons or daughters of those holding Class I/Group A or Class II/Group B posts in the Civil Services of the Central and State Governments, have been excluded. The income/wealth test has also been stipulated in the office memorandum, which prescribes an Income / Wealth Test as an additional criterion of exclusion. Significantly, the 1993 OM provides that these criteria shall apply *mutatis mutandis* for exclusion from reservation in respect of the children of those working in Public Sector Undertakings, Banks, Insurance organisations, Universities and other similar institutions, as well as those holding equivalent or comparable positions in private employment.
23. The question of “***equivalence of posts***” as contemplated both in the 1993 OM and in the subsequent 2004 Letter, is fundamentally a matter of policy. Such equivalence must be determined by the Government on the basis of a detailed analysis of data by experts in the field. Until such equivalence is formally evaluated and notified by the Government, the entitlement of candidates whose parent(s) work in organisations other than in Class I or II of the Central or State Civil Services, shall be decided by the Income/ Wealth Test. The core question therefore is whether paragraph 9 of the 2004 Letter merely explains the scheme of the 1993 OM or impermissibly alters its substantive structure of exclusion.
24. Before advertent to the 2004 Letter, it is essential to reiterate the well-established principle that a mere government letter cannot have the

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effect of overriding, overruling or superseding any proceeding in the nature of an executive instruction or an Office Memorandum issued in exercise of executive power under Article 162 of the Constitution. The clarificatory letter must, therefore, be construed strictly as one explaining or supplementing the foundational guidelines laid down in the 1993 OM, which was issued after due deliberation and following the requisite procedure and not as altering its substantive framework. It is settled law that a clarificatory instruction cannot introduce a substantive condition that does not exist in the parent policy. If it travels beyond explanation and alters rights or liabilities, it ceases to be clarificatory and assumes the character of an amendment.

25. In order to understand the impact of the clarificatory letter dated 14.10.2004, it is apposite to extract Paragraphs 7-10 thereof as follows:

“7. In regard to clause (v) of para 4, it is clarified that the sons and daughters of parents of whom only the husband is a directly recruited Class II/Group B officer who gets into Class I/Group A at the age of 40 or earlier are treated to be in creamy layer. If the father is directly recruited Class III/Group C or Class IV/Group D employee and he gets into Class I/Group A at the age of 40 or earlier, his sons and daughters shall not be treated to be falling in creamy layer.

8. In regard to clauses (vi), (vii) and (viii) of para 4, it is clarified that the creamy layer status of a candidate is determined on the basis of the status of his parents and not on the basis of his own status or income or on the basis of status or income of his/her spouse. Therefore, while determining the creamy layer status of a person the status or the income of the candidate himself or of his/her spouse shall not be taken into account.

9. In regard to clause (ix) of para 4, it is clarified that the creamy layer status of sons and daughters of persons employed in organizations where equivalence or comparability of posts vis-à-vis posts in Government has not been evaluated is determined as follows:

Income of the parents from the salaries and from the other Sources [other than salaries and agricultural land] is

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determined separately. If either the income of the parents from the salaries or the income of the parents from other sources [other than salaries and agricultural land] exceeds the limit of Rs.2.5 lakh per annum for a period of three consecutive years, the sons and daughters of such persons shall be treated to fall in creamy layer. But the sons and daughters of parents whose income from other sources is less than Rs.2.5 lakh per annum and income from other sources is also less than Rs.2.5 lakh per annum will not be treated as falling in creamy layer even if the sum of the income from salaries and the income from the other sources is more than Rs.2.5 lakh per annum for a period of three consecutive years. It may be noted that income from agricultural land is not taken into account while applying the Test.

10. In regard to clause (x) of para 4, it is clarified that while applying the Income/Wealth Test to determine creamy layer status of any candidate as given in Category VI of the Schedule to the OM, income from the salaries and income from the agricultural land shall not be taken into account. It means that if income from salaries of the parents of any candidate is more than Rs.2.5 lakh per annum, income from agricultural land is more than Rs.2.5 lakh per annum, but income from other sources is less than Rs.2.5 lakh per annum, the candidate shall not be treated to be falling in creamy layer on the basis of Income/Wealth Test provided his parent(s) do not possess wealth above the exemption limit as prescribed in the Wealth Tax Act for a period of three consecutive years."

26. The above extract makes it clear that income from salaries, agriculture or other sources cannot be clubbed for the purpose of applying the income/wealth test to determine the creamy layer status of a candidate. It is also evident from a comprehensive reading of the 1993 OM along with the clarificatory letter dated 14.10.2004 that income from salaries alone cannot be the sole criterion to decide whether a candidate falls within the creamy layer. The status as well as the category of post to which a candidate's parent or parents belong is essential. The exclusion under Categories I to III of the Schedule is

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status-based rather than purely income-based, reflecting the policy understanding that advancement within the governmental service hierarchy denotes social progression independent of fluctuating salary levels. Mere determination of the status of a candidate as to whether he/she falls within the creamy layer or the non-creamy layer of the OBCs cannot be decided solely on the basis of the income.

27. In fact, paragraph 7 of the 2004 Letter makes it amply clear that a mechanical application of income thresholds may in certain situations, produce inequitable outcomes. To that limited extent, the 2004 Letter may be understood as reinforcing the scheme of the 1993 OM provided it is construed as explanatory and not as altering the substantive framework.
28. In this context, a perusal of the ***21st Report of the Parliamentary Committee on Welfare of Other Backward Classes (2018–19)*** elucidates the evolution of the guidelines governing exclusion from reservation by identification of the creamy layer. It is also necessary to point out that the 21st report records that the 2004 Letter has done more to confuse the position than to clarify it, which was its intended purpose.
29. The observations of the Parliamentary Committee lend institutional support to the view that paragraph 9 has generated interpretative ambiguity and may have been applied beyond its intended contours. The Report records that the 2004 Letter did not emanate from the DoPT Secretariat and that its origin could not be traced in terms of the initial note file. It further observes that determining exclusion from reservation solely on the basis of income from salaries, as indicated in the 2004 Letter, would not be consistent with the original framework. The entire architecture of paragraph 9 of the 2004 Letter is premised on a prior determination of equivalence. Income is intended to operate only as a surrogate measure in the absence of such equivalence; it cannot supplant the primary status-based framework embodied in the 1993 OM.
30. In light of the foregoing, any attempt to read paragraph 9 of the 2004 Letter in isolation, so as to dilute or override the substantive scheme of the 1993 OM would be legally untenable. Overemphasis on the 2004 Letter to the extent of making income alone determinative without regard to parental status or category of service would defeat the structural framework of exclusion envisaged under the 1993 OM.

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31. Thus, determination of creamy layer status solely on the basis of income brackets, without reference to the categories of posts and status parameters enunciated in the 1993 OM is clearly unsustainable in law.

Issue No. 2

Whether there can be hostile discrimination between employees of the Government and those working in Public or Private Sector Undertakings, when both occupy posts of the same grade or class?

32. The second issue that needs to be decided here is whether caste, as a determining factor for entitlement to reservation, can be diluted or distorted by introducing invidious discrimination between similarly placed categories of persons.
33. At the outset, it must be noted that while caste may be an indicator of historical disadvantage, it cannot be treated as the sole determinant of backwardness. The exclusion of the creamy layer among the backward classes is not a matter of mere policy preference but a constitutional imperative intended to ensure that the benefits of reservation reach those who are socially and educationally backward in the true sense of the phrase. The principle seeks to prevent relatively advanced segments within the backward classes from siphoning off the advantages of affirmative action, so that the objective and purpose of the constitutional scheme of affirmative action, of which reservation is a reflection, are adhered to.
34. It is in this context that the Tribunal as well as the High Courts have held that Group C and Group D employees who, by virtue of promotion and efflux of time, surpass the income levels as stated in the excluded categories of persons in the Schedule to the Office Memorandum, which applies to Group A and Group B Government employees (direct recruits), and who by virtue of such income from salary alone do not stand excluded from reservation, cannot be treated differently from those employees of PSUs and private undertakings who also belong to or are equivalent to such Group C and Group D categories of posts. Treating them differently, or in other words, treating the children of those employed in PSUs or private employment, etc., as being excluded from the benefit of reservation

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only on the basis of their income derived from salaries, and without reference to their posts (whether Group A or B, or Group C or D) would certainly lead to hostile discrimination between parties who are similarly placed and would amount to equals being treated unequally, thereby attracting the rigour of the equality doctrine under Articles 14, 15 and 16, of which reservation is a facet.

35. It is well settled that a classification, to withstand scrutiny under Article 14, must satisfy the twin requirements of (i) intelligible differentia distinguishing persons grouped together from others left out, and (ii) a rational nexus with the object sought to be achieved. If similarly situated persons are subjected to differential treatment without a constitutionally sustainable basis, such action would fall foul of Article 14.
36. The object of excluding the creamy layer is to ensure that socially advanced sections within the OBCs do not appropriate benefits meant for the genuinely backward; it is not to create artificial distinctions between equally placed members of the same social class.
37. The principle laid down in ***Indra Sawhney and others v. Union of India and others***²⁹ that “*To continue to confer upon such advanced sections special benefits would amount to treating equals unequally; to rank them with the rest of the backward classes would amount to treating the unequals equally*” would stand attracted equally to a case where proper identification of a section or class of persons or a person belonging to OBC as being either socially advanced or backward is not carried out by the Government. In fact, it would not be an overstatement to say that if this exercise is not undertaken in a manner that is rational, non-arbitrary, reasonable and equal, it would lead to the illegal exclusion of genuine claimants and deserving persons within the OBC category from the benefit of reservation, which, being a facet of equality, is a right protected by the Constitution, as made amply clear by the judgments in ***State of Kerala and Others v. N.M. Thomas and Others***³⁰ as well as ***Indra Sawhney v. Union of India***. To state it in other words, Article 16(4) is a structural reflection and a conceptualized representation of the principle of substantive equality embodied and envisaged under Article

29 (1992) Supp. 3 SCC 217

30 MANU/SC/0479/1975 : 19.09.1975 - SC

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16(1) of the Constitution. Therefore, any interpretation of the 1993 OM or the 2004 Letter that results in unequal treatment of similarly placed OBC candidates would not only be legally erroneous but constitutionally impermissible.

38. Relevant portion of the judgment in ***State of Kerala v. N.M. Thomas*** (supra) is extracted for reference:

“44. Our Constitution aims at equality of status and opportunity for all citizens including those who are socially, economically and educationally backward. The claims of members of backward classes require adequate representation in legislative and executive bodies. If members of Scheduled Castes and Tribes, who are said by this Court to be backward classes, can maintain minimum necessary requirement of administrative efficiency, not only representation but also preference may be given to them to enforce equality and to eliminate inequality. Articles 15(4) and 16(4) bring out the position of backward classes to merit equality. Special provisions are made for the advancement of backward classes and reservations of appointments and posts for them to secure adequate representation. These provisions will bring out the content of equality guaranteed by Articles 14, 15(1) and 16(1). The basic concept of equality is equality of opportunity for appointment. Preferential treatment for members of backward classes with due regard to administrative efficiency alone can mean equality of opportunity for all citizens. Equality under Article 16 could not have a different content from equality under Article 14. Equality of opportunity for unequals can only mean aggravation of inequality. Equality of opportunity admits discrimination with reason and prohibits discrimination without reason. Discrimination with reasons means rational classification for differential treatment having nexus to the Constitutionally permissible object. Preferential representation for the backward classes in services with due regard to administrative efficiency is permissible object and backward classes are a rational classification recognised by our Constitution. Therefore, differential treatment in standards of selection are within the concept of equality.

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45. *A rule in favour of an under-represented backward community specifying the basic needs of efficiency of administration will not contravene Articles 14, 16(1) and 16(2). The rule in the present case does not impair the test of efficiency in administration inasmuch as members of Scheduled Castes and Tribes who are promoted have to acquire the qualification of passing the test. The only relaxation which is done in their case is that they are granted two years more time than others to acquire the qualification. Scheduled Castes and Tribes are descriptive of backwardness. It is the aim of our Constitution to bring them up from handicapped position to improvement. If classification is permissible under Article 14, it is equally permissible under Article 16, because both the Articles lay down equality. The quality and concept of equality is that if persons are dissimilarly placed they cannot be made equal by having the same treatment. Promotion of members of Scheduled Castes and Tribes under the impeached rules and orders is based on the classification with the object of securing representation to members of Scheduled Castes and Tribes. Efficiency has been kept to view and not sacrificed.*

46. *All legitimate methods are available for equality of opportunity in services under Article 16(1). Article 16(1) is affirmative whereas Article 14 is negative in language. Article 16(4) indicates one of the methods of achieving equality embodied in Article 16(1). Article 16(1) using the expression “equality” makes it relatable to all matters of employment from appointment through promotion and termination to payment of pension and gratuity. Article 16(1) permits classification on the basis of object and purpose of law or State action except classification involving discrimination prohibited by Article 16(2). Equal protection of laws necessarily involves classification. The validity of the classification must be adjudged with reference to the purpose of law. The classification in the present case is justified because the purpose of classification is to enable members of Scheduled Castes and Tribes to find representation by promotion to a limited extent. From the*

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point of view of time a differential treatment is given to members of Scheduled Castes and Tribes for the purpose of giving them equality consistent with efficiency.”

39. Approving the decision in **N.M. Thomas**, this Court held in **Indra Sawhney and Others v. Union of India and Others**³¹ as follows:

“741. In Balaji it was held - “there is no doubt that Article 15(4) has to be read as a proviso or an exception to Articles 15(1) and 29(2)”. It was observed that Article 15(4) was inserted by the First Amendment in the light of the decision in Champakam, with a view to remove the defect pointed out by this Court namely, the absence of a provision in Article 15 corresponding to Clause (4) of Article 16. Following Balaji it was held by another Constitution Bench (by majority) in Devadasan - “further this Court has already held that Clause (4) of Article 16 is by way of a proviso or an exception to Clause (1)”. Subbarao, J., however, opined in his dissenting opinion that Article 16(4) is not an exception to Article 16(1) but that it is only an emphatic way of stating the principle inherent in the main provision itself. Be that as it may, since the decision in Devadasan, it was assumed by this Court that Article 16(4) is an exception to Article 16(1). This view, however, received a severe set-back from the majority decision in State of Kerala and Ors. v. N.M. Thomas MANU/SC/0479/1975 : (1976) 1 LLJ 376 SC. Though the minority (H.R. Khanna and A.C. Gupta, JJ.) stuck to the view that Article 16(4) is an exception, the majority (Ray, C.J., Mathew, Krishna Iyer and Fazal Ali, JJ.) held that Article 16(4) is not an exception to Article 16(1) but that it was merely an emphatic way of stating a principle implicit in Article 16(1). (Beg. J. took a slightly different view which it is not necessary to mention here). The said four learned Judges - whose views have been referred to in para 41 - held that Article 16(1) being a facet of the doctrine of equality enshrined in Article 14 permits reasonable classification just as Article 14 does. In our respectful opinion, the view taken by the

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majority in Thomas is the correct one. We too believe that Article 16(1) does permit reasonable classification for ensuring attainment of the equality of opportunity assured by it. For assuring equality of opportunity, it may well be necessary in certain situations to treat unequally situated persons unequally. Not doing so, would perpetuate and accentuate inequality. Article 16(4) is an instance of such classification, put in to place the matter beyond controversy. The “backward class of citizens” are classified as a separate category deserving a special treatment in the nature of reservation of appointments/posts in the services of the State. Accordingly, we hold that Clause (4) of Article 16 is not exception to Clause (1) of Article 16. It is an instance of classification implicit in and permitted by Clause (1). The speech of Dr. Ambedkar during the debate on draft Article 10(3) [corresponding to Article 16(4)] in the Constituent Assembly - referred to in para 28 - shows that a substantial number of members of the Constituent Assembly insisted upon a “provision (being) made for the entry of certain communities which have so far been outside the administration”, and that draft Clause (3) was put in recognition and acceptance of the said demand. It is a provision which must be read along with and in harmony with Clause (1). Indeed, even without Clause (4), it would have been permissible for the State to have evolved such a classification and made a provision for reservation of appointments/posts in their favour. Clause (4) merely puts the matter beyond any doubt in specific terms.

742. Regarding the view expressed in *Balaji and Devadasan*, it must be remembered that at that time it was not yet recognised by this Court that Article 16(1) being a facet of Article 14 does implicitly permit classification. Once this feature was recognised the theory of Clause (4) being an exception to Clause (1) became untenable. It had to be accepted that Clause (4) is an instance of classification inherent in Clause (1). Now, just as Article 16(1) is a facet or an elaboration of the principle underlying Article 14, Clause (2) of Article 16 is also an elaboration of a facet of Clause (1). If Clause (4) is an exception to

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Clause (1) then it is equally an exception to Clause (2). Question then arises, in what respect is Clause (4) an exception to Clause (2), if 'class' does not means 'caste'. Neither Clause (1) nor Clause (2) speak of class. Does the contention mean that Clause (1) does not permit classification and therefore Clause (4) is an exception to it. Thus, from any point of view, the contention of the petitioners has no merit".

40. Adopting an interpretation that disadvantages one segment of the same backward class without rational justification would amount to treating equals as unequals and would thus become the antithesis of equality, the corner stone of our Republic. Having regard to the peculiar facts of the present cases, the reasoning adopted by the High Court that treating similarly placed employees of private entities and PSUs differently from Government employees and their wards, while deciding their entitlement to reservation, would amount to hostile discrimination, is certainly one that inspires the confidence of this Court.
41. Thus, we find no infirmity in the judgments impugned before us. The civil appeals accordingly fail.
42. As regards the intervention applications, we find that several candidates who were successful in the Civil Services Examination of different years sought permission to intervene the present proceedings to advance their respective contentions. They submit, in substance, contentions similar to those urged by the respondent candidates in the civil appeals, asserting that they belong to the Non-Creamy Layer of the Other Backward Classes. It is their case that their applications, representations, or proceedings are presently pending consideration before the Department of Personnel and Training (DoPT), the High Courts or the Central Administrative Tribunal, and that any decision rendered in the present batch of matters would have a direct bearing upon their entitlement. Accordingly, they seek appropriate orders in the present proceedings.
43. At this juncture, it is to be noted that supernumerary posts have already been assured by the DoPT and this position stands recorded in the 21st Report of the Parliamentary Committee on the Welfare of Other Backward Classes. In view thereof, we find no difficulty

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in directing the appellants to create such supernumerary posts, as required, to accommodate the candidates who satisfy the non-creamy layer criteria as clarified in the present judgment, subject to their otherwise fulfilling eligibility conditions.

CONCLUSION

44. To sum up

- (i) All the Civil Appeals are dismissed.
- (ii) The appellants are directed to consider the claims of the respondent candidates and intervenors in accordance with the principles laid down in this judgment, and to implement the same within a period of six months from the date of this judgment.
- (iii) There shall be no order as to costs.
- (iv) Pending application(s) including Intervention Applications, stand disposed of accordingly.

Result of the case: Appeals dismissed.

[†]Headnotes prepared by: Divya Pandey

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Thr. President Shri L. Chinzah**

v.

Union of India & Ors.

(Writ Petition (Civil) No. 22 of 2014)

13 March 2026

[J.B. Pardiwala* and R. Mahadevan, JJ.]

Issue for Consideration

The present writ petition has been filed by the Mizo Chief Council, through its President, on behalf of the tribal chieftains. The primary grievance of the petitioner is that the respondents seized/acquired the lands of these chieftains without paying due compensation. The following questions fall for consideration: (i) Whether the writ petition is hit by delay and laches; (ii) Whether any fundamental rights of the Mizo Chiefs were violated.

Headnotes[†]

Assam Lushai Hills District (Acquisition of Chief's Rights) Act, 1954 – Constitution of India – Doctrine of delay and laches in Art.32 petition – The instant writ petition filed by the Mizo Chief Council on behalf of the tribal chieftains of the erstwhile Lushai Hills district (present-day State of Mizoram) and their legal heirs – By virtue of 1954 Act, the State was enabled to acquire certain rights and interests of the Chiefs in and over the land located in the Lushai Hills district – On 23.03.1955, a notification was issued in exercise of the powers conferred by s.3(1) of the Act, 1954, declaring that the right and interest of the chiefs in the *Ram* (territory of chiefs) specified in the Schedule thereto would stand transferred to and vested in the State free from all encumbrances (impugned notification) – The primary grievance of the petitioner is that the respondents seized/acquired the lands of these chieftains without paying due compensation – Further, petitioner contends that this deprivation violated the fundamental rights of the Mizo Chiefs, specifically the right to property, which was guaranteed at

* Author

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the time of the acquisition – Respondents submits that the petition is not maintainable owing to delay and laches in filing the same and Mizo Chiefs cannot be classified as the absolute owners of the land – Correctness:

Held: Undeniably, there has been an inordinate delay of nearly six decades, given that the impugned notification was issued in the year 1955 and the present petition was instituted only in the year 2014 – What is important is to gauge if the petitioner has a cogent explanation for the delay – In the decades immediately following Independence, the administrative and constitutional status of the area was in a state of continuous evolution – Another mitigating circumstance is the Mizo Chiefs' continuous agitation of their claims before various forums – The chiefs persisted with administrative representations for a prolonged duration, a crucial factor warrants specific attention – Further fortifying this expectation is the fact that the Chief Minister of Mizoram, on at least two distinct occasions, addressed formal communications to the Prime Minister of India, espousing the chiefs' claims for compensation – Weighing the totality of these circumstances, this Court is conscious of the fact that the delay herein is undeniably inordinate, and the explanation offered by the petitioner is, strictly speaking, not unequivocally convincing – In the present case, the central dispute concerns the alleged violation of the Mizo Chiefs' right to property, as guaranteed under Arts.19(1)(f) and 31 of the Constitution, respectively – In an effort to discharge the burden of establishing title to the land, the petitioners have primarily relied on accounts and writings of scholars and officials of the British government – Upon a meticulous perusal of the said material, it is, at the very outset, highly ambiguous whether these texts unequivocally recognise the Mizo Chiefs as the absolute owners of the land – The petitioners have advanced no compelling justification as to why such writings and accounts should be elevated to the status of conclusive evidentiary proof – The material adduced by the respondent, at least on a *prima facie* examination, indicates that during the British administration of the Lushai Hills district, the title over the land never vested in the Chiefs – Consequently, this Court is constrained to hold that the petitioners have woefully failed to discharge their burden of proving title over the subject lands – Both sides have failed to present a continuous, documented chain of events that would clearly map out the status of the land at different periods – Therefore, having considered the matter from all vantage points, the inescapable

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conclusion is that the petitioner has not been able to establish any violation of the fundamental rights of the Mizo Chiefs in the present matter. [Paras 55, 57-61, 65, 68, 69, 74]

Constitution of India – Art.32 – Doctrine of Delay and Laches in Art.32 Petitions:

Held: It is settled law that in the context of petitions under Article 32, the doctrine of laches operates as a flexible rule of practice rather than a rigid rule of law to be mechanically applied – Its application is anchored in sound judicial discretion, moulded by the specific facts and circumstances of each case – In application of the said doctrine the inquiry shall be guided by three primary considerations: first, whether there has been an inordinate delay in approaching the Court; secondly, whether the petitioner has provided a cogent and satisfactory explanation for such delay; and thirdly, whether entertaining the belated claim would unsettle settled matters and prejudice third party rights by reopening matters long concluded – Consideration should be given to the totality of the circumstances affecting both parties, rather than the mere fact of delay – When evaluating the totality of circumstances for applying the doctrine of delay and laches to an Art.32 petition, the pivotal considerations are two-fold: (i) whether entertaining the claim would unsettle concluded matters and prejudice third-party rights, and (ii) whether the petitioner has offered a cogent explanation for the delay – The adequacy of the explanation for the delay constitutes the paramount consideration when determining whether an Art.32 petition ought to be dismissed on the ground of laches – Stated differently, the operative test is not one of ‘unreasonable delay’ but of ‘unexplained delay’. [Paras 39-41, 44, 45]

Constitution of India – Arts. 19(1)(f), 31 – Constitution (Forty-Fourth Amendment) Act, 1978:

Held: Right to property was earlier enshrined in Arts.19(1)(f) and 31 of the Constitution – It may be noted that both these provisions were repealed by the Constitution (Forty-Fourth Amendment) Act, 1978 – However, the 44th Amendment is prospective in its operation, and all laws passed and executive action taken prior to 20th June 1979 will continue to be judged by and be subject to the provisions of Part III, including Arts.19(1)(f) and 31 – Art.19(1) (f) guaranteed to the Indian citizens a right to acquire, hold, and

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dispose of property – Art.19(5), however, permitted the State to impose by law reasonable restrictions on this right in the interests of the general public or for the protection of the interests of any Scheduled Tribe – Art.31(1) laid down that no person could be deprived of his property without the authority of law – Art.31(2), on the other hand, underwent significant change and was the focal point of multiple constitutional amendments. [Paras 63, 64]

Burden of Proof – Fundamental Right violation – Burden of proof in cases where fundamental rights violations:

Held: It is established that who bears the burden of proof in cases where fundamental rights violations are alleged depends on the fundamental right alleged to have been violated – The same burden of proof rule will not apply to all fundamental rights violation challenges – However, in cases such as the present one, the initial burden is on the petitioner to satisfy the Court and make out a case for an invasion of their fundamental right(s) – To discharge this initial burden and successfully establish a violation of their fundamental right to property, the petitioner must necessarily succeed on two distinct fronts – First and foremost, it must prove a clear title of the Mizo Chiefs over the subject lands – To establish such a title, the petitioner must conclusively demonstrate that, under the chieftainship system, as it operated during the British regime, the Mizo Chiefs held complete ownership of the land, rather than merely functioning as local administrative heads – Secondly, and only upon proving the ownership as aforesaid, the petitioner must satisfy the other parameters under Art.31 – This includes, amongst other things, proving that the respondents deprived the chiefs of their property without lawful authority, or that the property was acquired without providing due compensation – In the present case, petitioners have woefully failed to discharge their burden of proving title over the subject lands – The petitioner has not been able to establish any violation of the fundamental rights of the Mizo Chiefs in the present matter – Hence, not entitled to any relief. [Paras 66, 67, 69, 74]

Case Law Cited

Tilokchand and Motichand & Ors v. H.B. Munshi & Anr. [1969] 2 SCR 824 : (1969) 1 SCC 110; *Rabindranath Bose & Ors. v. Union of India & Ors.* [1970] 2 SCR 697 : (1970) 1 SCC 84; *R.S Deodhar*

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& Ors. v. State of Maharashtra & Ors. [1974] 2 SCR 216 : (1974) 1 SCC 31; *Aflatoon & Ors v. Lt. Governor of Delhi & Ors.* [1975] 1 SCR 802 : (1975) 4 SCC 285 – followed.

Joginder Nath & Ors. v. Union of India & Ors. [1976] 2 SCR 553 : (1975) 3 SCC 459; *G.P. Doval & Ors. v. Chief Secretary, Government of U.P. & Ors.* [1985] 1 SCR 70 : (1984) 4 SCC 329; *Assam Sanmilita Mahasangha & Ors. v. Union of India & Ors.* [2014] 14 SCR 744 : (2015) 3 SCC 1 – relied on.

M/s Dehri Rotas Light Railway Company Limited v. District Board Bhojpur & Ors. [1992] 2 SCR 155 : (1992) 2 SCC 598; *Rashid Ahmed v. Municipal Board, Kairana* [1950] 1 SCR 566 : 1950 SCC OnLine SC 16; *Nilabati Behera v. State of Orissa & Ors.* [1993] 2 SCR 581 : (1993) 2 SCC 746; *Bandhua Mukti Morcha v. Union of India* [1984] 2 SCR 67 : (1984) 3 SCC 161; *R.S. Makashi v. I.M. Menon* [1982] 2 SCR 69 : (1982) 1 SCC 379; *S.S. Moghe v. Union of India* [1981] 3 SCR 875 : (1981) 3 SCC 271; *Sukh Dutt Ratra & Anr v. State of Himachal Pradesh & Ors.* [2022] 2 SCR 1041 : (2022) 7 SCC 508; *Navtej Singh Johar & Ors. v. Union of India* [2018] 7 SCR 379 : (2018) 10 SCC 1; *Indian Young Lawyers Association & Ors. v. State of Kerala* [2018] 9 SCR 561 : (2019) 11 SCC 1; *Vidya Devi v. State of Himachal Pradesh & Ors.* [2020] 1 SCR 749 : (2020) 2 SCC 569; *Urban Improvement Trust v. Vidhya Devi & Ors.* [2024] 12 SCR 993 : 2024 SCC OnLine SC 3725; *Daryao & Ors. v. State of U.P. & Ors.* [1962] 1 SCR 574 : 1961 SCC OnLine SC 21; *Prem Chand Garg & Anr v. The Excise Commissioner, U.P. & Ors.* [1963] Supp. 1 SCR 885 : 1962 SCC OnLine SC 37; *State of Orissa v. Pyarimohan Samantaray & Ors.* (1977) 3 SCC 396; *Karnataka Power Corpn. Ltd. v. K. Thangappan* [2006] 3 SCR 783 : (2006) 4 SCC 322; *P.C. Sethi v. Union of India* [1975] 3 SCR 201 : (1975) 4 SCC 67; *Purshottam Lal v. Union of India* (1973) 1 SCC 651; *Deena & Ors. v. Union of India* [1984] 1 SCR 1 : (1983) 4 SCC 645; *A. Hamsaveni & Ors v. State of Tamil Nadu & Anr.* [1994] Supp. 2 SCR 404 : (1994) 6 SCC 51; *Bokaro and Ramgur Ltd. v. State of Bihar* [1962] Supp. 3 SCR 831 : 1962 SCC OnLine SC 379 – referred to.

Lindsay Petroleum Co. v. Prosper Armstrong Hurd (1874) 5 PC 221 – referred to.

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List of Acts

Constitution of India; Constitution (Forty-Fourth Amendment) Act, 1978; Assam Lushai Hills District (Acquisition of Chief's Rights) Act, 1954; Lushai Hills District (Change of Name) Act, 1954; Government of India Act, 1935; Assam Frontier Tracts Regulation, 1880; Scheduled District Act, 1874; Citizenship Act, 1955; Limitation Act, 1963.

List of Keywords

Delay; Laches; Fundamental Rights; Compensation; Mizo chief Council; Lushai Hills; Doctrine of delay and laches in Article 32 petitions; Unexplained delay; Unreasonable delay; Transformative constitutionalism; Rectification of historical wrongs and systemic inequities; Mizo Chiefs' fundamental right to property; Right to property under Articles 19(1)(f) and 31; Burden of proof in fundamental rights violations; Absolute ownership of land; Traditional chieftainship system; Boundary papers conferment of rights; Illusory statutory compensation; Privy purses; Erstwhile rulers of Princely States.

Case Arising From

ORIGINAL CIVIL JURISDICTION: Writ Petition (Civil) No. 22 of 2014
Under Article 32 of the Constitution of India

Appearances for Parties

Advs. for the Petitioner(s):

D.N. Goburdhun, Sr. Adv., Lalremsanga Nghka, Kedar Nath Tripathy, Aditya Narayan Tripathy, Manoj Kumar Upadhyay, Siddhartha Jha, Chandan Ramamurthi, Rohan K.

Advs. for the Respondent(s):

R Venkatarmani, Attorney General for India, Tushar Mehta, Solicitor General, Biswajit Deb, Sr. Adv, Advocate General, Rajat Nair, Ms. Suhashini Sen, Chinmayee Chandra, Akshay Amritanshu, Sachin Sharma, Kartikay Aggarwal, Chitvan Singhal, Ms. Ameyavikrama Thanvi, Raman Yadav, Abhishek Kumar Pandey, Arvind Kumar Sharma, Anando Mukherjee, Shwetank Singh, Mukesh Kumar Maroria, Rajat Nair, Ms. Suhasini Sen, Chinmayee Chandra, Akshay Amritanshu, Sachin Sharma.

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Judgment / Order of the Supreme Court

Judgment

J.B. Pardiwala, J.

For the convenience of exposition, this judgment is divided into the following parts:

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 (II) *Whether any fundamental rights of the Mizo Chiefs were violated?* 44

1. The present writ petition has been filed by the Mizo Chief Council, through its President, on behalf of the tribal chieftains of the erstwhile Lushai Hills district (present-day State of Mizoram) and their legal heirs. The primary grievance of the petitioner is that the respondents seized/acquired the lands of these chieftains without paying due compensation. The petitioner contends that this deprivation violated the fundamental rights of the Mizo Chiefs, specifically the right to property, which was guaranteed at the time of the acquisition.

* Ed. Note: Pagination as per the original Judgment.

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A. FACTUAL MATRIX

2. To understand the dispute before us, it is indispensable to gauge how the society was structured and organised in the Lushai Hills district, both before and after the area was annexed and brought under the control of the British administration. It is pertinent to note that the limited objective here is to outline the broad administrative structure and the players involved, so as to provide the necessary context for evaluating the legal questions raised in the present petition.
3. Historically, Mizo society was centred around the institution of the chiefs. The petitioner asserts that these chiefs were the absolute owners of the lands upon which their respective villages were situated. This territory, referred to as the chieftain's "**Ram**", was administered by the chief, who exercised executive and judicial authority over it. It is further claimed that the chief allotted farmland from this *Ram* to the villagers and, in return, was entitled to receive "**Fathang**", a customary tribute comprising a portion of the annual agricultural produce, primarily paddy.
4. Thereafter, the British made inroads and annexed the Lushai Hills district in the 1890's. The administration of the district was vested in the Chief Commissioner of Assam, the Superintendent of the Lushai Hills district, his assistants, and the chief and headmen of the villages. Thus, following the British annexation, the colonial administration retained the Chieftainship system for administrative convenience. Chiefs were appointed to ensure good governance, and in return, they enjoyed the privilege of chieftainship. All chiefs were responsible for controlling their villages in every way. Thus, the day-to-day administration of the villages was left largely in the hands of the chief. The chief was entitled to collect *Fathang* and other taxes and, in turn, obliged to submit a portion of his collections to the British officers.
5. It was, however, not the case that the Chiefs operated in complete freedom. The chiefs entered into an understanding called "**Ramrilekha**" with officials of the British government, whereby the boundaries or territorial extent of a chief's authority and influence were roughly demarcated, and the chiefs were made to pledge loyalty to the British government (hereinafter referred to as "**boundary paper**"). These boundary papers also stated that the area specified therein would be the Chiefs' *Ram* as long as they live, subject to them

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remaining loyal to the government, and that after their death, the superintendent shall appoint their successor, who in all probability would be their children.

6. After the British entered the picture, while the chiefs retained administrative flexibility, their authority dwindled and was fettered by the British officials' supervision. The Superintendent held a swathe of powers, such as the authority to: (i) regulate the succession to villages of deceased chiefs, to appoint guardians to minor chiefs, and to appoint chiefs or headmen (subject to the chief commissioner's decision and due regard being had to the Lushai custom and hereditary rights of existing families of chiefs) (ii) authorise the partition of existing villages to form new villages and (iii) punish and dispose of chiefs for misconduct, subject to the Chief Commissioner's confirmation. Further, the formation of new villages without the Superintendent's prior sanction was forbidden.
7. The administration of the Lushai Hills district continued on much the same lines until independence. Although supervised, the British government recognised that the chiefs contributed to the effective administration of the Lushai Hills district.
8. When the Lushai Hills district was formed by amalgamating tracts known as North and South Lushai Hills in 1898, the district was governed by the Assam Frontier Tracts Regulation, 1880, and notifications were issued under the provisions of the aforesaid Regulation and the Scheduled District Act, 1874. Moreover, in 1936, the Lushai Hills district was designated as an excluded area under the Government of India Act, 1935. However, it is essential to note that there appears to be no single, comprehensive legislation that covered all aspects of governance in the region during this period of British Rule. Instead, the Lushai Hills district seems to have been administered through a patchwork of notifications, rules, and standing orders issued from time to time.
9. Post-independence, the Lushai Hills district was administered as part of the state of Assam. Under the Sixth Schedule of the Constitution, the Lushai Hills district came to be recognised as an autonomous district and was governed by district and regional councils, in accordance with the provisions in the Sixth Schedule. Thereafter, the Lushai Hills district was renamed the Mizo District *vide* the Lushai Hills District (Change of Name) Act, 1954.

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10. In 1954, the Assam Lushai Hills District (Acquisition of Chief's Rights) Act, 1954 (hereinafter "**the Act, 1954**") was passed by the then State of Assam. The Statement of Objects and Reasons of the Act, 1954, read as follows:

"The chief in the Lushai Hills has been exercising certain administrative and judicial functions in respect of village administrative and in recognition of their services inherent to enjoy certain rights and privilege. With the growth of political consciousness, and the establishment of the District Council in the Lushai Hills, there has been an instant demand for the abolition of the system of chief. This can be done only under law providing for the acquisition of the rights of the chiefs in respect of "Ram" (Chief's land) and "Fathang" (Paddy tax) which are in the nature of rights to the property, after payment of compensation. Hence this Bill."

(Emphasis Supplied)

11. The legislature enacted the Act, 1954, with the primary objective of enabling the State to acquire certain rights and interests of the Chiefs in and over the land located in the Lushai Hills district. To effectuate this purpose, the Act, 1954, empowered the State Government to issue a notification declaring that the rights and interests of a Chief in his *Ram*, as specified in the said notification, shall stand transferred to and absolutely vest in the State. Consequent to such transfer and vesting, the Act, 1954 laid down a comprehensive statutory scheme detailing the method for computation and disbursement of compensation, whilst also prescribing a specific adjudicatory procedure to resolve any disputes arising in relation to such compensation. Furthermore, the Act, 1954 mandates that upon such acquisition, all *Ram* shall be administered by the District Council or Regional Council, as the case may be, in accordance with the laws in force at that time. The relevant provisions of the 1954 Act are, for convenience, extracted below:

"Section 2 – Definitions

[...]

2(p) – "Ram" means a tract or tracts of land held by a chief under a Ramrilekha or boundary paper issued by the competent authority

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[...]

Section 3 – Notification declaring the vesting of “Ram” in the State

(1) *The State Government may, from time to time, by notification declare that the rights and interests of a chief in his Ram specified in the notification shall stand transferred to and vest in the State free from all encumbrances.*

[...]

Section 4 – Consequence of such notification

Notwithstanding anything contained in any law for the time being in force or in any agreement or contract expressed or implied, on the publication of the notification referred to in section 3, all rights and interests of the Chief in the Ram shall, save as otherwise expressly provided in this Act, cease and shall vest absolutely in the State free from all encumbrances in accordance with the provisions of this Act with effect from the agricultural year next following the date of publication of such notification.

Section 5 – Compensation how to be paid

No compensation to any chief whose rights and interests in his Ram vest in the State under the provisions of this Act shall be payable except as provided for in this Act.

Section 6 – Settlement of Rams

(1) *The District Council or the Regional Council, as the case may be shall take over charge of any Ram, the rights and interests of the chief in which vest in the State.*

(2) *All the Rams shall be administered by the District Council or the Regional Council, as the case may be, in accordance with the law for the time being in force in the Lushai Hills District.”*

(Emphasis Supplied)

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12. On March 23, 1955, a notification was issued in exercise of the powers conferred by Section 3(1) of the Act, 1954, declaring that the right and interest of the chiefs in the *Ram* specified in the Schedule thereto would stand transferred to and vested in the State free from all encumbrances (hereinafter referred to as “**impugned notification**”).
13. Thereafter, the title/heading of Section 3 of the Act, 1954, was amended by the Assam Mizo District (Acquisition of Chief’s Rights) (Amendment) Act, 1955, from “*Notification declaring the vesting of “Ram” in the State*” to “*Notification declaring the vesting in the State of a Chief’s rights and interest in his Ram*”.
14. A total of INR 14,78,980/- was paid to the chiefs as compensation under the Act, 1954. The petitioner claims that the compensation paid was limited to the *Fathang* and does not take into account the value of the lands that belonged to the chiefs and were subsequently vested in the State. Thus, no compensation was paid for the lands.
15. After the passing of the Act, 1954, the Mizo chiefs have, over the decades, agitated their claim for compensation in respect of the land that came to be vested with the government before multiple forums. The record shows the plethora of correspondence between representatives of the chiefs and the State and Central Governments on this issue. In fact, the issue was agitated by the petitioner before the Guwahati High Court at least on two occasions. On both occasions, the High Court disposed of the matter without delving into its merits, hoping it would be amicably resolved between the parties. However, no settlement was reached between the parties.
16. In such circumstances referred to above, the petitioner is before this Court with this present writ petition.
17. Further, an intervention application was filed by the Lushai Chief Association, which was allowed *vide* this Court’s order dated August 13, 2025.

B. SUBMISSIONS ON BEHALF OF THE PETITIONER AND THE INTERVENOR

18. Broadly stated, the submissions made on behalf of the petitioner and the intervenor are as follows:
 - a. Historically, the Mizo Chiefs were the absolute owners of the entire tract of land that presently constitutes the State

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of Mizoram. The traditional Mizo chieftainship system was uniquely distinct from other indigenous landholding systems, which were typically characterised by communal or collective ownership. The Chiefs functioned as the absolute masters and monarchs of their respective domains, holding hereditary, complete, and exclusive proprietary rights over the territory. While the advent of British occupation curtailed certain powers held by the chiefs, the chiefs of the Lushai Hills district retained complete ownership of the territories. That the lands belonged to the chiefs is borne out by the traditional practices of the Mizo people and by the accounts and writings of British government scholars and officials.

- b. Post-independence, the chiefs were unlawfully deprived of the said lands without payment of any due compensation. The Act, 1954 was highly circumscribed in its scope. It merely addressed the extinguishment of certain administrative rights and privileges of the Chiefs and did not address the ownership rights that the Chiefs held in the *Ram*. Consequently, the State's actual taking over of the chiefs' territorial lands was an executive action entirely devoid of statutory authority. Since the deprivation of their land was completely without the authority of law, it violated the right to property, which was, at the relevant time, recognised as a fundamental right under Part III of the Constitution. Such an arbitrary action of the State also violates Articles 14 and 21 of the Constitution.
- c. Even if this Court were to construe the Act, 1954, as a law which provided for the acquisition of the said lands, the statutory compensation provided and disbursed thereunder was completely 'illusory' and a mere pittance in exchange for the vast tracts of land that the State effectively expropriated and acquired. Such payment of 'illusory' compensation is also violative of the fundamental right to property. Therefore, from whichever angle the issue is looked at, the inescapable conclusion remains that the fundamental rights of the Mizo Chiefs, especially that of the right to property, were unconstitutionally breached.
- d. The State's actions also suffer from the vice of manifest arbitrariness. The Mizo Chiefs stood on an equal footing with the rulers of the erstwhile Princely States. While the Princely

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rulers across the country were systematically integrated into the Union with the solemn guarantee of privy purses, the Mizo Chiefs were arbitrarily singled out and denied such privileges. Consequently, such actions on behalf of the State constitute a breach of the guarantee bestowed under Article 14 of the Constitution.

- e. The respondents have taken contradictory stances, prolonging the issue for many decades under the pretext of resolving it amicably. They cannot contend that the issue is now time-barred. The plethora of correspondence presented shows that the petitioner/Mizo Chiefs have consistently pursued the issue since its inception.
 - f. Under the Sixth Schedule, the District Council had the exclusive power to make laws regarding the allotment, occupation, or use of land. Thus, the State of Assam (the parent state in 1954) lacked the legislative power to enact the Act, 1954, effectively overriding the District Council's powers.
19. On the basis of the above, the learned counsel prayed that there being merit in their petition, the same may be allowed and: (i) the impugned notification be set aside; and (ii) the chiefs be granted such compensation, as this Court deems fit, by the respondents in lieu of their actions which had violated their fundamental rights.

C. SUBMISSIONS ON BEHALF OF THE RESPONDENTS

20. Broadly stated, the submissions made on behalf of respondent no. 1 (Union of India) and respondent no.2 (State of Mizoram) are as follows:
- a. The present writ petition is impractical as the petitioner is virtually seeking compensation for the entire state of Mizoram. Further, Article 32 cannot be invoked to reignite settled matters that reached administrative finality decades ago. The petitioner's claims are hopelessly time-barred.
 - b. Mizo Chiefs cannot be classified as the absolute owners of the land. Whatever customary authority the Chiefs may have historically wielded, any semblance of absolute proprietary title was extinguished following the advent of the British administration in the Lushai Hills district. The entire district

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was brought under the supervision of the British officials, and the Chiefs were reduced to mere intermediaries, exercising administrative control over specific tracts of land strictly on the basis of boundary papers issued by the British regime. Further, the area continued to be governed by the rules and regulations established by the British administration till the abolition of the chieftainship after the passing of the Act, 1954, and the issuance of the impugned notification.

- c. The petitioner has failed to adduce any cogent documentary or historical evidence to substantiate its lofty and sweeping claims of absolute, hereditary ownership. Therefore, the foundational premise of the petitioner's case, that the Mizo Chiefs were unconstitutionally deprived of their private property, is factually unsubstantiated.
 - d. The Act, 1954, was enacted solely to disband the traditional chieftainship system and to extinguish the administrative rights and privileges that the Chiefs exercised over their respective *Rams*. Accordingly, the statutory compensation provided for and duly disbursed under the Act, 1954, was intended solely to recompense the Chiefs for the loss of these specific administrative rights. The petitioner's contention that the compensation is 'illusory' is entirely misconceived and falls flat, as it erroneously compares the compensation amount to the value of land that the Chiefs never legally owned in the first place.
21. On the basis of the above, the learned counsel for the respondents prayed that there being no merit in the present writ petition, the same may be dismissed.

D. ISSUES TO BE DETERMINED

22. Having heard the learned counsel for the parties and having gone through the materials on record, the following questions fall for our consideration:
- a. Whether the writ petition is hit by delay and laches?
 - b. Whether any fundamental rights of the Mizo Chiefs were violated?

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E. ANALYSIS

(I) WHETHER THE WRIT PETITION IS HIT BY DELAY AND LACHES?

23. Before advertng to the merits of the rival contentions regarding the alleged infringement of the Mizo Chiefs' fundamental right to property, it is incumbent upon us to address the threshold issue of delay and laches. The respondents have contended that the present petition is barred by a significant lapse of time and that its consideration would unsettle matters that are long settled.

(a) Doctrine of Delay and Laches in Article 32 Petitions

24. To adjudicate this contention, it is apposite for us to examine how this Court has addressed the applicability of the doctrine of delay and laches to petitions under Article 32 of the Constitution of India. The best starting point for any discussion on the doctrine of laches is the often-quoted passage from ***Lindsay Petroleum Co. v. Prosper Armstrong Hurd***, reported in (1874) 5 PC 221, which states as follows:

“Now the doctrine of laches in courts of equity is not an arbitrary or a technical doctrine. Where it would be practically unjust to give a remedy, either because the party has, by his conduct, done that which might fairly be regarded as equivalent to a waiver of it, or where by his conduct and neglect he has, though perhaps not waiving that remedy, yet put the other party in a situation in which it would not be reasonable to place him if the remedy were afterwards to be asserted, in either of these cases, lapse of time and delay are most material. But in every case, if an argument against relief, which otherwise would be just, is founded upon mere delay, that delay of course not amounting to a bar by any statute of limitations, the validity of that defence must be tried upon principles substantially equitable. Two circumstances, always important in such cases are, the length of the delay and the nature of the acts done during the interval, which might affect either party and cause a balance of justice or injustice in taking the one course or the other, so far as it relates to the remedy.”

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25. In the Indian legal landscape, this Court's Constitution Bench decision in ***Tilokchand and Motichand & Ors v. H.B. Munshi & Anr***, reported in (1969) 1 SCC 110, serves as the primary entry point for any discussion regarding the applicability of the doctrine of laches to petitions filed under Article 32. The seminal issue before the Bench was whether the remedy under Article 32, which itself is a fundamental right, could be fettered by any period of limitation, i.e., whether any time limit could be imposed on petitions under Article 32. While the Court dismissed the petition by a 3:2 majority on merits, the legal principles enunciated regarding the application of the doctrine of laches are of primary importance. The majority held that delay and laches are factors that can be considered in Article 32 petitions, and that this Court is not precluded from declining relief where a petitioner approaches the Court after an inordinate delay. The relevant observations crystallising this view are extracted below:

M. Hidayatullah, C.J (as he then was)

“7. It follows, therefore, that this Court puts itself in restraint in the matter of petitions under Article 32 and this practice has now become inveterate. The question is whether this Court will inquire into belated and stale claims or take note of evidence of neglect of one's own rights for a long time? I am of opinion that not only it would but also that it should. The party claiming Fundamental Rights must move the Court before other rights come into existence. The action of courts cannot harm innocent parties if their rights emerge by reason of delay on the part of the person moving the Court. This principle is well recognised and has been applied by Courts in England and America.

8. The English and American practice has been outlined in Halsbury's Laws of England and Corpus Juris Secundum. It has been mentioned by my brethren in their opinions and I need not traverse the same ground again except to say this that Courts of Common Law in England were bound by the Law of Limitation but not the Courts of Chancery. Even so the Chancery Courts insisted on expedition. It is trite learning to refer to the maxim “delay defeats equity” or the Latin of it that the Courts help those who are vigilant and

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do not slumber over their rights. The Courts of Chancery, therefore, frequently applied to suits in equity the analogy of the Law of Limitation applicable to actions at law and equally frequently put a special limitation of their own if they thought that the suit was unduly delayed. This was independently of the analogy of law relating to limitation. The same practice has been followed in the United States.

9. In India we have the Limitation Act which prescribes different periods of limitation for suits, petitions or applications. There are also residuary articles which prescribe limitation in those cases where no express period is provided. If it were a matter of a suit or application, either an appropriate article or the residuary article would have applied. But a petition under Article 32 is not a suit and it is also not a petition or an application to which the Limitation Act applies. To put curbs in the way of enforcement of Fundamental Rights through legislative action might well be questioned under Article 13(3). The reason is also quite clear. If a short period of limitation were prescribed the Fundamental Right might well be frustrated. Prescribing too long a period might enable stale claims to be made to the detriment of other rights which might emerge.

10. If then there is no period prescribed what is the standard for this Court to follow? I should say that utmost expedition is the sine qua non for such claims. The party aggrieved must move the Court at the earliest possible time and explain satisfactorily all semblance of delay. I am not indicating any period which may be regarded as the ultimate limit of action for that would be taking upon myself legislative functions. In England a period of 6 months has been provided statutorily, but that could be because there is no guaranteed remedy and the matter is one entirely of discretion. In India I will only say that each case will have to be considered on its own facts. Where there is appearance of avoidable delay and this delay affects the merits of the claim, this Court will consider it and in a proper case hold the party disentitled to invoke the extraordinary jurisdiction.

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11. Therefore, the question is one of discretion for this Court to follow from case to case. There is no lower limit and there is no upper limit. A case may be brought within Limitation Act by reason of some article but this Court need not necessarily give the total time to the litigant to move this Court under Article 32. Similarly in a suitable case this Court may entertain such a petition even after a lapse of time. It will all depend on what the breach of the Fundamental Right and the remedy claimed are when and how the delay arose.

S.M. Sikri, J.

14. Article 32(2) of the Constitution confers a judicial power on the Court. Like all judicial powers, unless there is an express provision to the contrary, it must be exercised in accordance with fundamental principles of administration of justice. [...] I understand that one of the fundamental principles of administration of justice is that, apart from express provisions to the contrary, stale claims should not be given effect to. But what is a stale claim? It is not denied that the Indian Limitation Act does not directly apply to a petition under Article 32. [...]

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18. [...]The history of these writs both in England and the U.S.A. convinces me that the underlying idea of the Constitution was to provide an expeditious and authoritative remedy against the inroads of the State. If a claim is barred under the Limitation Act, unless there are exceptional circumstances, prima facie it is a stale claim and should not be entertained by this Court. But even if it is not barred under the Indian Limitation Act, it may not be entertained by this Court if on the facts of the case there is unreasonable delay. [...]It is difficult to lay down a precise period beyond which delay should be explained. I favour one year because this Court should not be approached lightly, and competent legal advice should be taken and pros and cons carefully weighed before coming to this Court. It is common knowledge that

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appeals and representations to the higher authorities take time; time spent in pursuing these remedies may not be excluded under the Limitation Act, but it may ordinarily be taken as a good explanation for the delay.

19. It is said that if this was the practice the guarantee of Article 32 would be destroyed. But the article nowhere says that a petition, howsoever late, should be entertained and a writ or order or direction granted, howsoever remote the date of infringement of the fundamental right. In practice this Court has not been entertaining stale claims by persons who have slept over their rights. There is no need to depart from this practice and tie our hands completely with the shackles imposed by the Indian Limitation Act[....]

R.S Bachawat, J.

39. The next and the more fundamental question is whether in the circumstances the Court should give relief in a writ petition under Article 32 of the Constitution. No period of limitation is prescribed for such a petition. The right to move this Court for enforcement of fundamental rights is guaranteed by Article 32. The writ under Article 32 issues as a matter of course if a breach of a fundamental right is established. Technical rules applicable to suits like the provisions of Section 80 of the Code of Civil Procedure are not applicable to a proceeding under Article 32. But this does not mean that in giving relief under Article 32 the Court must ignore and trample under foot all laws of procedure, evidence, limitation, res judicata and the like. Under Article 145(1)(c) rules may be framed for regulating the practice and procedure in proceedings under Article 32. In the absence of such rules the Court may adopt any reasonable rule of procedure. Thus a petitioner has no right to move this Court under Article 32 for enforcement of this fundamental right on a petition containing misleading and inaccurate statements and if he files such a petition the Court will dismiss it, see Indian Sugars & Refineries Ltd. v. Union of India, 1968 SCC OnLine SC 158. On grounds of public policy it would be intolerable if the Court

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were to entertain such a petition. Likewise the Court held in Daryao v. State of U.P. that the general principles of res judicata applied to a writ petition under Article 32. Similarly, this Court has summarily dismissed innumerable writ petitions on that ground that it was presented after unreasonable delay.

40. *The normal remedy for recovery of money paid to the State under coercion or mistake of law is by suit. Articles 32 and 226 of the Constitution provide concurrent remedy in respect of the same claim. The extraordinary remedies under the Constitution are not intended to enable the claimant to recover monies, the recovery of which by suit is barred by limitation. Where the remedy in a writ application under Article 32 or Article 226 corresponds to a remedy in an ordinary suit and the latter remedy is subject to the bar of a statute of limitation, the Court in its writ jurisdiction acts by analogy to the statute, adopts the statute as its own rule of procedure and in the absence of special circumstances imposes the same limitation on the summary remedy in the writ jurisdiction. On similar grounds the Court of Chancery acted on the analogy of the statutes of limitation in disposing of stale claims though the proceeding in a Chancery was not subject to any express statutory bar, see Halsbury's Laws of England, Vol. 14, page 647, Article 1190, Knox v. Gye. [LR 5 LH 656, 674] Likewise, the High Court acts on the analogy of the statute of limitation in a proceeding under Article 226 though the statute does not expressly apply to the proceeding. The Court will almost always refuse to give relief under Article 226 if the delay is more than the statutory period of limitation, see State of M.P. v. Bhailal Bhai at pp. 273-274.*

41. *Similarly this Court acts on the analogy of the statute of limitation in respect of a claim under Article 32 of the Constitution though such claim is not the subject of any express statutory bar of limitation. If the right to a property is extinguished by prescription under Section 27 of the Limitation Act, 1963, the petitioner has no subsisting right which can be enforced under Article 32 (see Sobbraj*

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Odharmal v. State of Rajasthan). In other cases where the remedy only and not the right is extinguished by limitation, it is on grounds of the public policy that the Court refuses to entertain stale claims under Article 32. The statutes of limitation are founded on sound principles of public policy. As observed in Whitley Stoke's Anglo-Indian Codes, Vol. 11, p. 940; "The law is founded on public policy, its aim being to secure the quiet of the community, to suppress fraud and perjury, to quicken diligence, and to prevent oppression". In Ruckmaboye v. Lulloobhoy Mottichund [the Privy Council observed that the object of the statutes of limitation was to give effect to the maxim, "interest reipublicoe ut sit finis litium" (co litt 303) the interest of the State requires that there should be a limit to litigation. The rule of res judicata is founded upon the same rule of public policy, see Daryao v. State of U.P. at p. 584. The other ground of public policy upon which the statutes of limitation are founded is expressed in the maxim "vigilantibus non dormientibus jura subveniunt" (2 Co Inst. 690) the laws aid the vigilant and not those who slumber. On grounds of public policy the Court applies the principles of res judicata to writ petitions under Article 32. On like grounds the Court acts on the analogy of the statutes of limitation in the exercise of its jurisdiction under Article 32. [...]

G.K. Mitter, J.

65. The Limitation Acts do not in terms apply to claims against the State in respect of violation of fundamental rights. A person complaining of infraction of any such rights has one of three courses open to him. He can either make an application under Article 226 of the Constitution to a High Court or he can make an application to this Court under Article 32 of the Constitution, or he can file a suit asking for appropriate reliefs. The decisions of various High Courts in India have firmly laid down that in the matter of the issue of a writ under Article 226 the Courts have a descretion and may in suitable cases refuse to give relief to the person approaching it even though on the merits the applicant has a substantial complaint as regards violation of fundamental rights. Although the Limitation Act does not

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apply, the Courts have refused to give relief in cases of long or unreasonable delay. As noted above in Bhailal Bhai case, it was observed that the “maximum period fixed by the Legislature as the time within which the relief by a suit in a civil court must be brought may ordinarily be taken to be a reasonable standard by which delay in seeking remedy under Article 226 can be measured”. On the question of delay, we see no reason to hold that a different test ought to be applied when a party comes to this Court under Article 32 from one applicable to applications under Article 226. There is a public policy behind all statutes of limitation and according to Halsbury’s Laws of England (3rd Edn., Vol. 24), Article 330 at p. 181:

“The courts have expressed at least three different reasons supporting the existence of statutes of limitation, namely, (1) that long dormant claims have more of cruelty than justice in them, (2) that a defendant might have lost the evidence to disprove a stale claim and (3) that persons with good causes of action should pursue them with reasonable diligence.

66. In my view, a claim based on the infraction of fundamental rights ought not to be entertained if made beyond the period fixed by the Limitation Act for the enforcement of the right by way of suit. While not holding that the Limitation Act applies in terms, I am of the view that ordinarily the period fixed by the Limitation Act should be taken to be a true measure of the time within which a person can be allowed to raise a plea successfully under Article 32 of the Constitution. [...]

(Emphasis Supplied)

26. A close examination of the aforesaid excerpts reveals a clear judicial consensus: four out of the five learned Judges of the Bench agreed that the remedy under Article 32, though a fundamental right, is not immune from general principles of law and reasonable procedure. Consequently, petitions even under Article 32, seeking to agitate stale claims, ought not to be entertained. This restraint is largely rooted in the following factors: (i) the law assists those who are

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vigilant, not those who sleep over their rights; (ii) actions of the courts cannot harm innocent third parties whose rights emerge by reason of delay i.e., entertaining long-dormant claims would disturb the settled position and unjustly prejudice third parties by placing an unreasonable burden on them to defend against claims after a prolonged period had passed (due to loss of evidence and change in context); and (iii) it is essential to put a time limit on proceedings to provide certainty and prevent confusion from cases being in perpetual flux.

27. Further, a perusal of the above extracts reveals that the judicial opinion diverged on the precise yardstick to be applied when determining whether there has been a delay in instituting a petition under Article 32. Some members of the Bench favoured drawing a strict analogy with the periods prescribed under the Limitation Act, 1963, whereas others advocated for a flexible approach. However, all four opinions recognised that Article 32 was not directly fettered by the Limitation Act, 1963, nor was any explicit period prescribed for instituting a petition under Article 32. In this context, the view propounded by Hidayatullah, C.J., emerged as the most pragmatic guide, holding that no fixed time limit could be laid down and that the question of delay is one of discretion to be exercised on a case-by-case basis. According to him, the decision would depend on: (i) whether the petitioner has offered a valid and plausible explanation for the delay, i.e. when and how the delay arose so as to gauge whether or not the delay was avoidable; (ii) whether the delay had affected the merits of the case and (iii) what the breach of fundamental right and the remedy claimed are.
28. In *Tilokchand* (*supra*), K.S. Hegde, J., in his opinion, differed from the other four members on the Bench and held that a petition under Article 32 cannot be refused on the ground of laches. His dissent was primarily premised on an apprehension that treating the remedy under Article 32 as discretionary would dilute its status as a guaranteed fundamental right, potentially reducing it to the level of an ordinary civil right. The relevant excerpts of his dissenting opinion are reproduced below:

“77. Our Constitution makers in their wisdom thought that no fetters should be placed on the right of an aggrieved party to seek relief from this Court under Article 32. A

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comparison of the language of Article 226 with that of Article 32 will show that while under Article 226 a discretionary power is conferred on the High Courts the mandate of the Constitution is absolute so far as the exercise of this Court's power under Article 32 is concerned. Should this Court, an institution primarily created for the purpose of safeguarding the fundamental rights guaranteed under Part III of the Constitution, narrow down those rights? The implications of this decision are bound to be far reaching. It is likely to pull down from the high pedestal now occupied by the fundamental rights to the level of other civil rights. I am apprehensive that this decision may mark an important turning point in downgrading the fundamental rights guaranteed under the Constitution.

I am firmly of the view that a relief asked for under Article 32 cannot be refused on the ground of laches. The provisions of the Limitation Act have no relevance either directly or indirectly to proceedings under Article 32. Considerations which are relevant in proceedings under Article 226 are wholly out of place in a proceeding like the one before us. The decision of this Court referred to in the judgment of Bachawat and Mitter, JJ., where this Court has taken into consideration the laches on the part of the petitioners are not apposite for our present purpose. None of those cases deal with proceedings under Article 32 of the Constitution. The rule enunciated by this Court in State of M.P. v. Bhailal Bhai, is only applicable to proceedings under Article 226. At p. 271 of the report, Das Gupta, J., who spoke for the Court specifically referred to this aspect when he says:

"That it has been made clear more than once that power to relief under Article 226 is a discretionary power."

78. Therefore those decisions are of no assistance to us in deciding the present case. Once it is held that the power of this Court under Article 32 is a discretionary power — that in my opinion is the result of the decision of Bachawat and Mitter, JJ. — then it follows that this Court can refuse relief under Article 32 on any one of the grounds on which

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relief under Article 226 can be refused. Such a conclusion militates not only against the plain words of Article 32 but also the lofty principle underlying that provision. The resulting position is that the right guaranteed under that article would cease to be a fundamental right."

(Emphasis Supplied)

29. In **Rabindranath Bose & Ors v. Union of India & Ors.**, reported in (1970) 1 SCC 84, when dealing with claims relating to seniority in appointments under a writ petition, a Constitution Bench of this Court, upholding the principle laid down in **Tilokchand** (*supra*), reiterated that no relief would be given to petitioners who, without reasonable explanation, approach this Court under Article 32 of the Constitution after inordinate delay. The relevant observations made by this Court are as follows:

"31. But insofar as the attack is based on the 1952 Seniority Rules, it must fail on another ground. The ground being that this petition under Article 32 of the Constitution has been brought about fifteen years after the 1952 Rules were promulgated and effect given to them in the Seniority List prepared on August 1, 1953. Learned counsel for the petitioners says that this Court has no discretion and cannot dismiss the petition under Article 32 on the ground that it has been brought after inordinate delay. We are unable to accept this contention. This Court by majority in Tilokchand Moti Chand v. H.B. Munshi held that delay can be fatal in certain circumstances. [...]

32. The learned counsel for the petitioners strongly urges that the decision of this Court in Tilokchand Motichand case needs review. But after carefully considering the matter, we are of the view that no relief should be given to petitioners who, without any reasonable explanation, approach this Court under Article 32 of the Constitution after inordinate delay. The highest Court in this land has been given original jurisdiction to entertain petitions under Article 32 of the Constitution. It could not have been the intention that this Court would go into stale demands after a lapse of years. It is said that Article 32 is itself a

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guaranteed right. So it is, but it does not follow from this that it was the intention of the Constitution-makers that this Court should discard all principles and grant relief in petitions filed after inordinate delay.

33. We are not anxious to throw out petitions on this ground, but we must administer justice in accordance with law and principles of equity, justice and good conscience. It would be unjust to deprive the respondents of the rights which have accrued to them. Each person ought to be entitled to sit back and consider that his appointment and promotion effected a long time ago would not be set aside after the lapse of a number of years. It was on this ground that this Court in Jaisinghani case observed that the order in that case would not affect Class II officers who have been appointed permanently as Assistant Commissioners. In that case, the Court was only considering the challenge to appointments and promotions made after 1950. In this case, we are asked to consider the validity of appointments and promotions made during the periods of 1945 to 1950. If there was adequate reason in that case to leave out Class II officers, who had been appointed permanently Assistant Commissioners, there is much more reason in this case that the officers who are now permanent Assistant Commissioners of Income Tax and who were appointed and promoted to their original posts during 1945 to 1950, should be left alone."

(Emphasis Supplied)

30. In ***R.S Deodhar & Ors. v. State of Maharashtra & Ors.***, reported in (1974) 1 SCC 317, the respondents raised a preliminary objection contending that the petition under Article 32 ought to be dismissed at the threshold on the ground of gross delay and laches. A Constitution Bench of this Court, however, repelled this contention and reasoned that: (i) the petitioners had offered a valid explanation for the delay; (ii) what was challenged in the petition was not a thing of the past and was still being followed, and thus its constitutionality should be adjudged; and (iii) the adjudication of the claim would not cause unjust prejudice or deprivation to the respondents. The relevant observations in this regard are extracted below:

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“10. The first preliminary objection raised on behalf of the respondents was that the petitioners were guilty of gross laches and delay in filing the petition. The divisional cadre of Mamlatdars/Tehsildars were created as far back as November 1, 1956 by the Government Resolution of that date, and the procedure for making promotion to the posts of Deputy Collector on the basis of divisional select-list, which was a necessary consequence of the creation of the divisional cadre of Mamlatdars/ Tehsildars, had been in operation for a long number of years, at any rate from April 7, 1961, and the Rules of July 30, 1959 were also given effect to since the date of their enactment and yet the petitioner did not file the petition until July 14, 1969. There was a delay of more than ten or twelve years in filing the petition since the accrual of the cause of complaint, and this delay, contended the respondents, was sufficient to disentitle the petitioners to any relief in a petition under Article 32 of the Constitution. We do not think this contention should prevail with us. In the first place, it must be remembered that the rule which says that the Court may not inquire into belated and stale claims is not a rule of law, but a rule of practice based on sound and proper exercise of discretion, and there is no inviolable rule that whenever there is delay, the Court must necessarily refuse to entertain the petition. Each case must depend on its own facts. [...]Here the petitioners were informed by the Commissioner, Aurangabad Division, by his letter dated October 18, 1960 and also by the then Secretary of the Revenue Department in January 1961 that the rules of recruitment to the posts of Deputy Collector in the reorganised State of Bombay had not yet been unified, and that the petitioners continued to be governed by the rules of Ex-Hyderabad State and the Rules of July 30, 1959 had no application to them. The petitioners were, therefore, justified in proceeding on the assumption that there were no unified rules of recruitment to the posts of Deputy Collector and the promotions that were being made by the State Government were only provisional to be regularised when unified rules of recruitment were made.

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It was only when the petition in Kapoor case was decided by the Bombay High Court that the petitioners came to know that it was the case of the State Government in that petition — and that case was accepted by the Bombay High Court — that the Rules of July 30, 1959 were the unified rules of recruitment to the posts of Deputy Collector applicable throughout the reorganised State of Bombay. The petitioners thereafter did not lose any time in filing the present petition. Moreover, what is challenged in the petition is the validity of the procedure for making promotions to the posts of Deputy Collector — whether it is violative of the equal opportunity clause — and since this procedure is not a thing of the past, but is still being followed by the State Government, it is but desirable that its constitutionality should be adjudged when the question has come before the Court at the instance of parties properly aggrieved by it .It may also be noted that the principle on which the Court proceeds in refusing relief to the petitioner on ground of laches or delay is that the rights which have accrued to others by reason of the delay in filing the petition should not be allowed to be disturbed unless there is reasonable explanation for the delay.[...] Here, as admitted by the State Government in para 55 of the affidavit in reply, all promotions that have been made by the State Government are provisional and the position has not been crystallised to the prejudice of the petitioners. No rights have, therefore, accrued in favour of others by reason of the delay in filing the petition. The promotions being provisional, they have not conferred any rights on those promoted and they are by their very nature liable to be set at naught, if the correct legal position, as finally determined, so requires. We were also told by the learned counsel for the petitioners, and that was not controverted by the learned counsel appearing on behalf of the State Government, that even if the petition were allowed and the reliefs claimed by the petitioners granted to them, that would not result in the reversion of any Deputy Collector or officiating Deputy Collector to the post of Mamlatdar/ Tehsildar; the only effect would be merely to disturb their

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inter se seniority as officiating Deputy Collectors or as Deputy Collectors. Moreover, it may be noticed that the claim for enforcement of the fundamental right of equal opportunity under Article 16 is itself a fundamental right guaranteed under Article 32 and this Court which has been assigned the role of a sentinel on the qui vive for protection of the fundamental rights cannot easily allow itself to be persuaded to refuse relief solely on the jejune ground of laches, delay or the like. “

(Emphasis Supplied)

31. This Court, in **Joginder Nath & Ors v. Union of India & Ors**, reported in (1975) 3 SCC 459, relying upon the decisions in **Tilokchand** (*supra*), **Rabindranath Bose** (*supra*), and **R.S Deodhar** (*supra*) respectively, held that the preliminary objection raised on the grounds of delay and laches would not succeed in the facts and circumstances of the case as: first, there was no delay in filing the petition; and secondly, dealing with the petition would not unsettle long standing settled matters. The relevant observation made by this Court is as follows:

“9. In our opinion on the facts and in the circumstances of this case the preliminary objection raised on behalf of the respondents cannot succeed. The first list fixing the seniority of the Judicial Officers initially recruited to the Delhi Judicial Service was issued on August 2, 1971. This was subject to revision on good cause being shown. Petitioners also, as we shall show hereinafter in this judgment on one ground or the other, wanted their position to be revised in the seniority list. They, however, did not succeed. A revised seniority list was issued on June 2, 1973. The filing of the writ petition was not designedly delayed thereafter. Since the petitioners position in the seniority list vis-a-vis Respondents 3 to 6 had not been disturbed in the new list dated June 2, 1973 it was sufficient for the petitioners to challenge the list dated August 2, 1971. We shall point out in this judgment that except the promotion to the posts of Additional District Judges, the seniority in relation to which also is under challenge in this writ application, nothing special had happened creating any right in favour

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of the respondents or no such position had been created the disturbance of which would unsettle the long standing settled matters. The writ application, therefore, cannot be thrown out on the ground of delay in regard to any of the reliefs asked for by the petitioners.”

32. In **Aflatoon & Ors v. Lt. Governor of Delhi & Ors.**, reported in (1975) 4 SCC 285, a Constitution Bench of this Court declined to entertain an Article 32 petition challenging land acquisition proceedings on the ground of inordinate delay and laches. This Court, on the facts of the case, held that the litigants acted in a non-vigilant manner by ‘sitting on the fence’ for a long period of time while the State completed the acquisition process and thereafter filed the petition at a highly advanced stage. Allowing such a non-vigilant petitioner to pursue the claims after inordinate delay, this Court held, would tantamount to putting a ‘premium on dilatory tactics’. The relevant observations made by this Court are as follows:

“9. Assuming for the moment that the public purpose was not sufficiently specified in the notification, did the appellants make a grievance of it at the appropriate time? If the appellants had really been prejudiced by the non-specification of the public purpose for which the plots in which they were interested were needed, they should have taken steps to have the notification quashed on that ground within a reasonable time. They did not move in the matter even after the declaration under Section 6 was published in 1966. They approached the High Court with their writ petitions only in 1970 when the notices under Section 9 were issued to them. In the concluding portion of the judgment in Munshi Singh v. Union of India, it was observed: [SCC p. 344, para 10]

“In matters of this nature we would have taken due notice of laches on the part of the appellants while granting the above relief but we are satisfied that so far as the present appellants are concerned they have not been guilty of laches, delay or acquiescence at any stage.”

We do not think that the appellants were vigilant.

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11. Nor do we think that the petitioners in the writ petitions should be allowed to raise this plea in view of their conduct in not challenging the validity of the notification even after the publication of the declaration under Section 6 in 1966. Of the two writ petitions, one is filed by one of the appellants. There was apparently no reason why the writ petitioners should have waited till 1972 to come to this Court for challenging the validity of the notification issued in 1959 on the ground that the particulars of the public purpose were not specified. A valid notification under Section 4 is a sine qua non for initiation of proceedings for acquisition of property. To have sat on the fence and allowed the Government to complete the acquisition proceedings on the basis that the notification under Section 4 and the declaration under Section 6 were valid and then to attack the notification on grounds which were available to them at the time when the notification was published would be putting a premium on dilatory tactics. The writ petitions are liable to be dismissed on the ground of laches and delay on the part of the petitioners (see Tilokchand Motichand v. H.B. Munshi and Rabindranath Base v. Union of India)."

(Emphasis Supplied)

33. In **G.P. Doval & Ors v. Chief Secretary, Government of U.P. & Ors**, reported in (1984) 4 SCC 329, this Court, while dealing with the contention that the petitioners had moved the Court after a long unexplained delay, made the following pertinent observation:

"16. A grievance was made that the petitioners have moved this Court after a long unexplained delay and the Court should not grant any relief to them. It was pointed out that the provisional seniority list was drawn up on March 22, 1971 and the petitions have been filed in the year 1983. The respondents therefore submitted that the Court should throw out the petitions on the ground of delay, laches and acquiescence. It was said that promotions granted on the basis of impugned seniority list were not questioned by the petitioners and they have acquiesced into it. We are not disposed to accede to this request because Respondents 1 to 3 have not finalised

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the seniority list for a period of more than 12 years and are operating the same for further promotion to the utter disadvantage of the petitioners. Petitioners went on making representations after representations which did not yield any response, reply or relief. Coupled with this is the fact that the petitioners belong to the lower echelons of service and it is not difficult to visualise that they may find it extremely difficult to rush to the court. Therefore, the contention must be rejected."

(Emphasis Supplied)

34. The observation made by this Court in **G.P. Doval** (*supra*) adds an important dimension to the considerations that ought to be taken into account when deciding whether a petition under Article 32 is barred by delay or laches. This Court, in **Rabindranath Bose** (*supra*), **R.S. Deodhar** (*supra*), **Joginder Nath** (*supra*), and **Aflatoon** (*supra*) respectively, while deciding whether the petition was barred by delay or laches, scrutinised the issue from the vantage point of conduct and knowledge of the petitioners and whether there would be any disturbance to settled matters. However, in **G.P. Doval** (*supra*), it was explicitly recognised that extenuating circumstances inherent to the petitioner's status, such as economic status, can also be one of the factors considered to validly explain a delay in approaching the Court. In essence, this Court acknowledged that the rigours of delay and laches cannot be mechanically applied where the petitioners, by virtue of their status, face genuine impediments in accessing justice.
35. In **Assam Sanmilita Mahasangha & Ors vs Union of India & Ors**, reported in (2015) 3 SCC 1, this Court dealt with a batch of writ petitions under Article 32 challenging Section 6A of the Citizenship Act, 1955. The respondents raised a preliminary objection, contending that since Section 6A was enacted in 1985, a challenge mounted in 2012 was barred by delay and laches. While examining this contention, this Court comprehensively reviewed the jurisprudence on delay and laches in Article 32 petitions, analysing landmark decisions including **Tilokchand** (*supra*), **Rabindranath Bose** (*supra*), and **R.S Deodhar** (*supra*). Echoing our observations above, it was noted that while the broad ratio in **Tilokchand** (*supra*) is that an Article 32 petition can be dismissed for delay, no clear majority view emerged on the exact parameters or standard for such dismissal.

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36. Crucially, this Court noted that the petitions were filed on behalf of a whole class of people, raised contentions regarding a severe violation of fundamental rights, particularly Articles 21 and 29 of the Constitution, respectively, and also dealt with an issue that was still very much playing out on the ground. Consequently, it was held that such a kind of petition could not be dismissed at the threshold on the ground of delay/laches, as doing so would mean that the Court would be guilty of ‘shrinking its constitutional duty’. This Court went further, noting that significant developments have occurred in the landscape of Indian constitutional jurisprudence since this Court’s decision in **Tilokchand** (*supra*). Consequently, according to the bench, the time had come for this Court to say that, at least when it comes to violations of the fundamental right to life and personal liberty, delay or laches, by itself, without more, would not be sufficient to shut the doors of the court on any petitioner. Regarding the constitutionality of Section 6-A, the court referred the matter to a Constitution Bench for adjudication. The relevant observations made by this Court are as follows:

“21. Article 32 of the Constitution which has been described as the “heart and soul” of the Constitution guarantees the right to move the Supreme Court for the enforcement of all or any of the fundamental rights conferred by Part III of the Constitution. This Article is, therefore, itself a fundamental right and it is in this backdrop that we need to address the preliminary submission.”

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27. In Express Publications (Madurai) Ltd. v. Union of India [(2004) 11 SCC 526 : 2005 SCC (L&S) 99], the employer newspaper wished to challenge paragraph 80 of the Employees’ Provident Fund Scheme, 1952, which came into force in 1956. The challenge was made in a writ petition under Article 32, 45 years later in 2001. This was turned down by a Bench of two Judges with a caveat, that if it was the case of the petitioners that with the passage of time, a certain provision had become unconstitutional, then obviously the very passage of time would not amount to delay for which a writ petition would not be entertained.

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28. Similarly in *Tridip Kumar Dingal v. State of W.B.* [(2009) 1 SCC 768 : (2009) 2 SCC (L&S) 119] , a Bench of two Judges held that there is no upper and no lower limit when it comes to an Article 32 petition. It all depends on the breach of the particular fundamental right, the remedy claimed, and how the delay arose. On facts, the petition was turned down as there was an unexplained delay of ten years.

29. In *Bangalore City Coop. Housing Society Ltd. v. State of Karnataka*, a two Judge Bench of this Court understood the ratio of *Tilokchand Motichand* as follows:

“[...]

48. The ratio of the aforesaid decision is that even though there is no period of limitation for filing petitions under Articles 32 and 226 of the Constitution, the petitioner should approach the Court without loss of time and if there is delay, then cogent explanation should be offered for the same. However, no hard-and-fast rule can be laid down or a straitjacket formula can be adopted for deciding whether or not this Court or the High Court should entertain a belated petition filed under Article 32 or Article 226 of the Constitution and each case must be decided on its own facts.”

30. It will be seen that, in the present case, the petitioners in the various writ petitions represent an entire People—the tribal and non-tribal population of the State of Assam. In their petition, they have raised a plea that the sovereignty and integrity of India is itself at stake as a massive influx of illegal migrants from a neighbouring country has affected this core Constitutional value. That, in fact, it has been held in *Sonowal* case that such an influx is “external aggression” within the meaning of Article 355 of the Constitution of India, and that the Central Government has done precious little to stem this tide thereby resulting in a violation of Article 355. As a result of this huge influx, periodic clashes have been taking place between the citizens of India and these

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migrants resulting into loss of life and property, sounding in a violation of Articles 21 and 29 of the Constitution of the Assamese people as a whole. Not only is there an assault on the life of the citizenry of the State of Assam but there is an assault on their way of life as well. The culture of an entire People is being eroded in such a way that they will ultimately be swamped by persons who have no right to continue to live in this country. The petitioners have also argued that this Hon'ble Court in Sonowal case [has specifically held in para 79 thereof that : (SCC p. 723)

“79. ... Bangladeshi nationals who have illegally crossed the border and have trespassed into Assam or are living in other parts of the country have no legal right of any kind to remain in India and they are liable to be deported.”

They have also raised a fervent plea that Article 14 also continues to be violated as Section 6-A(3) to (5) are not time bound but are ongoing.

31. Given the contentions raised specifically with regard to pleas under Articles 21 and 29, of a whole class of People, namely, the tribal and non-tribal citizens of Assam and given the fact that agitations on this score are ongoing, we do not feel that petitions of this kind can be dismissed at the threshold on the ground of delay/laches. Indeed, if we were to do so, we would be guilty of shirking our Constitutional duty to protect the lives of our own citizens and their culture. In fact, the time has come to have a relook at the doctrine of laches altogether when it comes to violations of Articles 21 and 29.

32. Tilokchand Motichand is a judgment involving property rights of individuals. Ramchandra Deodhar case , also of a Constitution Bench of five judges has held that the fundamental right under Article 16 cannot be wished away solely on the 'jejune' ground of delay. Since Tilokchand Motichand case was decided, there have been important strides made in the law. Property Rights have been removed from part III of the Constitution altogether by the Constitution 44th Amendment Act. The same

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amendment made it clear that even during an emergency, the fundamental right under Article 21 can never be suspended, and amended Article 359(1) to give effect to this. In *Maneka Gandhi v. Union of India*, decided nine years after *Tilokchand Motichand*, Article 21 has been given its new dimension, and pursuant to the new dimension a huge number of rights have come under the umbrella of Article 21 [for an enumeration of these rights, see *Kapila Hingorani (1) v. State of Bihar*, para 57]. Further, in *Olga Tellis v. Bombay Municipal Corpn*, it has now been conclusively held that all fundamental rights cannot be waived (at para 29). Given these important developments in the law, the time has come for this Court to say that at least when it comes to violations of the fundamental right to life and personal liberty, delay or laches by itself without more would not be sufficient to shut the doors of the court on any petitioner. “

(Emphasis Supplied)

37. In ***Citizenship Act, 1955, Section 6-A***, reported in (2024) 16 SCC 105, a Constitution Bench of this Court, of which one of us (J.B. Pardiwala, J.) was a member, addressed the constitutionality of Section 6A of the Citizenship Act, 1955, on reference from the decision in ***Assam Sanmilita Mahasangha*** (*supra*). Surya Kant, J (as he then was), in his leading opinion, dealt with the issue of whether the writ petitions were maintainable in view of the inordinate delay of 27 years. He noted that while the doctrine of laches and the Limitation Act, 1963 served similar underlying purposes, the difference lay in the fact that the doctrine of laches was not rigid in its application, as its application was evaluated on a case-by-case basis. Consequently, since the principle was not an inviolable legal rule, it allows the court to conduct individualised analyses and, in some circumstances, entertain the claims even when they may be delayed, and third-party interests or rights may have been created.
38. According to Surya Kant, J., the claims affecting the public at large or claims challenging the vires of a statute vis-à-vis the Constitution are two such circumstances in which the doctrine of delay and laches would not be strictly applied. On the facts of the case, Surya Kant J held that both the aforesaid mitigating factors are met and

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that the petitioners' claims could not be dismissed at the threshold on the ground of laches. J.B. Pardiwala, J., in his separate opinion, concurred with the views expressed by Surya Kant, J., on the issue of delay and laches. The relevant observations made by Surya Kant, J., are as follows:

"66. Hence, it is settled law that the doctrine of laches is not an inviolable legal rule but a rule of practice that must be supplemented with sound exercise of judicial discretion. While courts must ordinarily apply this doctrine in light of the policy reasons discussed before, the doctrine allows the Court to conduct an individualised analysis of each case and entertain claims in the competing interests of justice, even when the claim may be delayed and third-party rights may have been created.

67. We may, however, hasten to clarify that the doctrine of delay and laches is not to be ipso facto excluded where a breach of fundamental rights is alleged. The five-Judge Benches of this Court in Narayani Debi Khaitan v. State of Bihar , Daryao v. State of U.P. and Tilokchand Motichand , and a three-Judge Bench in Amrit Lal Berry v. CCE , have reiterated that even in such like cases the court must see the effect of laches. However, that being said, there may be instances where considerations of justice demand that the court adjudicate on the merits of a case rather than summarily dismissing it based solely on procedural grounds such as delay.

68. One such factual circumstance is when the claim affects the public at large. In Kashinath G. Jalmi v. Speaker , this Court analysed several precedents (including Tilokchand Motichand) and differentiated them by holding that the doctrine of laches cannot be used to expel a claim that is made on behalf of the public. Judicial discretion, while applying this doctrine, must always be governed by the objective of promoting the larger public interest; and if a claim affects the public at large, the Court should go into the merits of the case. Where it is found that denial of consideration on merits is likely to affect society in general

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and can have a cascading effect on millions of citizens, the Court will carve out an exception and proceed to decide the lis on merits.

69. Another vital circumstance where the doctrine of delay and laches would not be applicable strictly is in matters where the vires of a statute are challenged vis-à-vis the Constitution. This Court has, in the due course of time, accepted the idea of transformative constitutionalism, which conceptualises the Constitution not as a still document cast in stone at the day of its formation but as a living and dynamic body of law, capable of constant updation and evolution as per changing societal mores. Should this Court deny a constitutional challenge solely based on delay, it would effectively establish an arbitrary cut-off beyond which laws could no longer be re-examined in light of changing circumstances. Such a rigid approach cannot be countenanced as changing societal circumstances sometimes necessitate a reconsideration of the status quo — even when the challenge is brought after a considerable lapse of time.

70. To instantiate, a Constitution Bench of this Court in *Navej Singh Johar v. Union of India*, held Section 377 of the Penal Code, 1860 to be ultra vires of the Constitution, regardless of the fact that the provision was a part of the statute for over a century. The Court took note of the norms of contemporary society and declared them to be unconstitutional. If the doctrine of laches were to be applied strictly, time would run in favour of a constitutionally invalid statute, which cannot be allowed in the larger interests of justice and the transformative nature of the Constitution.

71. Adverting to the facts of the case, it seems that the two mitigating circumstances mentioned above are directly attracted.

72. First, the petitioners have raised various substantial questions that affect the public at large, including the erosion of the culture of indigenous communities, discrimination against the State of Assam, and the larger perceived threat to the security of the country from immigration. Therefore,

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instead of being an in personam dispute between two individuals, the questions raised by the petitioners directly or indirectly affect a large citizenry.

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74. Second, since the controversy pertains to the constitutionality of a statutory provision, the doctrine of laches ought not to be applied strictly to bar the claim at the very threshold. As discussed in para 69, such constitutional adjudication cannot be made subject to any straitjacket rule of limitation. Challenges regarding the constitutionality of a statute require the Court to take a liberal approach and permit a certain amount of flexibility. A contrary approach would set a wrong precedent and act as a bar against challenging anachronistic laws that might no longer align with the ideals of constitutionalism. This would constitute an unsound legal principle since oppressive laws should not persist solely because they have been tolerated by society for a certain period.

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78. To conclude, while there has undoubtedly been a considerable delay in filing the instant writ petitions, the doctrine of laches cannot be applied strictly to disbar the claims at the threshold. This is so because the present proceedings raise substantial questions that affect the public at large and the constitutional validity of a statutory provision. If we were to decide otherwise, we would be, in essence, creating an artificial deadline for important constitutional issues. This would give rise to an unfair principle of law in the realm of constitutional adjudication."

(Emphasis Supplied)

(b) Principles Governing the Application of Delay and Laches to Article 32 Petitions

39. A cumulative reading of the aforementioned decisions makes it evident that, in the context of petitions under Article 32, the doctrine of laches operates as a flexible rule of practice rather than a rigid rule of law

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to be mechanically applied. Its application is anchored in sound judicial discretion, moulded by the specific facts and circumstances of each case. This discretionary approach empowers the Court to perform a crucial balancing exercise by weighing the equity in not allowing stale claims against its paramount constitutional duty to enforce fundamental rights.

40. Furthermore, a conspectus of the above decisions demonstrates that whenever this Court has been called upon to apply the doctrine of laches, its inquiry has consistently been guided by three primary considerations: first, whether there has been an inordinate delay in approaching the Court; secondly, whether the petitioner has provided a cogent and satisfactory explanation for such delay; and thirdly, whether entertaining the belated claim would unsettle settled matters and prejudice third party rights by reopening matters long concluded.
41. It is important to clarify and emphasise that, when applying the doctrine of delay and laches, consideration should be given to the totality of the circumstances affecting both parties, rather than the mere fact of delay. As has been rightly held, the test is not as to the physical running of time.¹ To apply the doctrine strictly based on the quantum of delay would fundamentally alter its core character, transforming it from a flexible, discretionary standard into a rigid rule. Such an approach would effectively convert the equitable doctrine into a rule of statutory limitation, a position contrary to the spirit of this Court's decisions on this issue.
42. When evaluating the totality of circumstances for applying the doctrine of delay and laches to an Article 32 petition, the pivotal considerations, as delineated above, are twofold: (i) whether entertaining the claim would unsettle concluded matters and prejudice third-party rights, and (ii) whether the petitioner has offered a cogent explanation for the delay. At this juncture, it is crucial to appreciate the interplay between these two factors. Frequently, when a party approaches this Court after a considerable hiatus, adjudicating the claim and granting the relief sought will inevitably unsettle, to some extent, existing arrangements and potentially impact third-party rights.

¹ See ¶ 13, *M/s Dehri Rotas Light Railway Company Limited v. District Board Bhojpur & Ors.* (1992) 2 SCC 598.

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43. If a rigidly conservative approach were adopted, the mere prospect of such disruption or unsettling of third-party rights would invariably lead to the dismissal of the petition at the threshold. Further, where the delay has been satisfactorily explained, demonstrating an absence of blameworthy conduct or negligence on the part of the petitioner, barring them from pursuing their fundamental rights at the threshold stage on the basis that it will affect third parties would be manifestly unjust, especially in the context of proceedings under Article 32.
44. It is a well-settled proposition that the jurisdiction of this Court under Article 32 is expansive and is not confined to the issuance of traditional prerogative writs, but explicitly encompasses the power to issue any directions, orders, or writs appropriate for the enforcement of fundamental rights.² This Court has repeatedly affirmed its constitutional mandate to develop new tools and devise innovative remedies to facilitate the enforcement of fundamental rights.³ Consequently, the mere possibility of the potential disruption that such relief might cause cannot serve as the sole bedrock for dismissing a petition at the threshold on the ground of laches. Where a petitioner furnishes a cogent explanation for the delay, the court is bound to examine the matter. If the court subsequently determines that the specific relief claimed is unfeasible or would unduly prejudice third-party rights, it would exercise its plenary powers to mould the relief in such a manner that disruption is minimised whilst still ensuring that the fundamental rights of the petitioner are enforced.
45. Flowing from the aforesaid discussion, it is evident that the adequacy of the explanation for the delay constitutes the paramount consideration when determining whether an Article 32 petition ought to be dismissed on the ground of laches. Stated differently, the operative test is not one of 'unreasonable delay' but of 'unexplained delay'. This principle is fortified by the fact that, even in instances where this Court has declined relief to prevent the disruption of crystallised third-party rights, such as in **Aflatoon** (*supra*) and others⁴, the foundational premise for dismissal was a petitioner's failure to furnish a cogent and satisfactory explanation for the delay.

² See ¶ 14, **Rashid Ahmed v. Municipal Board, Kairana**, 1950 SCC OnLine SC 16.

³ See ¶ 20, **Nilabati Behera v. State of Orissa & Ors.** (1993) 2 SCC 746 & ¶ 13, **Bandhua Mukti Morcha v. Union of India** (1984) 3 SCC 161.

⁴ See ¶ 30, **R.S. Makashi v. I.M. Menon** (1982) 1 SCC 379 & ¶ 23-25, **S.S. Moghe v. Union of India** (1981) 3 SCC 271.

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46. This emphasis on the unexplained delay assumes a heightened significance in writ proceedings where the State is the respondent. Situations frequently arise, like in **G.P. Doval** (*supra*), where the delay in invoking Article 32 is at least in part attributable to the State's own conduct, such as prolonged administrative indecision or inertia. In such scenarios, the State cannot be permitted to benefit from its own lethargy by weaponising the doctrine of laches against a petitioner, particularly when it itself has delayed taking a conclusive decision until matters had already attained artificial finality.⁵
47. The evolution of this Court's application and reliance on the doctrine of laches suggests that the apprehensions articulated by Hegde, J., in his dissenting opinion in **Tilokchand** (*supra*) are, to a large extent, allayed. The Court has consistently held that the doctrine of laches should not be applied rigidly and that delay and laches cannot be valid defences in cases where circumstances exist which shock the judicial conscience of the Court or where the demand for justice is so compelling that a constitutional court ought to exercise its jurisdiction with a view to promoting justice.⁶ Where the circumstances demanded, this Court has proceeded on the notion that there is no "limitation" to doing justice and that the need for finality must be balanced with the need to rectify injustice.⁷ Further, as observed in the decision in **G.P. Doval** (*supra*), this Court is not tethered to a purely technical approach to delay. It recognises that a petitioner's inability to approach the court on time may be caused by genuine systemic and practical hardships, rather than mere negligence.
48. The exposition by this Court in **Assam Sanmilita Mahasangha** (*supra*) and **Section 6A - In Re** (*supra*) further adds a new dimension to the issue of delay and laches in Article 32 petitions. By invoking the aspect of 'public interest', the Court has ensured that important public issues are not held to be beyond the purview of this court's jurisdiction solely on the basis of the fact that there was a delay in bringing the same before the court. Further, by invoking the idea of transformative constitutionalism, the Court has upheld the view that the Constitution is a social document, whose principles and

⁵ See ¶ 17, **Sukh Dutt Ratna & Anr. v. State of Himachal Pradesh & Ors.** (2022) 7 SCC 508.

⁶ See ¶ 12.12 & 12.13, **Vidya Devi v. State of Himachal Pradesh & Ors.** (2020) 2 SCC 569

⁷ See ¶ 18, **Sukh Dutt Ratna & Anr v. State of Himachal Pradesh & Ors.** (2022) 7 SCC 508 & ¶ 51, **Urban Improvement Trust v. Vidhya Devi & Ors.**, 2024 SCC OnLine SC 3725.

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ideals ought to be appreciated and applied dynamically, in line with the changing tides of society. Consequently, delay and laches may not be relevant factors where it is shown that an issue needs to be constitutionally reevaluated owing to the change in circumstances that has ensued.

49. Another crucial facet of transformative constitutionalism, as heralded by this Court in ***Navtej Singh Johar & Ors v. Union of India***, reported in (2018) 10 SCC 1, and ***Indian Young Lawyers Association & Ors v. State of Kerala & Ors***, reported in (2019) 11 SCC 1, is the Constitution's profound potential to address and correct historical wrongs. Historical injustices are often deeply entrenched in societal structures and arrangements, rendering them self-perpetuating across generations. Correcting such historical injustices forms the fulcrum of the Constitution, specifically Part III, which deals with fundamental rights. The emancipatory power of the Constitution lies precisely in its capacity to break these cycles. It requires constitutional provisions to be interpreted and applied in a manner that actively seeks to rectify these entrenched systemic inequities.
50. In this context, a rigid or mechanical application of the doctrine of delay and laches could inadvertently serve to perpetuate historical wrongs, effectively denying access to justice and shielding systemic inequities behind procedural barriers. However, as our preceding analysis demonstrates, this Court's jurisprudence is sufficiently robust to prevent such an outcome. The flexible, context-specific approach to laches ensures that the historical realities and practical impediments faced by litigants are duly accounted for. Consequently, any attempt to invoke delay as a procedural shield to insulate historical injustices from judicial scrutiny would likely fail.
51. When this Court is confronted with claims that are inextricably linked to notions of historical wrong or systemic injustice, the judicial scales must largely tilt in favour of granting access to the court. The ultimate adjudication on the merits may or may not find the substantive law to be in favour of a petitioner. However, the very act of allowing these claims to be heard and deliberated upon is an essential aspect of constitutional recognition. It ensures that the procedural threshold of laches does not become an insurmountable wall.
52. Such ideals of constitutionalism are further enabled by Article 32, which imposes a duty and a privilege on this Court to enforce

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fundamental rights enshrined in the Constitution. At this juncture, it is apposite to refer to the following observation made by this Court in ***Daryao & Ors v. State of U.P. & Ors.***, reported in **1961 SCC OnLine SC 21**:

“8. There can be no doubt that the fundamental right guaranteed by Article 32(1) is a very important safeguard for the protection of the fundamental rights of the citizens, and as a result of the said guarantee this Court has been entrusted with the solemn task of upholding the fundamental rights of the citizens of this country. The fundamental rights are intended not only to protect individual's rights but they are based on high public policy. Liberty of the individual and the protection of his fundamental rights are the very essence of the democratic way of life adopted by the Constitution, and it is the privilege and the duty of this Court to uphold those rights. This Court would naturally refuse to circumscribe them or to curtail them except as provided by the Constitution itself. It is because of this aspect of the matter that in Romesh Thappar v. State of Madras in the very first year after the Constitution came into force, this Court rejected a preliminary objection raised against the competence of a petition filed under Article 32 on the ground that as a matter of orderly procedure the petitioner should first have resorted to the High Court under Article 226, and observed that “this Court is thus constituted the protector and guarantor of the fundamental rights, and it cannot, consistently with the responsibility so laid upon it, refuse to entertain applications seeking protection against infringements of such rights”. [...]”

(Emphasis Supplied)

53. On similar lines, this Court in ***Prem Chand Garg & Anr v. The Excise Commissioner, U.P. & Ors.***, reported in **1962 SCC OnLine SC 37**, observed as follows:

“2. [...]The fundamental right to move this Court can, therefore, be appropriately described as the corner-stone of the democratic edifice raised by the Constitution. That is why it is natural that this Court should, in the words

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of Patanjali Sastri J., regard itself “as the protector and guarantor of fundamental rights,” and should declare that “it cannot, consistently with the responsibility laid upon it, refuse to entertain applications seeking protection against infringements of such rights.” In discharging the duties assigned to it, this Court has to play the role “of a sentinel on the qui vive” and it must always regard it as its solemn duty to protect the said fundamental rights’ zealously and vigilantly. [...]

(Emphasis Supplied)

54. The overarching discourse on the doctrine of delay and laches becomes crystal clear when situated within the broader context of this Court’s constitutional duty and privilege under Article 32, as clearly enunciated in **Daryao** (*supra*) and **Prem Chand** (*supra*). This Court has consciously evolved the equitable doctrine of laches to ensure that it in no manner circumscribes or dilutes the solemn constitutional responsibility vested in it. A strict, mechanical application of delay would invariably lead to the dismissal of petitions at the very threshold, precluding any substantive adjudication of the fundamental rights claims advanced. Such an approach would be fundamentally antithetical to this Court’s role as the protector and guarantor of fundamental rights and would effectively shrink the profound duty and privilege entrusted to this Court.

(c) Application to the facts of this matter

55. Adverting to the factual matrix of the present case, a *prima facie* assessment might suggest that the present writ petition is barred by the doctrine of laches. Undeniably, there has been an inordinate delay of nearly six decades, given that the impugned notification was issued in the year 1955 and the present petition was instituted only in the year 2014. Furthermore, adjudicating the claims raised herein would inevitably necessitate reopening historical legal settlements that have long attained finality. However, as delineated in the preceding analysis, the mere quantum of delay or the prospect of disruption cannot be considered as sufficient reasons in themselves to bar a petition under Article 32. What is important is to gauge if the petitioner has a cogent explanation for the delay.

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56. It stands to reason that an inordinate delay spanning six decades is rarely attributable to a solitary cause. The present factual matrix is no exception. To explain its prolonged absence from this Court, the petitioner has placed reliance on a confluence of mitigating circumstances.
57. One mitigating factor is the region's unique and tumultuous historical trajectory. In the decades immediately following Independence, the administrative and constitutional status of the area was in a state of continuous evolution. Originally administered as the Lushai Hills district within the State of Assam, the region was subsequently reorganised into the Union Territory of Mizoram under the North-Eastern Areas (Reorganisation) Act, 1971, before finally attaining full statehood in 1987. This period was simultaneously marked by significant political upheaval spanning nearly two decades in the form of an insurgency. Viewed cumulatively, these background conditions would have presented formidable practical hurdles. In such a climate of acute political unrest and chaos, claims for compensation and historical land rights are inevitably relegated to the periphery, making it exceptionally difficult for Mizo Chiefs to secure meaningful engagement with their grievances, especially within political circles.
58. Another mitigating circumstance is the Mizo Chiefs' continuous agitation of their claims before various forums. The material on record evidences a pursuit of their grievances, thereby dispelling the notion that the chiefs were indolent or slumbering over their rights. We are, however, mindful that the mere filing of successive representations to the authorities, particularly after previous representations have been rejected or a reasonable period has elapsed, does not furnish a valid explanation to surmount the bar of laches.⁸
59. In the present factual matrix, while it might be contended that the chiefs persisted with administrative representations for a prolonged duration, a crucial factor warrants specific attention. On multiple occasions, respondent no. 2 (the State of Mizoram) conducted itself in a manner that engendered a legitimate expectation amongst the

⁸ See ¶ 5-7, *State of Orissa v. Pyarimohan Samantaray & Ors.* (1977) 3 SCC 396 & ¶ 6-10 & *Karnataka Power Corpn. Ltd. v. K. Thangappan* (2006) 4 SCC 322.

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chiefs that an amicable resolution was imminent, thereby obviating the immediate need for adversarial litigation. Evidence of such conduct is reflected in the official assurances tendered by the State before the Gauhati High Court, at a time when the chiefs were actively agitating for their rights. To substantiate, it would do well to look at the circumstances in which the writ appeals being pursued by the chiefs in the Gauhati High Court came to be disposed of:

- a. In Writ Appeal No. 69 of 1998, the Counsel for the State of Mizoram submitted that the government is considering the claim for compensation and that a suitable order would be passed shortly, in consultation with the Union of India. In lieu of this statement, the counsel for the chiefs did not press the issue further. Consequently, the High Court disposed of the matter with the observation and direction that the government of Mizoram would consider the claim of the village chief, in consultation with the Union of India, expeditiously and preferably within three months. If the chiefs were not satisfied with the order, they were entitled to seek redressal of their grievances before an appropriate forum
 - b. Thereafter, in Writ Appeal No. 598 of 2005, once again, the Counsel for the State of Mizoram stated that the claim as espoused by the chiefs would be adjudicated afresh by the State in accordance with law. Consequently, the High Court closed the writ appeal with the direction to the government of Mizoram to consider the claim of the chiefs afresh. In the event the chiefs felt aggrieved by the decision taken by the government of Mizoram, it was left open for them to pursue such remedy as may be available under law.
60. Further fortifying this expectation is the fact that the Chief Minister of Mizoram, on at least two distinct occasions, addressed formal communications to the Prime Minister of India, espousing the chiefs' claims for compensation. It is necessary to clarify that this Court does not construe such intergovernmental correspondence as constituting promissory estoppel against the State, being acutely aware that political communications often carry dimensions beyond the purview of judicial consideration. Nevertheless, these communications are pertinent to the extent that they signalled a sympathetic stance towards the chiefs' grievances. Such conduct could reasonably have

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led the chiefs to hope that a resolution was forthcoming, thereby dissuading them from initiating litigation.⁹

61. Weighing the totality of these circumstances, this Court is conscious of the fact that the delay herein is undeniably inordinate, and the explanation offered by the petitioner is, strictly speaking, not unequivocally convincing. Nevertheless, we are not inclined to dismiss this petition at the threshold solely on the ground of delay. It is evident from the record that the State of Mizoram (respondent no.2) has held out hope for an amicable settlement and never outrightly rejected the grievances of the chiefs. It is this unique combination, the continuous representations made by the chiefs coupled with the State's supportive stance, that understandably pushed the chiefs to seek an administrative resolution rather than immediately pursuing legal remedies. Equally significant is that, on two prior occasions when the chiefs approached the High Court, the matter was not adjudicated on the merits. Instead, owing to the ongoing dialogue between the parties, the High Court left the avenue open for the chiefs to pursue appropriate legal remedies in the future. To shut the doors on them at this third instance, without ever examining the substance of their claims, would be highly unjust.

(II) WHETHER ANY FUNDAMENTAL RIGHTS OF THE MIZO CHIEFS WERE VIOLATED?

62. It is well settled that, for relief to be granted in a writ petition under Article 32, a case must be made out establishing the existence of a fundamental right and its breach, actual or threatened.
63. Right to property was earlier enshrined in Articles 19(1)(f) and 31 of the Constitution. It may be noted that both these provisions were repealed by the Constitution (Forty-Fourth Amendment) Act, 1978. However, the 44th Amendment is prospective in its operation, and all laws passed and executive action taken prior to 20th June 1979 will continue to be judged by and be subject to the provisions of Part III, including Articles 19(1)(f) and 31.
64. Article 19(1)(f) guaranteed to the Indian citizens a right to acquire, hold, and dispose of property. Article 19(5), however, permitted the

⁹ See ¶ 21, *P.C. Sethi v. Union of India* (1975) 4 SCC 67 & ¶ 16, *Purshottam Lal v. Union of India* (1973) 1 SCC 651.

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State to impose by law reasonable restrictions on this right in the interests of the general public or for the protection of the interests of any Scheduled Tribe. Article 31(1) laid down that no person could be deprived of his property without the authority of law. Article 31(2), on the other hand, underwent significant change and was the focal point of multiple constitutional amendments. Article 31(2) as it stood when it was originally enacted and Article 31(2) as it stood before its abrogation in 1978, are reproduced below:

“Article 31(2) at the time of enactment of the Indian Constitution

No property, movable or immovable, including any interest in, or in any company owning, any commercial or industrial undertaking, shall be taken possession of or acquired for public purposes under any law authorising the taking of such possession or such acquisition, unless the law provides for compensation for the property taken possession of or acquired and either fixes the amount of the compensation, or specifies the principles on which, and the manner in which, the compensation is to be determined and given.

Article 31(2) as it stood before its abrogation in 1978

No property shall be compulsorily acquired or requisitioned save for a public purpose and save by authority of a law which provides for acquisition or requisitioning of the property for an amount which may be fixed by such law or which may be determined in accordance with such principles and given in such manner as may be specified in such law, and no such law shall be called in question in any court on the ground that the amount so fixed or determined is not adequate or that the whole or any part of such amount is to be given otherwise than in cash.”

65. In the present case, the central dispute concerns the alleged violation of the Mizo Chiefs’ right to property, as guaranteed under Articles 19(1)(f) and 31 of the Constitution, respectively. The petitioner claims this right was breached either because the Mizo Chiefs were deprived

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of their lands without lawful authority, or because the compensation paid to them was wholly 'illusory'. Given that the impugned actions of the respondents occurred at a time when the right to property was a fundamental right under Part III, and considering that the Constitution (Forty-fourth Amendment) Act, 1978, operates only prospectively, the right to property was firmly in existence at the relevant time. Consequently, the existence of a fundamental right, as is required for invoking and claiming relief under Article 32, stands satisfied.

66. It is established that who bears the burden of proof in cases where fundamental rights violations are alleged depends on the fundamental right alleged to have been violated. The same burden of proof rule will not apply to all fundamental rights violation challenges.¹⁰ However, in cases such as the present one, the initial burden is on the petitioner to satisfy the Court and make out a case for an invasion of their fundamental right(s).¹¹
67. To discharge this initial burden and successfully establish a violation of their fundamental right to property, the petitioner must necessarily succeed on two distinct fronts. First and foremost, it must prove a clear title of the Mizo Chiefs over the subject lands, which, in the context of its sweeping claim, effectively encompasses the entire territorial expanse of the present-day State of Mizoram.¹² To establish such a title, the petitioner must conclusively demonstrate that, under the chieftainship system, as it operated during the British regime, the Mizo Chiefs held complete ownership of the land, rather than merely functioning as local administrative heads. Secondly, and only upon proving the ownership as aforesaid, the petitioner must satisfy the other parameters under Article 31. This includes, amongst other things, proving that the respondents deprived the chiefs of their property without lawful authority, or that the property was acquired without providing due compensation.
68. In an effort to discharge the burden of establishing title to the land, the petitioners have primarily relied on accounts and writings of scholars and officials of the British government. Upon a meticulous

10 See ¶ 15-29, *Deena & Ors. v. Union of India* (1983) 4 SCC 645.

11 See ¶ 5, *A. Hamsaveni & Ors. v. State of Tamil Nadu & Anr.* (1994) 6 SCC 51.

12 See ¶ 4, *Bokaro and Ramgur Ltd. v. State of Bihar*, 1962 SCC OnLine SC 379.

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perusal of the said material, it is, at the very outset, highly ambiguous whether these texts unequivocally recognise the Mizo Chiefs as the absolute owners of the land. Furthermore, even assuming that such an interpretation could be culled from these writings, the petitioners have advanced no compelling justification as to why such writings and accounts should be elevated to the status of conclusive evidentiary proof. It is legally untenable for this Court to rest a decision of such magnitude on the fragile foundation of such flimsy submissions and woefully inadequate proof.

69. The material adduced by the respondent, at least on a *prima facie* examination, indicates that during the British administration of the Lushai Hills district, the title over the land never vested in the Chiefs. Furthermore, the record before us is bereft of any comprehensive compilation or analysis of the boundary papers issued to the Chiefs, nor is it established that these documents were uniform in their conferment of rights and duties. However, an examination of the boundary paper available on record entirely belies the petitioner's claim, as nothing therein even remotely suggests the conferment or recognition of absolute ownership of land. Consequently, we are constrained to hold that the petitioners have woefully failed to discharge their burden of proving title over the subject lands.
70. We are cognisant that, unlike in modern times, establishing land title from the pre-independence era, especially within a traditional chieftainship system, rarely involves a neat or conclusive paper trail. However, given the sheer magnitude of the petitioner's claims, it is only reasonable to expect a much deeper historical investigation on its part. To substantiate such an extravagant demand, the petitioner ought to have relied on alternative sources of evidence, such as government documents, official notifications, and administrative orders, to build a coherent understanding of their alleged title. Both sides have failed to present a continuous, documented chain of events that would clearly map out the status of the land at different periods.
71. Furthermore, the constitutional jurisprudence governing the right to property, particularly under the erstwhile Article 31, is deeply intricate and has been the subject of extensive judicial exposition. Consequently, apart from establishing ownership, there are other

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aspects to the right to property that the petitioner had to prove thoroughly. For instance, while the petitioner baldly asserts that the statutory compensation disbursed to the Mizo Chiefs was 'illusory', they have entirely failed to traverse the plethora of legal precedents rendered by this Court that delineate the parameters for determining when compensation becomes legally illusory. Moreover, the pleadings are silent on how this specific claim interacts with the broader constitutional framework of property rights under Part III, or on how it reconciles with other legislation in force in the then State of Assam. In essence, the petitioner has approached a profoundly complex legal issue in a simplistic and superficial manner.

72. The petitioner has further advanced a plea of discrimination, contending that the Mizo Chiefs stood on an equal historical footing with the rulers of the erstwhile Princely States. They argue that the State's failure to grant them comparable compensation or privy purses is manifestly arbitrary and violative of their fundamental rights. However, this assertion, much like its above claims, is entirely devoid of any legal basis and thereby merits outright rejection. The privy purses and other privileges granted to the erstwhile rulers of the Princely States were the direct outcome of specific, pre-constitutional political and contractual arrangements negotiated between those rulers and the Government. Consequently, it would be legally flawed to equate and elevate these entitlements to the status of a right, which all erstwhile rulers were constitutionally bestowed upon. Such political arrangements cannot be claimed as a matter of a legally enforceable right, much less a fundamental right.
73. The petitioner has also contended that the State of Assam (the parent State in 1954) lacked legislative jurisdiction to enact the Act, 1954. However, as the petitioner has not discharged its burden of establishing any violation of the fundamental rights of the chiefs, we do not deem it necessary to address the vires of the Act, 1954 or the legality of the impugned notification in this present writ petition.
74. Therefore, having considered the matter from all vantage points, the inescapable conclusion is that the petitioner has not been able to establish any violation of the fundamental rights of the Mizo Chiefs in the present matter. Consequently, the petitioner is not entitled to any of the reliefs sought herein.

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75. For all the foregoing reasons, this writ petition is accordingly dismissed.
76. Pending applications, if any, shall also stand dismissed.

Result of the case: Writ Petition Dismissed.

[†]Headnotes prepared by: Ankit Gyan

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v.

Union of India & Ors.

(Civil Appeal No. 3351 of 2026)

12 March 2026

[Sanjay Karol* and Vipul M. Pancholi, JJ.]

Issue for Consideration

Whether the Air Force Group Insurance Society (AFGIS) could be treated as “State” or “other authority” within the meaning of Art.12 of the Constitution of India.

Headnotes[†]

Constitution of India – Art.12 – The appellants are employees of the Air Force Group Insurance Society – The pay scales of the workers were sought to be revised in accordance with the Sixth Pay Commission of the Government of India – Writ petitions – High Court held that that the Air Force Group Insurance Society could not be treated as “State” or “other authority” within the meaning of Art.12 of the Constitution of India, therefore the writ petitions filed were not maintainable – Correctness:

Held: In view of this Court, a perusal of the documents make out a case for AFGIS to be considered ‘State’ within the meaning of Art.12 – The Hon’ble President of India granted sanction for AFGIS to be established and also specifically approved the deputation Rules – When the aspect of administrative control is examined, it is seen that all the members of the Board of Trustees, so also the Managing Committee are serving members of the IAF and are deputed to AFGIS for a fixed period – In essence, therefore, the administration of the Body is entirely in the hands of Government servants even though the body itself is a purportedly private, a self-contained society – This Court is of the considered view that AFGIS does indeed perform a public duty – The protection and welfare of armed forces personnel is a core government function – Providing insurance coverage is a public function as it addresses a collective obligation the State has towards a defined public class whose service is indispensable – Insurance to service members

* Author

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is a critical instrument for safeguarding their physical, mental well-being, dignity and economic security – It is also seen that at one-point AFGIS itself claimed to be Government while claiming an exemption from service taxes, since it is under the control of Ministry of Defence – Thus, AFGIS would be ‘State’ under Art.12 – The writ petition before the High Court accordingly, maintainable – The said writ petition on the grievance of the appellants is restored. [Paras 15, 17-19]

Case Law Cited

Ajay Hasia and Others v. Khalid Mujib Sehravardi and Others [1981] 2 SCR 79 : (1981) 1 SCC 722; *Pradeep Kumar Biswas and Others v. Indian Institute of Chemical Biology and Others* [2002] 3 SCR 100 : (2002) 5 SCC 111 – followed.

Zee Telefilms Ltd. v. Union of India [2005] 1 SCR 913 : (2005) 4 SCC 649; *Ramana Dayaram Shetty v. International Airport Authority of India* [1979] 3 SCR 1014 : (1979) 3 SCC 489 – relied on.

Chander Mohan Khanna v. National Council of Educational Research and Training [1991] Supp. 1 SCR 165 : (1991) 4 SCC 578; *Rajkaran Singh v. Union of India* [2024] 8 SCR 516 : 2024 SCC OnLine SC 2138 – referred to.

Sagarika Singh v. Union of India and Other, 2011 SCC OnLine Del 3612; *Ex. Sub. Rajender Singh v. Union of India and Others*, 2013 SCC OnLine Del 1598 – referred to.

List of Acts

Constitution of India; Societies Registration Act, 1860.

List of Keywords

Article 12 of Constitution; Instrumentality of State; Writ Maintainability; Deep and Pervasive Control; Air Force Group Insurance Society (AFGIS); Consolidated Fund of India; State; Practical governance; Financial control.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 3351 of 2026

From the Judgment and Order dated 01.02.2023 of the High Court of Delhi at New Delhi in WP (C) No. 5024 of 2017

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Appearances for Parties

Advs. for the Appellant(s):

Shoeb Alam, Sr. Adv., Sourav Roy, Udai Khanna, Anshu Deshpande, Pranav Bafna, Hemant Gupta.

Advs. for the Respondent(s):

Vikramjeet Banerjee, A.S.G., Mukesh Kumar Maroria, B Sunita Rao, P V Yogeswaran, Ms. Sakshi Kakkar, Praneet Pranav, Navanjan Mahapatra, Abhishek Khanna, Ankur Chibber, Anshuman Mehrotra, Nikunj Arora, Prahil Sharma, Vardhman Kaushik.

Judgment / Order of the Supreme Court

Judgment

Sanjay Karol, J.

Leave Granted.

THE CONTROVERSY IN A NUTSHELL

2. The Appellants are employees of the Air Force Group Insurance Society¹ established under the Societies Registration Act, 1860² in the year 1976, with sanction of the Hon'ble President of India, having been received in the same year on 6th October. The dispute germane to this *lis* is that while the Board of Trustees, had, *vide* special meeting dated 27th December 2016 decided that the pay scales of the workers would be revised in accordance with the Sixth Pay Commission of the Government of India, subsequently, by way of meeting dated 13th February 2017 resolved that pay structures would be revised in a way that any linkage/connection to and pay parity with the Central Government, by virtue of the Pay Commissions be done away with, and according thereto, asked all employees by way of notice dated 22nd May 2017 to sign their acceptance to the revised terms.

1 AFGIS

2 SRA

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3. The appellants, aggrieved thereby, filed Writ Petitions before the High Court of Delhi³ which were dismissed by a common judgment dated 1st February 2023. The findings of the Learned Division Bench can be summarised as follows:

- 3.1 The Court's central finding was that none of the respondent organisations, namely the Air Force Group Insurance Society, the Air HQs Non-Public Fund Organisation, or the CRPF Employees' Educational Society, could be treated as "*State*" or "*other authority*" within the meaning of Article 12 of the Constitution of India. This determination was foundational, because the Court held that unless the respondents satisfied the requirements of Article 12, the writ petitions under Article 226 were not maintainable and the Court cannot not adjudicate on claims relating to pay parity, service conditions, promotions, retirement age, or implementation of Pay Commission recommendations.

In examining the status of the Air Force Group Insurance Society, the Court found that it is a Society registered under the Societies Registration Act, 1860, established in 1976 as a self-contained and self-run welfare and insurance scheme meant exclusively for Air Force personnel and their families. While senior Air Force officers form part of the Board of Trustees and certain officers are posted with the Society on deputation, the Court held that this association does not translate into deep or pervasive governmental control. The day-to-day administration of the Society is carried out under its own internal governance framework, and its finances are sourced entirely from member contributions and the insurance fund rather than from any budgetary allocation or grant from the Central Government. The Court placed particular reliance on the appointment letters of AFGIS employees, which expressly state that their service conditions are governed by the Rules of the Society as amended from time to time. The Court noted that there is no statutory or contractual guarantee of parity with Central Government employees and that allowances and pay structures are subject to approval by the Board of Trustees.

3 WP(C) No. 5024 of 2017; WP(C) No. 16428 of 2022, CM APPL 51620 of 2022; WP(C) No. 6759 of 2022; WP(C) No. 13858 of 2018; WP(C) No. 863 of 2019; WP(C) No. 15835 of 2022 & CM APPL. 49280 of 2022.

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The Court, therefore, concluded that even if historical parity with Central Government pay scales had existed in practice, it did not create any enforceable legal right nor did it convert AFGIS into an instrumentality of the State.

- 3.2 While addressing the legal tests applicable to Article 12, the Court reaffirmed the principles laid down by the Constitution Bench of the Court in ***Ajay Hasia and Others v. Khalid Mujib Sehravardi and Others***⁴, which emphasised that the decisive question is not how an entity is created but whether it functions as an instrumentality or agency of the Government. The Court further relied on ***Pradeep Kumar Biswas and Others v. Indian Institute of Chemical Biology and Others***⁵, where the Supreme Court clarified that the tests laid down in ***Ajay Hasia*** (supra) are not rigid and that the cumulative facts must demonstrate financial, functional, and administrative domination by the Government, with control that is deep and pervasive. The Court also drew support from ***Chander Mohan Khanna v. National Council of Educational Research and Training***⁶, which cautioned against an over-expansive interpretation of Article 12 merely on the basis of governmental association or assistance.

The Court specifically rejected the petitioners' reliance on ***Sagarika Singh v. Union of India and Others***⁷, noting that the reasoning in that decision had subsequently been disapproved by a larger Bench of the Delhi High Court in ***Ex. Sub. Rajender Singh v. Union of India and Others***⁸. The Court observed that the larger Bench had clarified that welfare or insurance schemes connected with the armed forces cannot automatically be treated as "State" in the absence of pervasive governmental control, and that the earlier view taken in ***Sagarika Singh*** (supra) no longer represents good law.

- 3.3 Applying these settled principles to the facts of the present cases, the Court concluded that all the respondent organisations are

4 (1981) 1 SCC 722

5 (2002) 5 SCC 111

6 (1991) 4 SCC 578

7 2011 SCC OnLine Del 3612

8 2013 SCC OnLine Del 1598

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autonomous, self-funded societies established for the limited benefit of their members and not for the public at large. The Court found no evidence of financial dependence on the Central Government, nor any administrative or functional domination of the kind required to attract Article 12. Consequently, the writ petitions were held to be not maintainable. The interim protection granted in one of the petitions was vacated, and all petitions were dismissed with liberty granted to the petitioners to pursue their remedies before appropriate alternative forums such as civil courts or labour adjudicatory bodies.

- 3.4 It has to be noted that the status of certain other bodies as “State” within the meaning of Article 12 was also a question before the High Court, namely Air HQs Non-Public Fund Organisation and CRPF Employees’ Educational Society, but since the determination in respect thereof is not under challenge before us, we need not enter into the particulars thereof.

THE CASE OF THE PARTIES**A. *The Appellants***

4. We have heard Mr. Shoeb Alam, learned senior counsel for the appellants. It is submitted that AFGIS has represented itself to be ‘Government’ in official correspondence. As an example, a letter dated 15th March 2016 was shown. The cumulative test is financial functional and administrative dominance of the Government and accordingly it is submitted that the day-to-day affairs are managed by serving senior officers of the Indian Air Force⁹. The very establishment was with the sanction of the Hon’ble President of India, and membership of this Organisation is compulsory for all Officers and Airmen. Further, the land on which the office is situate has been granted by the Ministry of Defence, Government of India, and it also enjoys exemptions from various taxes levied. Still further, it is also highlighted that the functions performed by AFGIS are of public importance and welfare oriented. Heavy reliance is placed on a recent judgment of this Court in ***Rajkaran Singh v. Union of India***¹⁰, wherein this Court

9 ‘IAF’

10 2024 SCC OnLine SC 2138

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examined the issue concerning employees of a compulsory savings fund being entitled to benefits of the Central Pay Commission, which was answered in the affirmative given alignment of service conditions, pervasive government control and public function. As such, the appellants, being similarly placed would also be entitled to the benefits of the 7th Pay Commission in line with the past position where they have been granted the said benefits.

B. Respondent-AFGIS

5. Mr. Ankur Chibber, learned Counsel appeared for AFGIS and submitted that the body is not 'State' within the meaning of Article 12 for it is a self-financed, non-public fund society. The premiums paid by the members are deducted centrally by the Air Force Central Accounts Office and then remitted to the Organisation. This is the only source of funds, and it has no inflow or outflow from the Consolidated Fund of India. During the time when the officers of IAF come to the Organisation on deputation their salary and allowances are borne by the AFGIS itself. It also employs 47 civilian staff members who are not government servant. The members of the Board of trustees are *ex-officio* and do not receive any remuneration in respect of these duties. The accounts are maintained by a privately hired Chartered Accountant and AFGIS does not submit any report to the Comptroller and Auditor General of India. It is as such submitted that the High Court's holding in the impugned judgment that a petition under Article 226 will not be maintainable, is the correct position in law.

C. Respondent-UNION OF INDIA

6. Mr. Vikramjeet Banerjee, learned ASG appeared for the Union of India and supported the stand of AFGIS.

CONSIDERATION ON MERITS

7. Since the advent of the Constitution, the question of whether a particular body can or cannot be recognised as 'State' within the meaning of Article 12¹¹ has arisen time and again. Initially, this Court

11 Article 12 of the Constitution of India reads thus:

"12. In this Part, unless the context otherwise requires, "the State" includes the Government and Parliament of India and the Government and the Legislature of each of the States and all local or other authorities within the territory of India or under the control of the Government of India."

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adopted a narrow and formalistic approach focusing on whether the body concerned which was created under a statute was part of the traditional Government structure. Over the time however, as functions of the Government expanded multi-fold there was a shift in this approach. State instrumentalities, corporations and autonomous bodies were recognised as covered under this Article, with the shift to a functional and purposive analysis. The test to be satisfied pertained to the nature of functions, character of activity, degree of governmental control. This ensured that the breadth or scope of examination when this question arises is not limited to ownership/origin but is instead informed by accountability, the rule of law in furtherance of practical governance. It shall be useful to refer to certain cases to exemplify the requirements that need to be established for an organization be held to be “State”.

7.1 P.N Bhagwati J. (as His Lordship then was) writing for the Court in ***Ramana Dayaram Shetty v. International Airport Authority of India***¹², observed:

“14. A corporation may be created in one of two ways. It may be either established by statute or incorporated under a law such as the Companies Act, 1956 or the Societies Registration Act, 1860. Where a corporation is wholly controlled by Government not only in its policy-making but also in carrying out the functions entrusted to it by the law establishing it or by the charter of its incorporation, there can be no doubt that it would be an instrumentality or agency of Government. But ordinarily where a corporation is established by statute, it is autonomous in its working, subject only to a provision, oftentimes made, that it shall be bound by any directions that may be issued from time to time by Government in respect of policy matters. So also a corporation incorporated under law is managed by a board of directors or committees of management in accordance with the provisions of the statute under which it is incorporated. When does such a corporation become an instrumentality

12 (1979) 3 SCC 489, ‘R.D Shetty’

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or agency of Government? Is the holding of the entire share capital of the corporation by Government enough or is it necessary that in addition, there should be a certain amount of direct control exercised by Government and, if so, what should be the nature of such control? Should the functions which the corporation is charged to carry out possess any particular characteristic or feature, or is the nature of the functions immaterial? Now, one thing is clear that if the entire share capital of the corporation is held by Government, it would go a long way towards indicating that the corporation is an instrumentality or agency of Government. But, as is quite often the case, a corporation established by statute may have no shares or shareholders, in which case it would be a relevant factor to consider whether the administration is in the hands of a board of directors appointed by Government, though this consideration also may not be determinative, because even where the directors are appointed by Government, they may be completely free from governmental control in the discharge of their functions. What then are the tests to determine whether a corporation established by statute or incorporated under law is an instrumentality or agency of Government? It is not possible to formulate an all-inclusive or exhaustive test which would adequately answer this question. There is no cut and dried formula which would provide the correct division of corporations into those which are instrumentalities or agencies of Government and those which are not."

- 7.2 A Constitution Bench in ***Ajay Hasia*** (supra) following the tests laid down in ***R.D Shetty*** (supra) held as under:

"9. The tests for determining as to when a corporation can be said to be an instrumentality or agency of Government may now be culled out from the judgment in the *International Airport Authority case* [(1979) 3 SCC 489] . These tests are not conclusive or clinching,

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but they are merely indicative indicia which have to be used with care and caution, because while stressing the necessity of a wide meaning to be placed on the expression “other authorities”, it must be realised that it should not be stretched so far as to bring in every autonomous body which has some nexus with the Government within the sweep of the expression. A wide enlargement of the meaning must be tempered by a wise limitation. We may summarise the relevant tests gathered from the decision in the *International Airport Authority case* [(1979) 3 SCC 489] as follows:

“(1) One thing is clear that if the entire share capital of the corporation is held by Government, it would go a long way towards indicating that the corporation is an instrumentality or agency of Government. (SCC p. 507, para 14)

(2) Where the financial assistance of the State is so much as to meet almost entire expenditure of the corporation, it would afford some indication of the corporation being impregnated with Governmental character. (SCC p. 508, para 15)

(3) It may also be a relevant factor ... whether the corporation enjoys monopoly status which is State conferred or State protected. (SCC p. 508, para 15)

(4) Existence of deep and pervasive State control may afford an indication that the corporation is a State agency or instrumentality. (SCC p. 508, para 15)

(5) If the functions of the corporation are of public importance and closely related to Governmental functions, it would be a relevant factor in classifying the corporation as an instrumentality or agency of Government. (SCC p. 509, para 16)

(6) ‘Specifically, if a department of Government is transferred to a corporation, it would be a strong factor supportive of this inference’ of the corporation being an instrumentality or agency of Government.” (SCC p. 510, para 18)

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If on a consideration of these relevant factors it is found that the corporation is an instrumentality or agency of Government, it would, as pointed out in the *International Airport Authority case* [(1979) 3 SCC 489], be an “authority” and, therefore, ‘State’ within the meaning of the expression in Article 12.”

- 7.3 A bench of seven Judges in ***Pradeep Kumar Biswas v. Indian Institute of Chemical Biology***¹³ speaking through Ruma Pal J., referred to the previous decisions of the Court and held as under:

“38. ... “these are merely indicative indicia and are by no means conclusive or clinching in any case”. In that case, the question arose whether the National Council of Educational Research (NCERT) was a “State” as defined under Article 12 of the Constitution. NCERT is a society registered under the Societies Registration Act. After considering the provisions of its memorandum of association as well as the rules of NCERT, this Court came to the conclusion that since NCERT was largely an autonomous body and the activities of NCERT were not wholly related to governmental functions and that the government control was confined only to the proper utilisation of the grant and since its funding was not entirely from government resources, the case did not satisfy the requirements of the State under Article 12 of the Constitution. ...

39. Fresh off the judicial anvil is the decision in *Mysore Paper Mills Ltd. v. Mysore Paper Mills Officers’ Assn.* [(2002) 2 SCC 167 : 2002 SCC (L&S) 223 : JT (2002) 1 SC 61] which fairly represents what we have seen as a continuity of thought commencing from the decision in *Rajasthan Electricity Board* [AIR 1967 SC 1857 : (1967) 3 SCR 377] in 1967 up to the present time. It held that a company substantially financed and financially controlled by the Government, managed by a Board of Directors nominated and removable

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at the instance of the Government and carrying on important functions of public interest under the control of the Government is “an authority” within the meaning of Article 12.

40. The picture that ultimately emerges is that the tests formulated in *Ajay Hasia* [*Ajay Hasia v. Khalid Mujib Sehravardi*, (1981) 1 SCC 722 : 1981 SCC (L&S) 258] are not a rigid set of principles so that if a body falls within any one of them it must, ex hypothesi, be considered to be a State within the meaning of Article 12. The question in each case would be — whether in the light of the cumulative facts as established, the body is financially, functionally and administratively dominated by or under the control of the Government. Such control must be particular to the body in question and must be pervasive. If this is found then the body is a State within Article 12. On the other hand, when the control is merely regulatory whether under statute or otherwise, it would not serve to make the body a State.

(emphasis supplied)

Recently in ***Rajkaran Singh*** (supra), on which great reliance has been placed by the appellant, this Court while dealing with the question whether the compulsory savings deposit fund of the Special Frontier Force, was ‘State’ or not whether the benefit of the 6th Central Pay Commission would be extended to the employees thereof or not. In para 26 of the abovesaid judgment the concluding paras of Pradeep Kumar Biswas (supra) were reproduced and thereafter applied to the instant facts. The concluding paras of the latter judgment indicate the following – to be an authority within the meaning of Article 12 the entity should either be a creation of statute or be created under a statute functioning with liabilities and obligations to the public; Tests 1, 2 and 4 in ***Ajay Hasia*** (supra) are determinative of ownership and tests 3, 5 and 6 are functional test.

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It is thereafter observed that “*Neither all the tests are required to be answered in the positive nor a positive answer to one or two tests would suffice. It will depend on a combination of one or more of the relevant factors depending on the essentiality and overwhelming nature of such factors in identifying the real source of governing power...*”

- 7.4 The discussion made by N. Santosh Hegde J, writing for the majority in ***Zee Telefilms Ltd. v. Union of India***¹⁴, is important for the present purposes. It was held:

“**31.** Be that as it may, it cannot be denied that the Board does discharge some duties like the selection of an Indian cricket team, controlling the activities of the players and others involved in the game of cricket. These activities can be said to be akin to public duties or State functions and if there is any violation of any constitutional or statutory obligation or rights of other citizens, the aggrieved party may not have a relief by way of a petition under Article 32. But that does not mean that the violator of such right would go scot-free merely because it or he is not a State. Under the Indian jurisprudence there is always a just remedy for the violation of a right of a citizen. Though the remedy under Article 32 is not available, an aggrieved party can always seek a remedy under the ordinary course of law or by way of a writ petition under Article 226 of the Constitution, which is much wider than Article 32.

...

33. Thus, it is clear that when a private body exercises its public functions even if it is not a State, the aggrieved person has a remedy not only under the ordinary law but also under the Constitution, by way of a writ petition under Article 226. Therefore, merely because a non-governmental body exercises some

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public duty, that by itself would not suffice to make such body a State for the purpose of Article 12. In the instant case the activities of the Board do not come under the guidelines laid down by this Court in *Pradeep Kumar Biswas case* [(2002) 5 SCC 111 : 2002 SCC (L&S) 633] hence there is force in the contention of Mr Venugopal that this petition under Article 32 of the Constitution is not maintainable.”

(emphasis supplied)

8. We now proceed to evaluate the rival contentions in the light of the judgments referred to *supra*. It is not in dispute that **(a)** membership of AFGIS is compulsory for all officers and Airmen; **(b)** the contribution of premiums are automatically deducted from the salaries; **(c)** the Board of Trustees comprises entirely of senior serving IAF officials; **(d)** service at AFGIS is considered to be proper deputation for officers and the sanction for this Body as also its deputation rules was granted by the Hon’ble President of India; **(e)** AFGIS periodically reports its financial transactions to a senior officer in the IAF; **(f)** in letter dated 15th March 2016 AFGIS itself accepts its position as ‘*Government*’; **(g)** the President has accorded sanctions on separate occasions viz., introduction of substantive post in the Society, specific fixation of pay bands; and **(h)** the Society is exempt from various taxes given its compulsory nature as also automatic deduction from pay, AFGIS has a monopoly over insurance for IAF members. Let us unpack these points.
9. For points (a), (b), (f) and (g) the relevant portion of the letter dated 15th March, 2016 referred to *supra* are reproduced below:

“2. xxx

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(e) Para 5: As regards the issue of submission of ITR along with form 26 as for the period from 2010-11 to 2014-15, it is informed that this Society is established under the authority of Ministry of Defence, Govt of India to be run departmentally as a self-contained Society vide GOI, MoD letter No Air HQ/25657/17/D/Accts/1197 DOLA (Air-11)/76 dated 06 Oct 1976 and that this Society is registered under the Society Registration Act (XXI of 1860) and also that

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this Society has been established by the Armed Forces of the Union of India (Air Force) for the welfare of the past and present members (air warrior / air veterans) and their dependents. The principal objective of the Society is to collect the mandatory and compulsory deduction from the air warriors so as to provide the financial relief in case of contingencies of death/disability of the air warrior occurring while in service/post retirement. Further, the Society also provides welfare services to air warriors / air veterans and their dependents by payment of survival (saving element of the mandatory and compulsory deduction) on retirement/death. The income of the Society is exempted from Income Tax u/s 10(23)(C)(iv) of Income Tax Act 1961 as notified vide MoF letter No F.275/29/85-IT(B) dated 05 Jun 1985.

xxx xxx xxx

3. xxx xxx xxx

(c) Basis of the Working of the AFGIS: Consequent to the aforesaid sanction/approvals, the contributions by air warriors to AFGIS have been made mandatory and compulsory in terms of Air Force Instructions (AFI) 16/87 issued by the Govt of India (Ministry of Defence). The monthly mandatory contributions are compulsorily deducted from the salary of all air warriors (officers, airmen and NCs(E)) from the day they join IAF. Hence, membership to the group insurance has become an integral part of the Service Conditions. It is pertinent to mention here that the AFGIS, like Army Group Insurance and Naval Group Insurance, caters only to ‘Men in Uniform’ and is not open to civilians or the general public. AFGIS does not issue any insurance policies to the air-warriors for its insurance schemes.

xxx xxx xxx

(g) Relationship between AFGIS and its Air Warrior Members.

One of the primary factors for deciding the applicability of Service Tax is the relationship between a service provider

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and service receiver wherein there is a “flow of service”. AFGIS is a self-contained Society run departmentally under the authority of Govt of India (Ministry of Defence). The insurance schemes run by AFGIS are exclusively for the air warrior members hence the group is a “Closed Group”. Membership and contribution to the schemes is compulsory and mandatory. Following examples regarding decisions given by the Courts could further clarify this matter.

(i) In the case of *Saturday Club Ltd v/s Assistant Commissioner, Service Tax, 2006 (3) STR 305*; the Hon’ble High Court of Calcutta observed that, “Principally there should be an existence of two sides/entities for having transaction as against consideration. In a members club there is no question of two sides. ‘Members’ and ‘club’ both are same entity. One may be called as ‘Principal’ while the other may be called as ‘Agent’ and therefore, such transaction in between themselves cannot be recorded as income, sale or service as per applicability of the revenue tax of the country.”

(ii) In the matter of New Delhi CESTAT in the case of *Federation of Indian Chambers of Commerce & Industry (FICCI) v/s Commissioner of Service Tax, Delhi (2015) 38 S.T.R. 529 (New Delhi - CESTAT)* wherein the Tribunal held that the service by FICCI to its members is not liable for payment of service tax owing to ‘Principle of Mutuality’.

(h) AFGIS is controlled by the Govt. of India through the Ministry of Defence and Air HQ and hence is “Government” in terms of Finance Act, 1994. AFGIS acts as a wing of the Government and hence the collection received from its members is outside the purview of the service tax primarily on the basis of “Principle of Mutuality” and by virtue of Section 66 D of the Finance Act, 1994 wherein the service of ‘Government’ is outside the purview of the Service Tax.

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Air Force instruction dated 1st October 1987 mandating membership of AFGIS is as under:-

COPY
AIR FORCE INSTRUCTION
NO – 16

New Delhi, Thursday, October 1, 1987/Asavina 9, 1909

COMPULSORY MEMBERSHIP-GROUP INSURANCE SCHEME

1. The membership under Air Force Group Insurance Society for the Insurance Scheme in existence at the time of joining Indian Air Force will be compulsory for the following:-
 - (a) Officers
 - (b) Airmen
 - (c) NCs(E)
 - (d) Flight Cadets
2. All personnel who are members of Enhanced Group Insurance Scheme 1982 of Air Force Group Insurance Society shall automatically become members of any other Insurance Scheme floated in future by the Air Force Group Insurance Society. They will be liable to pay insurance premium for the new scheme as fixed by the Air Force Group Insurance Society from time to time.
3. All personnel who are not members of Enhanced Group Insurance Scheme 1982 but are members of Group Insurance Scheme 1975 or 1978 can become members of any new insurance scheme floated by Air Force Group Insurance Society after becoming members of Enhanced Group Insurance Scheme 1982, for which they will be required to pay the insurance premium applicable for 1982 scheme from 01 Apr 82 till the date the new schemes come into force. Premium paid under 1975 and 1978 Schemes will be retained and paid at the time of retirement will applicable rates of interest.

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4. These provisions take effect from the date of issue of this AFI.

Case No. Air HQ/24018/16/PP&R-1/D (Air-III)
Min of Def/(Fin) UO No. 1410/Pay/AF of 1987

Sd/-
(R.K. Dhir)
Dy Secretary

10. For point (c), reference may be made to the Manual of Administration and Management, Air Force Group Insurance Society (Published under the Authority of Board of Trustees AFGIS) 2009

CHAPTER 2**ADMINISTRATION****Board of Trustees**

1. The Society will be administered by a Board of Trustees and a Managing Committee as per the details given in succeeding paras.
2. The Board of Trustees constitute the following:-

AOA — Chairman
DG(IFS) — Member
DCAS — Member
AOM — Member
AOP — Member
ACAS (Accts) — Member
PD AFGIS — Member Secretary

18. **Secretary.** The Secretary shall be an officer of the rank of Gp Capt of the Accounts Branch and will be on deputation to the Society as per the terms and conditions approved by the Government. His appointment will be approved by the Chairman, Board of Trustees. He will conduct day to day administration and be responsible to Principal Director, AFGIS on all matters of the Society. He shall perform the following functions:-

- (a) Carry out administrative duties as may be entrusted to him by Principal Director, AFGIS.

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- (b) Give notice of the meeting to the members of Board of Trustees/Managing Committee and prepare briefs on all agenda points to be sent to the members.
- (c) Attend all meetings of the Board of Trustees and Managing Committee unless prevented by illness or excused from attending by the Chairman and record the Minutes of all meetings of the Board of Trustees.
- (d) Communicate decisions of the Board of Trustees/ Managing Committee to concerned executives for implementation.
- (e) Be responsible for the efficient functioning of Claims, Advances, PRIC and Contribution Sections and correct maintenance of connected records.
- (f) Conduct correspondence o behalf of the Board of Trustees and Managing Committee
- (g) Finalise and settle all death, disability and survival benefit claims duly approved by the appropriate authority.
- (h) prepare the annual report of the Society for approval by the Board of Trustees.
- (j) Perform the duties of Principal Director and JD (Fin) in the absence of the permanent incumbent.
- (k) Approve expenditure as per the financial powers delegated within the overall budget limit approved by the Board of Trustees.
- (l) Put up proposals for investment of funds of the Society."

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11. For points (d), the following letter is extracted:-

11(5)2000/DOI/DOI/D(Air-III)
Government of India
Ministry of Defence
New Delhi dated the 27th Mar 2002

To

The Chief of Air Staff
(with 15 Spare copies)

Ravi Khokhar & Ors. v. Union of India & Ors.

Subject: GENERAL TERMS & CONDITIONS FOR
DEPUTATION OF OFFICERS TO AIR FORCE GROUP
INSURANCE SOCIETY

Sir,

I am directed to convey the sanction of the President to the general Terms & Conditions for deputation of IAF officers to Air Force Group Insurance Society as laid down in Annexure 'A' of this letter.

3. This issues with the concurrence of Ministry of Defence (Finance) vide their u.o. No.543/P&W/AF dated 22 Mar 2002.

Yours faithfully,

(G. Srinivasan)

Desk Officer

12. For point (e) relevant portion of Manual of Administration and Management, AFGIS:-

35. **Monitoring System** On 25th of every month, PDAFGIS is to apprise ACAS (Accts) on the case flow of AFGIS, bringing out the details of all investment during the previous 30 days. He is also to make a structured presentation to AOA of investment status, the quotations received during the previous quarter along comparative statements, their forecast appreciation of the investment environment the next quarter and the case flow assessment of the next quarter. At the end of every quarter the performance analysis of the investment is to be put up to both for their perusal.

13. For point (g) reference is made to the following letters dated 25th February 1985 and 28th September 1981:-

"No.Air HQ/5.18172/22/3/PC-26/Plans/361/DOIIA/

D(Air-III)

Government of India,

Ministry of Defence,

New Delhi, the 25th February, 1985

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To

The Chief of the Air Staff (with 35 spare copies)

SUBSTANTIVE CADRE OF GROUP CAPT AND
ABOVE - DIRECTOR OF GROUP INSURANCE
SOCIETY

Sir,

I am directed to refer to this Ministry's letter No. Air HQ/S.18172/22/3/Plans/3750/D(Air-III)/62 dated 15th May, 1974 as amended from time to time and to convey the sanction of the President to the inclusion of one post of Air Cmde (Accts) in the substantive cadre of Air Cmde (Accts) so long the post of director of Group Insurance Society is held by an Air Force Office and its deletion from the existing substantive cadre/of Group Cap-t (Accts).

2. This issues with the concurrence of Ministry of Defence/ (Finance/Division)vide their u.o. No. 351/Org/S/AF of 1985.

Yours faithfully,

(H.D. SHARMA)
DESK OFFICER

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Appendix 'E'
(Refers to para 9 of
Chapter 3)

No. Air HQ/24011/71 PP & R-1/2282/DOIB/D (Air III)

Government of India/Bharat Sarkar

Ministry of Defence /Raksha Mantralaya

New Delhi, the 28 September, 1981

6th Asvina, 1903 Sako Era

To

The Chief of the Air Staff,

Subject: Enhancement of Flying Pay-Air Force Personnel

Ravi Khokhar & Ors. v. Union of India & Ors.

Sir,

1. I am directed to refer to para 9(b) of AFI 4/S/74 as amended and Serial No.12 of Appendix 'B' to AFI 2/S/74, as amended and to state that the president is pleased to decide that with effect from 01 Sep 1981, the rates of flying pay will be enhanced as under:-

(i) Wing Commander and below

Rs.750.00 pm

(ii) Group Captain and Air Cmde

Rs.666.00 pm

(iii) Air Vice Marshal and above

Rs.600.00 pm

(iv) Airmen including JWOs, WOs and MWOS

Rs.374.50 pm

2. The increased flying pay will be admissible subject to additional insurance cover as given below, taken through Air Force Group Insurance Society (AFGIS):-

(a) Officers of the flying branch are required to obtain additional life insurance cover against all risks, including flying for a minimum of Rs.2 Lakhs effective from 01 Oct 81, on payment of monthly contribution as given below:-

(i) Wing Commander and below

Rs.325.00 pm

(ii) Group Captain and Air Cmde

Rs.283.00 pm

(iii) Air Vice Marshal and above

Rs.250.00 pm

(b) Officers of the Ground duty Branches, entitled to flying pay will be required to obtain additional life

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insurance cover against all risks, including flying, for a minimum of Rs.2 Lakhs effective from 01 Oct 81, on payment of monthly contribution as applicable to equivalent ranks of the flying branch only during the period of entitlement of flying pay.

(c) Airmen aircrew, entitled to flying pay, will be required to obtain additional life insurance cover against all risks, including flying for a minimum of Rs. One Lakhs effective from 01 Oct 81, on payment of monthly contribution of Rs.162.00 only during the period of entitlement to flying pay.

(d) The Air Force Group Insurance Society will pay Survival Benefit to persons covered under the above insurance scheme on retirement/release, the amount of which will be determined by the said Society from time to time.

3. (a) The amount payable to the Group Insurance Scheme is to be recovered from IRLAs of officers and airmen from the pay of Sep 81 onwards and paid by the Air Force Central accounts Office to Air Force Group Insurance Society in respect of personnel for whom IRLAs are maintained, on the day pay for the month is disbursed.

(b) (i) Deputationists and other officers and airmen for whom no IRLAS are maintained at Air Force Central Accounts Office and who are entitled to enhance flying pay, are to obtain insurance cover for the amounts, as applicable by remitting the contributions to Air Force Group Insurance Society for the flying pay to be admitted.

(ii) In the case of the existing deputationist and other officers and airmen for whom no IRLAs are maintained by Air Force Central Accounts Office and who are entitled for enhanced flying pay contributions are to be remitted by them direct to the AFGIS latest by 01 Jun 82. However, the contributions will have to be made wef 01 Oct 81.

Ravi Khokhar & Ors. v. Union of India & Ors.

(iii) In the case of the officers mentioned above whom no IRLAs are maintained by AFCAO, the controlling officers will admit flying pay only on receiving a certificate/receipt from the Air Force Group Insurance Society to the effect that the individual has contributed for the month(s) for which flying pay is admitted.

(c) In view of the provisions made in sub paras (a) & (b) (iii) above, no certificate of payment of insurance premium will be required to be given by OC Unit and no POR is necessary, in respect of this additional insurance cover. However, the flying pay certificate prescribed in the Appendix 'G' to AFI 2/S/74 and Appendix 'C' to AFI 2/S/74 will continue to be furnished.

4. Other conditions governing flying pay including insurance cover required under the earlier orders remain unchanged.

5. AFI 4/S 74 and AFI 2/S/74 will be amended in due course.

6. This issues with the concurrence of Min of Fin (Def) vide their No.2622/Pay/ AA of 1981.

Yours faithfully,

Sd/-

(N.N. Mathur)

Desk Officers

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14. For point **(h)** the Notification dated 31st October 1983 exempting the Society from estate duty is extracted below:-

"Appendix 'D'
(Refers to para 8
of Chapter 1)

**TO BE PUBLISHED IN PART II SECTION 3-SUB
SECTION (1) OF THE GAZETTE OF INDIA**

Government of India
Central Board of Direct Taxes
New Delhi, the 31st October, 1983

Supreme Court Reports**NOTIFICATION
ESTATE DUTY**

GSR 841, Whereas the Central Government is of opinion that circumstances are such that some relief in addition to the relief provided in sub section (i) of Section 33 of the Estate Duty act, 1953 (34 of 1953) should be given in respect of the following class of property belonging to the deceased which passes on his death and in respect of which estate duty is liable to be levied and collected under the said Act, namely, the money payable under Army Group Insurance Scheme or the Naval Group Insurance Scheme or the Air Force Group Insurance Schemes as the case may be, in existence on the date of publication of this Notification in the Official Gazette. Now, therefore, in exercise of the power conferred by sub section (2) of the section 33 of the Estate Duty Act, 1953 (34 of 1953), the Central Government hereby directs that no estate duty shall be payable in respect of the aforesaid class of property.

Sd/

(Arvind Pinto)

Under Secretary to the Government of India

(F.No.296/7/83-ED)

Notification dated 5th June 1985 exempting AFGIS from income tax, is as under:-

“Appendix ‘B’

(Refers to para 7(c) of Chapter 1)

Copy

**TO BE PUBLISHED IN PART II SECTION 3 (II) OF
THE GAZETTE OF INDIA**

GOVERNMENT OF INDIA
MINISTRY OF FINANCE
DEPARTMENT OF REVENUE
NEW DELHI, TIME 5th JUNE, 1985

Ravi Khokhar & Ors. v. Union of India & Ors.**NOTIFICATION****INCOME TAX**

S.O. In pursuance of sub clause (f) of clause (iii) of sub section (3) of section 194A of the Income Tax Act, 1961 (43 of 1961), the Central Government hereby notifies the Society known as Air Force Group Insurance Society, New Delhi, for the purpose of the said sub- clause.

(F. No. 275/29/85-IT (B)

Sd/-

(B.Nagarajan)

Deputy Secretary to
the Govt of India

xxx

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xxx”

15. In our view, a perusal of the documents extracted *supra* make out a case for AFGIS to be considered ‘State’ within the meaning of Article 12. For the aspect of deep and pervasive control, we observe that the Hon’ble President of India granted sanction for AFGIS to be established and also specifically approved the deputation Rules; the Principal Director (AFGIS), every month is to apprise the Assistant Chief of Air Staff regarding the cash flow of AFGIS which ensures monitoring by a core member of the IAF on the activities of AFGIS; the membership and deductions arising therefrom are a compulsory aspect of serving in the IAF, meaning thereby that there is no choice of the individual officer in that matter and instead is a mandate from the employer. When the aspect of administrative control is examined, it is seen that all the members of the Board of Trustees, so also the Managing Committee are serving members of the IAF and are deputed to AFGIS for a fixed period. In essence, therefore, the administration of the Body is entirely in the hands of Government servants even though the body itself is a purportedly private, a self-contained society. The appellant, in submitting that financial control also rests with the Government says that since the mandatory reduction of the premium is directly/automatically from the salary of the members of IAF and these salaries are charged to the Consolidated Fund of India- this shows financial control.

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16. We are unable to accept this contention. It may be that in so far as financial aspects of AFGIS are concerned, the Government may not have a direct role however for a body to be held to be a 'State' it is the cumulative effect and impact of deep and pervasive control, financial and administrative control along with other factors such as carrying out of public duty.
17. We are of the considered view that AFGIS does indeed perform a public duty. The protection and welfare of armed forces personnel is a core government function. The role of the armed forces is directly linked to the sovereignty and security of the nation and in protecting the same members of the forces are required to adhere to, abide by, and maintain a strict set of rules, unquestionable conduct, and at times in the most severe and adverse circumstances. Thus, providing insurance coverage is a public function as it addresses a collective obligation the State has towards a defined public class whose service is indispensable. The body, in effect, becomes a conduit for the discharge of that obligation. The role of the State in protecting them does not end upon their superannuation from service for the life of a person from the forces is forever shaped by their time in service. Insurance to service members is a critical instrument for safeguarding their physical, mental well-being, dignity and economic security. It operates as an assurance of protection and support in case contingencies such as disability or illness befall them or even untimely death which is a real possibility in these services. The fact that healthcare, rehabilitation, support to dependants is available readily, is undoubtedly an aspect that gives great peace of mind to the member of service enabling them to carry out their duties without worry, at least in this regard.
18. In addition to the discussion above, it is also seen that at one-point AFGIS itself claimed to be Government while claiming an exemption from service taxes, since it is under the control of Ministry of Defence. In effect, by opposing the challenge of the appellants, AFGIS has resiled from its own statement. We fail to understand an organisation can be '*Government*' for one purpose and not be, for another purpose.
19. Consequent to the above discussion, AFGIS would be '*State*' under Article 12. The writ petition before the High Court accordingly, maintainable. The said writ petition on the grievance of the appellants

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is restored. The High Court is requested to decide the same expeditiously keeping in view the fact that the same has been filed in the year 2017. Appeal is allowed.

Pending application(s) if any shall stand disposed of.

Result of the case: Appeal allowed.

[†]Headnotes prepared by: Ankit Gyan

Ramadebi Rautray

v.

State of Odisha & Ors.

(Civil Appeal No. 3270 of 2026)

10 March 2026

[Vikram Nath and Sandeep Mehta,* JJ.]

Issue for Consideration

Issue arose as regards the correctness of the order passed by the High Court upholding the declaration that the election of the respondent to the post of Chairman Delang Panchayat Samiti was invalid, however, setting aside the declaration made in favour of the appellant directing her appointment as the Chairman, and directing fresh election for the said post.

Headnotes[†]

Orissa Panchayat Samiti Act, 1959 – ss.45(1)(v), 44-E, 44-J – Disqualification on becoming a member and continuing as a member – Election to the post of Chairman Delang Panchayat Samiti – Appellant and the respondent, both members of Panchayat Samitis contested the election and respondent declared elected – Appellant challenged the election of the respondent as the Panchayat Samiti Member and Chairman u/s.45(1)(v) on the ground that she was disqualified from contesting the said election, as she had given birth to a third child after the cut-off date – Tribunal allowed the election petition declaring the election of the respondent-turned candidate to both the post as void, and declared the appellant to be the Chairman being the candidate who secured next highest number of votes – Respondent filed an appeal – Appellate tribunal upheld the declaration that the election of the respondent was invalid, however, the declaration made in favour of the appellant directing her appointment as the Chairman set aside, and directed fresh election for the said post – High Court upheld the judgment of the appellate tribunal – Challenge to:

Held: Decision of the tribunal, as affirmed by the appellate tribunal and the High Court, disqualifying the respondent-turned candidate,

* Author

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does not require any interference whatsoever, because from the material available on record, it is clear that the respondent failed to cross-examine the appellant-election petitioner and her witnesses, despite ample opportunities having been granted to her – Appellant having led clinching evidence remained uncontroverted of facts necessary to prove the disqualification – With the disqualification of the respondent having been affirmed, no other contestant except the appellant remained in fray for the post of Chairman of the Delang Panchayat Samiti, as only the respondent and the appellant had contested the said election – Elections were held way back in the year 2022, process of adjudication of the election petition, the appeal and the writ petition consumed more than 3 years – If at this stage, the appellant is deprived of the fruits of her successful challenge to the election of the respondent, by asking her to contest a fresh election, that would amount to a travesty of justice – Thus, the declaration made by the tribunal, to the effect that the appellant was duly elected as the Chairman and directing her appointment to the said post is just, legal and equitable – Appellate tribunal erred in reversing the said declaration on the premise that other members of the Delang Panchayat Samiti should be given an opportunity to contest for the post of Chairman – High Court too, erred in affirming the same to that extent – For election to the post of Chairman of the Delang Panchayat Samiti, only the appellant and the respondent had contested and hence setting aside of the declaration issued by the tribunal in favour of the appellant, wholly unwarranted and uncalled for – Impugned judgment passed by the appellate tribunal, and by the High Court, to the extent that the appellant has been deprived of the consequential declaratory relief of being elected as the Chairman, set aside – Direction given by the tribunal declaring the appellant elected to the post of Chairman of the Delang Panchayat Samiti restored. [Paras 19, 20, 23-28]

List of Acts

Orissa Panchayat Samiti Act, 1959.

List of Keywords

Election; Fresh election for the post; Disqualification on becoming a member and continuing as a member; Election to the post of Chairman Delang Panchayat Samiti; Election to the post of Panchayat Samiti Member; Disqualification from contesting the election; Birth of a third child after the cut-off date.

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Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 3270 of 2026

From the Judgment and Order dated 15.12.2025 of the High Court of Orissa at Cuttack in WPC No. 5196 of 2025

With

Special Leave Petition (Civil) No. 3528 of 2026

Appearances for Parties

Advs. for the Appellant(s):

Kedar Nath Tripathy, Aditya Narayan Tripathy, Umakant Misra, Tushar Garg, Ms. Prabhati Nayak, Debabrata Dash.

Judgment / Order of the Supreme Court

Judgment

Mehta, J.

Civil Appeal @ SLP(Civil) No. 4129 of 2026

1. Heard. Leave granted.
2. The instant appeal by special leave arises from the common judgment and order dated 15th December, 2025 passed by the High Court of Orissa at Cuttack¹ in W.P. (C) No. 5565 of 2025 filed by the appellant, Ramadebi Rautray², and W.P.(C) No. 5196 of 2025, filed by the respondent, Basanti Sahoo³, whereby the High Court dismissed both the writ petitions and upheld the order of the Court of the learned 1st Additional District Judge, Puri⁴, disqualifying the respondent-turned candidate from the post of Panchayat Samiti Member, Harirajpur Gram Panchayat as well as of Chairman of the Delang Panchayat Samiti and directing re-election for the said post.

¹ Hereinafter, referred to as the "High Court".

² Hereinafter, referred to as the "appellant-election petitioner".

³ Hereinafter, referred to as the "respondent-turned candidate".

⁴ Hereinafter, referred to as the "Election Appellate Tribunal".

Ramadebi Rautray v. State of Odisha & Ors.**I. BRIEF FACTS**

3. Briefly stated, facts relevant and essential for the disposal of the appeal are as below.
4. The appellant-election petitioner and the respondent-turned candidate contested the elections for the post of Panchayat Samiti Member, Delang Kothabad Gram Panchayat, and Harirajpur Gram Panchayat, respectively, in the year 2022. Both were duly elected as members from their respective constituencies.
5. Pursuant to being elected as members of Panchayat Samitis, both the appellant-election petitioner and the respondent-turned candidate contested the election for the post of Chairman of the Delang Panchayat Samiti. It is important to note here that the appellant-election petitioner and the respondent-turned candidate were the only two contestants for the post of Chairman. The respondent-turned candidate was declared elected, whereas the appellant-election petitioner lost the election for the post of Chairman.
6. The appellant-election petitioner instituted Election Misc. Case No. 01 of 2022 before the learned Civil Judge (Senior Division), Pipili⁵ challenging the election of respondent-turned candidate as the Panchayat Samiti Member, Harirajpur Gram Panchayat and Chairman of the Delang Panchayat Samiti, on the ground that she was disqualified from contesting the said election, as she had given birth to a third child after the cut-off date and hence, she was barred from contesting the election to the post of Panchayat Samiti Member, Harirajpur Gram Panchayat in view of the embargo contained in Section 45(1)(v) of the Orissa Panchayat Samiti Act, 1959⁶.
7. In the proceedings before the Election Tribunal, the appellant-election petitioner examined herself as PW-1, and two more witnesses were examined in support of her case. Ten documents were produced and exhibited in order to substantiate the plea that the respondent-turned candidate stood disqualified on the ground of having a third child born to her after the cut-off date. The respondent-turned candidate, despite being afforded ample opportunities, neither cross-examined the appellant-election petitioner and her witnesses, nor did she lead

5 Hereinafter, referred to as the "Election Tribunal".

6 Hereinafter, referred to as the "1959 Act".

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any evidence in her own defense. Consequently, the evidence of the appellant-election petitioner remained uncontroverted.

8. The election petition was allowed by the Election Tribunal, declaring the election of the respondent-turned candidate as Panchayat Samiti Member, Harirajpur Gram Panchayat to be invalid and as a consequence, her election to the post of Chairman of the Delang Panchayat Samiti was also declared to be void.
9. The Election Tribunal also passed a consequential order in favour of the appellant-election petitioner and declared her to be the Chairman of the Delang Panchayat Samiti, being the candidate who secured next highest number of votes. The competent authority was accordingly directed to fill up the post of the Chairman of the Delang Panchayat Samiti by appointing the appellant-election petitioner to the said post.
10. Being aggrieved, the respondent-turned candidate preferred Election Appeal No.10/3 of 2024 before the Election Appellate Tribunal. The said appeal was disposed of by upholding the declaration of the Election Tribunal that the election of the respondent-turned candidate as Panchayat Samiti Member of the Harirajpur Gram Panchayat was invalid. However, the consequential declaration made in favour of the appellant-election petitioner directing her appointment as the Chairman of the Delang Panchayat Samiti, was set aside. The Election Appellate Tribunal accordingly directed fresh election for the said post.
11. Aggrieved by the decision of the Election Appellate Tribunal, both the appellant-election petitioner and the respondent-turned candidate filed writ petitions⁷ before the High Court. The appellant-election petitioner challenged the direction for fresh election to the post of Chairman of the Delang Panchayat Samiti, whereas the respondent-turned candidate assailed the finding whereby she had been disqualified from holding the office of Panchayat Samiti Member, Harirajpur Gram Panchayat and that of Chairman of the Delang Panchayat Samiti. The High Court, by the impugned judgment, dismissed both the writ petitions and upheld the judgment of the Election Appellate Tribunal. Aggrieved thereby, both the appellant and the respondent are before this Court by way of separate special leave petitions.

⁷ W.P. (C) No. 5565 of 2025 (filed by appellant-election petitioner); W.P.(C) No. 5196 of 2025 (filed by respondent-turned candidate).

Ramadebi Rautray v. State of Odisha & Ors.**II. SUBMISSIONS ADVANCED**

12. Shri Umakant Misra, learned counsel representing the appellant-election petitioner, urged that the plea taken by the respondent-returned candidate that she was not granted an opportunity to defend herself is wholly unfounded. He referred to the findings recorded in paragraph 12 of the High Court judgment, wherein reference has been made to the proceeding sheets of the Election Tribunal, and submitted that ample opportunities had been provided to the respondent-returned candidate to contest the case and to cross-examine the witnesses. However, she did not avail of such opportunities and her endeavour was aimed at delaying the disposal of the election petition.
13. He further submitted that the evidence of the appellant-election petitioner, examined as PW-1, was not completed on a single day but was deferred on several dates at the request of the respondent-returned candidate. However, when cross-examination was not conducted and the proceedings were sought to be lingered on, the cross-examination was closed by the Election Tribunal. The order closing cross-examination of the witnesses was never challenged thereafter and has thus attained finality. Similar was the situation for the other witnesses examined by the appellant-election petitioner. Thus, the case set up by the appellant-election petitioner seeking disqualification of the respondent-returned candidate on the ground of having a third child born to her after the cut-off date remained uncontroverted leading to the inevitable consequence of voiding of respondent-returned candidate election as Panchayat Samiti Member, Harirajpur Gram Panchayat and consequently as Chairman of the Delang Panchayat Samiti.
14. Shri Misra further submitted that the Election Appellate Tribunal as well as the High Court fell into grave error in denying the consequential relief of appointment to the post of Chairman to the appellant-election petitioner. He urged that Section 45(1)(v) of the 1959 Act, which provides for disqualification on the ground of having more than two children, once attracted, renders the returned candidate statutorily disqualified from holding the office. It was urged that where a returned candidate suffers from such a statutory disqualification, the election petitioner is entitled as of right to seek setting aside of the election

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of the disqualified candidate along with consequential reliefs flowing therefrom. He further urged that the provisions of the 1959 Act, more particularly, Sections 44-E and 44-J aim to provide an effective and meaningful remedy in election disputes so as to avoid unnecessary elections where the outcome is effectively determinable on the basis of the votes already polled. In the present case, only the appellant-election petitioner and the respondent-turned candidate contested the election for the post of Chairman. He thus contended that once the election of the respondent-turned candidate was set aside, the only permissible and natural consequence was to declare the appellant-election petitioner elected to the post of Chairman, as she had secured the next highest number of valid votes.

15. *Per contra*, Shri Kedar Nath Tripathy, learned counsel appearing for the respondent-turned candidate, vehemently and fervently contended that: (i) the Election Tribunal did not have jurisdiction to try the election petition filed by the appellant-election petitioner; and (ii) the respondent-turned candidate was not afforded adequate opportunity to contest the election petition and to adduce evidence in her defense.
16. He further submitted that, as a matter of fact, only one child was born to the respondent-turned candidate, whereas the other two children were born from her husband's first marriage and thus, she was wrongly and unjustly declared disqualified from the posts.

III. ANALYSIS

17. We have heard and considered the submissions advanced by the learned counsel for the parties and have gone through the impugned orders.
18. The issue of jurisdiction of the Election Tribunal was not seriously contested by the respondent-turned candidate on any valid legal ground and thus, the same does not merit consideration.
19. So far as the decision of the Election Tribunal, as affirmed by the Election Appellate Tribunal and the High Court, disqualifying the respondent-turned candidate is concerned, the same does not require any interference whatsoever, because manifestly, from the material available on record, it is clear that the respondent-turned

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candidate failed to cross-examine the appellant-election petitioner and her witnesses, despite ample opportunities having been granted to her.

20. It is apparent that, by avoiding cross-examination of the witnesses, the respondent-turned candidate was attempting to buy time and defer the inevitable consequence *i.e.*, declaration of her election as Panchayat Samiti Member, Harirajpur Gram Panchayat, invalid on account of the disqualification contained in Section 45(1)(v) of the 1959 Act. The appellant-election petitioner having led clinching evidence (which remained uncontroverted) of facts necessary to prove such disqualification, the necessary consequence was the disqualification of the respondent-turned candidate. Hence, the three concurrent findings of the Election Tribunal, Election Appellate Tribunal, and the High Court on this aspect require no interference of this Court.
21. Insofar as the claim of the appellant-election petitioner for the post of Chairman is concerned, reference may be gainfully made to Sections 44-E and 44-J of the 1959 Act, which read as follows:

“Section 44-E. Relief that may be claimed by the petitioner. –

A petitioner may, in addition to claiming a declaration that the election of all or any of the returned candidates is void, claim a further declaration that he himself or any other candidate, has been duly elected.

Section 44-J. Decision of Civil Judge (Senior Division). –

(1) If the Civil Judge (Senior Division), after making such enquiry, as he deems necessary, finds in respect of any person whose election is called in question by a petition that his election was valid, he shall dismiss the petition as against such person and may award costs at his discretion.

(2) If the Civil Judge (Senior Division) finds that the election of any person was invalid, it shall either-

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(a) declare that a casual vacancy to have been created; or

(b) declare another candidate to have been duly elected;

whichever course appears, in the circumstances of the case to be more appropriate and in either case, may award costs at his discretion.

(3) In the event of the Civil Judge (Senior Division) declaring a casual vacancy to have been created, it shall direct the Collector of the district or such other authority prescribed in this behalf to take proceedings for filling the vacancy.

(4) All orders of the Civil Judge (Senior Division) shall, subject to any order passed in an appeal, if any, be final and conclusive.”

(Emphasis supplied)

22. A plain reading of Sections 44-E and 44-J of the 1959 Act makes it amply clear that the former provision permits the election petitioner to claim relief not only for having the election of the returned candidate declared invalid, but also for declaring the election petitioner duly elected to the post. The latter provision, *i.e.*, Section 44-J(2)(b), confers jurisdiction upon the Civil Judge/Election Tribunal to declare any other candidate as duly elected in cases where the election of the originally returned candidate is found to be invalid.
23. Indisputably, in the present case, the appellant-election petitioner and the respondent-turned candidate were the only two contesting candidates for the post of Chairman of Delang Panchayat Samiti. With the disqualification of the respondent-turned candidate having been affirmed, no other contestant except the appellant-election petitioner remained in fray for the post of Chairman of the Delang Panchayat Samiti, as only the respondent-turned candidate and the appellant-election petitioner had contested the said election.
24. It is noteworthy that the elections were held way back in the year 2022. The process of adjudication of the election petition, the appeal and the writ petition consumed more than 3 years. Thus, in our opinion,

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if at this stage, the appellant-election petitioner is deprived of the fruits of her successful challenge to the election of the respondent-turned candidate, by asking her to contest a fresh election, that would amount to a travesty of justice.

25. In this background, we are of the firm opinion that the declaration made by the Election Tribunal, to the effect that the appellant-election petitioner was duly elected as the Chairman of the Delang Panchayat Samiti and directing her appointment to the said post is just, legal and equitable. The Election Appellate Tribunal fell into clear error in reversing the said declaration on the premise that other members of the Delang Panchayat Samiti should be given an opportunity to contest for the post of Chairman. The High Court too, erred in affirming the judgment of the Election Appellate Tribunal to that extent.
26. At the cost of repetition, it may be noted that, for election to the post of Chairman of the Delang Panchayat Samiti, only the appellant-election petitioner and the respondent-turned candidate had contested and hence setting aside of the declaration issued by the Election Tribunal in favour of the appellant-election petitioner on the premise that an opportunity should be given to other members of the Delang Panchayat Samiti, was wholly unwarranted and uncalled for.

IV. CONCLUSION

27. Consequently, the impugned judgment dated 3rd February, 2025 passed by the Election Appellate Tribunal, and the judgment dated 15th December, 2025 passed by the High Court, to the extent that the appellant-election petitioner has been deprived of the consequential declaratory relief of being elected as the Chairman of the Delang Panchayat Samiti, are hereby set aside.
28. Resultantly, the direction issued by the Election Appellate Tribunal declaring a casual vacancy for the post of Chairman of the Delang Panchayat Samiti is also set aside. The direction given by the Election Tribunal declaring the appellant-election petitioner elected to the post of Chairman of the Delang Panchayat Samiti is restored. Consequential steps for compliance be taken within two weeks from today.
29. The appeal is allowed accordingly. Cost made easy.
30. Pending application(s), if any, shall stand disposed of accordingly.

Supreme Court Reports**SPECIAL LEAVE PETITION(CIVIL) NO(S). 3528 OF 2026**

31. In view of the findings recorded by us by allowing Civil Appeal @ SLP(Civil) No. 4129 of 2026, the special leave petition preferred by the petitioner herein fails and is hereby dismissed. Cost made easy.
32. Pending application(s), if any, shall stand disposed of.

Result of the case: Appeal allowed.

Special Leave Petition dismissed.

†Headnotes prepared by: Nidhi Jain

**Canara Bank Overseas Branch Rep. by Senior Manager
v.**

Archean Industries Private Limited and Another

(Civil Appeal No. 13861 of 2024)

17 March 2026

[J.B Pardiwala and R. Mahadevan,* JJ.]

Issue for Consideration

(i) Whether there is a valid undertaking by way of a guarantee executed by Defendant No.1 and whether Defendant No.1 can absolve from its liability; (ii) Whether the reasons adopted by the Division Bench of the High Court warrant interference by this Court.

Headnotes[†]

Contract Act, 1872 – ss.126, 127, 128, 137, 138, 140, 141 – Plaintiff-Goltens Dubai carried out extensive repair works on the vessel *Master Panos* at request of the owner – Defendant No.1 had entered into a Charter Party Agreement dated 09.03.1998 with the vessel owner for shipment – Under the said arrangement, it was agreed that out of the freight payable by Defendant No.1 to the vessel owner, a sum of US \$100,000 would be paid directly by the owner to the plaintiff in partial discharge of the vessel owner’s liability towards repair charges – Defendant No.1 addressed a letter to its banker, Defendant No.2, namely Canara Bank, to remit US \$ 100,000 by telegraphic transfer to the account of the plaintiff – However, instead of remitting the amount to the account of the plaintiff as instructed, Defendant No.2 erroneously transferred the amount to the account of the vessel owner – As the amount remained unpaid, the plaintiff instituted a recovery suit – The Single Judge of the High Court by judgment dated 18.11.2010 decreed the suit in favour of the plaintiff and held that Defendant No.1 was liable to pay the suit amount – Aggrieved, Defendant No.1 preferred appeal – The Division Bench allowed the appeal to the limited extent by granting Defendant No.1 the benefit of a third-party decree against Defendant No.2 for recovery

* Author

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of the amount which had been erroneously remitted by the bank, while affirming the liability of Defendant No.1 towards the plaintiff – Correctness:

Held: In C.A.No.13862 of 2024 filed by Defendant No.1, a perusal of the record reveals that Defendant No.1 had executed multiple documents expressing its commitment to pay the plaintiff including the letter dated 25.04.1998 styled as a “Corporate Guarantee” – In the instant case, the owner of the vessel had instructed Defendant No.1 to pay a sum of US \$100,000 to the plaintiff towards discharge of its liability for the repairs carried out to the vessel – By a letter dated 22.04.1998, Defendant No.1 addressed the plaintiff assuring that a sum of US \$100,000 would be paid after the cargo was cleared, in clear and unequivocal terms – The contents of the said letter also indicate that Defendant No.1 had undertaken to make the payment and had requested that the arrangement should not be disclosed to the owner of the vessel – A conjoint reading of the documents on record, particularly the letter dated 22.04.1998 and the Corporate Guarantee dated 25.04.1998, clearly establishes that the undertaking to pay was not merely a freight-sharing arrangement but an independent guarantee satisfying the requirements of ss.126 to 128 of the Contract Act – Exhibits P10 and P11 constitute a valid undertaking by Defendant No.1 to discharge the liability of the vessel owner in the event of its default in payment of the repair charges – Further, after the cargo had been delivered by the owner of the vessel, and upon the plaintiff demanding payment, Defendant No.1, by Exhibit P14, requested Defendant No.2 Bank to transfer a sum of US \$100,000 to the plaintiff – This conduct clearly reflects the intention of Defendant No.1 to honour the undertaking given by it – This Court, therefore, concur with the findings recorded by the High Court – There is a valid undertaking by way of a guarantee executed by Defendant No.1, and Defendant No.1 cannot absolve from its liability – Further, the interests of Defendant No.1 are protected as its right to recover the amount from the owner of the vessel is preserved u/s.140 of the Contract Act, and the High Court has also granted a third-party decree in its favour against the Bank – In CA. No.13861 of 2024 filed by Defendant No.2 Bank, the Division Bench of the High Court concurred with the findings of the trial Court that the Bank had been instructed by Defendant No.1 through Exhibit P14 and the accompanying Form A-2 to remit a sum of US \$100,000 to the plaintiff – This Court, is in agreement with the view taken by the High Court – The facts of the present case reveal

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Archean Industries Private Limited and Another**

that the Bank, despite clear instructions to remit the US \$100,000 to the account of the plaintiff, failed to do so due to an error on its part – This mistake was also admitted by the Bank – The Division Bench has carefully considered these aspects – Defendant No.1 was therefore rightly held entitled to a third-party decree against Defendant No.2 Bank. [Paras 14, 23, 25, 33, 34, 36]

Contract Act, 1872 – ss.126, 127, 128, 137, 138, 140, 141 – A contract of guarantee:

Held: A contract of guarantee is an undertaking to perform the promise or discharge the liability of a third person, in case of his default – It is essentially a voluntary act of taking up the burden of a third party, who has received or is about to receive some benefit and has failed to make the payment – The guarantor is called the “surety” and person in default is called the “Principal Debtor”. [Para 15.1]

Contract Act, 1872 – ss.126, 127, 128, 137, 138, 140, 141 – Whether it is necessary for the guarantor to derive any direct benefit from the transaction:

Held: It is well settled that it is not necessary for the guarantor to derive any direct benefit from the transaction – It is sufficient if the principal debtor derives the benefit – The consideration for a contract of guarantee may be past, present or future – The guarantee is, in itself, a separate contract and enforceable independently, and the liability of the surety is co-extensive with that of the principal debtor unless otherwise provided by the contract – Consequently, both are jointly and severally liable – The creditor, to whom both the principal debtor and surety are liable, can sue either or both of them – In case, the creditor proceeds to recover only from the surety, the surety is at liberty to recover the same from the principal debtor as he would have stepped into the shoes of the original creditor by virtue of the doctrine of subrogation, and all the attendant remedies available to the creditor are available to him. [Para 16]

Case Law Cited

Phoenix ARC Private Limited v. Ketulbhai Ramubhai Patel [2021] **1 SCR 1043 : (2021) 2 SCC 799**; *Maitreya Doshi v. Anand Rath*
Global Finance Limited and Another [2022] **15 SCR 536 : (2023) 17 SCC 606 – held inapplicable.**

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Union of India v. Ibrahim Uddin and Another [2012] 8 SCR 35 : (2012) 8 SCC 148; *Ram Sarup Gupta (Dead) by LRs. v. Bishun Narain Inter College and Others* [1987] 2 SCR 805 : (1987) 2 SCC 555; *Bank of Bihar Ltd. v. Damodar Prasad and Others* [1969] 1 SCR 620 : MANU/SC/0220/1968; *State Bank of India v. V. Ramakrishnan and Others* [2018] 10 SCR 974 : (2018) 17 SCC 394; *Asset Reconstruction Co. Ltd. v. Electrosteel Castings Ltd.* [2026] 1 SCR 130 : 2026 SCC OnLine SC 26 : (2026) 264 Comp Cas 11; *Mumbai International Airport (P) Ltd. v. Regency Convention Centre & Hotels (P) Ltd.* [2010] 7 SCR 790 : (2010) 7 SCC 417; *Rohit Singh & Others v. State of Bihar* [2006] Supp. 7 SCR 278 : (2006) 12 SCC 734; *Sanjay Tiwari v. Yugal Kishore Prasad Sao & Others*, 2025 LiveLaw (SC) 1097; *Kanaklata Das and others v. Naba Kumar Das and Others* [2018] 1 SCR 806 : (2018) 2 SCC 352 : MANU/SC/0041/2018 – referred to.

List of Acts

Contract Act, 1872.

List of Keywords

Remittance; Indemnity; Contract of guarantee; freight; Bank's liability; Third-party procedure; Co-extensive Liability; Consideration for Guarantee; Banker's Mandate; Wrongful Remittance; Letters of Undertaking; Admitted Negligence.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 13861 of 2024

From the Judgment and Order dated 16.08.2021 of the High Court of Judicature at Madras in OSA No. 423 of 2012.

With

Civil Appeal No. 13862 of 2024

Appearances for Parties

Advs. for the Appellant(s):

Ramakrishnan Viraraghavan, Gopal Jain, Sr. Advs., K. Krishna Kumar, Dhananjay Kumar, Rajesh Kumar Gautam, Anant Gautam, Ajay Sharma, Deepanjal Chaudhary, Vibhu Sharma, Ms. Likivi Jakhalu, Ms. Azal Aekram.

**Canara Bank Overseas Branch Rep. by Senior Manager v.
Archean Industries Private Limited and Another**

Advs. for the Respondent(s):

Ramakrishnan Viraraghavan, Siddharth Yadav, Sr. Advs.,
K. Krishna Kumar, Dhananjay Kumar, Rajesh Kumar Gautam,
Anant Gautam, Ajay Sharma, Deepanjal Chaudhary, Vibhu Sharma,
Ms. Likivi Jakhalu, Ms. Azal Aekram, Wasim Ashraf, Krishna Ballabh
Thakur, Narender Lodiwal, Narendar Lodiwal, Ms. Rashmi Kumari.

Judgment / Order of the Supreme Court

Judgment

R. Mahadevan, J.

1. Since both the appeals assail the same judgment and involve interconnected issues, they were heard together and are being disposed of by this common judgment.
2. The present Civil Appeals arise out of the common judgment and decree dated 16.08.2021 passed by the High Court of Judicature at Madras¹ in O.S.A. No. 423 of 2012, whereby the Division Bench of the High Court allowed the appeal to the limited extent of decreeing the claim of Defendant No. 1 (Appellant in C.A. No. 13862 of 2024) against Defendant No. 2 (Appellant in C.A. No. 13861 of 2024) under the third-party procedure as prayed for, while affirming the judgment and decree dated 18.11.2010 passed by the learned Single Judge of the High Court in C.S. No. 933 of 1998 in all other respects.
3. The aforesaid Civil Suit was instituted by the plaintiff - Goltens Dubai (Respondent No. 2 in C.A. No. 13861 of 2024 and Respondent No. 1 in C.A. No. 13862 of 2024) seeking a judgment and decree against Defendant Nos. 1 and 2 viz., Archean Industries Private Limited (Appellant in C.A. No. 13862 of 2024) and Canara Bank, Overseas Branch, Chennai (Appellant in C.A. No. 13861 of 2024) jointly and severally, for a sum of Rs. 48,26,750/- together with interest at the rate of 21% per annum on Rs. 43,00,000/- from the date of the plaint till realisation along with costs. By judgment and decree dated 18.11.2010, the learned Single Judge decreed the suit as prayed for only against Defendant No. 1 while dismissing the suit insofar as Defendant No. 2 is concerned, without costs.

¹ Hereinafter referred to as "the High Court"

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4. The Plaintiff is a company engaged in ship repair and marine engineering services in Dubai. Defendant No. 1 is a company engaged in the export of granite and had chartered the vessel *Master Panos* for shipment of granite from Chennai to Newark in the United States of America. Defendant No. 2 acted as the banker of Defendant No. 1 and was entrusted with the remittance of the amount in question. For the sake of convenience, the parties shall hereinafter be referred to as per their status in the suit.

FACTUAL BACKGROUND

5. The facts giving rise to the present dispute, in brief, are that the plaintiff - Goltens Dubai, a ship repair company based in the United Arab Emirates, carried out extensive repair works on the vessel *Master Panos* during the period January to March 1998 at the request of its owner and operator/manager namely M/s. Royal Swan Navigation Co. Ltd. and M/s. Pevson Shipping Company S.A., respectively. The cost of the repair works was invoiced at US \$ 435,232. As the payment remained outstanding, the plaintiff initiated legal proceedings which resulted in the arrest of the vessel at Dubai, thereby causing additional expenses of US \$ 42,330 and raising the total outstanding liability to US \$ 477,562.
 - 5.1. Following negotiations between the plaintiff and the vessel owner, a Memorandum of Agreement dated 18.03.1998 was executed whereby the liability was reduced to US \$ 377,562 on the condition that the entire amount would be paid on or before 08.04.1998, failing which the original liability of US \$ 477,562 would stand revived. Under the said settlement, the amount was to be paid from various sources, including a sum of US \$ 100,000 which was to be remitted directly to the plaintiff through the owner Royal Swan.
 - 5.2. In the meantime, Defendant No. 1 had entered into a Charter Party Agreement dated 09.03.1998 with the vessel owner for shipment of approximately 2,500 metric tonnes of granite from Chennai to Newark in the United States of America. Under the said arrangement, it was agreed that out of the freight payable by Defendant No. 1 to the vessel owner, a sum of US \$ 100,000 would be paid directly by the owner to the plaintiff in partial discharge of the vessel owner's liability towards repair charges.

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- 5.3. The vessel owner by communication dated 21.04.1998 addressed to Defendant No. 1, issued instructions to Defendant No. 1 that the said sum be remitted directly to the bank account of the plaintiff maintained with Standard Chartered Bank, Deira Branch, Dubai.
- 5.4. Pursuant thereto, Defendant No. 1 by communication dated 22.04.1998, acknowledged that a sum of US \$ 100,000 had been retained from the freight payable to the vessel owner and confirmed that the amount would be remitted to the plaintiff upon the vessel reaching the port of Newark. Subsequently, on 25.04.1998, Defendant No. 1 issued a document styled as a “Corporate Guarantee” in favour of the plaintiff undertaking to pay the said amount upon the vessel’s arrival at Newark and commencement of discharge operations.
- 5.5. The vessel arrived at Newark in May 1998 and Defendant No. 1 informed the plaintiff by communication dated 19.05.1998 that the remittance was being processed and that approval from the Reserve Bank of India was being obtained for the foreign exchange transaction.
- 5.6. Thereafter, on 21.05.1998, Defendant No. 1 addressed a letter to its banker, Defendant No. 2, namely Canara Bank, Overseas Branch, Chennai, instructing it to remit US \$ 100,000 by telegraphic transfer to the account of the plaintiff. Defendant No. 1 also submitted Form A-2 containing the requisite particulars for the remittance.
- 5.7. However, instead of remitting the amount to the account of the plaintiff as instructed, Defendant No. 2 erroneously transferred the amount to the account of the vessel owner maintained with a bank in Baltimore, United States of America. The said mistaken remittance was subsequently acknowledged by Defendant No. 1 in its communication dated 03.06.1998 addressed to the brokers of the vessel.
- 5.8. By a further communication dated 12.06.1998, Defendant No. 1 reiterated that the amount had been inadvertently remitted to the vessel owner and reaffirmed its commitment to make payment to the plaintiff.

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- 5.9. As the amount remained unpaid despite repeated communications and demands, the plaintiff issued a legal notice dated 29.07.1998 to Defendant Nos. 1 and 2 demanding payment of US \$ 100,000 together with interest. Defendant No. 1 replied to the said notice disputing its liability and contending that the document styled as a Corporate Guarantee was not a guarantee in law but merely an acknowledgment of a freight payment arrangement.
- 5.10. In these circumstances, the plaintiff instituted the aforesaid recovery suit. Defendant No. 1 contested the suit by filing its written statement and also raised a third-party claim against Defendant No. 2 alleging that the erroneous remittance made by the bank was responsible for the non-payment. Defendant No. 2 filed its written statement denying liability.
- 5.11. The parties adduced oral and documentary evidence before the learned Single Judge of the High Court. Upon appreciation of the pleadings, evidence and materials on record, the learned Single Judge by judgment dated 18.11.2010 decreed the suit in favour of the plaintiff and held that Defendant No. 1 was liable to pay the suit amount together with interest and costs, while dismissing the claim against Defendant No. 2. Aggrieved thereby, Defendant No. 1 preferred O.S.A. No. 423 of 2012 before the Division Bench of the High Court.
- 5.12. The Division Bench, upon consideration of the submissions of the parties, allowed the appeal to the limited extent by granting Defendant No. 1 the benefit of a third-party decree against Defendant No. 2 for recovery of the amount which had been erroneously remitted by the bank, while affirming the liability of Defendant No. 1 towards the plaintiff.
- 5.13. Aggrieved by the findings of the Division Bench holding it liable to the plaintiff, Defendant No. 1 has filed C.A. No. 13862 of 2024. Similarly, Defendant No. 2 has filed C.A. No. 13861 of 2024 challenging the direction of the Division Bench permitting Defendant No. 1 to recover the sum of US \$ 100,000 from it under third-party procedure.

SUBMISSION OF THE PARTIES

6. The learned senior counsel appearing for the Appellant in C.A. No. 13862 of 2024 / Defendant No. 1 contended that the courts

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below erred in fastening liability upon Defendant No. 1 by treating the communication dated 25.04.1998 as a contract of guarantee. It was submitted that the said document, described as a “Corporate Guarantee”, does not satisfy the essential requirements of a valid contract of guarantee within the meaning of Section 126 of the Indian Contract Act, 1872. A contract of guarantee necessarily contemplates the existence of three distinct parties, namely the creditor, the principal debtor and the surety, wherein the surety undertakes to discharge the liability of the principal debtor in the event of default. According to the learned senior counsel, in the present case, Defendant No. 1 was itself a party to the freight arrangement under the Charter Party Agreement dated 09.03.1998 and was not a surety for any debt allegedly owed by the vessel owner to the plaintiff. The document relied upon by the plaintiff merely records an arrangement whereby Defendant No. 1 agreed to retain a portion of the freight payable to the vessel owner and remit the same to the plaintiff on its behalf.

- 6.1. The learned senior counsel submitted that the language of the communication dated 25.04.1998 itself demonstrates that Defendant No. 1 was acting on behalf of the vessel owner and under its authority. The arrangement was, therefore, in the nature of a freight assignment or payment arrangement between the vessel owner and the plaintiff, and Defendant No. 1 merely agreed to facilitate the remittance of a portion of the freight to the plaintiff. It was contended that such an arrangement cannot be construed as an independent and enforceable guarantee undertaken by Defendant No. 1.
- 6.2. It was further contended that the courts below failed to appreciate that the liability, if any, arose primarily from the underlying transaction between the plaintiff and the vessel owner and operator/manager. The vessel owner and the operator/manager were the alleged principal debtors in respect of the repair charges for the vessel *Master Panos*. However, no proceedings were initiated by the plaintiff against the vessel owner and operator/manager for recovery of the alleged dues. The learned senior counsel pointed out that even during the course of evidence, the witness examined on behalf of the plaintiff admitted that no legal proceedings had been initiated against the vessel owner.

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In such circumstances, fastening liability upon Defendant No. 1, who was neither the principal debtor nor a valid surety, was legally unsustainable.

- 6.3. The learned senior counsel further submitted that Defendant No. 1 had duly complied with the arrangement between the parties by issuing clear instructions to its banker, Defendant No. 2, for remittance of the amount of US \$ 100,000 to the plaintiff. Defendant No. 1 addressed a letter dated 21.05.1998 to its banker along with the requisite Form A-2 directing the bank to remit the said amount to the account of the plaintiff. It was contended that once such specific instructions were issued, Defendant No. 1 had fulfilled its obligation under the arrangement. The subsequent remittance of the amount to the vessel owner occurred solely due to the error committed by the bank. Instead of transferring the amount to the account of the plaintiff as instructed, the bank erroneously remitted the amount to the vessel owner. The evidence on record, according to the learned senior counsel, indicates that the bank itself acknowledged that such remittance may have occurred due to inadvertence on the part of its employee. In these circumstances, the resulting loss, if any, cannot be attributed to Defendant No. 1.
- 6.4. The learned senior counsel also submitted that the vessel owner, who had actually received the remitted amount of US \$ 100,000, was necessary party to the proceedings. The failure to implead the vessel owner resulted in a situation where the party which had actually received the amount was not before the Court. It was contended that such omission caused serious prejudice to Defendant No. 1 as it was deprived of the opportunity to seek appropriate reliefs against the vessel owner.
- 6.5. The learned senior counsel further contended that the Courts below failed to properly appreciate the nature of the transaction and the defence raised by Defendant No. 1. According to the learned senior counsel, the evidence adduced on behalf of Defendant No. 1 clearly demonstrated that the transaction was essentially a freight payment arrangement arising out of the Charter Party Agreement and did not create any independent contractual liability in the nature of a guarantee in favour of the plaintiff.

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- 6.6. Reliance was also placed on the documents filed by the plaintiff in its pleadings, particularly paragraph 4 thereof, which records that Defendant No. 1 had been instructed by the vessel owner (Royal Swan) to pay a sum of US \$ 100,000 directly to the plaintiff towards discharge of the owner's liability. According to the learned senior counsel, these materials demonstrate that Exhibit P11 was merely an agency letter authorising payment on behalf of Royal Swan, and not a guarantee.
- 6.7. In support of the above submission, reliance was placed on the decision of this Court in ***Phoenix ARC Private Limited v. Ketulbhai Ramubhai Patel***², wherein it was held that the liability of a surety arises only when there is a clear and unequivocal undertaking to discharge the debt of the principal debtor upon default. It was submitted that no such undertaking is present in Exhibit P11.
- 6.8. The learned senior counsel also relied upon the judgment of this Court in ***Maitreya Doshi v. Anand Rathi Global Finance Limited and another***³, wherein it was reiterated that the existence of a clear undertaking to discharge the liability of another is a fundamental requirement for a contract of guarantee under Section 126 of the Contract Act, 1872. According to the learned senior counsel, the arrangement evidenced in Exhibit P11 is merely an agency direction for payment and not a guarantee. In the absence of any unequivocal promise by Defendant No. 1 to assume liability for the debts of the vessel owner, Exhibit P11 cannot be treated as a guarantee in law
- 6.9. The learned senior counsel therefore submitted that both the learned Single Judge as well as the Division Bench of the High Court failed to correctly appreciate the legal character of the document viz., letter dated 25.04.1998 and the surrounding circumstances in which it was issued. The impugned judgment, according to the learned senior counsel, proceeds on an erroneous assumption that Defendant No. 1 had undertaken an independent guarantee in favour of the plaintiff, whereas in reality Defendant No. 1 had merely agreed to remit a portion of the freight payable to the vessel owner.

2 (2021) 2 SCC 799

3 (2023) 17 SCC 606

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- 6.10. In the above circumstances, learned senior counsel submitted that the findings recorded by the Courts below suffer from errors of law and misappreciation of the nature of the transaction and therefore warrant interference by this Court.
7. The learned senior counsel appearing for the appellant in C.A. No. 13861 of 2024 / Defendant No. 2 Bank submitted that the decree passed by the Division Bench fastening liability upon the Bank is unsustainable both on facts and in law. It was contended that the High Court failed to properly appreciate the limited role of the Bank in the transaction and the statutory framework governing foreign exchange remittances.
- 7.1. It was submitted that the repairs of the vessel *Master Panos* had been carried out by the plaintiff and the primary liability for payment of the repair charges was that of the vessel owner. The arrangement subsequently entered into between the vessel owner and Defendant No. 1 relating to payment of freight charges was essentially a commercial arrangement between those parties. According to the learned senior counsel, the Bank was not a party to that arrangement and had undertaken no independent contractual obligation either towards Defendant No. 1 or towards the plaintiff in relation to the alleged payment of US \$ 100,000.
- 7.2. The learned senior counsel submitted that the Bank was acting merely in its capacity as an authorised dealer in foreign exchange and its role was confined to executing remittance instructions in accordance with the statutory regime governing such transactions. It was contended that any remittance of foreign exchange outside India during the relevant period was governed by the provisions of the Foreign Exchange Regulation Act, 1973, and the Bank was required to strictly comply with the statutory restrictions and regulatory directions issued by the Reserve Bank of India. In particular, reliance was placed upon Section 18(8) of the Foreign Exchange Regulation Act, 1973, which regulates the handling of export proceeds and foreign exchange transactions by authorised dealers.
- 7.3. It was further submitted that the remittance sought to be effected by Defendant No. 1 involved diversion of freight payable to the vessel owner in favour of the plaintiff, who was not the

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contracting party to the freight agreement. According to the learned senior counsel, such diversion of foreign exchange to a third party could not be effected by an authorised dealer without prior approval from the Reserve Bank of India.

- 7.4. The learned senior counsel drew attention to the contemporaneous correspondence to demonstrate that Defendant No. 1 itself had acknowledged this regulatory requirement. Reference was made to the communication dated 19.05.1998 addressed by Defendant No. 1 to the plaintiff wherein Defendant No. 1 had stated that the payment of US \$ 100,000 was being processed with the Reserve Bank of India for necessary approval.
- 7.5. It was further submitted that the said position was clearly admitted by the witness of Defendant No. 1 during cross examination before the trial Court, stating that without the permission of the Reserve Bank of India there could be no question of the Bank remitting the amount to the plaintiff.
- 7.6. The learned senior counsel therefore submitted that the Bank, being an authorised dealer under the foreign exchange regime, was bound to act strictly within the statutory framework and the regulatory directions issued by the Reserve Bank of India. In the absence of the mandatory approval, the Bank could not lawfully remit the amount to the plaintiff.
- 7.7. It was accordingly contended that the Bank had merely acted within the statutory limitations governing foreign exchange transactions and had not undertaken any independent obligation towards the plaintiff. The dispute, if any, arose from the private commercial arrangement between Defendant No. 1 and the plaintiff, and Defendant No. 2 Bank cannot be made liable for the consequences thereof.
- 7.8. The learned senior counsel submitted that the Division Bench erred in passing a third-party decree against the Bank without properly appreciating the statutory limitations governing the Bank's role as an authorised dealer in foreign exchange. It was therefore prayed that the civil appeal filed by the Bank be allowed by setting aside the decree passed against the Bank.
8. *Per contra*, the learned senior counsel appearing for the plaintiff / Respondent No.1 in CA. No. 13862 of 2024 and Respondent No.2

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in CA No. 13861 of 2024, submitted that the liability of Defendant No. 1 arises from a clear and unequivocal contractual undertaking given in favour of the plaintiff. It was contended that Defendant No. 1 had expressly undertaken to remit a sum of US \$ 100,000 directly to the plaintiff towards discharge of the liability owed by the vessel owner for the repair works carried out by the plaintiff. According to the learned senior counsel, this obligation arose pursuant to a specific arrangement under which Defendant No. 1 had agreed to retain the said amount out of the freight payable to the vessel owner and remit the same directly to the plaintiff.

- 8.1. The learned senior counsel further submitted that Defendant No. 1 had issued written communication dated 22.04.1998 acknowledging its obligation to make the payment and had also executed a Corporate Guarantee by letter dated 25.04.1998 assuring payment of US \$ 100,000 to the plaintiff upon the arrival of the vessel at the port of Newark. The undertaking was thereafter reiterated through subsequent communications wherein Defendant No. 1 confirmed that the payment was being processed and that the amount had been retained specifically for the purpose of remittance to the plaintiff.
- 8.2. It was submitted that Defendant No. 1 had also issued instructions to its banker dated 21.05.1998 for remittance of the said amount and had submitted the necessary banking documentation for transfer of funds to the account of the plaintiff. However, owing to an error on the part of the Bank, the amount was mistakenly remitted to the vessel owner instead of being transferred to the plaintiff.
- 8.3. The learned senior counsel contended that such an erroneous remittance by the Bank cannot absolve Defendant No. 1 of the contractual obligation voluntarily undertaken by it in favour of the plaintiff. At best, such an error may give rise to a separate claim available to Defendant No. 1 against the Bank, but the same cannot defeat the independent liability of Defendant No. 1 towards the plaintiff.
- 8.4. The learned senior counsel further submitted that Defendant No. 1 attempted to introduce certain defences at the stage of evidence which were not pleaded in the written statement. It was argued that portions of the affidavit of evidence filed by

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Defendant No. 1's witness sought to set up an entirely new case beyond the pleadings. In support of this submission, reliance was placed upon the decision of this Court in ***Union of India v. Ibrahim Uddin and another***⁴, wherein it was held that evidence without foundational pleadings cannot be considered. Reliance was also placed upon ***Ram Sarup Gupta (Dead) by LRs. v. Bishun Narain Inter College and others***⁵, reiterating the settled principle that parties cannot travel beyond their pleadings while leading evidence.

- 8.5. The learned senior counsel also submitted that the legal position governing contract of guarantee clearly supports the case of the plaintiff. It was contended that past consideration constitutes valid consideration for a contract of guarantee and that even forbearance to sue the principal debtor amounts to sufficient consideration in law.
- 8.6. The learned senior counsel submitted that reliance placed by Defendant No. 1 on illustration (c) to Section 127 of the Contract Act is misconceived, as it is well settled that illustrations cannot control or limit the clear meaning of the substantive provision.
- 8.7. The learned senior counsel therefore submitted that the documentary record, including the written undertaking, the Corporate Guarantee and the subsequent communications, clearly establishes Defendant No. 1's liability towards the plaintiff. Defendant No. 1 cannot escape its liability merely because the Bank mistakenly remitted the amount to the vessel owner, particularly when Defendant No. 1 itself had retained the amount specifically for the purpose of making payment to the plaintiff.
- 8.8. It was further pointed out that the Division Bench of the High Court, while affirming the decree in favour of the plaintiff, had granted a third-party decree in favour of Defendant No. 1 against the Bank, thereby safeguarding Defendant No. 1's right to recover the amount from the Bank in view of the mistaken remittance.

4 (2012) 8 SCC 148

5 (1987) 2 SCC 555

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- 8.9. In these circumstances, learned senior counsel submitted that the findings recorded by the learned Single Judge, as affirmed by the Division Bench, are based on a proper appreciation of the pleadings, documentary evidence and settled principles of law governing contractual liability and guarantees. The learned senior counsel therefore prayed that the concurrent findings of the Courts below be affirmed.
9. By way of reply, the learned senior counsel for Defendant No. 1 submitted that the bank's own admission shows that the remittance was effected due to inadvertence on the part of its employee. According to the learned senior counsel, this clearly establishes negligence in the discharge of Bank's duties.
- 9.1. It was further submitted that the Bank's reliance on the Charter Party Agreement is wholly misplaced, as the Bank was not a party to the said agreement. The obligations of the Bank arise solely from the mandate issued by its customer. Once instructions were issued by Defendant No. 1, the Bank was dutybound to act strictly in accordance with those instructions. Even assuming that the Bank had reservations regarding regulatory approval, it ought to have sought clarification or declined to process the transaction. Instead, the Bank unilaterally remitted the amount to the vessel owner without authorisation, which was impermissible.
- 9.2. The learned senior counsel for Defendant No. 1 therefore contended that the unilateral act of the Bank in debiting Defendant No. 1's account and remitting the amount to the vessel owner, contrary to the specific instructions issued by Defendant No. 1, constitutes a clear breach of duty and cannot be justified in law.

DISCUSSION AND FINDINGS

10. We have considered the submissions made by the learned senior counsel appearing for the parties and perused the materials available on record.
11. This Court by order dated 20.10.2022 in SLP (C) No. 18106 of 2022 out of which Civil Appeal No. 13861 of 2024 arises, granted an interim stay of the judgment passed by the High Court. Further, by

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order dated 28.08.2023 in SLP (C) No. 19275 of 2023, out of which Civil Appeal No. 13862 of 2024 arises, this Court directed that the execution proceedings shall not be precipitated.

12. The challenge in the present civil appeals is to the judgment dated 16.08.2021 passed by the Division Bench of the High Court in O.S.A. No. 423 of 2012. C.A. No. 13862 of 2024 filed by Defendant No. 1 is confined to the finding holding it liable to pay the plaintiff. On the other hand, C.A. No. 13861 of 2024 filed by Defendant No. 2 Bank assails the direction of the Division Bench requiring it to indemnify Defendant No. 1 in the third-party proceedings.
13. The sum and substance of the submissions advanced on behalf of Defendant No. 1 is that the document in the form of letter dated 25.04.1998 executed by it does not constitute an undertaking or guarantee, but merely reflects a freight payment arrangement. It is further contended that Defendant No. 1 had issued clear instructions to the Bank to transfer the funds to the plaintiff and that the mistaken remittance occurred solely due to an error committed by the Bank. Hence, according to Defendant No. 1, no liability can be fastened upon it.
 - 13.1. The contention of the Bank, against whom a decree has been passed under the third-party procedure, is that though instructions were issued to remit the amount to the plaintiff, no approval had been obtained from the Reserve Bank of India and therefore, the remittance could not have been effected in favour of the plaintiff. It is further submitted that the Bank was not a party to the *inter se* arrangement between the parties and consequently, no decree could have been passed against it.

Civil Appeal No. 13862 of 2024 filed by Defendant No. 1

14. We shall first deal with the appeal filed by the appellant / Defendant No.1. A perusal of the record reveals that Defendant No. 1 had executed multiple documents expressing its commitment to pay the plaintiff including the letter dated 25.04.1998 styled as a “Corporate Guarantee”.
15. Chapter VIII of the Indian Contract Act, 1872 deals with the law regarding “Indemnity and Guarantee”. The relevant provisions are extracted hereunder, for better appreciation:

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“126. *Contract of guarantee*”, *“surety”*, *“principal debtor”* and *“creditor”*.—A “contract of guarantee” is a contract to perform the promise, or discharge the liability, of a third person in case of his default. The person who gives the guarantee is called the “surety”; the person in respect of whose default the guarantee is given is called the “principal debtor”, and the person to whom the guarantee is given is called the “creditor”. A guarantee may be either oral or written.”

“127. *Consideration for guarantee*.—Anything done, or any promise made, for the benefit of the principal debtor, may be a sufficient consideration to the surety for giving the guarantee.”

“128. *Surety’s liability*.—The liability of the surety is co- extensive with that of the principal debtor, unless it is otherwise provided by the contract.”

“137. *Creditor’s forbearance to sue does not discharge surety*.—Mere forbearance on the part of the creditor to sue the principal debtor or to enforce any other remedy against him does not, in the absence of any provision in the guarantee to the contrary, discharge the surety.”

“138. *Release of one co-surety does not discharge others*.—Where there are co-sureties, a release by the creditor of one of them does not discharge the others; neither does it free the surety so released from his responsibility to the other sureties.”

“140. *Rights of surety on payment or performance*.—Where a guaranteed debt has become due, or default of the principal debtor to perform a guaranteed duty has taken place, the surety upon payment or performance of all that he is liable for, is invested with all the rights which the creditor had against the principal debtor.”

“141. *Surety’s right to benefit of creditor’s securities*.—A surety is entitled to the benefit of every security which the creditor has against the principal debtor at the time when the contract of suretyship is entered into, whether the surety knows of the existence of such

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security or not; and if the creditor loses, or, without the consent of the surety, parts with such security, the surety is discharged to the extent of the value of the security.”

- 15.1. A reading of the aforesaid provisions indicates that a contract of guarantee is an undertaking to perform the promise or discharge the liability of a third person, in case of his default. It is essentially a voluntary act of taking up the burden of a third party, who has received or is about to receive some benefit and has failed to make the payment. The guarantor is called the “surety” and person in default is called the “Principal Debtor”.
16. It is well settled that it is not necessary for the guarantor to derive any direct benefit from the transaction. It is sufficient if the principal debtor derives the benefit. The consideration for a contract of guarantee may be past, present or future. The guarantee is, in itself, a separate contract and enforceable independently, and the liability of the surety is co-extensive with that of the principal debtor unless otherwise provided by the contract. Consequently, both are jointly and severally liable. The creditor, to whom both the principal debtor and surety are liable, can sue either or both of them. In case, the creditor proceeds to recover only from the surety, the surety is at liberty to recover the same from the principal debtor as he would have stepped into the shoes of the original creditor by virtue of the doctrine of subrogation, and all the attendant remedies available to the creditor are available to him.
17. In this context, reference may be made to the judgment of this Court in **Bank of Bihar Ltd. v. Damodar Prasad and others**⁶, wherein it was held that the creditor is entitled to proceed against the surety without first exhausting the remedies against the principal debtor. The relevant paragraphs are usefully extracted below:

“3. The demand for payment of the liability of the principal debtor was the only condition for the enforcement of the bond. That condition was fulfilled. Neither the principal debtor nor the surety discharged the admitted liability of the principal debtor in spite of demands. Under Section 128 of the Indian Contract Act, save as provided in the

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contract, the liability of the surety is co-extensive with that of the principal debtor. The surety became thus liable to pay the entire amount. His liability was immediate. It was not deferred until the creditor exhausted his remedies against the principal debtor.

4. Before payment the surety has no right to dictate terms to the creditor and ask him to pursue his remedies against the principal in the first instance. As Lord Eldon observed in Wright v. Simpson, [1802] 6 Ves Jun. 714 ; 31 E.R. 1272 "But the surety is a guarantee ; and it is his business to see whether the principal pays, and not that of creditor." In the absence of some special equity the surety has no right to restrain an action against him by the creditor on the ground that the principal is solvent or that the creditor may have relief against the principal in some other proceedings.

....

6..... But the solvency of the principal is not a sufficient ground for restraining execution of the decree against the surety. It is the duty of the surety to pay the decretal amount. On such payment he will be subrogated to the rights of the creditor under Section 140 of the Indian Contract Act, and he may then recover the amount from the principal. The very object of the guarantee is defeated if the creditor is asked to postpone his remedies against the surety. .."

18. In ***State Bank of India v. V. Ramakrishnan and Others***⁷, this Court reiterated the essential attributes of a contract of guarantee and the nature of the liability of a surety. In doing so, reliance was placed on the recommendations of the Insolvency Law Committee, one of which reads as under:

"5.9. A contract of guarantee is between the creditor, the principal debtor and the surety, whereunder the creditor has a remedy in relation to his debt against both the principal debtor and the surety [National Project Construction Corporation Limited v. Sandhu and Co. MANU/

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PH/0072/1990 : AIR 1990 P&H 300]. The surety here may be a corporate or a natural person and the liability of such person goes as far as the liability of the principal debtor. As per Section 128 of the Indian Contract Act, 1872, the liability of the surety is co-extensive with that of the principal debtor and the creditor may go against either the principal debtor, or the surety, or both, in no particular sequence [Chokalinga Chettiar v. Dandayunthapani Chattiar MANU/ TN/0285/1928 : AIR 1928 Mad 1262]. Though this may be limited by the terms of the contract of guarantee, the general principle of such contracts is that the liability of the principal debtor and the surety is co-extensive and is joint and several [Bank of Bihar v. Damodar Prasad MANU/ SC/0220/1968 : AIR 1969 SC 297]. The Committee noted that this characteristic of such contracts i.e. of having remedy against both the surety and the corporate debtor, without the obligation to exhaust the remedy against one of the parties before proceeding against the other, is of utmost importance for the creditor and is the hallmark of a guarantee contract, and the availability of such remedy is in most cases the basis on which the loan may have been extended.”

19. Similarly, in **Phoenix ARC Private Limited** (*supra*), while considering the scope of a guarantee in the context of enforcement proceedings, this Court underscored that a contract of guarantee is a guarantee “to perform the promise or discharge the liability of third person in case of his default”. The Court noted that the expressions “perform the promise”, and “discharge the liability”, as used in Section 126 of the Indian Contract Act, 1872, necessarily relate to the obligation undertaken by the surety in respect of the liability of a third person.
20. Further, in **Maitreya Doshi** (*supra*) this Court delineated the distinction between a contract of indemnity, a contract of guarantee and a pledge. The relevant paragraph reads as under:

“34. It is true, as argued by Mr. Vishwanathan that contract of indemnity, contract of guarantee and pledge are not one and the same. The contract of indemnity is a contract by which one party promises to save the other from loss

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caused to him by the conduct of the promisor himself or by the conduct of any other person. In a contract of indemnity, a promisee acting within the scope of his authority is entitled to recover from the promisor all damages and all costs which he may incur. A contract of guarantee, on the other hand, is a promise whereby the promisor promises to discharge the liability of a third person in case of his default. The person who gives the guarantee is called the surety. The person in respect of whose default, the guarantee is given is the principal debtor and the person to whom the guarantee is given is the creditor. Anything done or any promise made for the benefit of the principal debtor may be a sufficient consideration to the surety for giving the guarantee. On the other hand, the bailment of goods as security for payment of a debt or performance of a promise is a pledge”.

21. Recently, in **Asset Reconstruction Co. Ltd. v. Electrosteel Castings Ltd.**⁸ this Court had occasion to consider the scope and ambit of Section 126 of the Contract Act and the essential ingredients of a contract of guarantee. The following paragraphs are apposite:

“17. We have given our thoughtful consideration to the rival submissions and have carefully perused the records. Section 126 of the Act defines a “contract of guarantee”, as a contract to perform promise, or discharge the liability, of a third person in case of his default. The essential ingredients of a guarantee, therefore, are (a) existence of principal debt, (b) default by the principal debtor and (c) a promise by the surety to discharge the liability of the principal debtor upon such default. Thus, a guarantee is a promise to answer for the payment of some debt, or the performance of some duty, in case of failure of another party, who is in the first instance, liable to such payment or performance [Conley, In re; Ex parte the Trustee v. Barclays Bank Ltd. [1938] 2 All ER 127, at 130-131 (CA).]. A guarantee is a security in the form of right of action against a third party. In order to constitute a guarantee, there has to be a specific undertaking or unambiguous

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affirmation to discharge the liability of a third person in case of their default.

18. *A guarantee is governed by principles of construction generally governing other documents [Raja Raghunandan Prasad Singh v. Raja Kirtyanand Singh Bahadur 1932 SCC OnLine PC 3; AIR 1932 PC 131, Eshelby v. Federated European Bank Ltd. (1932) 1 KB 254 and Kamla Devi v. Takhatmal Land 1963 SCC OnLine SC 131; (1964) 2 SCR 152; AIR 1964 SC 859.]. A guarantee being a mercantile contract, the court does not apply to it merely technical rules but construes it so as to reflect what may fairly be inferred to have been the parties' real intention and understanding as expressed by them in writing and to give effect to it rather than not [Halsbury's Laws of England, Volume 49, fifth edition and Perrylease Ltd. v. Imecar AG [1987] 2 All ER 378 (QBD).]*

20. *For an obligation to be construed as a guarantee under section 126 of the Act, there must be a direct and unambiguous obligation of the surety to discharge the obligation of the principal debtor to the creditor. The clause neither records an undertaking to discharge the debt owed to the creditor nor does it contemplate payment to the lender in the event of the default. The clause contains a promise, not to the creditor to pay the debt upon default, but to the borrower to facilitate compliance with the financial covenants. An undertaking to infuse funds into a borrower, so that it may meet its obligations cannot, by itself be equated with the promise to discharge the borrower's liability to the creditor. A mere covenant to ensure financial discipline or infusion of funds does not satisfy the statutory requirements of section 126 of the Act.*

22. *Section 126 of the Act mandates a guarantor to "perform a promise" or "discharge the liability" of a third person which necessarily implies a direct performance or discharge. A "See to it" guarantee in English common law refers to an obligation upon the guarantor to ensure that principal debtor itself, performs its own obligation and*

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the guarantor, therefore, is in breach as soon as principal debtor fails to perform. However, a “see to it” guarantee does not include an obligation to enable the principal debtor to perform its own obligation. Such an arrangement would not be a guarantee under section 126 of the Act.”

22. In the present case, Defendant No. 1 has relied upon the decisions of this Court in **Phoenix ARC Private Limited** and **Maitreya Doshi** to contend that there must be a clear and unequivocal undertaking to make payment, which is absent in the present case. We have carefully perused the said judgments. In our view, the decisions do not advance the case of Defendant No. 1. The judgments merely reiterate the requirements necessary to constitute a valid contract of guarantee and explain the difference between contracts of guarantee, indemnity and pledge. To constitute a valid guarantee, the requirement is an undertaking or promise to make a payment to the creditor upon the default of the principal debtor for a benefit received by principal debtor.
23. Juxtaposing the aforesaid principles with the facts of the present case, it emerges from the record that the owner of the vessel had instructed Defendant No. 1 to pay a sum of US \$ 100,000 to the plaintiff towards discharge of its liability for the repairs carried out to the vessel. A further perusal of the record reveals that by a letter dated 22.04.1998, Defendant No. 1 addressed the plaintiff assuring that a sum of US \$ 100,000 would be paid after the cargo was cleared, in clear and unequivocal terms. The contents of the said letter also indicate that Defendant No. 1 had undertaken to make the payment and had requested that the arrangement should not be disclosed to the owner of the vessel. The relevant portion of the letter is extracted below for ease of reference:

“You may be rest assured, we will fulfill this obligation as we are constrained to adopt this procedure only to safeguard our interest. The cargo on board has a substantial worth and we would not like to fail in any of our obligations towards the cargo. We would like to assure you that the money is safe with us and by this fax we are advising you that we would remit this money directly to your goodselves and would only like to ensure that the vessel reaches destination

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and commences discharge.Please feel free to contact us any time and As discussed, would advise you to keep owners out of this understanding between us as otherwise they could insist on remittance of the money to them directly as it forms part of freight.

Trust I have clarified the position and would deeply appreciate your co-operation in the interest of all parties concerned. We are a well recognised export House based in Madras and have a good track record in fulfilling various business obligations and enjoying dependable reputation."

24. Defendant No. 1, in furtherance of its undertaking for payment, gave a corporate guarantee on 25.04.1998 by Exhibit P11, which reads as under:

"By this payment guarantee made on 25th April 1998 by us, we agree to hold at your disposal a sum of money not exceeding USD 100,000 (U.S. Dollars One Hundred Thousand only) from freight on behalf of the owners - Pevson Shipping Co., S.A., 73, Notara Street, 18535 Piraeus, Greece for repair work carried out on vessel "Master Panos". This is being done on authority from Owners of vessel.

This guaranteed sum will be paid to you upon first written demand after vessel's arrival and commencement of discharge at Newark.

This guarantee will be valid till the entire amount of USD 100,000/- is settled to your account subject to Charter Party dated 9th March 1998, conditions and amendments. The ETA of the vessel at Discharge Port, Newark is 17th May 1998."

25. A conjoint reading of the documents on record, particularly the letter dated 22.04.1998 and the Corporate Guarantee dated 25.04.1998, clearly establishes that the undertaking to pay was not merely a freight-sharing arrangement but an independent guarantee satisfying the requirements of Sections 126 to 128 of the Contract Act. Exhibits P10 and P11 constitute a valid undertaking by Defendant No. 1 to discharge the liability of the vessel owner in the event of its default in payment of the repair charges. Further, after the cargo had been delivered by the owner of the vessel, and upon the plaintiff

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demanding payment, Defendant No. 1, by Exhibit P14, requested Defendant No. 2 Bank to transfer a sum of US \$ 100,000 to the plaintiff along with the requisite Form A2. This conduct clearly reflects the intention of Defendant No. 1 to honour the undertaking given by it. Furthermore, during cross examination, DW- 1 deposed that Exhibit P11 was a conditional guarantee letter, thereby acknowledging that the letter dated 25.04.1998 was in the nature of a guarantee, as was expressly stated by him in his testimony. We therefore, concur with the findings recorded by the High Court and reject the contention of Defendant No. 1 that the document merely reflects a freight payment arrangement.

26. Yet another submission of the learned senior counsel for Defendant No. 1 is that the letter dated 25.04.1998 was expressly made subject to the Charter Party conditions and amendments which, under Clause 30, contemplated payment of freight to Royal Swan, and that the said Charter Party was never amended so as to enable payment to the plaintiff.

26.1. Significantly, Defendant No. 1 itself did not treat the said purported condition as mandatory. On the contrary, it proceeded to act upon the arrangement despite the absence of any amendment to the Charter Party Agreement by processing the necessary papers for approval from the Reserve Bank of India and issuing instructions to Defendant No. 2 Bank for remittance of the said amount to the plaintiff. A reading of the letter dated 25.04.1998 in its entirety, coupled with the subsequent communications and the specific remittance instructions issued by Defendant No. 1 to the Bank clearly indicates that Defendant No. 1 had unequivocally undertaken to arrange payment of US \$ 100,000 to the plaintiff out of the freight payable. In such circumstances, the Division Bench rightly held that having acted upon the letter dated 25.04.1998, Defendant No. 1 is estopped by its conduct from contending that Clause 30 of the Charter Party Agreement was never amended and that no liability had consequently arisen.

27. The next contention advanced on behalf of Defendant No. 1 is that the owner of the vessel ought to have been impleaded as a party to the suit and that, had such impleadment been made, Defendant No. 1 could have sought appropriate relief against the said party.

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We are unable to agree with the said contention.

- 27.1. It is well settled that the plaintiff is the *dominus litis* and it is for the plaintiff to determine the cause of action and the parties against whom the suit is to be instituted. In ***Mumbai International Airport (P) Ltd. v. Regency Convention Centre & Hotels (P) Ltd.***⁹, this Court reiterated that a plaintiff cannot ordinarily be compelled to sue a person against whom he does not seek any relief, unless such person is shown to be a necessary party whose presence is indispensable for the effective adjudication of the dispute. The following paragraphs are pertinent:

“13. The general rule in regard to impleadment of parties is that the plaintiff in a suit, being dominus litis, may choose the persons against whom he wishes to litigate and cannot be compelled to sue a person against whom he does not seek any relief. Consequently, a person who is not a party has no right to be impleaded against the wishes of the plaintiff. But this general rule is subject to the provisions of Order 1 Rule 10(2) of the Code of Civil Procedure (“the Code”, for short), which provides for impleadment of proper or necessary parties. The said sub-rule is extracted below:

“10. (2) Court may strike out or add parties.— The court may at any stage of the proceedings, either upon or without the application of either party, and on such terms as may appear to the court to be just, order that the name of any party improperly joined, whether as plaintiff or defendant, be struck out, and that the name of any person who ought to have been joined, whether as plaintiff or defendant, or whose presence before the court may be necessary in order to enable the court effectually and completely to adjudicate upon and settle all the questions involved in the suit, be added.”

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14. *The said provision makes it clear that a court may, at any stage of the proceedings (including suits for specific performance), either upon or even without any application, and on such terms as may appear to it to be just, direct that any of the following persons may be added as a party: (a) any person who ought to have been joined as plaintiff or defendant, but not added; or (b) any person whose presence before the court may be necessary in order to enable the court to effectively and completely adjudicate upon and settle the questions involved in the suit. In short, the court is given the discretion to add as a party, any person who is found to be a necessary party or proper party.*

15. *A “necessary party” is a person who ought to have been joined as a party and in whose absence no effective decree could be passed at all by the court. If a “necessary party” is not impleaded, the suit itself is liable to be dismissed. A “proper party” is a party who, though not a necessary party, is a person whose presence would enable the court to completely, effectively and adequately adjudicate upon all matters in dispute in the suit, though he need not be a person in favour of or against whom the decree is to be made. If a person is not found to be a proper or necessary party, the court has no jurisdiction to implead him, against the wishes of the plaintiff. The fact that a person is likely to secure a right/interest in a suit property, after the suit is decided against the plaintiff, will not make such person a necessary party or a proper party to the suit for specific performance.*

22. *Let us consider the scope and ambit of Order 1 Rule 10(2) CPC regarding striking out or adding parties. The said sub-rule is not about the right of a non-party to be impleaded as a party, but about the judicial discretion of the court to strike out or add parties at any stage of a proceeding. The discretion under the sub-rule can be exercised either suo motu or*

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on the application of the plaintiff or the defendant, or on an application of a person who is not a party to the suit. The court can strike out any party who is improperly joined. The court can add anyone as a plaintiff or as a defendant if it finds that he is a necessary party or proper party. Such deletion or addition can be without any conditions or subject to such terms as the court deems fit to impose. In exercising its judicial discretion under Order 1 Rule 10(2) of the Code, the court will of course act according to reason and fair play and not according to whims and caprice.

23. *This Court in Ramji Dayawala & Sons (P) Ltd. v. Invest Import [(1981) 1 SCC 80] reiterated in SCC p. 96, para 20 the classic definition of “discretion” by Lord Mansfield in R. v. Wilkes [(1770) 4 Burr 2527 : 98 ER 327 : (1558-1774) All ER Rep 570] (ER p. 334) that “discretion”*

“when applied to a court of justice, means sound discretion guided by law. It must be governed by rule, not by humour: it must not be arbitrary, vague, and fanciful; but legal and regular.”

25. *In other words, the court has the discretion to either to allow or reject an application of a person claiming to be a proper party, depending upon the facts and circumstances and no person has a right to insist that he should be impleaded as a party, merely because he is a proper party.”*

28. In the present case, the owner of the vessel was admittedly not impleaded as a party to the suit. Even assuming that the vessel owner had been impleaded as a defendant, Defendant No. 1 could not have ordinarily maintained a counterclaim against another defendant, as a counterclaim is directed primarily against the plaintiff [See: **Rohit Singh & Others v. State of Bihar**¹⁰ and **Sanjay Tiwari v. Yugal Kishore Prasad Sao & Others**¹¹].

¹⁰ (2006) 12 SCC 734

¹¹ 2025 LiveLaw (SC) 1097

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29. However, there is an exception to the above settled position where the third-party procedure contemplated under Order VIII-A of the Code of Civil Procedure is applicable, wherever such procedure has been introduced by the High Courts through appropriate amendments. The Madras High Court has incorporated such a procedure. Order VIII-A of CPC enables a defendant to claim contribution or indemnify from a third party or even from a co-defendant by issuing a third-party notice.
30. The Madras High Court in its Original Side Rules under Order VA has incorporated the third-party procedure under Order VIII-A CPC. Rules 1 to 5 of Order VIII-A deal with issuance of notice to the third party and the consequences of default in appearance. Rule 6 speaks about the grant of leave to defend the suit. Rules 8 and 9 speak about contribution from co-defendant and issuance of a third-party notice by a person who himself has been issued a third-party notice. The procedure contemplated under order VIII-A is essentially summary in nature and is intended to avoid multiplicity of proceedings by enabling all connected claims to be adjudicated in the same suit.
31. Defendant No. 1, in the instant case, claimed contribution only from the co-defendant Bank and did not take recourse to the third-party procedure by issuing notice to the owner of the vessel for the purpose of claiming contribution from them. We may hasten to add that either of the defendants could have taken steps to issue notice to the owner of the vessel under third party procedure, particularly Defendant No. 2 bank, which committed the mistake. Defendant No. 1, having conveniently failed to invoke available procedural remedy under law, cannot now shift the burden upon the plaintiff, which being the *dominus litis*, was entitled to choose the parties against whom the relief was sought. The failure of the defendants to implead other potentially liable parties cannot, therefore, be used to defeat the claim of the plaintiff.
32. Reference in this regard may also be made to the judgment of this Court in **Kanaklata Das and others v. Naba Kumar Das and others**¹², wherein it was reiterated that the plaintiff cannot be compelled to implead a third party unless such party is shown to be a necessary party without whose presence the dispute cannot be effectively adjudicated. The following paragraphs are pertinent:

¹² (2018) 2 SCC 352 : MANU/SC/0041/2018

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“17. Fourth, the Plaintiff being a dominus litis cannot be compelled to make any third person a party to the suit, be that a Plaintiff or the Defendant, against his wish unless such person is able to prove that he is a necessary party to the suit and without his presence, the suit cannot proceed and nor can be decided effectively.

18. In other words, no person can compel the Plaintiff to allow such person to become the co-Plaintiff or Defendant in the suit. It is more so when such person is unable to show as to how he is a necessary or proper party to the suit and how without his presence, the suit can neither proceed and nor it can be decided or how his presence is necessary for the effective decision of the suit. (See-Ruma Chakraborty v. Sudha Rani Banerjee and Anr., MANU/SC/0919/2005 : 2005(8) SCC 140)

19. Fifth, a necessary party is one without whom, no order can be made effectively, a proper party is one in whose absence an effective order can be made but whose presence is necessary for a complete and final decision on the question involved in the proceeding. (See-Udit Narain Singh Malpaharia v. Additional Member Board of Revenue, Bihar and Anr. MANU/SC/0045/1962 : AIR 1963 786)”

33. The other contention that without the clearance of RBI, the payments cannot be made to the account of the plaintiff, also does not merit acceptance. As rightly held by the High Court, the said plea was not raised in the pleadings. It is a settled principle that no amount of evidence can be looked into in the absence of proper pleadings. The Judgments relied upon by the plaintiff in **Union of India v. Ibrahim Uddin** (*supra*) and **Ram Sarup Gupta v. Bishun Narain** (*supra*) are squarely applicable in this regard. It is relevant to note here that Defendant No. 1 itself had communicated by letter dated 19.05.1998 (Exhibit P13) that necessary documents were being processed with the Reserve Bank of India. In any case, as evident, there is a valid undertaking by way of a guarantee executed by Defendant No. 1, and Defendant No. 1 cannot absolve from its liability. Further, the interests of Defendant No. 1 are protected as its right to recover the amount from the owner of the vessel is preserved under Section 140 of the Contract Act, and the High Court has also granted a third-party

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decree in its favour against the Bank. Therefore, we find no reason to interfere with the impugned judgment of the High Court and the appeal filed by Defendant No. 1 is liable to be dismissed.

CA. No. 13861 of 2024 filed by Defendant No. 2 Bank

34. We now turn to the appeal filed by Defendant No. 2 Bank. No evidence was brought on record to show that the approval of the Reserve Bank of India had been obtained or that the Bank had sought any clarification in that regard. The Division Bench of the High Court concurred with the findings of the trial Court that the Bank had been instructed by Defendant No. 1 through Exhibit P14 and the accompanying Form A-2 to remit a sum of US \$ 100,000 to the plaintiff. We are in agreement with the view taken by the High Court.
35. The communication regarding the processing of documents with the Reserve Bank of India (Exhibit P13) was not addressed to the Bank. Once clear instructions had been issued by its customer, the Bank was required either to comply with those instructions or to seek clarification regarding the necessity of regulatory approval and whether such approval had been obtained to facilitate the remittance. The Bank could not have unilaterally remitted the amount to the vessel owner. According to the learned senior counsel, the Bank had no discretion in the matter and could only act in accordance with the mandate contained in the Charter Party Agreement dated 09.03.1998, which provided that freight payment was to be made by Defendant No. 1 to the vessel owner. However, as rightly held by the Division Bench, the Bank, not being a party to the Charter Party Agreement, cannot rely upon the terms thereof to justify the remittance made to Royal Swan in the face of the express instruction issued by Defendant No. 1 directing payment to the plaintiff. The Bank was bound to act in accordance with the instructions issued by Defendant No. 1. In any event, the role of the Bank was confined to honouring the instructions of its customer, namely Defendant No. 1. Even in the absence of any RBI approval, the Bank ought to have withheld the amount and awaited further instructions from its customer or sought the requisite clarification. The funds in question belonged to the customer, and the Bank could not have acted contrary to the mandate given by it. Therefore, the act of the Bank in transferring the funds to the owner of the vessel, who had clearly instructed the Defendant No. 1 to remit the money to the plaintiff, cannot be sustained.

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36. The Division Bench reversed the decision of the trial Court insofar as it had denied a decree under the third-party procedure and proceeded to grant a decree in favour of Defendant No. 1 which had raised a specific plea in its written statement. We have already discussed in detail the scope and applicability of the third-party procedure under Order VIII-A of the CPC. The suit was instituted in the year 1998 under the Original Side Jurisdiction of the Madras High Court. Order V-A of the Original Side Rules, wherein the provisions of Order VIII-A of CPC are incorporated comes into operation automatically. The facts of the present case reveal that the Bank, despite clear instructions to remit the US \$100,000 to the account of the plaintiff, failed to do so due to an error on its part. This mistake was also admitted by the Bank. Exhibit P17 was a communication addressed to the Bank pointing out the erroneous transfer and requesting retrieval of the amount and its remittance to the account of the plaintiff. The Bank did not respond stating that the remittance could not be effected for want of approval from the Reserve Bank of India. The Division Bench has carefully considered these aspects and rendered its findings in paragraphs 27 to 30 of its judgment, which we fully endorse. Defendant No.1 was therefore rightly held entitled to a third-party decree against Defendant No.2 Bank.
37. We find no infirmity in the reasoning adopted by the Division Bench of the High Court warranting interference by this Court.

CONCLUSION

38. In view of the foregoing discussion, both the appeals fail and are accordingly dismissed. There shall be no order as to costs.
39. Pending application(s), if any, stand disposed of.

Result of the case: Appeals dismissed.

[2026] 4 S.C.R. 184 : 2026 INSC 254

Vishvjeet and Others
v.
State of Uttar Pradesh and Another

(Writ Petition (Criminal) No. 109 of 2026)

17 March 2026

[Vikram Nath and Sandeep Mehta, JJ.]

Issue for Consideration

Matter pertained to acts of hooliganism by the Barabanki Bar Members by attacking advocate representing petitioners in toll plaza case.

Headnotes[†]

Constitution of India – Article 32 – Conduct of law professionals – Acts of hooliganism – Petitioners-contractual employees, posted for toll collection duty at the Toll Plaza on Lucknow-Sultanpur Highway, in District Barabanki, Uttar Pradesh – Advocate-complainant allegedly refused to pay requisite toll charges while passing through the toll plaza, and a verbal spat and scuffle ensued between the advocate and the staff at the toll plaza, and allegations that the petitioners assaulted the complainant – Registration of FIR at the instance of the complainant for the offences punishable u/ss.115(2), 352, 351(3), 109(1), 110, 311 and 3(5) BNS – Thereafter, members of the Bar Association and Bar Council of Uttar Pradesh started violent protests and passed a resolution to the effect that no advocate would represent the accused persons in connection with the said FIR – However, one advocate, filed bail application on behalf of the petitioners – Thereafter, the members of the Bar resorted to unruly behaviour and acts of hooliganism and arson, by setting the office furniture of the said advocate on fire, burnt his effigy, and as such no advocate in Barabanki, or even from the nearby places willing to represent the petitioners and rather attempts made for representation of the petitioners specifically denied, resultantly, the petitioners deprived of access to legal remedies in the State – Writ petition u/Art.32 seeking, *inter alia*, direction to be released on bail and for transfer of the proceedings of the criminal case arising from FIR to a competent Court in Delhi:

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Held: Legal profession, which was once regarded as a noble profession, has clearly been tainted and tarnished by the acts of hooliganism perpetrated pursuant to the fracas which took place at the toll plaza – Sentiment of fraternity amongst the lawyers can be understood but that, by no means, can justify the acts of violence and lawlessness which ensued when a brave lawyer came forward to defend the accused – These deplorable acts of hooliganism by the members of the bar at Barabanki deprecated – Disciplinary body-Bar Council of India expected to take appropriate steps in this regard – Bare perusal of the FIR sufficient to satisfy that it was not a case wherein the accused-petitioners could have been denied bail – No dispute that the petitioners were performing their duties at the toll plaza where the incident happened – Possibility cannot be ruled out that the complainant may have resisted the attempt of the petitioners in demanding toll (rightly so) resulting into a spat between the complainant and the employees of the toll plaza-petitioners – In these circumstances, denial of bail to the petitioners and the curtailment of their liberty for a period exceeding two months absolutely unjustified and violative of the fundamental right of liberty guaranteed u/Art.21 warranting exercise of the extraordinary writ jurisdiction conferred upon this Court by Art.32 – Petitioners to be released on bail, upon furnishing personal bonds to the satisfaction of the concerned Magistrate – In order to ensure that the accused get proper legal representation and fair trial, proceedings arising out of the FIR to be transferred to Tis Hazari Courts, New Delhi, for all further actions. [Paras 13-19]

Judicial deprecation – Conduct of law professionals – Acts of hooliganism – Deplorable acts of hooliganism by the members of the bar at Barabanki – Damage caused to the furniture etc. of the advocate, who had filed the bail application on behalf of the petitioners – Role of the members of the bar at Barabanki, who indulged into hooliganism deprecated and condemned. [Paras 14, 19]

List of Acts

Constitution of India; Bharatiya Nyaya Sanhita, 2023; National Security Act, 1980.

List of Keywords

Acts of hooliganism; Members of the Barabanki Bar; Attack on the advocate; Toll plaza; Conduct of law professionals; Contractual

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employees; Toll collection duty at Toll Plaza on Lucknow Sultanpur Highway, in District Barabanki, Uttar Pradesh; Refusal to pay requisite toll charges; Verbal spat and scuffle between the advocate and the staff at the toll plaza; Unruly behaviour by members of the Bar; Deprived of access to legal remedies in the State; Release on bail; Transfer of proceedings; Judicial deprecation; Damage caused to furniture of the advocate.

Case Arising From

CRIMINAL ORIGINAL JURISDICTION: Writ Petition (Criminal)
No. 109 of 2026

Under Article 32 of the Constitution of India

Appearances for Parties

Advs. for the Petitioner(s):

Md. Asif Iqbal, Iqbal Ahmad, Ms. Sangeeta, Atul Kumar Srivastav,
Ms. Anu Priya Nisha Minz, Siddhartha Sinha.

Advs. for the Respondent(s):

Rohit K. Singh, Pritam Bishwas, Kartikey Bansal.

Judgment / Order of the Supreme Court

Order

1. The custodians of justice (Members of the District Bar Association, Barabanki) have turned into perpetrators of violence, which has led the petitioners to knock the doors of this Court to protect their Fundamental Rights by way of this writ petition under Article 32 of the Constitution of India.
2. The present writ petition under Article 32 of the Constitution of India, preferred by the petitioners, presents a sorry state of affairs with respect to the conduct of law professionals, particularly in the State of Uttar Pradesh.
3. The petitioners are contractual employees of a company, named, M/s. Skylark Infra Engineering Pvt. Ltd., and are permanent residents of the State of Madhya Pradesh. They were posted for toll collection duty at the Gotona Bara Toll Plaza on the Lucknow-Sultanpur Highway, in District Barabanki, Uttar Pradesh.

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4. On 14th January, 2026, an advocate, namely, Mr. Ratnesh Shukla¹, allegedly refused to pay the requisite toll charges while passing through the said toll plaza. Consequently, a verbal spat ensued between the complainant and the staff posted at the toll plaza, which subsequently escalated into a scuffle. It is alleged that the petitioners, being the employees of the operating company and posted at the toll plaza, assaulted the complainant.
5. An F.I.R., bearing No. 15/2026 came to be registered at P.S. Haidargarh, District Barabanki on 14th January, 2026 at the instance of the complainant for the offences punishable under Sections 115(2), 352, 351(3), 109(1), 110, 311 and 3(5) of the Bharatiya Nyaya Sanhita, 2023.
6. It is the case of the petitioners that the grounds of arrest were not communicated to them at the time of their arrest. The petitioners were thereafter produced before the learned A.C.J.M., Barabanki and were remanded to judicial custody by order dated 16th January, 2026. It is further averred in the writ petition that the remand proceedings do not reflect compliance with the mandatory requirement of communicating the grounds of arrest to the accused persons.
7. It is also stated that, immediately after the registration of the F.I.R., members of the Bar Association started violent protests, as is the usual feature these days. Most notably, what is most unfortunate is that even the Bar Council of Uttar Pradesh joined the fray and addressed a letter to the Hon'ble Chief Minister of Uttar Pradesh requesting invocation of the provisions of National Security Act against the petitioners even though the incident pertained to a trivial scuffle.
8. It is further stated that a resolution was passed and circulated within the local bar to the effect that no advocate would represent the accused persons in connection with the FIR No. 15/2026. Notwithstanding the aforesaid resolution, one advocate, namely, Shri Manoj Shukla, displayed considerable courage and filed a bail application on behalf of the petitioners on 5th February, 2026. Shortly thereafter, the members of the Bar resorted to unruly behaviour and the office furniture of the said advocate was set on fire, and his effigy was also burnt. The news relating to these acts of hooliganism and

1 hereinafter, being referred to as the 'complainant'

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arson has been published in the local newspapers, and the copies thereof have been annexed with the writ petition. The photographs placed on record clearly depict that the furniture of the advocate was set to fire. The news report of these incidents as published in the 'Dainik Bhaskar' newspaper, Lucknow City Edition dated 6th February, 2026, is reproduced hereinbelow for the sake of ready reference: -

"Dainik Bhaskar"

Lucknow City 06-02-2026

Lawyers burned the belongings of a colleague who had secured bail for the toll employees who assaulted them. A commotion ensued when the lawyer secretly filed a bail application for the accused.

A lawyer versus lawyer dispute erupted between lawyers on Thursday in the Barabanki district court premises.

A massive uproar and arson erupted when it was revealed that an advocate had filed a bail petition for toll workers, going against the Bar Association's collective decision. Hundreds of angry advocates stormed the lawyer's office and set tables and chairs on fire. This incident relates to an assault on an advocate at the Haidergarh toll plaza. Toll workers not only assaulted the advocate but also abused him. Angered by this incident, lawyers from Lucknow and Barabanki launched a major protest.

After which the police sent the accused to jail. On Thursday, lawyers learned that Advocate Manoj Shukla, in violation of the bar's decision, had secretly filed a bail petition for the toll workers in court.

This news heated up the atmosphere. A large group of lawyers, led by District Bar Association President Narendra Verma, arrived at Mr. Manoj's desk. Mr. Manoj was not present, but the lawyers threw his desk and chairs onto the street and set them on fire."

9. The petitioners have submitted that such acts of rampant violence by the members of the bar created an atmosphere of fear, and thereby dissuaded any further attempts to represent the petitioners.

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Resultantly, no advocate in Barabanki, or even from the nearby places is willing to represent the petitioners and rather attempts made for representation of the petitioners have been specifically denied on account of atmosphere of fear created by the members of Bar.

10. Resultantly, the petitioners having been deprived of access to legal remedies in the State of Uttar Pradesh, have approached this Court by way of the instant writ petition under Article 32 of the Constitution of India, seeking, *inter alia*, a direction to be released on bail and for transfer of the proceedings of the criminal case arising from FIR No. 15/2026 registered at P.S. Haidergarh, District Barabanki to a competent Court in Delhi.
11. Notice has been served on the respondents and Mr. Rohit K Singh, has entered appearance on behalf of the State of Uttar Pradesh.
12. The facts averred in the writ petition have not been denied.
13. In view of the emergent nature of the proceedings, wherein personal liberty of the Company's employees, who were bonafide performing their duties at a toll plaza, has remained curtailed for more than two months, we proceed to hear and decide the writ petition without awaiting the reply of the respondents.
14. The facts noted hereinabove reveal a very sorry state of affairs. The legal profession, which was once regarded as a noble profession, has clearly been tainted and tarnished by the acts of hooliganism perpetrated pursuant to the fracas which took place at the toll plaza on 14th January, 2026. We can understand the sentiment of fraternity amongst the lawyers but that, by no means, can justify the acts of violence and lawlessness which ensued when a brave lawyer came forward to defend the accused. These deplorable acts of hooliganism deserve to be deprecated. The disciplinary body, i.e., the Bar Council of India is expected to take appropriate steps in this regard.
15. A bare perusal of the FIR is sufficient to satisfy us that it was not a case wherein the accused-petitioners could have been denied bail. There is no dispute that the petitioners were performing their duties at the toll plaza where the incident happened. Possibility cannot be ruled out that the complainant may have resisted the attempt of the petitioners in demanding toll (rightly so) resulting into a spat between the complainant and the employees of the toll plaza i.e., the petitioners herein.

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16. In these circumstances, denial of bail to the petitioners and the curtailment of their liberty for a period exceeding two months is absolutely unjustified and violative of the Fundamental Right of Liberty guaranteed under Article 21 of the Constitution of India warranting exercise of the extraordinary writ jurisdiction conferred upon this Court by Article 32 of the Constitution of India.
17. Resultantly, we hereby direct that the petitioners shall forthwith be released on bail, upon furnishing **personal bonds** to the satisfaction of the concerned Magistrate. In order to ensure that the accused get proper legal representation and a fair trial, we direct that the proceedings arising out of the FIR No.15/2026 shall stand transferred to the Tis Hazari Courts, New Delhi, for all further actions, i.e., remand, filing of result of investigation, and trial. Upon the case file being received in the jurisdictional Court at Tis Hazari Courts, New Delhi, the trial Court may set appropriate additional conditions for bail.
18. The Director General of Police, Uttar Pradesh shall be responsible for the safety and security of the petitioners, and shall ensure that upon their release on bail, the petitioners are duly escorted to a safe location.
19. Before parting, we condemn the role of the members of the bar at Barabanki, who indulged into hooliganism by damaging the furniture etc. of the advocate, who had filed the bail application on behalf of the petitioners.
20. The writ petition is disposed of accordingly.
21. The Registry is directed to forthwith forward a copy of this Order to the Director General of Police, Uttar Pradesh and the Bar Council of India for compliance/appropriate action.
22. Pending application(s), if any, shall stand disposed of.

Result of the case: Writ petition disposed of.

Bhola Mahto
v.
The State of Jharkhand

(Criminal Appeal No. 1450 of 2026)

16 March 2026

[Dipankar Datta and Satish Chandra Sharma, JJ.]

Issue for Consideration

Impugned order challenged by the appellant-convict contending that as he was not made aware of absence of the counsel engaged by him to prosecute the appeal before the Division Bench and as the Division Bench proceeded to appoint the *amicus* without his knowledge, he may be allowed to raise all such grounds which he had raised in the memorandum of appeal that was filed in the High Court to secure an order of setting aside the conviction u/s.304 Part II, IPC and the sentence of 5 years rigorous imprisonment and to allow the appeal by recording an acquittal.

Headnotes[†]

Legal Aid – Appointment of *amicus* – Notice to convict – Appellate court if appoints an *amicus* to represent a convict whose counsel is absent, it may also consider the desirability of issuing a notice to the convict

Held: Having regard to the dictum of the three-Judge Bench in *Anokhi Lal* case and in order to curb the tendency of convicts to raise technical pleas of the nature which were advanced in the present case as not having knowledge of the appointment of *amicus*, whenever an appellate court considers it desirable to appoint an *amicus* to represent a convict whose counsel is absent, such court may also consider the desirability of issuing a notice from the registry to the address of the convict mentioned in the memorandum of appeal, for such notice to be served on him through the jurisdictional police station, with an intimation that the convict may contact the *amicus* and provide him necessary instructions so that his case is argued before the court effectively and meaningfully – In the event the convict contacts the *amicus* and provides instructions, there would ordinarily be no impediment in proceeding with hearing of the appeal – If, indeed, the convict

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desires to have his own counsel argue the appeal on his behalf and not the *amicus*, the court may hear such counsel in addition to the *amicus* – However, if the service report indicates that the convict was not found at the address or that he refused to accept notice despite being present, it would amount to sufficient compliance if the notice is pasted on the outer wall of the premises, address whereof is mentioned in the cause title of the memorandum of appeal – Should the convict still remain dormant, and it is so reported, the High Court may proceed to decide the appeal without waiting for the convict to turn up either in person or through the counsel of his choice engaged by him – This process would substantially serve the purpose of eliminating any plea of unfairness being raised before this Court if an appeal is disposed of upon hearing the *amicus* appointed by the court – Additionally, in a case of like nature where the appeal is listed two decades after grant of bail, this process would ensure obtaining of information as to whether the appeal survives for decision or stands abate – In case of the latter, the courts could avoid spending precious judicial time deciding an appeal which, by operation of law, may not require a decision on merits – Of course, for a convict in custody who has committed an offence punishable with death or life imprisonment, the directions in *Anokhi Lal* have to be scrupulously followed apart from the relevant rules regulating the business of the courts concerned. [Para 23]

Legal Aid – Appellant-convict was on bail – His appeal was listed for hearing after being pending for more than two decades however, since no one appeared on his behalf, Division Bench appointed an advocate of more than 15 years' standing as *amicus curiae* to assist the Court – However, no notice was issued to the appellant to the effect that his counsel was not appearing to prosecute the appeal and that an *amicus* had been appointed by the Division Bench – Division Bench set aside the conviction of the appellant u/s.302, IPC and the sentence of life imprisonment; conviction was altered to one u/s.304-Part II, IPC and the appellant was sentenced to 5 years rigorous imprisonment – Challenged by the appellant contending that there has been a gross failure of justice as the grounds which the appellant had raised in his memorandum of appeal filed in the High Court were not urged by the *amicus*; instead, he urged a ground which the appellant had not raised in such memorandum and as a result, the Division Bench was

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disabled from examining whether the appellant had set up a strong case for acquittal:

Held: High Court in its anxiety to deliver justice without further delay and to decide the appeal expeditiously upon hearing the *amicus*, had not made an attempt to inform the appellant that his appeal having been listed for final hearing (after two decades) and there being absence of representation from his side, (on the first day) an *amicus* had been appointed to represent him – High Court was under no obligation to inform the appellant of his counsel's absence; however, it would have been a desirable precaution if the appellant were so informed – This is more so, because, assistance in the form of legal aid should be real and meaningful and not by way of a token gesture or to complete an idle formality – None can possibly doubt the High Court's genuine intention to render legal assistance to a non-appearing convict by appointing an *amicus* on his behalf to assist the court render justice but, perhaps, justice would have been better served if an intimation by way of a notice been sent, bearing in mind that the appeal was listed for the first time for hearing twenty-one years after the appellant was released on bail – Matter remanded for hearing of the appeal *de novo* – Impugned order set aside. [Paras 14, 15]

Case Law Cited

Anokhi Lal v. State of Madhya Pradesh [2019] 18 SCR 1196 : (2019) 20 SCC 196 – referred to.

List of Acts

Penal Code, 1860.

List of Keywords

Legal aid; Legal assistance to a non-appearing convict; Appointing *amicus*; Appointment of *amicus*; Notice to convict; Absence of representation; Plea of unfairness; Technical pleas.

Case Arising From

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No. 1450 of 2026

From the Judgment and Order dated 02.12.2024 of the High Court of Jharkhand at Ranchi in CRADB No.58 of 2003

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Appearances for Parties

Advs. for the Appellant(s):

Harsh Kaushik, Arpit Srivastava.

Advs. for the Respondent(s):

Ms. Pallavi Langar, Kumar Anurag Singh, Sujeet Kumar Chaubey,
Zain A Khan, Dev Aaryan, Mohd. Abran Khan.

Judgment / Order of the Supreme Court

Judgment

1. Leave granted.
2. Appellant challenges the judgment and order dated 2nd December, 2024¹ of the High Court of Jharkhand at Ranchi², which was rendered while disposing of his appeal³ under Section 374(2), Code of Criminal Procedure, 1973. While partly allowing such appeal by setting aside the conviction recorded by the relevant sessions court against the appellant under Section 302, Indian Penal Code, 1860⁴ and the sentence of life imprisonment, a Division Bench of the High Court altered the conviction to one under Section 304 - Part II, IPC and sentenced the appellant to 5 years rigorous imprisonment.
3. While hearing the appeal, we are reminded of the expression “*give him an inch and he will ask for a mile*”.
4. Having regard to the final order we propose to pass, it is not considered necessary to examine the appeal on its own merits by appreciating and analysing the evidence – oral and documentary – presented at the trial. Suffice it to note, the appellant was convicted by the relevant sessions court on 25th November, 2002 in respect of the crime of murder committed by him on 28th October, 2000, whereafter he carried such conviction before the High Court in appeal in the early part of 2003 itself. It was initially considered on 21st January, 2003 and then on 25th February, 2003. Right from 29th

1 impugned order

2 High Court

3 CRADB No. 58 of 2003

4 IPC

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October, 2000, the appellant was in pre-trial custody. The custody certificate reveals that he was released from custody on 10th March, 2003. Though the relevant order is not on record, we find from the impugned order that the appellant was on bail. It is, therefore, assumed that he obtained an order for suspension of sentence and was consequently released on bail. For long 20 years thence, the appeal was not listed for hearing. Ultimately, the appeal came to be listed before a Division Bench of the High Court on 14th November, 2024. The order passed on that day records that none had appeared on behalf of the appellant despite repeated calls. The appeal having been filed in 2003, the Division Bench appointed an advocate of more than 15 years' standing as *amicus curiae*⁵ to assist the Court. Office was directed to hand over the soft copy of the entire brief to the *amicus* and the appeal was directed to be relisted after two weeks. The name of the *amicus* was also directed to be reflected in the cause list on behalf of the appellant.

5. The learned *amicus* argued the appeal on 2nd December, 2024. He raised the point that the "*case cannot come within the purview of Section 302*" of the IPC. According to him, insofar as the weapon of offence is concerned, the evidence of PW-2 on the one hand and the PW-3 and PW-4 on the other were contradictory. That apart, the entire incident occurred in the heat of passion when a sudden quarrel had taken place due to watering of the field; hence, Exception 4 of Section 300, IPC would be attracted in the case. Learned counsel appearing for the State opposed the appeal and argued that having regard to the nature of injuries suffered by the deceased (four blows on the head and one on the leg), there was clear intention of the appellant to commit murder. The discrepancy pointed out insofar as the weapon of offence is concerned, counsel argued, was immaterial. Since the statement of the autopsy surgeon (PW-1) suggested that the cause of death was due to shock and haemorrhage caused by hard and blunt substance, it substantiated and corroborated the oral evidence of PW-3 and PW-4. Dismissal of the appeal was, accordingly, prayed.
6. Upon threadbare consideration of the evidence led at the trial, the Division Bench formed the opinion that the case falls within Exception

5 *amicus*

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4 of Section 300, IPC. Accordingly, the conviction for murder was set aside and substituted by recording conviction under Section 304 Part - II with a reduced sentence of imprisonment, as noted above. Since the appellant was on bail during pendency of the appeal, such concession was withdrawn and he was directed to forthwith surrender to serve the rest of the sentence, if not already served.

7. The custody certificate dated 16th August, 2025 reveals that as on that date, the appellant suffered incarceration for two years eleven months twenty-seven days. Today, the appellant has served a little less than three years seven months out of the prison term of five years.
8. When the special leave petition, out of which this appeal arises, was taken up for consideration on 7th November, 2025, learned counsel for the appellant had informed a coordinate bench of this Court that the appellant had not been made aware of absence of learned counsel engaged by him to prosecute the appeal before the Division Bench and that such bench proceeded to appoint the *amicus* without the appellant's knowledge. Hearing the same, the coordinate bench had the occasion to call for a report from the registry of the High Court as to whether the statement of the appellant is correct.
9. A report dated 19th November, 2025 has since been filed by the Registrar General of the High Court. On a reading thereof, it does appear that no notice was issued to the appellant to the effect that his learned counsel was not appearing to prosecute the appeal and that an *amicus* had been appointed by the Division Bench.
10. On perusal of such report, notice was issued on 24th November, 2025.
11. At the hearing today, learned counsel for the appellant vehemently contends that there has been a gross failure of justice, in that the appellant has suffered prejudice by not being meted out fair treatment. The grounds which the appellant had raised in his memorandum of appeal filed in the High Court were not urged by the learned *amicus*; instead, he urged a ground which the appellant had not raised in such memorandum. As a result, the Division Bench was disabled from examining whether the appellant had set up a strong case for acquittal.
12. Learned counsel, therefore, urges that he may be allowed to raise all such grounds which the appellant had raised in the memorandum of appeal that was filed in the High Court before us to secure an order of setting aside the conviction under Section 304 Part – II, IPC

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and the sentence of 5 years rigorous imprisonment and to allow the appeal by recording an acquittal.

13. We are not prepared to accept this argument. It is true that whatever grounds the appellant did raise in the memorandum of appeal were not urged before the High Court by the learned *amicus*. However, nothing turns on it. If such grounds have not been urged, the blame cannot be placed on the learned *amicus*. The learned *amicus* came to be appointed by the High Court when it was noticed that the appeal remained pending for more than two decades and there was no representation from the side of the appellant despite repeated calls. In his wisdom, the learned *amicus* urged only one ground and succeeded. We see nothing wrong in the approach of the learned *amicus*. Also, the approach of the High Court endeavouring to expedite a decision on the appeal is not unjustified. Appellant was enjoying the concession of bail for two decades without being in any manner concerned about the fate of his appeal. It was not a case where the appellant was in custody and, thus, disabled or inconvenienced to contact his counsel to argue the appeal. Appellant, while enlarged on bail, has himself to blame for not keeping track of his appeal and by not persuading the High Court to decide the appeal at an early date, considering the vehemence with which learned counsel seeks to argue before us that the appellant merits an acquittal based on the multiple grounds raised in the memorandum of appeal. We hasten to add that whatever be the worth of the grounds so raised, the appellant cannot appeal to us to consider the same for the first time once it is found that such grounds were not pressed for consideration by the High Court.
14. Having held so, we find that the High Court in its anxiety to deliver justice without further delay and to decide the appeal expeditiously upon hearing the learned *amicus*, had not made an attempt to inform the appellant that his appeal having been listed for final hearing (after two decades) and there being absence of representation from his side, (on the first day) an *amicus* had been appointed to represent him. The High Court was under no obligation to inform the appellant of his counsel's absence; however, it would have been a desirable precaution if the appellant were so informed. This is more so, because, this Court has taken the view that assistance in the form of legal aid should be real and meaningful and not by way of a token gesture or to complete an idle formality. None can possibly

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doubt the High Court's genuine intention to render legal assistance to a non-appearing convict by appointing an *amicus* on his behalf to assist the court render justice but, perhaps, justice would have been better served if an intimation by way of a notice been sent, bearing in mind that the appeal was listed for the first time for hearing twenty-one years after the appellant was released on bail.

15. We are, therefore, inclined to order a remand for hearing of the appeal *de novo*. The impugned order dated 2nd December, 2024 is set aside with the result that the appellant's appeal shall stand revived on the file of the High Court. It shall be decided in the manner observed hereafter.
16. Preferably, the very same member Judges of the Division Bench who had the occasion to decide the appeal on 2nd December, 2024, may be assigned to hear the appeal, subject to their availability. If such assignment is not possible or is unworkable, we request the Chief Justice of the High Court to assign the appeal to a Division Bench of which at least one of the member Judges, who earlier decided the appellant's appeal, forms the quorum.
17. Since the appellant wishes to be represented by his own counsel before the Division Bench, there shall be no need to appoint an *amicus* if such counsel does not turn up to press the appeal on the date to be notified a week in advance by the Registry. In the unlikely event of the appellant being unrepresented again, the Division Bench would be well advised to decide the appeal in such manner it thinks fit and proper.
18. Having regard to the fact that the incident of crime dates back to 28th October, 2000 and that the appellant claims to be a septuagenarian by now, it would be eminently desirable if the Division Bench decides the appeal as early as possible from the date of first hearing. All points on merit are kept open to be urged by the appellant and the respondent before the High Court. While deciding the appeal, the High Court may not be influenced by the observations/findings made in the impugned order dated 2nd December, 2024.
19. Appellant was released from custody on 10th March, 2003 during pendency of the appeal and taken back into custody on 30th December, 2024 when the appeal was dismissed by the impugned order dated 2nd December, 2024. In view thereof and since the impugned order

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has been set aside, the *status quo ante* ought to be restored. He be released on bail forthwith, subject to such terms and conditions as are imposed by the trial court.

20. We clarify that the liberty of the appellant shall not be curtailed till such time the appeal is disposed of by the Division Bench on its own merits in terms of this order.
21. Accordingly, the appeal stands partly allowed on the aforesaid terms. Pending application, if any, stands disposed of.
22. Before parting, we wish to refer to the decision of this Court reported in ***Anokhi Lal vs. State of Madhya Pradesh***⁶. A three-Judge Bench speaking through Hon'ble U.U. Lalit, J. (as the learned Chief Justice then was) poignantly observed as follows:

26. Expeditious disposal is undoubtedly required in criminal matters and that would naturally be part of guarantee of fair trial. However, the attempts to expedite the process should not be at the expense of the basic elements of fairness and the opportunity to the accused, on which postulates, the entire criminal administration of justice is founded. In the pursuit for expeditious disposal, the cause of justice must never be allowed to suffer or be sacrificed. What is paramount is the cause of justice and keeping the basic ingredients which secure that as a core idea and ideal, the process may be expedited, but fast tracking of process must never ever result in burying the cause of justice.

Thereafter, the Court proceeded to lay down norms to avoid repetition of infirmities noticed in the case under consideration. It was said thus:

31. Before we part, we must lay down certain norms so that the infirmities that we have noticed in the present matter are not repeated:

31.1. In all cases where there is a possibility of life sentence or death sentence, learned advocates who have put in minimum of 10 years' practice at the Bar alone be considered to be appointed as Amicus Curiae or through legal services to represent an accused.

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31.2. In all matters dealt with by the High Court concerning confirmation of death sentence, Senior Advocates of the Court must first be considered to be appointed as *Amicus Curiae*.

31.3. Whenever any learned counsel is appointed as *Amicus Curiae*, some reasonable time may be provided to enable the counsel to prepare the matter. There cannot be any hard-and-fast rule in that behalf. However, a minimum of seven days' time may normally be considered to be appropriate and adequate.

31.4. Any learned counsel, who is appointed as *Amicus Curiae* on behalf of the accused must normally be granted to have meetings and discussion with the accused concerned. Such interactions may prove to be helpful as was noticed in *Imtiyaz Ramzan Khan* [(2018) 9 SCC 160].

23. In continuation of the above and in the light of what has transpired in course of the present proceedings, we wish to make an additional observation. It is a matter of common knowledge that once a convict obtains an order from the appellate court suspending the sentence of imprisonment and is, consequently, released on bail, more often than not, he neglects and/or fails to cooperate with the court and impedes an expeditious decision on his appeal by staying away from the proceedings with a view to ensure that his liberty is not curtailed, if the appeal were to fail. Drawing from experience, we can record that on many an occasion, such convicts become untraceable. These convicts, enjoying the concession of bail and misusing it, need to be dealt with firm and strong hands by the courts. Having regard to the dictum of the three-Judge Bench in ***Anokhi Lal*** (supra) and in order to curb the tendency of convicts to raise technical pleas of the nature which were advanced before us, we observe that, henceforth, whenever an appellate court considers it desirable to appoint an *amicus* to represent a convict whose counsel is absent, such court may also consider the desirability of issuing a notice from the registry to the address of the convict mentioned in the memorandum of appeal, for such notice to be served on him through the jurisdictional police station, with an intimation that the convict may contact the learned *amicus* and provide him necessary instructions so that his case is argued before the court effectively and meaningfully. In the event

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the convict contacts the *amicus* and provides instructions, there would ordinarily be no impediment in proceeding with hearing of the appeal. If, indeed, the convict desires to have his own counsel argue the appeal on his behalf and not the *amicus*, the court may hear such counsel in addition to the *amicus*. However, if the service report indicates that the convict was not found at the address or that he refused to accept notice despite being present, it would amount to sufficient compliance if the notice is pasted on the outer wall of the premises, address whereof is mentioned in the cause title of the memorandum of appeal. Should the convict still remain dormant, and it is so reported, the High Court may proceed to decide the appeal without waiting for the convict to turn up either in person or through the counsel of his choice engaged by him. This process, in our view, would substantially serve the purpose of eliminating any plea of unfairness being raised before this Court if an appeal is disposed of upon hearing the *amicus* appointed by the court. Additionally, in a case of like nature where the appeal is listed two decades after grant of bail, this process would ensure obtaining of information as to whether the appeal survives for decision or stands abated. In case of the latter, the courts could avoid spending precious judicial time deciding an appeal which, by operation of law, may not require a decision on merits. Of course, for a convict in custody who has committed an offence punishable with death or life imprisonment, the directions in **Anokhi Lal** (supra) have to be scrupulously followed apart from the relevant rules regulating the business of the courts concerned.

24. We hope and trust that a similar situation does not arise in future.

Result of the case: Appeal partly allowed.

[†]Headnotes prepared by: Divya Pandey

R. Halle
v.
Reliance General Insurance Company Limited

(Civil Appeal No. 3543 of 2026)

18 March 2026

[Prashant Kumar Mishra and Sandeep Mehta,* JJ.]

Issue for Consideration

The principal issue which falls for consideration is with regard to the assessment of extent of disability for the purpose of computing loss of earning capacity, and more particularly, the soundness of the High Court's determination of functional disability at 30% as against 63% assessed by the Medical Board and affirmed by the MACT. Whether the appellant-claimant is entitled to any further enhancement of compensation over and above the amount awarded by the MACT.

Headnotes[†]

Motor Vehicle Accident claim – Enhancement of compensation – Motorcycle of appellant collided head-on with another motorcycle – Appellant sustained grievous injuries which led to 63% permanent disability – Claim petition filed – MACT quantified the total compensation at Rs.65,53,811 along with interest at the rate of 7.5% per annum from the date of petition till its realization to the appellant-claimant – Appeal before the High Court – The High Court, *vide* the impugned judgment dismissed the appeal filed by appellant-claimant seeking enhancement and partly allowed the appeal filed by the respondent-insurer thereby reducing the amount of compensation of Rs.65,53,811/- as awarded by MACT to Rs.35,61,000/- – Correctness:

Held: In order to determine the functional disability suffered by the appellant-claimant, it is necessary to advert to the findings recorded by the Medical Board with respect to the permanent physical disability, as well as the neuropsychological assessment report placed on record – Both these documents remained uncontroverted and hence, they provide credible expert evidence so as to assess

* Author

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the extent and nature of disability – The injuries suffered by the appellant-claimant were not merely orthopedic in nature, but had significant neurological sequelae directly impacting his functional and cognitive abilities – When these physical and neurological impairments are cumulatively evaluated, it becomes manifest that the appellant-claimant's ability to effectively discharge his pre-accident duties stands substantially and irreversibly impaired – The evidence does not indicate a mere diminution in efficiency, rather, it demonstrates a profound erosion of the faculties essential for gainful employment in his chosen field – In such circumstances, and bearing in mind the settled principle that functional disability must reflect the actual loss of earning capacity – The disability in the present case, for the purpose of computation of compensation, deserves to be reckoned at 100% – The appellant-claimant would neither be considered suitable for the managerial post nor would he be capable of effectively discharging the onerous responsibilities attached to the said post – The compensation payable to the appellant-claimant warrants re-determination – The total compensation payable to the appellant-claimant works out to Rs.97,73,011/- after calculating amounts under various heads – The impugned judgment passed by the High Court and the award passed by the MACT are modified in terms of this judgment. [Paras 25, 26, 30, 31, 34]

Motor Vehicles Act, 1988 – Assessment of disability – Reappreciation of evidence by the Appellate Court – The Court to assign cogent, clear and convincing reasons:

Held: When an appellate court interferes with findings of fact duly recorded by the Motor Accidents Claims Tribunal, particularly on issues such as assessment of disability and loss of earning capacity, it is incumbent upon it to undertake a thorough reappreciation of the evidence and to assign cogent, clear and convincing reasons for departing from the conclusions arrived at by the MACT – Such an obligation is heightened in proceedings under the Motor Vehicles Act, 1988, which is a beneficial and welfare oriented legislation enacted with the object of ensuring expeditious relief and just compensation to victims of motor accidents and their families – The statutory framework is designed to advance social justice and to provide solace and financial security to those who suffer on account of road accidents – Any interference with a reasoned

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award of the Motor Accidents Claims Tribunal must, therefore, be consistent with the spirit and object of the enactment and supported by sound judicial reasoning. [Para 35]

Case Law Cited

Raj Kumar v. Ajay Kumar [2010] 13 SCR 179 : (2011) 1 SCC 343 – referred to.

List of Acts

Motor Vehicles Act, 1988.

List of Keywords

Motor Vehicle Accident claim; Compensation; Enhancement of compensation; Earning capacity; Grievous injuries; Permanent disability; Cognitive impairment; Orthopedic limitations; Neurological impairment; Reappreciation of evidence; Grave medical and neurological impairments; Assessment of disability; Loss of earning capacity; Social justice; Financial security.

Case Arising From

CIVIL APPELLATE JURISDICTION : Civil Appeal No. 3543 of 2026

From the Judgment and Order dated 11.01.2022 of the High Court of Judicature at Madras in CMA No. 3595 of 2021.

Appearances for Parties

Advs. for the Appellant(s):

Ms. Haripriya Padmanaban, Sr. Adv., S. Prabu Ramasubramanian, Raghunatha Sethupathy B, Manoj Kumar A., Ms. Trisha Chandran.

Adv. for the Respondent(s):

Ms. Prerna Mehta.

Judgment / Order of the Supreme Court

Judgment

Mehta, J.

1. Heard. Delay condoned.
2. Leave granted.

R. Halle v. Reliance General Insurance Company Limited

3. The instant appeal arises out of judgment and order dated 11th January, 2022 passed by High Court of Judicature at Madras¹ in Civil Miscellaneous Appeal No. 3595 of 2021. The said appeal was preferred by appellant herein² seeking enhancement of maintenance as awarded by Motor Accidents Claims Tribunal, Special Subordinate Judge, Coimbatore.³ By its award dated 22nd January, 2020, the MACT granted compensation in the sum of Rs.65,53,811/- (Rupees Sixty-Five Lakh Fifty-Three Thousand Eight Hundred Eleven Only) along with interest at the rate of 7.5% per annum from the date of petition till its realization to the appellant-claimant and directed the Reliance General Insurance Company Limited,⁴ to satisfy the award. The MACT, however, granted liberty to the respondent-insurer to recover the said amount from the driver-cum-owner of the offending vehicle, namely, R. Chinnadurai⁵, in accordance with law.
4. The High Court, *vide* the impugned judgment dismissed the appeal filed by appellant-claimant seeking enhancement and partly allowed the appeal⁶ filed by the respondent-insurer thereby reducing the amount of compensation of Rs.65,53,811/- as awarded by MACT to Rs.35,61,000/- (Rupees Thirty-Five Lakh Sixty-One Thousand Only).
5. For the sake of convenience, the chart indicating the various heads under which compensation was awarded to appellant-claimant by the MACT as well as the High Court, along with the amounts granted thereunder, is reproduced hereinbelow: -

<u>Head</u>	<u>Awarded by MACT</u>	<u>Awarded by HC</u>	<u>Enhanced/ Reduced/ Granted/ Confirmed</u>
Future loss of earning power	Rs.40,000/- x 12 x 63% (Disability) x 17 = Rs.51,40,800/-	Rs.40,000/- x 12 x 30% (Disability) x 17 = Rs.24,48,000/-	Reduced

1 Hereinafter, being referred to as the "High Court".

2 Hereinafter, being referred to as the "appellant-claimant".

3 Hereinafter, being referred to as the "MACT".

4 Hereinafter, being referred to as the "respondent-insurer".

5 R. Chinnadurai was impleaded as party-Respondent No. 2 in the present SLP. However, his name came to be deleted from the array of parties *vide* order dated 13th December, 2024.

6 Civil Miscellaneous Appeal No. 464 of 2021.

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Medical expenses	Rs.5,88,011/-	Rs.5,88,011/-	Confirmed
Loss of amenities	Rs.3,00,000/-	Rs.1,00,000/-	Reduced
Pain and Sufferings	Rs.5,00,000/-	Rs.2,00,000/-	Reduced
Transportation to Hospital	Rs.10,000/-	Rs.10,000/-	Confirmed
Extra Nourishment	Rs.10,000/-	Rs.10,000/-	Confirmed
Damage to Clothing and Articles	Rs.5,000/-	Rs.5,000/-	Confirmed
Loss of marital prospectus	-	Rs.2,00,000/-	Granted
Total	Rs.65,53,811/-	Rs.35,61,011/- [Rounded off to Rs. 35,61,000/-]	

Brief Facts: -

6. The facts in a nutshell relevant and essential for disposal of the appeal are as follows.
7. On the night of 5th May, 2016, at about 10:00 p.m., the appellant-claimant was proceeding on his motorcycle bearing Registration No. TN-38-BY-9380 along Mettupalayam Road at Periyanaickenpalayam, travelling from south to north. At that juncture, another motorcycle bearing Registration No. TN-38-CD-5823, driven by R. Chinnadurai, approached from the opposite direction. It is the case of appellant-claimant that the said vehicle was being driven in a rash and negligent manner and collided head-on with his motorcycle.
8. As a result of the impact, the appellant-claimant was thrown onto the road and sustained grievous injuries, including a fracture of the left leg, facial injuries, and a severe head injury. He was immediately taken to Ganga Hospital, Coimbatore, where he was admitted as an inpatient and underwent treatment. In connection with the said occurrence, an FIR bearing Crime No.236 of 2016 was registered on 7th May, 2016 against R. Chinnadurai for the offences punishable under Sections 279 and 338 of the Indian Penal Code, 1860, at Police Station Periyanaickenpalayam, Coimbatore District, Tamil Nadu.

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9. After undergoing treatment for nearly a month, the appellant-claimant was discharged from the hospital on 29th May, 2016. It is the case of the appellant-claimant that notwithstanding prolonged treatment, he was left with a permanent disability assessed at 65%, which, according to him, has substantially impaired his functional capacity and earning potential.
10. The appellant-claimant thereafter approached the MACT seeking compensation, contending that at the time of the accident he was about 30 years of age, hale and healthy, and employed as a Manager at Flyjac Logistics Pvt. Ltd., Chennai, earning a monthly income of Rs.25,000/-. Alleging that the accident occurred solely due to the rash and negligent driving of R. Chinnadurai, he filed a claim petition,⁷ claiming a sum of Rs.30,00,000/- (Rupees Thirty Lakh Only) from R. Chinnadurai and respondent-insurer towards loss of income, medical expenses, pain and suffering, and other consequential damages.
11. Upon a comprehensive and meticulous evaluation of the oral and documentary evidence adduced on record, including the testimony of the appellant-claimant (PW-1) and PW-2, the medical records, the disability certificate issued by the competent Medical Board, and the salary documents exhibited on behalf of the appellant-claimant, coupled with the fact that the driver-cum-owner remained *ex parte* and there was no *contra* evidence from the respondent-insurer, the MACT arrived at a categorical finding that the accident had occurred solely due to the rash and negligent driving of R. Chinnadurai and that the appellant-claimant had satisfactorily established the nature and extent of the injuries sustained by him. The MACT, placing due reliance on the disability certificate, assessed the permanent disability at 63% as certified therein, holding the same to have a direct bearing on the appellant-claimant's functional and earning capacity.
12. The MACT, having accepted the disability certificate issued by the Medical Board, proceeded to determine the impact of such disability on appellant-claimant's earning capacity. Applying the multiplier method⁸ in view of the settled legal position and taking into consideration appellant-claimant's age, monthly income inclusive of future prospects [Rs.29,108/- + (40% of Rs.29,108/-) = **Rs.40,751 (Rounded off**

7 Motor Accidents Claim Original Petition No. 1372 of 2016.

8 Multiplier was taken to be "17" since the age of appellant-claimant was fixed as 30 years.

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to **Rs.40,000/-**]], and the functional consequences of the injuries sustained, the MACT computed the loss of future earning capacity at **Rs.51,40,800/-** (Rs.40,000/- x 12 x 63% (Disability) x 17). In addition, thereto, it awarded amounts under the heads of medical expenses, loss of amenities, pain and suffering, transportation, extra nourishment, and other incidental expenses. On such computation under the various permissible heads, the MACT quantified the total compensation at Rs.65,53,811/- (Rupees Sixty-Five Lakh Fifty-Three Thousand Eight Hundred Eleven Only) along with interest at the rate of 7.5% per annum from the date of petition till its realization and awarded the said sum to the appellant-claimant, as detailed *supra*. The MACT directed the respondent-insurer to satisfy the award, while granting it liberty to recover the said amount from the driver-cum-owner of the offending vehicle, namely, R. Chinnadurai, in accordance with law.

13. Being aggrieved by the award passed by the MACT, the respondent-insurer preferred Civil Miscellaneous Appeal No. 464 of 2021 before the High Court, contending that the compensation awarded was excessive and disproportionate to the injuries sustained and the disability suffered by the appellant-claimant. Simultaneously, the appellant-claimant also preferred Civil Miscellaneous Appeal No. 3595 of 2021 seeking enhancement of the compensation awarded, asserting that the amount granted by the MACT was inadequate having regard to the nature of injuries, extent of permanent disability, and the consequential loss suffered by him.
14. The High Court, upon reappreciation of the evidence on record, observed that though the Medical Board had assessed the physical disability of the appellant-claimant at 63%, the same could not be mechanically adopted for the purpose of determining loss of earning capacity. Upon an independent evaluation of the nature of injuries and the impact of such injuries on the appellant-claimant's avocation as a Manager in a private concern, the High Court adjudged the functional disability suffered by the appellant-claimant at 30%. In view of the said finding, the High Court, *vide* its common judgment and order dated 11th January, 2022, dismissed the appeal preferred by the appellant-claimant seeking enhancement of compensation and partly allowed the appeal filed by the respondent-insurer, thereby reducing the total compensation awarded by the MACT from Rs.65,53,811/- to Rs.35,61,000/- (Rupees Thirty-Five Lakh Sixty-One Thousand Only), as detailed *supra*, modifying the award of the MACT to that extent.

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15. Being dissatisfied with the dismissal of his appeal seeking enhancement of compensation as awarded by the MACT, the appellant-claimant has preferred the instant appeal by special leave before this Court.

Submissions on behalf of appellant-claimant: -

16. Ms. Haripriya Padmanaban, learned senior counsel appearing on behalf of appellant-claimant, assailed the impugned judgment of the High Court on the following counts: -
 - A. That the High Court failed to appreciate that the Medical Board had categorically assessed the physical disability of the appellant-claimant at 63%, which finding was based on a duly constituted medical examination and stood substantiated by the disability certificate placed on record. The Medical Board had recorded that the case involved a head injury treated conservatively, facial injury, and left femur fracture treated by surgical intervention, and that the said injuries had resulted in **partial blindness, cognitive impairment, and partial loss of range of motion and stability of the left knee**. It was submitted that the MACT had correctly placed reliance on the said expert medical opinion and there was no justifiable reason for the High Court to dilute the effect of the certified disability while computing the loss of earning capacity.
 - B. That the appellant-claimant had suffered severe head injury in the accident, resulting in serious cognitive impairments, as reflected in the neuropsychological assessment report. The said report demonstrated that the Memory Scale of the patient, i.e., appellant-claimant indicated severe impairment of both verbal and visual memory; tests relating to frontal lobe functioning revealed impairment; while parietal lobe functioning was found to be intact. It was further submitted that the appellant-claimant's IQ score of 65 placed him within the category of Mild Intellectual Disability, thereby evidencing substantial neurological degradation having direct bearing on his functional abilities and employability.
 - C. That both the High Court and the MACT failed to properly appreciate that although the physical disability had been assessed at 63% by the Medical Board, the functional disability suffered by the appellant-claimant, having regard to the nature

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of brain injury and its consequences, was in effect 100%, as the cognitive deficits and neurological damage had rendered the appellant-claimant totally incapable of resuming his previous avocation or engaging in any gainful employment, resulting in a complete loss of earning capacity.

- D. That the appellant-claimant placed reliance upon several precedents of this Court to contend that in appropriate cases this Court has enhanced compensation by taking into consideration the educational background, and socio-economic status of the victim, so as to ensure that just compensation is awarded to the victim. It was further urged that this Court has consistently restricted untenable legal defences raised by insurance companies and has emphasized that the burden lies upon them to establish any limited statutory defence. It was specifically contended that the respondent-insurer had failed to place any material on record to demonstrate that the functional disability suffered by the appellant-claimant was lesser than the percentage determined by the MACT, and in the absence of any *contra* evidence, the reduction of compensation effected by the High Court was wholly unjustified. In the light of the settled principles governing award of just compensation under the Motor Vehicles Act, 1988, it was submitted that the appellant-claimant is entitled to enhancement of compensation over and above what was awarded by the MACT.

On the aforesaid grounds, learned senior counsel urged that the impugned judgment of the High Court does not withstand judicial scrutiny, being founded on an erroneous appreciation of the evidence and a misapplication of the settled principles governing assessment of disability and loss of earning capacity. It was submitted that the judgment, having disregarded material and unimpeachable documentary evidence available on record, deserves to be set aside. It was further prayed that this Court may be pleased to enhance the compensation appropriately by holding that the functional disability suffered by the appellant-claimant is 100%, and by recalculating the loss of future earning capacity and other consequential heads in accordance with law.

Submissions on behalf respondent-insurer: -

17. Ms. Perna Mehta, learned counsel appearing on behalf of respondent-insurer, supported the impugned judgment to the hilt and urged that

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the same calls for no interference by this Court, *inter alia*, on the following grounds: -

- A. That the High Court has rightly and justly exercised its appellate jurisdiction upon a proper reappreciation of the evidence on record, and the impugned judgment is well-reasoned, balanced and in consonance with the settled principles governing assessment of compensation under the Motor Vehicles Act, 1988. It was submitted that no perversity or patent illegality has been demonstrated in the High Court's reasoning warranting interference by this Court.
- B. That the High Court correctly held that physical disability assessed by the Medical Board cannot *ipso facto* be equated with functional disability for the purpose of determining loss of earning capacity. It was contended that the High Court, upon considering the nature of employment of the appellant-claimant and the material placed on record, justifiably concluded that though the physical disability was assessed at 63%, the functional disability suffered by the appellant-claimant ought to be taken at 30% for the purpose of computation of compensation.
- C. That the evidence on record does not establish that the disability suffered by the appellant-claimant has resulted in a complete loss of income or total incapacity to earn. It was urged that the injuries sustained by the appellant-claimant were treated, and the disability certificate itself indicates disability to the extent of 63%. In the absence of cogent evidence demonstrating total incapacitation or inability to undertake any form of gainful employment, it cannot be contended that the appellant-claimant has suffered 100% functional disability or has lost his entire earning capacity.

On these grounds, learned counsel submitted that the impugned judgment of the High Court is legally sound and does not warrant interference, and accordingly prayed that the present appeal be dismissed.

Analysis and Discussion: -

- 18. We have heard and considered the submissions advanced by learned counsel for the parties and have carefully gone through the impugned judgment as well as the material placed on record.

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19. At the outset, it must be noted that insofar as the determination of monthly income and the addition towards future prospects are concerned, there is no serious dispute before us. The controversy in the present appeal lies within a narrow compass. The principal issue which falls for our consideration is with regard to the assessment of extent of disability for the purpose of computing loss of earning capacity, and more particularly, the soundness of the High Court's determination of functional disability at 30% as against 63% assessed by the Medical Board and affirmed by the MACT. The consequential effect of the above exercise would be to determine whether the appellant-claimant is entitled to any further enhancement of compensation over and above the amount awarded by the MACT.
20. At the first instance, the MACT, upon appreciation of the oral and documentary evidence including the disability certificate (Exh.C-1), the neuropsychological assessment report, and the nature of avocation of the appellant-claimant as a Manager in a private concern, accepted the permanent physical disability assessed by the Medical Board at 63% and proceeded to compute the loss of future earning capacity by applying the multiplier method established by a long line of binding precedents. The MACT took note of the fact that the injuries included a head injury resulting in cognitive impairment, partial blindness, and restriction of movement and stability of the left knee, and recorded a finding that such disability had a direct bearing on the appellant-claimant's earning capacity.
21. However, the High Court, while observing that physical disability cannot be mechanically equated with functional disability, reduced the functional disability suffered by the appellant-claimant from 63% to 30% without adverting in detail to the medical evidence on record, particularly the findings of the Medical Board and the neuropsychological report evidencing cognitive deficits suffered by the appellant-claimant as a consequence of the injuries suffered in the accident. No independent *contra* material was placed on record by the respondent-insurer to displace the evidentiary value of the disability certificate. In our considered view, such reduction of the functional disability, in the absence of convincing evidence impeaching the credibility of the medical certificates placed on record by the appellant-claimant and without assigning cogent reasons, was not at all justified. For ready reference, the relevant extract from the impugned judgment is reproduced hereinbelow: -

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“10. According to the claimant he was earning a sum of Rs.29,108/- per month by working as a Manager in a private concern, which has been proved through Exs.21 to 25. Thus, the Tribunal has arrived the amount under the head of loss of earning power, by multiplying the disability as 63%. It appears to be on the higher side. **Though the Medical Board has assessed the physical disability of the claimant as 63%, after going through the records, we have come to the conclusion that the functional disability suffered by the claimant would be 30%.** After adding 40% towards future prospectus, the total income of the claimant is arrived at Rs.40,751/-, rounded off to Rs.40,000/-. Thereby, the claimant is entitled for an amount of Rs.24,48,000/- (Rs.40,000/- x 12 x 30% x 17); Rs.1,00,000/- for Loss of amenities; Rs.2,00,000/- under Pain and sufferings; since the claimant was unmarried at the time of accident and sustained grievous injuries in the accident, an amount of Rs.2,00,000/- is granted towards loss of marital prospectus; The amounts awarded under the heads of Medical expenses, Transportation to hospital, Extra nourishment and Damage to clothing and articles are confirmed.”

[Emphasis supplied]

22. A careful reading of the aforesaid extract indicates that the High Court merely adverted to the general principles governing assessment of disability and, without undertaking any independent analysis of the evidence on record, abruptly concluded that the functional disability suffered by the appellant-claimant would be 30%. There is no discussion as to why the medical findings, the disability certificate issued by the competent Medical Board, or the neuropsychological report were doubtful or insufficient to sustain the conclusion reached by the MACT. Equally, while reducing the quantum of compensation, no specific or cogent reasons have been assigned for curtailing the amounts awarded under the heads of “Loss of Amenities” and “Pain and Suffering,” which were based on the nature and gravity of the injuries sustained by the appellant-claimant. In our considered opinion, such conclusions, abruptly arrived at without proper reappraisal of the evidence and without recording adequate reasons, are in the nature of presumptions and assumptions and cannot be sustained in the eyes of law.

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23. Ordinarily, where a Court exercising appellate jurisdiction reverses or modifies a finding of fact recorded by the Court of first instance without a proper reappraisal of the evidence or without assigning cogent reasons, this Court would be justified in setting aside the impugned judgment and remitting the matter for fresh consideration on merits and in accordance with law. In the present case, the assessment of functional disability, which had a direct bearing on the determination of just compensation, necessarily required a careful scrutiny of the medical evidence and its impact on the avocation of the injured. The failure to undertake such an exercise would, in the normal course, warrant a remand.
24. However, we cannot be oblivious of the fact that the accident occurred in the year 2016 and that the appellant-claimant has been engaged in litigation for nearly a decade, first before the MACT, thereafter before the High Court and now before this Court. A remand at this stage would only prolong the proceedings and compound the agony already suffered by the appellant-claimant. In these circumstances, in order to do complete justice between the parties, we deem it appropriate to examine the issue on merits and determine the issue of functional disability on the basis of the material available on record.
25. In order to determine the functional disability suffered by the appellant-claimant, it is necessary to advert to the findings recorded by the Medical Board with respect to the permanent physical disability, as well as the neuropsychological assessment report placed on record. Both these documents remained uncontroverted and hence, they provide credible expert evidence so as to assess the extent and nature of disability. The true nature and extent of the injuries, and their impact on the cognitive and functional abilities of the appellant-claimant, can be properly appreciated only upon a careful consideration of these materials. For ready reference, the relevant extracts from the said documents are reproduced hereinbelow: -

“Neuropsychological Assessment Report: *Interpretation & Conclusion*

- **Memory Scale shows that his verbal and Visual memory is impaired severely.**
- **On tests for frontal lobe functioning-impairment.**
- **On the test for parietal lobe functioning, normal performance shows that the lobe function is intact.**

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- The IQ range of 65, fall into the category of Mild Intellectual Disability.

Report of the Medical Board

Case of Head injury treated conservatively, facial injury x left femur fracture treated by surgical intervention. **Above injury has resulted in partial blindness, cognitive impairment and partial lom of Rom and stability of left knee.**

His disability due to above injuries sixty three percent (63%).”

[Emphasis supplied]

26. Having bestowed our anxious consideration to the material placed on record, we find that the disability certificate issued by the Medical Board clearly records that the appellant-claimant had suffered a head injury treated conservatively, facial injury, and left femur fracture treated by surgical intervention. These injuries progressively resulted in partial blindness, cognitive impairment and partial loss of range of motion and stability of the left knee. The neuropsychological assessment further evidences severe impairment in verbal and visual memory, impairment of frontal lobe functions and an IQ score of 65, placing the appellant-claimant in the category of Mild Intellectual Disability. These findings, read conjointly, demonstrate that the injuries suffered by the appellant-claimant were not merely orthopedic in nature, but had significant neurological sequelae directly impacting his functional and cognitive abilities.
27. This Court, in ***Raj Kumar v. Ajay Kumar***⁹, has authoritatively laid down the principles governing assessment of permanent and functional disability for the purpose of awarding compensation. It has been held that the percentage of permanent disability assessed by a medical expert cannot be mechanically equated with the percentage of loss of earning capacity. What is required to be determined is the actual impact of such disability on the earning capacity of the injured, having regard to his avocation, age and the nature of work performed. The Tribunal is required to undertake a structured analysis to ascertain the

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activities the claimant can or cannot perform post-injury, the nature of his profession prior to the accident, and whether the disability has resulted in total incapacity or merely restricted or reduced earning capacity. For ready reference, the relevant extracts from the said judgment are reproduced hereinbelow: -

“9. The percentage of permanent disability is expressed by the doctors with reference to the whole body, or more often than not, with reference to a particular limb. When a disability certificate states that the injured has suffered permanent disability to an extent of 45% of the left lower limb, it is not the same as 45% permanent disability with reference to the whole body. The extent of disability of a limb (or part of the body) expressed in terms of a percentage of the total functions of that limb, obviously cannot be assumed to be the extent of disability of the whole body. If there is 60% permanent disability of the right hand and 80% permanent disability of left leg, it does not mean that the extent of permanent disability with reference to the whole body is 140% (that is 80% plus 60%). If different parts of the body have suffered different percentages of disabilities, the sum total thereof expressed in terms of the permanent disability with reference to the whole body cannot obviously exceed 100%.

10. Where the claimant suffers a permanent disability as a result of injuries, the assessment of compensation under the head of loss of future earnings would depend upon the effect and impact of such permanent disability on his earning capacity. The Tribunal should not mechanically apply the percentage of permanent disability as the percentage of economic loss or loss of earning capacity. In most of the cases, the percentage of economic loss, that is, the percentage of loss of earning capacity, arising from a permanent disability will be different from the percentage of permanent disability. Some Tribunals wrongly assume that in all cases, a particular extent (percentage) of permanent disability would result in a corresponding loss of earning capacity, and consequently, if the evidence produced show 45% as the permanent disability, will

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hold that there is 45% loss of future earning capacity. In most of the cases, equating the extent (percentage) of loss of earning capacity to the extent (percentage) of permanent disability will result in award of either too low or too high a compensation.

11. What requires to be assessed by the Tribunal is the effect of the permanent disability on the earning capacity of the injured; and after assessing the loss of earning capacity in terms of a percentage of the income, it has to be quantified in terms of money, to arrive at the future loss of earnings (by applying the standard multiplier method used to determine loss of dependency). We may however note that in some cases, on appreciation of evidence and assessment, the Tribunal may find that the percentage of loss of earning capacity as a result of the permanent disability, is approximately the same as the percentage of permanent disability in which case, of course, the Tribunal will adopt the said percentage for determination of compensation. (See for example, the decisions of this Court in Arvind Kumar Mishra v. New India Assurance Co. Ltd. [(2010) 10 SCC 254 : (2010) 3 SCC (Cri) 1258: (2010) 10 Scale 298] and Yadava Kumar v. National Insurance Co. Ltd. [(2010) 10 SCC 341 : (2010) 3 SCC (Cri) 1285 : (2010) 8 Scale 567])

[.....]

13. Ascertainment of the effect of the permanent disability on the actual earning capacity involves three steps. The Tribunal has to first ascertain what activities the claimant could carry on in spite of the permanent disability and what he could not do as a result of the permanent disability (this is also relevant for awarding compensation under the head of loss of amenities of life). The second step is to ascertain his avocation, profession and nature of work before the accident, as also his age. The third step is to find out whether (i) the claimant is totally disabled from earning any kind of livelihood, or (ii) whether in spite of the permanent disability, the claimant could still effectively

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carry on the activities and functions, which he was earlier carrying on, or (iii) whether he was prevented or restricted from discharging his previous activities and functions, but could carry on some other or lesser scale of activities and functions so that he continues to earn or can continue to earn his livelihood.”

[Emphasis supplied]

28. In view of the principles laid down by this Court in ***Raj Kumar (supra)***, as consistently affirmed thereafter, the assessment of functional disability must be grounded in a realistic appraisal of the impact of the injury on the claimant's capacity to earn. The inquiry is not confined to the numerical percentage of physical impairment certified by the Medical Board, but extends to evaluating whether the claimant, in light of his educational background, skill set and nature of employment, is capable of meaningfully pursue his avocation.
29. Reverting to the facts of the present case, the appellant-claimant was admittedly employed as a Manager in a private concern, a role inherently dependent upon sustained cognitive functioning, including memory retention, analytical ability, executive decision-making, coordination and effective communication. The neuropsychological report on record evidences severe impairment in verbal and visual memory, frontal lobe dysfunction, and an IQ score of 65 placing him within the category of Mild Intellectual Disability.
30. Further, the Medical Board has recorded that the injuries resulted not only in cognitive impairment but also in partial blindness and orthopedic limitations affecting mobility and stability. When these physical and neurological impairments are cumulatively evaluated, it becomes manifest that the appellant-claimant's ability to effectively discharge his pre-accident duties stands substantially and irreversibly impaired. The evidence does not indicate a mere diminution in efficiency, rather, it demonstrates a profound erosion of the faculties essential for gainful employment in his chosen field. These impairments strike at the core competencies indispensable for the effective discharge of managerial responsibilities and substantially undermine the appellant-claimant's ability to perform the essential functions inherent in such a position. In such circumstances, and bearing in mind the settled principle that functional disability must reflect the actual loss of earning capacity, we are persuaded to hold

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that the disability in the present case, for the purpose of computation of compensation, deserves to be reckoned at 100%. It is beyond the pale of doubt that, having suffered such grave medical and neurological impairments, the appellant-claimant would neither be considered suitable for the managerial post nor would he be capable of effectively discharging the onerous responsibilities attached to the said post, particularly in light of his present condition, which is likely to deteriorate progressively over time.

31. Consequently, in light of the foregoing discussion and considering that the functional disability suffered by the appellant-claimant is to be assessed at 100% for the purpose of computing loss of earning capacity, the compensation payable to the appellant-claimant warrants re-determination so as to ensure the award of just and fair compensation in accordance with law. Accordingly, the compensation payable to the appellant-claimant is recalculated as per the computation set out hereunder: -

<u>Head</u>	<u>Amount Awarded</u>
Future loss of earning power	Rs.40,000/- x 12 x 100% (Disability) x 17 = Rs.81,60,000/-
Medical expenses	Rs.5,88,011/-
Loss of amenities	Rs.3,00,000/-
Pain and Sufferings	Rs.5,00,000/-
Transportation to Hospital	Rs.10,000/-
Extra Nourishment	Rs.10,000/-
Damage to Clothing and Articles	Rs.5,000/-
Loss of marital prospectus	Rs.2,00,000/-
Total	Rs.97,73,011/-

32. Thus, the total compensation payable to the appellant-claimant works out to Rs.97,73,011/- (Rupees Ninety-Seven Lakh Seventy-Three Thousand and Eleven only). The appellant-claimant shall be entitled to interest at the rate of 7.5% per annum from the date of filing of the claim petition till the date of realization, as awarded by the MACT. The amount, if any, already paid shall be duly adjusted towards the aforesaid sum. The award shall be satisfied by the respondent-insurer. However, as directed by the MACT, the respondent-insurer shall be at

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liberty to recover the said amount from the driver-cum-owner of the offending vehicle, namely, R. Chinnadurai, in accordance with law.

33. The respondent-insurer is directed to deposit the balance amount of compensation along with accrued interest within a period of six weeks from the date of receipt of this judgment before the Motor Accidents Claims Tribunal, Special Subordinate Judge, Coimbatore, which shall disburse the same to the appellant-claimant in accordance with law.
34. The impugned judgment dated 11th January, 2022 passed by the High Court and the award dated 22nd January, 2020 passed by the MACT are modified in terms of this judgment.
35. Before parting with the matter, we deem it appropriate to reiterate that when an appellate court interferes with findings of fact duly recorded by the Motor Accidents Claims Tribunal, particularly on issues such as assessment of disability and loss of earning capacity, it is incumbent upon it to undertake a thorough reappraisal of the evidence and to assign cogent, clear and convincing reasons for departing from the conclusions arrived at by the Motor Accidents Claims Tribunal. Such an obligation is heightened in proceedings under the Motor Vehicles Act, 1988, which is a beneficial and welfare-oriented legislation enacted with the object of ensuring expeditious relief and just compensation to victims of motor accidents and their families. The statutory framework is designed to advance social justice and to provide solace and financial security to those who suffer on account of road accidents. Any interference with a reasoned award of the Motor Accidents Claims Tribunal must, therefore, be consistent with the spirit and object of the enactment and supported by sound judicial reasoning.
36. The appeal is allowed accordingly.
37. There shall be no order as to costs.
38. Pending application(s), if any, shall stand disposed of.

Result of the case: Appeal allowed.

**Sant Rohidas Leather Industries and Charmakar
Development Corporation Ltd.**

v.

Vijaya Bank

(Civil Appeal No. 4841 of 2023)

19 March 2026

[Pamidighantam Sri Narasimha and Manoj Misra,* JJ.]

Issue for Consideration

Whether the appellant, a body corporate, while availing services of the Bank to deposit its surplus funds in an interest bearing term deposit, such as a Fixed Deposit Receipt (FDR), could be considered a consumer as defined in s.2(1)(d) of the Consumer Protection Act, 1986; whether the nature of allegations made in the complaint were such that they took the claim outside the purview of proceedings under the 1986 Act.

Headnotes[†]

Consumer Protection Act, 1986 – s.2(1)(d) – “consumer” – NCDRC dismissed the consumer complaint of the appellant, a body corporate on the ground that the deposit made by the appellant with the Bank had a direct nexus to generation of profit(s) (i.e., earning interest on surplus funds), therefore, the banking services availed were for a commercial purpose and thus, the appellant was not a consumer *qua* the Bank as per s.2(1)(d) – Challenge to:

Held: In normal course, parking of surplus funds by a body corporate with a bank, either for safe custody or to comply with statutory mandate is not reflective of a commercial purpose – More so, because ordinarily all deposits in a Bank earn interest – Hence, it cannot be said that since the deposit earned interest, banking service was availed for a commercial purpose – However, it would be different where deposits are made to leverage a credit facility, or for availing other banking services, for business use – Deposit of the latter kind may amount to availing banking services for a commercial purpose – In the present case, the deposit was by one business entity, the appellant company, with another business entity, the Bank – It was thus, a business-to-business transaction –

^{*} Author

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Admittedly, the Bank had set up a case that FDR was pledged to avail credit facility and the maturity value of the FDR was adjusted against the dues – Though the appellant has denied this loan transaction, this issue is not settled by either a criminal court or a civil court even though a criminal complaint has been made in that regard – Thus, it is not a simple case of not fulfilling contractual obligation *qua* the deposit but a case where a subsequent contract of pledge is set up which, if accepted, would override the contractual obligation under the FDR – Thus, without determining whether there was fraud played upon the appellant, or forged documents were created for a false pledge/loan, it would not be possible to determine whether the services availed by the appellant from the respondent-Bank were for a commercial purpose or not – NCDRC was justified in dismissing the complaint even though the reasons for such dismissal may not be entirely correct [Paras 26, 27, 33]

Consumer Protection Act, 1986 – Whether the nature of allegations made in the complaint were such that they took the claim outside the purview of proceedings under the 1986 Act:

Held: The complaint as framed is not maintainable – According to the complaint allegations, the appellant had invested 9 crores by way of a term deposit with the Bank and that the said term deposit was fraudulently hypothecated for availing overdraft without the sanction of the appellant company – When the overdraft against the FDR was brought to the notice of the appellant, a complaint was made with the respondent-bank – The response of the Bank to that complaint is important, inasmuch as the Bank claims that the original of the FDR is with the Bank and the same stands pledged for availing overdraft – Besides, the Bank claimed that the FDR which the appellant claims to be in its possession is a forged document – In the complaint itself, the appellant admitted that this matter was reported to the Economic Offences Wing – Therefore, the main grievance of the appellant appears to be *qua* adjustment of proceeds of the FDR against the amount outstanding in the overdraft account – Thus, what is clear from the complaint allegations is that the Bank had acknowledged the FDR and had accounted for the interest payable thereon but, instead of releasing the maturity proceeds in favour of the appellant, it had set up a subsequent contract of pledge of that FDR for according overdraft facility to the appellant – According to the appellant this pledge is a fraudulent act and amounts to an offence – In such circumstances,

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the complaint allegations as they stand cannot be adjudicated upon in a proceeding under the 1986 Act as those allegations could appropriately be addressed in a regular criminal or civil proceeding and hence, the complaint is not maintainable – NCDRC justified in dismissing the complaint even though the reasons recorded for such dismissal may not be entirely correct. [Paras 30, 32, 33]

Consumer Protection Act, 1986 – Does not deal with complex factual issues pertaining to criminal or tortious liability:

Held: The burden to prove deficiency in service is on the complainant, and deficiency in service is different from criminal or tortious acts of the service provider – Though one of the objects of the 1986 Act is to provide speedy and simple redressal to consumer disputes, its object is not to deal with complex factual issues pertaining to criminal or tortious liability in a summary manner. [Para 30]

Consumer Protection Act, 1986 – Fixed deposit receipt earning interest, whether means that the banking service availed is for a commercial purpose:

Held: No – A bank renders multiple types of service – Accepting cash deposits from customers and paying interest thereon is the most basic of services rendered by a bank, as ordinarily all cash deposits yield interest – Therefore, merely because a deposit earns interest, it does not mean that the deposit was made for a commercial purpose because there may be other reasons to deposit the money in a bank and those may have nothing to do with generation of profit – Merely because a fixed deposit receipt earns interest does not mean that the banking service availed is for a commercial purpose – To this extent, the view of NCDRC not agreed with – However, if the deposit is made to leverage credit facilities for augmenting business, it would have a direct nexus with revenue generation/ profits – In such a case, it could be said that the banking service was availed for a commercial purpose – In that scenario, the service recipient may not fall in the category of a consumer unless he brings his case within the four corners of the Explanation to s.2(1)(d) of the 1986 Act. [Paras 21, 22]

Consumer Protection Act, 1986 – Whether the purchasing of goods, or availing of services, is for a commercial purpose or not – Determination of:

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Held: The identity of the person making the purchase, or the value of the transaction, is not conclusive to determine whether the transaction or activity is for a commercial purpose – What needs to be seen is the dominant intention or dominant purpose of the transaction *i.e.* whether it is to facilitate some kind of profit generation for the purchaser(s) and/or its/their beneficiary – If it is found that the dominant purpose behind the purchase of goods or services is personal use and consumption by the purchaser, and those are otherwise not linked to any commercial activity, the question whether such purchase is for generating a livelihood by means of self employment need not be addressed – However, where the transaction is for a commercial purpose, it may have to be considered whether it is for generating livelihood by means of self-employment or not – To determine whether the purchasing of goods, or availing of services, is for a commercial purpose or not, one has to look at the dominant object or purpose with which those goods are purchased or services are availed – To ascertain the dominant object, nature of the goods purchased or the services availed also assume importance – Therefore, each case would have to be decided on its own facts – The status of the purchaser or recipient of goods or services, that is, whether it is an individual or a body corporate, is not the determining factor for holding whether the transaction is, or is not, for a commercial purpose – The burden to prove that the goods purchased, or services availed, as the case may be, is for a commercial purpose is on the respondent and not the complainant. [Paras 15, 18, 19]

Case Law Cited

Lilavati Kirtilal Mehta Medical Trust v. Unique Shanti Developers and Others [2019] 14 SCR 563 : (2020) 2 SCC 265; *Karnataka Power Transmission Corporation & Another v. Ashok Iron Works Pvt. Ltd.* [2009] 1 SCR 1109 : (2009) 3 SCC 240; *National Insurance Co. Ltd. v. Harsolia Motors & Ors.* [2023] 3 SCR 448 : (2023) 8 SCC 362; *Poly Medicure Ltd. v. Brillio Technologies (Pvt) Ltd.* [2025] 12 SCR 189 : 2025 SCC OnLine SC 2443; *Shriram Chits (India) Private Limited v. Raghachand Associates* [2024] 6 SCR 214 : (2024) 9 SCC 509; *Ravneet Singh Bagga v. KLM Royal Dutch Airlines and Another* [1999] Supp. 4 SCR 320 : (2000) 1 SCC 66; *Chairman and Managing Director, City Union Bank Limited and Another v. R. Chandramohan* [2023] 3 SCR 688 : (2023) 7 SCC 775 – referred to.

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List of Acts

Consumer Protection Act, 1986.

List of Keywords

Section 2(1)(d), Consumer Protection Act, 1986; “consumer”; Body corporate availing services of the Bank; To deposit surplus funds in an interest bearing term deposit; Fixed deposit receipt (FDR); Commercial purpose; Fixed deposit receipt earned interest; Banking service not availed is for commercial purpose; Section 2(1)(m), Consumer Protection Act, 1986; “person”; Deficiency in service.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 4841 of 2023

From the Judgment and Order dated 13.03.2023 of the National Consumers Disputes Redressal Commission, New Delhi in CC No. 2866 of 2017

Appearances for Parties

Advs. for the Appellant(s):

Prashant R Dahat, Shreyas Gacche, Sourabh Gupta, Puneet Yadav, Ms. Priya Mittal, T. R. B. Sivakumar.

Advs. for the Respondent(s):

Vaibhav Dang, Amrendra Kumar Mehta, Ranpal Awana, D N Ojha.

Judgment / Order of the Supreme Court

Judgment

Manoj Misra, J.

1. This statutory appeal arises from a judgment and order of the National Consumer Disputes Redressal Commission at New Delhi¹, dated 13.03.2023, in Consumer Complaint No. 2866 of 2017, whereby the consumer complaint of the appellant was dismissed, *inter alia*, on the ground that the complainant (i.e., the appellant herein) is

1 NCDRC

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not a consumer as per Section 2(1)(d) of the Consumer Protection Act, 1986².

FACTS

2. The appellant, a company incorporated, filed a consumer complaint against Vijaya Bank³ (the respondent), *inter alia*, alleging that it had invested a sum of Rs. 9,00,00,000 (Rs.9 Crores), by way of a fixed deposit, with the Bank, for a period of one year, w.e.f. 28.02.2014, and evidencing the transaction a fixed deposit receipt⁴ dated 03.03.2014 was issued to the appellant and even interest payable on the said FDR was credited in the account of the appellant on 26.03.2014 after deducting TDS⁵. However, on 27.06.2014, the appellant received a letter from the Bank about sanction of a loan/credit facility/ overdraft of Rs. 8.10 Crores against the FDR. Suspecting foul play in sanction of loan/ credit facility/ overdraft against the FDR, the appellant lodged a complaint with the Economic Offences Wing, Crime Branch, Mumbai on 16.07.2014. A letter was also sent to the Bank to reverse the entries *qua* the fraudulent overdraft account. The Bank, however, did not accede to the request. As a result, the matter was reported to the Reserve Bank of India⁶. Subsequently, on 04.03.2017, the Bank informed the appellant that the overdraft facility has been closed by adjusting the amount outstanding thereunder against maturity value of the FDR and the remaining balance i.e., Rs. 50,58,847 was remitted *vide* DD No. 245983, dated 04.03.2017. The appellant accepted neither adjustment nor remission and requested the Bank to make payment of the entire FDR amount. As the Bank failed to refund the amount, consumer complaint was filed with a prayer that the Bank be directed to pay the principal amount of Rs. 9 Crores along with interest at the rate of 9.75% per annum from 28.02.2014 along with compensation as well as costs.
3. The Bank contested the complaint on merits as well on its maintainability, *inter alia*, on the following grounds:

2 1986 Act

3 Bank

4 FDR

5 Tax Deducted at Source

6 RBI

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- (a) The allegations of fraud/forgery etc. can be decided by either a Civil Court or a Criminal Court and not in summary proceedings under the 1986 Act; and
 - (b) The complainant company is engaged in commercial activity; the alleged investment was to augment profits, therefore, the complainant is not a consumer as defined in Section 2(1)(d) of the 1986 Act.
4. NCDRC by placing reliance on the definition of ‘consumer’, as defined in Section 2(1)(d)⁷ of the 1986 Act, as also on a decision of this Court in ***Lilavati Kirtilal Mehta Medical Trust vs Unique Shanti Developers and others***⁸ held that the deposit made by the appellant with the Bank had a direct nexus to generation of profit(s) (i.e., earning interest on surplus funds), therefore, the banking services availed were for a commercial purpose. Hence, the complainant would not be a consumer *qua* the Bank as per Section 2(1)(d) of the 1986 Act. In consequence, NCDRC dismissed the complaint without expressing any opinion on its merit.
5. Aggrieved by rejection of its complaint, the appellant has filed this appeal.
6. We have learned counsel for the parties and have perused the materials available on record.

SUBMISSIONS ON BEHALF OF THE APPELLANT

7. On behalf of the appellant, it was submitted:

⁷ **Section 2(1)(d)** - “Consumer” means any person who, —

- (i) buys any goods for a consideration which has been paid or promised or partly paid and partly promised, or under any system of deferred payment and includes any user of such goods other than the person who buys such goods for consideration paid or promised or partly paid or partly promised, or under any system of deferred payment, when such use is made with the approval of such person, but does not include a person who obtains such goods for resale or for any commercial purpose; or
- (ii) hires or avails of any services for a consideration which has been paid or promised or partly paid and partly promised, or under any system of deferred payment and includes any beneficiary of such services other than the person who hires or avails of the services for consideration paid or promised, or partly paid and partly promised, or under any system of deferred payment, when such services are availed of with the approval of the first mentioned person but does not include a person who avails of such services for any commercial purpose;

[Explanation.— For the purposes of this clause, “commercial purpose” does not include use by a person of goods bought and used by him and services availed by him exclusively for the purposes of earning his livelihood by means of self-employment];

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- (a) Appellant is an undertaking of State of Maharashtra. It availed services of the Bank. As there has been deficiency in service, complaint against the Bank was maintainable.
 - (b) Deposit in a Bank by itself is not reflective of a commercial purpose. Every legal person parks its money or funds in a Bank. Therefore, deposit in a Bank by itself should not be a determining factor to hold that banking services availed by the depositor were for a commercial purpose. Moreover, parking of surplus funds in a Bank does not by itself amounts to a commercial activity. It may merely be an investment. Therefore, the view taken by NCDRC that the appellant is not a consumer is unsustainable in law.
 - (c) Moreover, there is no direct nexus between the services availed and generation of profit by the appellant because the principal object of the appellant is to arrange and supply raw materials to specified industries.
 - (d) Besides, even a company can be a consumer. Therefore, merely because appellant is a company incorporated it would not be a factor determining whether it is a consumer or not.
8. In light of the above submissions, the learned counsel for the appellant prayed that the impugned order be set aside and the matter be remanded back to NCDRC for a decision on merits.

SUBMISSIONS ON BEHALF OF RESPONDENT-BANK

9. *Per contra*, on behalf of the Bank, it was urged that though main object of the appellant may be to promote the leather industry, etc., but it is not precluded from investing money, not immediately required by the company, for profits. Thus, the purpose of such investment was to augment profits and, therefore, banking services were availed for a commercial purpose. NCDRC was, therefore, justified in holding the appellant not a consumer as per Section 2(1) (d) of the 1986 Act.
10. Additionally, it was submitted on behalf of the Bank that there exists a serious dispute on facts and the allegations in the complaint relating to fraud/ forgery/ manipulation can only be decided in a regular civil or criminal proceeding and not by way of a summary proceeding under the 1986 Act.

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ISSUES

11. Upon consideration of the rival submissions and the materials placed on record, in our view, the following issues arise for our consideration:
 - (i) Whether the appellant, a body corporate, while availing services of the Bank to deposit its surplus funds in an interest bearing term deposit, such as an FDR, could be considered a consumer as defined in Section 2(1)(d) of the 1986 Act?
 - (ii) Whether the nature of allegations made in the complaint were such that they took the claim outside the purview of proceedings under the 1986 Act?

ISSUE NO.(i)

12. Section 2(1)(d)(ii) of the 1986 Act, *inter-alia*, provides that “consumer” means any person who hires or avails of any services for a consideration which has been paid or promised or partly paid and partly promised, or under any system of deferred payment and includes any beneficiary of such services other than the person who hires or avails of the services for consideration paid or promised, or partly paid and partly promised, or under any system of deferred payment, when such services are availed of with the approval of the first mentioned person but does not include a person who avails of such services for any commercial purpose. The Explanation to clause (d) of sub-section (1) of Section 2 of the 1986 Act provides that for the purposes of this clause, “commercial purpose” does not include use by a person of goods bought and used by him and services availed by him exclusively for the purposes of earning his livelihood by means of self-employment.
13. The expression ‘person’ used in Section 2(1) (d) is defined in Section 2(1)(m)⁹ of the 1986 Act. Construing the definition of ‘person’ as provided in Section 2(1)(m) of the 1986 Act, this Court in ***Karnataka Power Transmission Corporation & Another v. Ashok Iron Works***

⁹ **Section 2. Definitions.** - (1) In this Act, unless the context otherwise requires, -

(m) ‘person’ includes, -

(i) a firm whether registered or not;

(ii) a Hindu undivided family;

(iii) a co-operative society;

(iv) every other association of persons whether registered under the Societies Registration Act, 1860 (21 of 1860) or not

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Pvt. Ltd.¹⁰ held that the definition of person is inclusive and not exhaustive and it would include a body corporate.

14. In **Lilavati Kirtilal Mehta Medical Trust (supra)**, this Court observed that there could be no straitjacket formula for determining whether an activity or transaction is for a commercial purpose. Yet, by way of guidelines, certain principles were summarised in paragraph 19 of the judgment, which is reproduced below:

“19. To summarize from the above discussion, though a straightjacket formula cannot be adopted in every case, the following broad principles can be culled out for determining whether an activity or transaction is “for a commercial purpose.”

19.1 The question of whether a transaction is for a commercial purpose would depend upon the facts and circumstances of each case. However, ordinarily, “commercial purpose” is understood to include manufacturing/ industrial activity or business-to-business transactions between commercial entities.

19.2 The purchase of the good or service should have a close and direct nexus with a profit-generating activity.

19.3 The identity of the person making the purchase or the value of the transaction is not conclusive to the question of whether it is for a commercial purpose. It has to be seen whether the dominant intention or dominant purpose for the transaction was to facilitate some kind of profit generation for the purchaser and/or their beneficiary.

19.4 If it is found that the dominant purpose behind purchasing the good or service was for the personal use and consumption of the purchaser and/or their beneficiary, or is otherwise not linked to any commercial activity, the question of whether such a purchase was for the purpose of ‘generating livelihood by means of self-employment’ need not be looked into.”

15. What is clear from above is that the identity of the person making the purchase, or the value of the transaction, is not conclusive to

10 (2009) 3 SCC 240, paragraph 21

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determine whether the transaction or activity is for a commercial purpose. What needs to be seen is the dominant intention or dominant purpose of the transaction i.e. whether it is to facilitate some kind of profit generation for the purchaser(s) and/or its/their beneficiary. If it is found that the dominant purpose behind the purchase of goods or services is personal use and consumption by the purchaser, and those are otherwise not linked to any commercial activity, the question whether such purchase is for generating a livelihood by means of self-employment need not be addressed. However, where the transaction is for a commercial purpose, it may have to be considered whether it is for generating livelihood by means of self-employment or not.

16. In ***National Insurance Co. Ltd. v. Harsolia Motors & Ors.***¹¹, the complainant, a commercial entity engaged in the business of sale of vehicles, took fire insurance policy from an insurance company, covering its office, showroom, garage, machinery lying in the showroom premises, etc. The complainant's case was that damages were sustained during Godhra riots and, therefore, the complainant was entitled to be indemnified under the policy of insurance. Aggrieved by action of the insurance company a complaint was filed by claiming deficiency in service. The insurance company took an objection that the complainant was not a consumer as per Section 2(1)(d) of the 1986 Act because its ultimate object is to earn profits. The State Commission upheld the objection; against which, the complainant went in appeal before NCDRC. NCDRC held that the expression "*for any commercial purpose*" would mean that the goods purchased or services hired should be used in any activity directly intended to generate profit, but in a case where goods purchased or services availed are not intended to generate profit, it would not be a commercial purpose. Consequently, when a person takes an insurance cover for indemnification of actual loss suffered, the intention is not to generate profits. Therefore, the complainant was a consumer. Upholding the above view of the National Commission, this Court observed:

"43. ... What needs to be determined is whether the insurance service had a close and direct nexus with the profit generating activity and whether the dominant

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intention or dominant purpose of the transaction was to facilitate some kind of profit generation for the insured or to the beneficiary and our answer is in the negative and accordingly we are of the view that the complaint filed by the respondent insured herein has no close or direct nexus with the profit generating activity and the claim of insurance is to indemnify the loss which the respondent insured had suffered and the Commission has rightly held that the respondent is a consumer under section 2(1)(d) of the 1986.

44. We further reiterate that ordinarily the nature of the insurance contract is always to indemnify the losses. Insurance contracts are contracts of indemnity whereby one undertakes to indemnify another against loss / damage or liability arising from an unknown or contingent event and is applicable only to some contingency or act likely to come in future.”

17. In ***Poly Medicure Ltd. v. Brillio Technologies (Pvt) Ltd.***¹², after considering several decisions including ***Harsolia Motors***, it was observed that if the transaction has a direct nexus with generation of profits, it would be treated as one for a commercial purpose. However, whether a transaction has nexus with generation of profits or not is to be determined on the facts of each case by taking into consideration, *inter alia*, the nature of the goods purchased or services availed and the purpose for which it is purchased or availed and if, upon consideration of all relevant factors, the picture that emerges is one which reflects that the object of the purchase of goods/services is to generate or augment profit, the same would be treated as one for a commercial purpose. It was also observed that insurance service by its very nature is to secure the insured against an unforeseen loss, therefore, the dominant object of availing such service is not to generate profit but to secure oneself against unforeseen losses.
18. Thus, what is clear from above is that to determine whether the purchasing of goods, or availing of services, is for a commercial purpose or not, one has to look at the dominant object or purpose with which those goods are purchased or services are availed. To

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ascertain the dominant object, nature of the goods purchased or the services availed also assume importance. Therefore, each case would have to be decided on its own facts. What is also clear is that the status of the purchaser or recipient of goods or services, that is, whether it is an individual or a body corporate, is not the determining factor for holding whether the transaction is, or is not, for a commercial purpose.

19. Besides, the burden to prove that the goods purchased, or services availed, as the case may be, is for a commercial purpose is on the respondent and not the complainant. In ***Shriram Chits (India) Private Limited v. Raghachand Associates***¹³, after analysing the definition of “consumer”, this Court observed that the definition has three parts. The first part relates to buying of goods/ availing of service for a consideration. Burden of proving the same rests on the complainant. The second part relates to the exception, that is, whether those goods were bought, or services availed, for a commercial purpose. The burden of proving this part lies on the respondent. The third part relates to the explanation, that is, even though the goods purchased, or services availed, are for a commercial purpose, the same are for the purpose of earning complainant’s livelihood, by way of self-employment. The burden of proving the third part lies on the complainant.
20. In the instant case, the transaction out of which the complaint arises is regarding a deposit made by the appellant with the Bank. Section 2(1)(o) of the 1986 Act defines ‘service’. It means service of any description which is made available to potential users and includes the provision of facilities in connection with banking, finance, insurance etc. There is no dispute that such deposit was made and the Bank had agreed to pay interest. Thus, to that extent the respondent-bank is the service provider and the appellant a service recipient *qua* Bank’s contractual obligation to pay interest and maturity value of the FDR. Therefore, in that context, the appellant can be considered a consumer of banking services offered by the respondent. However, the moot question is whether there was any deficiency in rendering those services. If yes, whether those services were availed for a commercial purpose. Both the issues are interlinked because if the

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Bank's defence that the FDR was pledged for availing credit facility is accepted, not only a commercial purpose gets imputed to the transaction but then there may be no deficiency in rendering service *qua* the FDR as it would be subject to a subsequent contract of pledge.

21. A bank renders multiple types of service. Accepting cash deposits from customers and paying interest thereon is the most basic of services rendered by a bank, as ordinarily all cash deposits yield interest. Therefore, merely because a deposit earns interest, it does not mean that the deposit was made for a commercial purpose because there may be other reasons to deposit the money in a bank and those may have nothing to do with generation of profit. For example, holding of cash by a person beyond a limit may not be permissible under the statutory framework. Therefore, he may have to deposit the money notwithstanding whether his intention is to earn profits. Besides, banking service may be utilized for safe-keeping of money as keeping cash is fraught with risk. Thus, merely because a fixed deposit receipt earns interest does not mean that the banking service availed is for a commercial purpose. To this extent, we do not agree with the view of NCDRC.
22. However, if the deposit is made to leverage credit facilities for augmenting business, it would have a direct nexus with revenue generation/ profits. In such a case, it could be said that the banking service was availed for a commercial purpose. In that scenario, the service recipient may not fall in the category of a consumer unless he brings his case within the four corners of the Explanation to Section 2(1)(d) of the 1986 Act.
23. It is undisputed that the appellant is a body corporate. Though being a body corporate is not the determining factor of a service recipient's intent to generate profit, yet it is a factor to be considered along with others to ascertain the true intent with which the service in question was availed.
24. In the instant case, according to the complainant, the deposit was for a fixed term and had no direct nexus to the core business of the complainant i.e., the appellant. Though, according to the Bank, the deposit was to generate profit as the FDR not only carried interest, it was pledged to avail credit facilities/ overdraft for business use and, therefore it served a commercial purpose.

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25. The complaint allegations, if read as a whole, would reveal that the complainant (i.e., the appellant) was aware about Bank's stand that the FDR was pledged to avail credit facilities. If that is correct then it is a matter of common knowledge that credit facilities are availed by a corporate body for its business. Therefore, there existed a serious dispute regarding the true intent of the appellant in making such deposit.
26. In normal course, parking of surplus funds by a body corporate with a bank, either for safe custody or to comply with statutory mandate, as the case may be, is not reflective of a commercial purpose. More so, because ordinarily all deposits in a Bank earn interest. Hence, it would be too naive to hold that since the deposit earned interest, banking service was availed for a commercial purpose. However, it would be different where deposits are made to leverage a credit facility, or for availing other banking services, for business use. Deposit of the latter kind may amount to availing banking services for a commercial purpose.
27. In the case on hand, the deposit was by one business entity, namely, the appellant company, with another business entity, namely, the Bank. It was thus, a business-to-business transaction. Admittedly, the Bank had set up a case that FDR was pledged to avail credit facility and the maturity value of the FDR was adjusted against the dues. Though the appellant has denied this loan transaction, this issue is not settled by either a criminal court or a civil court even though a criminal complaint has been made in that regard. In such circumstances, it is not a simple case of not fulfilling contractual obligation *qua* the deposit but a case where a subsequent contract of pledge is set up which, if accepted, would override the contractual obligation under the FDR. Thus, without determining whether there was fraud played upon the appellant, or forged documents were created for a false pledge /loan, it would not be possible to determine whether the services availed by the appellant from the respondent-Bank were for a commercial purpose or not. Issue No.(i) is decided accordingly.

ISSUE NO.(ii)

28. In *Ravneet Singh Bagga v. KLM Royal Dutch Airlines and Another*¹⁴ this Court had the occasion to construe the words 'service', as defined in Section 2(1)(o), and 'deficiency', as defined in Section

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2(1) (g) of the 1986 Act. After considering their respective definitions provided in the 1986 Act, it was held:

“5. Section 2(1)(o) defines “service” to mean service of any description which is made available to potential users and includes the provision of facilities in connection with banking, financing, insurance, transport, processing, supply of electrical or other energy, board or lodging or both, entertainment, amusement or the purveying of news or other information, but does not include the rendering of any service free of charge or under a contract of personal service. Section 2(1)(g) defines “deficiency” to mean any fault, imperfection, shortcoming or inadequacy in the quality, nature and manner of performance which is required to be maintained by or under any law for the time being in force or has been undertaken to be performed by a person in pursuance of a contract or otherwise in relation to any service.

6. The deficiency in service cannot be alleged without attributing fault, imperfection, shortcoming or inadequacy in the quality, nature and manner of performance which is required to be performed by a person in pursuance of a contract or otherwise in relation to any service. The burden of proving the deficiency in service is upon the person who alleges it. The complainant has, on facts, been found to have not established any wilful fault, imperfection, shortcoming or inadequacy in the service of the respondent. The deficiency in service has to be distinguished from the tortious acts of the respondent. In the absence of deficiency in service the aggrieved person may have a remedy under the common law to file a suit for damages but cannot insist for grant of relief under the Act for the alleged acts of commission and omission attributable to the respondent which otherwise do not amount to deficiency in service. In case of bona fide disputes no wilful fault, imperfection, shortcoming or inadequacy in the quality, nature and manner of performance in the service can be informed (*sic*). If on facts it is found that the person or authority rendering service had taken all precautions and considered all relevant facts and circumstances in the course of the transaction and that their action or the final decision was in good faith, it cannot

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be said that there had been any deficiency in service. If the action of the respondent is found to be in good faith, there is no deficiency of service entitling the aggrieved person to claim relief under the Act. The rendering of deficient service has to be considered and decided in each case according to the facts of that case for which no hard and fast rule can be laid down. Inefficiency, lack of due care, absence of bona fides, rashness, haste or omission and the like may be the factors to ascertain the deficiency in rendering the service.”

(Emphasis supplied)

29. Following the decision in ***Ravneet Singh Bagga*** (supra) in ***Chairman and Managing Director, City Union Bank Limited and Another v. R. Chandramohan***¹⁵, it was held:

“14. The proceedings before the Commission being summary in nature, the complaints involving highly disputed questions of facts or the cases involving tortious acts or criminality like fraud or cheating, could not be decided by the Forum/Commission under the said Act. The “deficiency in service”, as well settled, has to be distinguished from the criminal acts or tortious acts.”

(Emphasis supplied)

30. It is thus settled that the burden to prove deficiency in service is on the complainant, and deficiency in service is different from criminal or tortious acts of the service provider. Though one of the objects of the 1986 Act is to provide speedy and simple redressal to consumer disputes, its object is not to deal with complex factual issues pertaining to criminal or tortious liability in a summary manner.
31. In light of the aforesaid legal position, we shall now consider whether the allegations set out in the complaint, took the complaint out of the purview of the 1986 Act.
32. According to the complaint allegations, the appellant had invested 9 crores by way of a term deposit with the Bank. It is also the case of

¹⁵ (2023) 7 SCC 775

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the appellant that the said term deposit was fraudulently hypothecated for availing overdraft without the sanction of the appellant company. What is important to note is that when the overdraft against the FDR was brought to the notice of the appellant, a complaint was made with the respondent-bank. The response of the Bank to that complaint is important, inasmuch as the Bank claims that the original of the FDR is with the Bank and the same stands pledged for availing overdraft. Besides, the Bank claimed that the FDR which the appellant claims to be in its possession is a forged document. In the complaint itself, the appellant admitted that this matter was reported to the Economic Offences Wing. Therefore, the main grievance of the appellant appears to be *qua* adjustment of proceeds of the FDR against the amount outstanding in the overdraft account. Thus, what is clear from the complaint allegations is that the Bank had acknowledged the FDR and had accounted for the interest payable thereon but, instead of releasing the maturity proceeds in favour of the appellant, it had set up a subsequent contract of pledge of that FDR for according overdraft facility to the appellant. According to the appellant this pledge is a fraudulent act and amounts to an offence. In such circumstances, the complaint allegations as they stand cannot be adjudicated upon in a proceeding under the 1986 Act as those allegations could appropriately be addressed in a regular criminal or civil proceeding. Hence, the complaint as framed is not maintainable. Issue No.(ii) is decided in the aforesaid terms.

33. In light of our conclusion on Issue No.(ii), we are of the view that NCDRC was justified in dismissing the complaint even though the reasons recorded by it for such dismissal may not be entirely correct. As a result, the appeal lacks merit and is, accordingly, dismissed. Dismissal of the complaint shall not be a bar on the right of the appellant to take recourse to appropriate proceedings before appropriate court/ forum. There shall be no order as to costs.
34. Pending application(s), if any, stand disposed of.

Result of the case: Appeal dismissed.

V. Ganesan
v.
State Rep by the Sub Inspector of Police & Anr.

(Criminal Appeal No. 1470 of 2026)

19 March 2026

[Pamidighantam Sri Narasimha and Manoj Misra,* JJ.]

Issue for Consideration

Issue arose whether the High Court was justified in declining to quash proceedings u/s.420 IPC.

Headnotes[†]

Penal Code, 1860 – s.420 – Offence of cheating – Appellant-movie producer borrowed money from the complainant on assurance that it would be returned by a share in profits – Appellant issued two post-dated cheques towards return of the principal amount – Cheques dishonoured for insufficient funds in the account – Complaint for the offence of cheating and criminal breach of trust – Petition for quashing of report and consequential proceedings on the ground that it was a civil cause of action given a colour of criminal offence – High Court quashed the indictment of an offence punishable u/s.406 but declined to quash proceedings *qua* the offence of cheating punishable u/s.420 – Correctness:

Held: Where the transaction between the parties is such that fulfilment of the promise is not entirely in the control of the promisor, or there is an inherent risk in fulfilment of the promise, the High Court may, in exercise of its inherent powers under the Code, or u/Art.226 of the Constitution, as the case may be, upon consideration of the attending circumstances, take a decision whether the dishonest intention existed or not at the time of making the promise – And, if it comes to the conclusion that the alleged conduct of the parties does not reflect a dishonest intention of the accused from the very beginning, it may quash the criminal complaint/proceedings and relegate the aggrieved party to civil remedies – On facts, the initial payment of money by the complainant to the appellant was for a

* Author

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movie project on promise of a share in profits – Additional money was paid later for its completion under a promise of an enhanced share in the profits – No denial about the completion of the movie and its ultimate release, thus, the promise to make a movie not false, as also no dishonest intention of the appellant in making the promise which remained unfulfilled – Nature of transaction between the parties was a crucial factor in determining whether the investor party should be allowed to bring in a criminal action or pursue civil remedies – High Court overlooked the same – Post-dated cheques were not by way of inducement to lend money or invest money in the proposed movie – Dishonour of those cheques, would not *ipso facto* amount to an offence of cheating – Thus, dishonour of a post-dated cheque by itself not sufficient to presume existence of a dishonest intention on part of its drawer – Thus, in absence of allegations that movie made profits, the complaint and the supporting materials failed to indicate that the appellant harboured a dishonest intention from inception – Allegations only disclosed a civil cause of action and the High Court erred in not quashing the criminal proceedings – Impugned judgment and order of the High Court set aside to the extent it declined quashing of the proceedings u/s.420 – Impugned criminal proceedings u/s.420 quashed. [Paras 15, 17, 18, 20, 21]

Penal Code, 1860 – s.420 – Cheating – Necessary ingredients to constitute an offence of cheating:

Held: In order to constitute an offence of cheating the intention to deceive should be in existence when the inducement was made – It is necessary to show that a person had fraudulent or dishonest intention at the time of making the promise – Mere failure to keep the promise subsequently cannot be the sole basis to presume that dishonest intention existed from the very beginning. [Para 13]

Case Law Cited

Iridium India Telecom Ltd. v. Motorola Inc. [2010] 14 SCR 591 : (2011) 1 SCC 74; *Vesa Holdings Private Limited and Another v. State of Kerala and Others* [2015] 4 SCR 27 : (2015) 8 SCC 293 – referred to.

List of Acts

Penal Code, 1860; Constitution of India; Code of Criminal Procedure, 1973; Negotiable Instruments Act, 1881.

V. Ganesan v. State Rep by the Sub Inspector of Police & Anr.**List of Keywords**

Cheating; Criminal breach of trust; Fraudulent; Dishonest intention; Civil cause of action; Quashing of the criminal proceedings; Dishonour of cheque; Criminal action; Promise of a share in profits; False promise; Dishonest intention from inception; Dishonest intention at the time of making the promise; Failure to keep the promise.

Case Arising From

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No. 1470 of 2026

From the Judgment and Order dated 06.04.2023 of the High Court of Judicature at Madras in CRLOP No. 847 of 2021

Appearances for Parties

Advs. for the Appellant(s):

S. Nagamuthu, Sr. Adv., M.P. Parthiban, Ankur Prakash, Mrs. Priyanka Singh, Bilal Mansoor, Shreyas Kaushal, S. Geyolin Selvam, Alagiri K.

Advs. for the Respondent(s):

V. Krishnamurthy, Sr. A.A.G., Sabarish Subramanian, Vishnu Unnikrishnan, Ms. Azka Sheikh Kalia, Ms. Jahnvi Taneja, Danish Saifi.

Judgment / Order of the Supreme Court**Judgment**

Manoj Misra, J.

1. Leave granted.
2. This appeal impugns the judgment and order of the High Court at Madras¹ dated 06.04.2023 in CrI. O.P. No. 847 of 2021 and CrI. M.P. No. 518 of 2021, whereby the prayer of the appellant to quash final report and consequential proceedings in C.C. No. 3569 of 2020 on the file of the Metropolitan Magistrate (CCB and CBCID, Metro

¹ The High Court

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Cases), Egmore, Chennai-600008, under Section 406 and 420 of the Indian Penal Code, 1860², was partly allowed to the extent of indictment under Section 406 IPC; however, the prayer to quash indictment under Section 420 IPC was declined.

3. In brief, the prosecution case, as could be evinced from the final report (i.e., police report) submitted under Section 173 of the Code of Criminal Procedure, 1973³, is that the accused (the appellant herein) was producing a 'movie'. In the course of its production, he ran short of funds. He, therefore, requested the de-facto complainant (i.e., the second-respondent herein) to lend him money on assurance that it would be returned by a share in profits to the extent of 30%. Later, further money was lent on promise of an additional 17% share in profits. Ultimately, two post-dated cheques of Rs.24 lacs each were issued by the accused to the *de facto* complainant towards return of the principal amount which returned unpaid for insufficient funds in the account. Based on above, it was alleged that the accused had cheated the complainant and had also committed offence of criminal breach of trust.
4. Aggrieved by the police report and the consequential proceedings, the appellant invoked the jurisdiction of the High Court under Section 482 of CrPC, *inter alia*, to quash the report and the consequential proceedings on the ground that a pure civil cause of action was given colour of a criminal offence.
5. By the impugned order, the High Court quashed the indictment of an offence punishable under Section 406 IPC but declined to quash the proceedings *qua* the offence of cheating punishable under Section 420 IPC.
6. We have heard the learned counsel for the parties.
7. On behalf of the appellant it is submitted that admittedly the second-respondent had invested money in a movie project on expectation of good returns. There is no dispute that the movie project was completed. However, it could not generate profits. In such circumstances, the appellant could not fulfil its commitment of providing good returns on the investment. Therefore, there was no

2 IPC

3 CrPC

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dishonest intention and the dispute between the parties is purely civil in nature. Hence, institution and continuation of criminal proceedings is nothing but abuse of the process of Law.

8. *Per contra*, on behalf of the respondent(s) it is submitted that dishonest intention of the appellant was there from the very beginning which is evident from the fact that the two cheques got dishonoured for want of funds. Besides, on appellant's false assurance of profits, money was lent. In these circumstances, offence of cheating is made out.
9. We have accorded due consideration to the rival submissions and have perused the record.
10. The police report indicted the appellant for offences of criminal breach of trust and cheating punishable under Sections 406 and 420 IPC respectively. The High Court came to the conclusion, and rightly so, that no offence punishable under Section 406 of IPC is made out as there was no entrustment. Regarding the offence of cheating, the High Court concluded that *prima facie* it is made out. The reasoning of the High Court in support of its conclusions can be found in paragraph 6 of its judgment, which is extracted below:

“This Court on perusal of the impugned final report finds that the offence under Section 406 IPC is not made out. There is no entrustment made to the petitioner, in order to attract the offence of criminal breach of trust. However, this Court finds that there was an Agreement between the petitioner and the de-facto complainant on 30.12.2013. The Agreement shows that the petitioner promised 30% interest on the initial invested amount on Rs. 19,60,000/-. Thereafter, the de-facto complainant paid Rs. 27,00,000/- on 03.04.2014; and the petitioner had promised 47% profit on the invested amount. The petitioner had not made any payment to the de-facto complainant/second-respondent as promised. While so, the de-facto complainant/second-respondent objected to the petitioner releasing the movie. The petitioner had given one more undertaking letter, wherein, he had promised to pay the principal sum in two instalments, profit on a subsequent date; and that if the project did not yield any profit, he would pay an interest on the said sum of Rs. 48,00,000/-. All the above facts, disclose that at every stage, the representation has been

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made to the de-facto complainant to induce him to part with money. The allegations *prima facie* disclose the offence under Section 420 IPC. In the facts of the instant case, the question whether it was only a breach of promise or cheating has to be adjudicated only during trial. Therefore, this Court is not inclined to quash the impugned final report in so far as the offence under Section 420 IPC. Hence, the impugned final report is quashed only in respect of offence under Section 406 IPC. However, the learned Metropolitan Magistrate may try the case on the basis of evidence adduced before him without being influenced by any of the observations made in this order. The learned Metropolitan Magistrate (CCB and CBCID, Metro Cases), Egmore, Chennai – 600 008 may conduct the trial as expeditiously as possible⁴”.

11. The above extract makes it clear that the High Court was of the view that as the money was advanced on a promise of good returns and, subsequently, an undertaking was also given to return the principal amount if the project did not yield any profit, it could be taken that the complainant parted with his money on the inducement of the appellant and therefore, *prima facie*, an offence punishable under Section 420 IPC is made out.
12. In **Iridium India Telecom Ltd. v. Motorola Inc.**⁵, this Court laid down the ingredients of an offence of cheating as defined in Section 415⁶ of IPC. It was observed that Section 415 of IPC has two parts. The first part makes it necessary that the deception by the accused of the person deceived, must be fraudulent or dishonest. Such deception must induce the person to either: (a) deliver property to any person; or (b) consent that any person shall retain any property. The second part also requires that the accused must by deception intentionally induce the person deceived either to do or omit to do anything which

⁴ Extracted from typed copy of the judgment placed on record. May contain typographical mistakes.

⁵ (2011) 1 SCC 74, paragraph 68

⁶ **Section 415. Cheating.** -- Whoever, by deceiving any person, fraudulently or dishonestly induces the person so deceived to deliver any property to any person, or to consent that any person shall retain any property, or intentionally induces the person so deceived to do or omit to do anything which he would not do or omit if he were not so deceived, and which act or omission causes or is likely to cause damage or harm to that person in body, mind, reputation or property, is said to 'cheat'.

Explanation. --- A dishonest concealment of facts is a deception within the meaning of this section.

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he would not do or omit, if he was not so deceived. Besides, such act or omission must cause or must be likely to cause damage or harm to that person in body, mind, reputation or property. Thus, deception is a necessary ingredient for the offence of cheating under both parts of this section. Besides, the complainant must allege/ prove that the inducement had been caused by the deception exercised by the accused. In other words, such deception must produce the inducement to part with or deliver property, which the complainant would not have parted with or delivered, but for the inducement resulting from such deception. The explanation to the section clarifies that non-disclosure of relevant information would also be treated as a misrepresentation of facts leading to deception.

13. In order to constitute an offence of cheating the intention to deceive should be in existence when the inducement was made. It is necessary to show that a person had fraudulent or dishonest intention at the time of making the promise. Mere failure to keep the promise subsequently cannot be the sole basis to presume that dishonest intention existed from the very beginning.
14. In ***Vesa Holdings Private Limited and Another v. State of Kerala and others***⁷, this court held that every breach of contract would not give rise to an offence of cheating. Only in those cases breach of contract would amount to cheating where there was any deception played at the very inception. If the intention to cheat has developed later, the same cannot amount to cheating. In other words, for the purpose of constituting an offence of cheating, the complaint is required to show that the accused had fraudulent or dishonest intention at the time of making promise or representation. Even in a case where allegations are made about failure on part of the accused to keep his promise, in absence of a dishonest intention at the time of making the initial promise, no offence under Section 420 of IPC is made out.
15. Whether non-fulfilment of promise/ commitment by the accused is a reflection of his or her dishonest intention at the time of making the promise is ordinarily a matter of trial. However, in our view, where the transaction between the parties is such that fulfilment of the promise is not entirely in the control of the promisor, or there

7 (2015) 8 SCC 293, paragraph 12

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is an inherent risk in fulfilment of the promise, the High Court may, in exercise of its inherent powers under the Code, or under Article 226 of the Constitution, as the case may be, upon consideration of the attending circumstances, take a decision whether the dishonest intention existed or not at the time of making the promise. And, if it comes to the conclusion that the alleged conduct of the parties does not reflect a dishonest intention of the accused from the very beginning, it may quash the criminal complaint/ proceedings and relegate the aggrieved party to civil remedies.

16. In the present case, what the High Court overlooked is that money was advanced for movie making and initially the agreement was to share the profits. Importantly, when the first tranche of money was transferred by the de-facto complainant to the accused, the alleged promise was a share in profits. Second tranche of money was transferred when the project could not be completed for want of funds. It also appears from paragraph 2 of the impugned order that before the movie could be released, de facto complainant took objection to its release. However, when the appellant gave two post-dated cheques, the movie could be released.
17. The aforesaid facts would indicate that the initial payment of money by the de-facto complainant to the appellant was for a movie project on promise of a share in profits. Additional money was paid later for its completion under a promise of an enhanced share in the profits. Thereafter, post-dated cheques were issued to return the principal amount because of an objection taken by the de facto complainant to the release of the movie. Since there is no denial about the completion of the movie and its ultimate release, what is clear is that the promise to make a movie was not false. Therefore, it cannot be said the appellant made a false promise that he would make a movie with the aid of funds received by him. Insofar as promise *qua* sharing of profits is concerned, there are no allegations that the movie earned profits. Therefore, from the allegations made in the complaint it cannot be said that there was any dishonest intention of the appellant in making the promise which remained unfulfilled. In our view, the High Court overlooked that movie making is a high risk business. No one can be sure whether a movie would earn profits or would be a flop. If one agrees to share profits in lieu of his investment in a movie, he takes the risk of a possible zero return.

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Thus, the nature of transaction between the parties was a crucial factor in determining whether the investor party should be allowed to bring in a criminal action or pursue civil remedies. Unfortunately, the High Court overlooked this vital aspect.

18. Insofar as dishonour of those two cheques are concerned, it is clear that those were post-dated cheques issued not as an inducement to obtain delivery of money from the de facto complainant but to discharge an existing obligation at a future date. Thus, in essence, those cheques were not by way of inducement to lend money or invest money in the proposed movie. Therefore, dishonour of those cheques, though may give right to initiate proceeding under Section 138 of the Negotiable Instruments Act, 1881, would not *ipso facto* amount to an offence of cheating, inasmuch as for an offence of cheating dishonest intention must exist from the very beginning. Ordinarily, post-dated cheques are issued either by way of security to discharge an existing or future liability or to discharge the liability at some point of time in future. It is quite possible that at the time of issuance of a post-dated cheque, the drawer may have reason to believe that he would have sufficient balance in his account by the date of the cheque. Therefore, in our view, dishonour of a post-dated cheque by itself is not sufficient to presume existence of a dishonest intention on part of its drawer.
19. In the instant case, there is nothing to indicate that the appellant had a dishonest intention from the very beginning. Had it been a case where the appellant had not made the movie despite borrowing funds to make one, an inference about existence of a dishonest intention was permissible. However, here there is no allegation that movie was not made. Rather, it was made and released. The prosecution case itself is to the effect that further advance was taken to complete and release the movie. However, when complainant took objection to its release, the appellant issued post-dated cheques to repay the principal amount. Thus, those cheques were to discharge an existing liability and not by way of an inducement to take more money.
20. Assuming that by issuance of those cheques, the de facto complainant was led to vacate his objection to movie's release, even then an offence of cheating would not be made out for two reasons. First, those cheques were post-dated therefore, did not carry a representation of sufficient funds in the bank account at the time of its issuance.

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Second, initial agreement, as per the allegations, was to share profit on release of the movie. Thus, in absence of allegations that movie made profits, in our view, the complaint and the supporting materials failed to indicate that the appellant harboured a dishonest intention from inception. In conclusion, the allegations only disclosed a civil cause of action and the High Court fell in error in not quashing the criminal proceedings.

21. For the foregoing reasons, the appeal is allowed. The impugned judgment and order of the High Court is set aside to the extent it declined quashing of the proceedings under Section 420 IPC. The impugned criminal proceedings under Section 420 IPC are also quashed. Pending applications if any stands disposed of.

Result of the case: Appeal allowed.

[†]Headnotes prepared by: Nidhi Jain

Virinder Pal Singh
v.
Punjab and Sind Bank & Ors.

(Civil Appeal No. 3571 of 2026)

19 March 2026

[Pamidighantam Sri Narasimha and Manoj Misra,* JJ.]

Issue for Consideration

- (i) Whether post-retirement of the appellant, punishment of reduction of three stages in the scale of pay, as imposed by the respondent, was permissible under the extant Service Regulations, or action under the Pension Regulations was the only way forward;
- (ii) Whether there is any perversity/infirmary in the enquiry report and the order(s) passed by the Disciplinary/Appellate Authority. If yes, whether it could be raised as a ground when it was not pressed before the High Court.

Headnotes[†]

Punjab and Sind Bank Officers' Service Regulations, 1982 – r.20(3)(iii) – Appellant while in service of first respondent-bank was served a charge sheet on 30.09.2011, *inter alia*, on allegation of irregularities in disbursement of loans – On 30.09.2011 itself, the appellant superannuated from service – However, the disciplinary proceedings continued – By order dated 15.06.2013, punishment of reduction by three stages in the time scale of pay, on permanent basis, was imposed upon the appellant – Appeal against the said order was dismissed by the Appellate Authority – Writ petition filed by the appellant herein was allowed by the Single Judge of the High Court – However, the Division Bench of the High Court held that the extant Service Regulations permitted continuance of disciplinary proceedings post attainment of the age of superannuation, therefore the disciplinary proceedings could continue and brought to its logical conclusion as per Punjab and Sind Bank Officers' Service Regulations, 1982 – Correctness:

* Author

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Held: In the instant case, as there was no challenge to the indictment that huge amount of cash withdrawals was allowed without taking supporting bills/receipts, the charge that the appellant had failed to ensure end use of the loan stood proved – Appellant while assailing the disciplinary action pressed only one ground *i.e.*, that the extant Discipline and Appeal Regulations/Service Regulations under which the punishment was imposed, applied to serving employees only – Besides, a bank officer holds a position of trust as he deals with public funds – Sanction of loan beyond one's power, or not ensuring end-use of the loan, amounts to financial irregularity which exposes the Bank to financial risk – Therefore, penal action on proof of such a charge cannot be questioned merely because no loss is suffered by the Bank – This Court finds that there is neither any perversity in the finding(s) returned by the Inquiry Officer nor do this Court deems it appropriate to permit the appellant to question the merit of the finding(s) that Charge No.2 (appellant had failed to ensure the end use of the loan) was partly proved, particularly when no such plea was pressed before the High Court – In the instant case, the punishment awarded is of reducing the pay scale by three stages on permanent basis – Such reduction in the pay scale would relate back to the date the incumbent superannuated from service – Ordinarily, pension is computed based on salary last drawn/payable – Therefore, in view of this Court, it would not be difficult to implement such a punishment as pension can be computed accordingly. [Paras 18, 19, 21, 37]

Punjab and Sind Bank Officers' Service Regulations, 1982 – r.20(3)(iii) – Post retirement continuation of the disciplinary proceedings:

Held: In view of this Court, what is settled is that if the extant service Rules/Regulations permit continuance of the disciplinary proceedings, initiated against an officer/ employee before he had attained the age of superannuation, those can be continued and brought to its logical conclusion even after he had attained the age of superannuation – And where, pursuant to such proceedings, the ultimate penalty imposed is of dismissal, there may be no technical difficulty in its implementation as it may result in forfeiture of pension and other retiral dues – Therefore, in such an event, the question of entitlement to pensionary benefits may not arise – However, where the punishment imposed is such which may, instead of forfeiture of pension in its entirety, result in mere reduction or adjustment of

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pension, or recovery from post retiral dues, the Court may have to consider whether such punishment is implementable or not, post-retirement. [Para 36]

Case Law Cited

UCO Bank and Others v. Prabhakar Sadashiv Karvade (2018) 14 SCC 98; *Ramesh Chandra Sharma v. Punjab National Bank and Another* [2007] 7 SCR 585 : (2007) 9 SCC 15; *Chairman-Cum-Managing Director, Mahanadi Coalfields Limited v. Rabindranath Choubey* [2020] 8 SCR 1 : (2020) 18 SCC 71 – relied on.

A.L. Kalra v. Project and Equipment Corporation of India Limited [1984] 3 SCR 646 : (1984) 3 SCC 316; *Allahabad Bank and Others v. Krishna Narayan Tewari* [2017] 1 SCR 389 : (2017) 2 SCC 308; *Securities and Exchange Board of India through its Chairman v. Roofit Industries Limited* [2015] 12 SCR 190 : (2016) 12 SCC 125; *Chittoori Subbanna v. Kudappa Subbanna and Others* [1965] 2 SCR 661 : AIR 1965 SC 1325 : 1964 SCC OnLine SC 322; *Canara Bank v. D.R.P. Sundharam* (2016) 12 SCC 724; *Union of India and Others v. Ram Karan* [2021] 7 SCR 300 : (2022) 1 SCC 373; *Disciplinary Authority-Cum-Regional Manager and Others v. Nikunja Bihari Patnaik* [1996] Supp. 1 SCR 314 : (1996) 9 SCC 69; *Mihir Kumar Hazara Choudhury v. Life Insurance Corporation and Another* [2017] 9 SCR 418 : (2017) 9 SCC 404; *Chairman and Managing Director, United Commercial Bank and Others v. P.C. Kakkar* [2003] 1 SCR 1034 : (2003) 4 SCC 364 – referred to.

List of Acts

Punjab and Sind Bank Officers' Service Regulations, 1982.

List of Keywords

Service Law; Post-retirement; Reduction in Scale of pay; Service regulations; Pension regulations; Enquiry report; Loan disbursal; Financial irregularity; Penal action; Last Drawn Pay; Superannuation; Fiduciary Duty.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 3571 of 2026

From the Judgment and Order dated 23.02.2023 of the High Court of Punjab & Haryana at Chandigarh in LPA No. 370 of 2018

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Appearances for Parties

Advs. for the Appellant(s):

Vivek Singh, C.P. Rajwar, Ms. Udit Singh, Rohan Chandra.

Advs. for the Respondent(s):

Rajesh Kumar Gautam, Anant Gautam, Deepanjal Choudhary,
Ms. Likivi Jakhalu, Kushagra Nilesh Sahay.

Judgment / Order of the Supreme Court

Judgment

Manoj Misra, J.

1. Leave granted.
2. This appeal impugns judgment and order of the High Court of Punjab and Haryana at Chandigarh¹ dated 23.02.2023 in LPA No. 370 of 2018 which arose out of CWP No. 12865 of 2014.

FACTS

3. In brief, facts relevant for deciding this appeal are as follows:
 - (i) The appellant while in service of Punjab & Sind Bank² i.e., the first respondent was served a charge sheet on 30.09.2011, *inter alia*, on allegation of irregularities in disbursement of loans.
 - (ii) On 30.09.2011 itself, the appellant superannuated from service. However, the disciplinary proceedings continued and one of the charges, namely, Charge No. 2, that is the appellant had failed to ensure the end use of the loan, was found partly proved. Consequently, *vide* order dated 15.06.2013, punishment of reduction by three stages in the time scale of pay, on permanent basis, was imposed upon the appellant.
 - (iii) Aggrieved therewith, the appellant preferred an appeal before the Appellate Authority which was dismissed by order dated 19.04.2014. Thereafter, the appellant preferred a writ petition i.e., CWP No. 12865/2014 before the High Court, which was heard by a Single Judge Bench of the High Court.

¹ High Court

² Bank

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- (iv) Before the learned Single Judge, the appellant, *inter alia*, urged that the penalty imposed upon him was not permissible as he had superannuated. Post retirement, penalties specified in the Punjab and Sind Bank Employees' Pension Regulations, 1995³ alone could be imposed.
- (v) The aforesaid argument was accepted by the learned Single Judge. In consequence, the punishment order was set aside while reserving the right of the Bank to issue a fresh show cause notice for action under the Pension Regulations.
- (vi) Aggrieved therewith, the Bank preferred an intra court appeal before the Division Bench of the High Court.
- (vii) The Division Bench by relying upon a three-Judge Bench decision of this Court in ***Chairman-Cum-Managing Director, Mahanadi Coalfields Limited v. Rabindranath Choubey***⁴ and Regulation 20(3)(iii) of the Punjab and Sind Bank Officers' Service Regulations, 1982⁵ held that the extant Service Regulations permitted continuance of disciplinary proceedings post attainment of the age of superannuation, therefore the disciplinary proceedings could continue and brought to its logical conclusion as per those Regulations. As a result, the order of the learned Single Judge was set aside, and the writ petition of the appellant was dismissed.
- (viii) Aggrieved by the order of the Division Bench, the appellant is before us.

SUBMISSIONS ON BEHALF OF THE APPELLANT

- 4. On behalf of the appellant, it was submitted that once the appellant had attained the age of superannuation, the master-servant relationship between the Bank and the appellant ceased to exist, therefore, the punishment of reduction of pay could not have been imposed. Though the Bank could have either reduced the pension, otherwise payable, or recover the loss, if any, caused to the Bank, under the Pension Regulations.

3 Pension Regulations.

4 (2020) 18 SCC 71

5 Service Regulations.

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5. Reliance was placed on a decision of this Court in ***Ramesh Chandra Sharma v. Punjab National Bank and another***⁶ to contend that for the purposes of proceeding with disciplinary action post-retirement, punishment of dismissal from service stands on a different footing than reduction of pay, as by dismissal the liability to pay pension also ceases. Reliance was also placed on ***UCO Bank and others vs. Prabhakar Sadashiv Karvade***⁷ to contend that Service Regulations apply to serving employees only.
6. It was next contended that the appellant had taken multiple other grounds (i.e., (a) the concerned charge was not proved; (b) the concerned charge was not relatable to any specified misconduct; and (c) the punishment as well as the appellate order was a non-speaking one), which the High Court failed to address. To buttress the submission that disciplinary /Appellate Authority's order must carry reasons, reliance was placed on decisions of this Court in ***A.L. Kalra v. Project and Equipment Corporation of India Limited***⁸ and ***Allahabad Bank and others v. Krishna Narayan Tewari***⁹.
7. It was also contended that even if the merits of the finding(s) returned by the Inquiry Officer, Disciplinary Authority and Appellate Authority was not specifically questioned before the High Court, it being a pure question of law can be raised at any stage. In this regard, reliance was placed on decisions of this Court in ***Securities and Exchange Board of India through its Chairman v. Roofit Industries Limited***¹⁰ and ***Chittoori Subbanna v. Kudappa Subbanna and others***¹¹.

SUBMISSIONS ON BEHALF OF THE BANK

8. *Per contra*, the learned counsel for the Bank submitted that the general principle that there could be no disciplinary action post termination of master-servant relationship, consequent to attaining the age of superannuation, has an exception, which is, that if the extant Service Rules/Regulations permit continuance of disciplinary proceedings

6 (2007) 9 SCC 15

7 (2018) 14 SCC 98

8 (1984) 3 SCC 316

9 (2017) 2 SCC 308

10 (2016) 12 SCC 125

11 AIR 1965 SC 1325 : 1964 SCC OnLine SC 322

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post attainment of the age of superannuation, the proceedings can continue and brought to its logical conclusion. Regulation 20(3) (iii) of the Service Regulations permits continuance of disciplinary proceedings against the charged-officer even post-superannuation, if those were initiated prior to incumbent's superannuation, as is the case here. It was contended that in **Ramesh Chandra Sharma (supra)**, this Court held that in view of the provisions of Regulation 20(3)(iii) it is permissible to continue with the disciplinary proceedings post-retirement. Same view has been taken by a three-Judge Bench of this Court in **Canara Bank v. D.R.P. Sundharam**¹². On the other hand, Pension Regulations become applicable when proceedings are initiated under the Pension Regulations.

9. It was next contended that the decision in **Prabhakar Sadashiv Karvade (supra)** relied by the appellant is distinguishable on facts inasmuch as in that case the charged-officer had retired before service of charge-sheet. In that context, it was held that extant Regulations would apply to only serving employees.
10. On merits of the charge and the orders passed by the Disciplinary/Appellate Authority, it was submitted that the Inquiry Officer in his report dated 20.12.2012 found Charge No. 2 partly proved because the borrower had made cash withdrawals of several lacs of rupees without supporting bills. In that context, the Inquiry Officer concluded that the charged officer had failed to ensure end-use of the loan amount. The said conclusion is logical and cannot be held perverse. More so, when the loan account had turned Non-Performing Asset (for short, NPA). It was submitted that diversion of loan is best prevented by ensuring that it is used for the purpose intended. Withdrawal by cash, without supporting bills, is a clear indication of misuse of loan amount. Moreover, the appellant had never questioned the finding *qua* cash withdrawals without supporting bills.
11. Besides, the punishment imposed on the appellant had resulted in reduction of pension by a meagre sum of Rs. 302 per month. Thus, the punishment is not shockingly disproportionate to the gravity of the proven misconduct. Further, as to what punishment is to be imposed, the discretion vests with the disciplinary authority. In this

12 (2016) 12 SCC 724

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regard decision of this Court in ***Union of India And Others v. Ram Karan***¹³ was relied upon. Based on the aforesaid submissions, it was prayed on behalf of the Bank that the appeal be dismissed.

ANALYSIS

12. We have heard the learned counsel for the parties and have perused the materials on record.
13. On consideration of the rival submissions, in our view, following issues arise for our determination:
 - (i) Whether post-retirement of the appellant, punishment of reduction of three stages in the scale of pay, as imposed by the respondent, was permissible under the extant Service Regulations, or action under the Pension Regulations was the only way forward?
 - (ii) Whether there is any perversity/infirmity in the enquiry report and the order(s) passed by the Disciplinary/Appellate Authority? If yes, whether it could be raised as a ground when it was not pressed before the High Court?
14. Before proceeding to address Issue No. (i), we would address Issue No. (ii) as it turns on facts. Issue No. (ii) relates to the merits of the Inquiry Report and the order(s) of the Disciplinary/Appellate Authority. It also relates to the consequence of High Court not addressing the same. In this regard, it be noted that the charge which stood proved was in respect of appellant's failure to ensure end use of the loan disbursed by the Bank. The Inquiry Officer held the charge as partly proved because Bills in respect of cash payments of up to Rs. 27.25 lacs were not on record, and it was reported that the account had turned NPA.
15. The enquiry report¹⁴ takes note of the evidence produced and the submissions made by both sides. After analyzing the same, it holds Charge No. 2 partly proved. The enquiry report is in respect of two charges. Charge No. 1 is held not proved whereas Charge No. 2 is held partly proved because there existed no Bills on record to

¹³ (2022) 1 SCC 373

¹⁴ Which is contained in Annexure P-6

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demonstrate as to how the cash was spent. Based on that, the Inquiry Officer concluded that there was failure on part of the appellant to ensure end-use of the loan amount.

16. The appellant was given opportunity to submit his comments on the Inquiry Report. In his comments to the Inquiry Report, the appellant did not claim that he was not given due opportunity of hearing or that a faulty procedure was adopted by the Inquiry Officer. In fact, he did not even challenge the finding of the Inquiry Officer that no Bills were there on record. Rather his stand was that his predecessor-in-office had also not taken Bills, but no objection was taken to his predecessor's conduct. In that backdrop, the disciplinary authority, while accepting the finding of the Inquiry Officer, imposed the punishment in question.
17. Ensuring end-use of loan disbursements serves multiple purposes. First, it ensures that loan is not diverted for purposes other than the one for which it is sanctioned/ disbursed. Often loans are prioritized for a particular purpose. Ensuring end use safeguards that purpose. Second, it secures recovery. For example, if loan is for purchase of a machine to run a business, if the machine is purchased, possibility of business yielding profits is greater than where the loan is diverted for purposes other than to serve the business. Besides, it is a matter of common knowledge that loan is sanctioned after appraisal of the project or the business in respect of which the loan is sought. Appraisal is often to ascertain the feasibility and viability of the project / business for which the loan is sought. Failure to ensure end use would render the appraisal meaningless. In such circumstances, if end use of the loan is not ensured, the Bank would be exposed to financial risk.
18. In the instant case, as there was no challenge to the indictment that huge amount of cash withdrawals was allowed without taking supporting bills/receipts, the charge that the appellant had failed to ensure end use of the loan stood proved. It was in this context, probably, the learned counsel for appellant while assailing the disciplinary action pressed only one ground i.e., that the extant Discipline and Appeal Regulations/Service Regulations under which the punishment was imposed, applied to serving employees only. Even before the Division Bench of the High Court, it appears, no argument was raised on the merit of the finding that Charge No. 2 was partly proved.

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19. Besides, a bank officer holds a position of trust as he deals with public funds. Sanction of loan beyond one's power, or not ensuring end-use of the loan, amounts to financial irregularity which exposes the Bank to financial risk. Therefore, penal action on proof of such a charge cannot be questioned merely because no loss is suffered by the Bank¹⁵.
20. Moreover, where an employee of a Bank handles money of depositors /customers/investors, it is most essential for him to be cautious and not reckless in discharge of his duties because he deals with the money for and on behalf of his employer. Every such employee/officer is, therefore, required to take all possible steps to protect the interests of his employer. He must, therefore, discharge his duties with utmost sense of integrity, honesty, devotion and diligence and must ensure that he does nothing, which is unbecoming of an employee/officer. Although good conduct and discipline is expected from every employee/officer of an institution, but it is required more when the institution deals with money of customers/ depositors/ investors. Any dereliction in discharge of duties by such an employee or officer, whether by way of negligence/casualness, or with deliberate intention, constitutes misconduct¹⁶.
21. In that backdrop, we find neither any perversity in the finding(s) returned by the Inquiry Officer nor do we deem it appropriate to permit the appellant to question the merit of the finding(s) that Charge No. 2 was partly proved, particularly when no such plea was pressed before the High Court.
22. For the aforesaid reasons, we decline to accept appellant's submissions that the Writ Court and the Division Bench of the High Court failed in their obligation to examine the merits of the disciplinary action. Moreover, upon consideration of the enquiry report and the comments of the appellant to the same, we do not find any good ground to hold that Charge No. 2, as discussed above, was not partly proved, or that the punishment awarded was shockingly disproportionate to the gravity of proven misconduct. Issue No. (ii) is decided in the above terms.

15 Disciplinary Authority-Cum-Regional Manager and Others v. Nikunja Bihari Patnaik (1996) 9 SCC 69

16 Mihir Kumar Hazara Choudhury v. Life Insurance Corporation and Another (2017) 9 SCC 404; Chairman and Managing Director, United Commercial Bank and Others v. P.C. Kakkar (2003) 4 SCC 364.

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23. Now, we shall address Issue No. (i) i.e., whether, post-retirement, the punishment as imposed upon the appellant is permissible in law.
24. In support of his contention on the issue, the learned counsel for the appellant had placed reliance on Regulation 2 of the Service Regulations which reads as under:

“2. OFFICERS TO WHOM THE REGULATIONS APPLY

2. (1) These Regulations shall apply to all officers of the Bank and to such other employees of the Bank to whom they may be made applicable by the Competent Authority to the extent and subject to such conditions as such authority may decide.

(2) They shall also apply to officers transferred/ posted/ deputed outside India except to such extent as may be specifically or generally prescribed by the Competent Authority.

(3) They shall, however, not apply to employees appointed/ engaged in any country outside India and permanently serving there.”

25. On the other hand, the learned counsel for the Bank relied on Regulation 20 (3), more particularly Clause (iii) of Sub-regulation (3) of Regulation 20, of the Service Regulations. Sub-regulation (3) of Regulation 20 reads as under:

“20. TERMINATION OF SERVICE

(3) (i) An officer against whom disciplinary proceedings are pending shall not leave/discontinue or resign from his service in the bank without the prior approval in writing of Competent Authority and any notice or resignation given by such an officer before or during the disciplinary proceedings shall not take effect unless it is accepted by the Competent Authority.

(ii) Disciplinary proceedings shall be deemed to be pending against any employee for the purpose of this regulation if he has been placed under suspension or any notice has been issued to him to show cause why disciplinary proceedings shall not be instituted against him and will be deemed to be pending until final orders are passed by the Competent Authority.

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(iii) The officers against whom disciplinary proceedings have been initiated will cease to be in service on the date of superannuation, but the disciplinary proceedings will continue as if he was in service until the proceedings are concluded and final order is passed in respect thereof. The concerned officer will not receive any pay and/or allowance after the date of superannuation. He will also not be entitled for the payments of retirement benefits till the proceedings are completed and final order is passed thereon except his own contribution to CPF.”

26. The contention on behalf of the appellant is that the Service Regulations, of which Regulation 20 (3) (iii) is a part, would apply to all officers of the Bank. However, once an officer superannuates, he is no longer an officer of the Bank therefore, Regulation 20 (3) (iii) cannot rescue disciplinary proceedings post-retirement. Thus, it is contended, post-retirement, action can be taken only under the Pension Regulations.
27. At this stage, it would be useful to refer to two decisions placed on behalf of the appellant, namely, **“UCO Bank and Others vs. Prabhakar Sadashiv Karvade”** (supra) (for short, **Prabhakar Sadashiv Karvade**) and **“Ramesh Chandra Sharma vs. Punjab National Bank and Another”** (supra) (for short, **Ramesh Chander Sharma**).
28. In **Prabhakar Sadashiv Karvade**, based on a charge sheet served on 09.09.2000, the incumbent was dismissed from service on 12.10.2004 while he had retired from service on 13.12.1993. In that context, this Court considered various service Rules/ Regulations which were extracted in Paragraph 8 of the judgment. Relevant portion of which is reproduced below:

“8.

Discipline and Appeal Regulations

4. Penalties—The following are the penalties which may be imposed on an officer employee, for acts of misconduct or for any other good and sufficient reasons—

Minor penalties —

- (a) censure;

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(b) withholding of increments of pay with or without cumulative effect;

(c) withholding of promotion;

(d) recovery from pay or such other amount as may be due to him of the whole or part of any pecuniary loss caused to the Bank by negligence or breach of orders.

(e) reduction to a lower stage in the timescale of pay for a period not exceeding 3 years, without cumulative effect and not adversely affecting the officer's pension.

Major penalties —

(f) save as provided for in (e) above, reduction to a lower stage in the timescale of pay for a specified period, with further directions as to whether or not the officer will earn increments of pay during the period of such reduction and whether on the expiry of such period the reduction will or will not have the effect of postponing the future increments of his pay.

(g) reduction to a lower grade or post,

(h) compulsory retirement;

(i) removal from service which shall not be a disqualification for future employment;

(j) dismissal which shall ordinarily be a disqualification for future employment."

"1979 Regulations

20 (3) (iii) The officer against whom disciplinary proceedings have been initiated will cease to be in service on the date of superannuation but the disciplinary proceedings will continue as if he was in service until the proceedings are concluded and final order is passed in respect thereof. The concerned officer will not receive any pay and/or allowance after the date of superannuation. He will also not be entitled for the payment of retirement benefits till the proceedings are completed and final order is passed thereon except his own contributions to CPF."

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“The Pension Regulations

46. Provisional Pension —(1) An employee who has retired on attaining the age of superannuation or otherwise and against whom any departmental or judicial proceedings are instituted or departmental proceedings are continued, a provisional pension, equal to the maximum pension which would have been admissible to him, would be allowed subject to adjustment against final retirement benefits sanctioned to him, upon conclusion of the proceedings but no recovery shall be made where the pension finally sanctioned is less than the provisional pension or the pension is reduced or withheld, etc. either permanently or for a specified period.

(2) In such cases the gratuity shall not be paid to such an employee until the conclusion of the proceedings against him. The gratuity shall be paid to him on conclusion of the proceedings subject to the decision of the proceedings. Any recoveries to be made from an employee shall be adjusted against the amount of gratuity payable.

Explanation. — in this Chapter—(a) to (e)

48. Recovery of pecuniary loss caused to the Bank—

(1) The competent authority may withhold or withdraw a pension or a part thereof, whether permanently or for a specified period, and order recovery from pension of the whole or part of any pecuniary loss caused to the bank if in any departmental or judicial proceedings the pensioner is found guilty of grave misconduct or negligence or criminal breach of trust or forgery or acts done fraudulently during the period of his service;

Provided that the Board shall be consulted before any final orders are passed.

Provided further that departmental proceedings, if instituted while the employee was in service, shall, after the retirement of the employee, be deemed to be proceedings under these Regulations and shall be continued and concluded by the authority by which they were commenced in the same manner as if the employee had continued in service.

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Provided also that no departmental or judicial proceedings, if not initiated while the employee was in service, shall be instituted in respect of a cause of action which arose or in respect of an event which took place more than four years before such institution.

(2) Where the competent authority orders recovery of pecuniary loss from the pension, the recovery shall ordinarily be made at a rate exceeding one-third of the pension admissible on the date of retirement of the employee.

Provided that where a part of pension is withheld or withdrawn, the amount of pension drawn by a pensioner shall not be less than the minimum pension payable under these Regulations.”

After considering the aforesaid Regulations, this Court held as under:

“9. A reading of the plain language of Regulation 4 of the Discipline and Appeal Regulations and Regulation 20(3)(iii) of the 1979 Regulations makes it clear that any of the penalties, whether major or minor can be imposed only on a serving officer employee of the Bank. This necessarily implies that none of the penalties specified in Regulation 4 of the Discipline and Appeal Regulations can be imposed on an officer employee after his retirement from service, though in terms of Regulation 20(3)(iii) of the 1979 Regulations, the disciplinary proceedings initiated against an officer employee before his retirement can be continued and final order is passed and further that such officer employee is not entitled to retiral benefits till the conclusion of disciplinary proceedings and passing of final order. The only exception to this is that the officer is entitled to receive his own contribution to CPF. However, there is nothing in the language of these Regulations from which it can be inferred that the disciplinary authority has the power to impose a substantive punishment on retired officer employee. This becomes more explicit from a conjoint reading of Regulation 48 of the Pension Regulations which empowers the competent authority to withhold or withdraw a pension or a part thereof and

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order recovery from pension of the whole or part of any pecuniary loss caused to the bank if in a departmental or judicial proceedings, the pensioner is found guilty of grave misconduct or negligence or criminal breach of trust or forgery or acts done fraudulently during the period of his service. Second proviso to Regulation 48 contains a fiction and lays down that if the departmental proceedings are instituted while the employee was in service, the same shall be deemed to be proceedings under the Regulations and continued and concluded as if the employee had continued in service. The third proviso imposes a bar on the initiation of departmental or judicial proceedings against an employee after his retirement in respect of an event which took place more than 4 years before such institution. The sum and substance of these Regulations is that even though a departmental inquiry instituted against an officer employee before his retirement can continue even after his retirement, none of the substantive penalties specified in Regulation 4 of 1979 Regulations, which include dismissal from service, can be imposed on an officer employee after his retirement on attaining the age of superannuation. Therefore, we have no hesitation to hold that order dated 12-10-2004 passed by the disciplinary authority dismissing the respondent from service, who had superannuated on 31-12-1993 was ex facie illegal and without jurisdiction and the High Court did not commit any error by setting aside the same.

10. We may also observe that master and servant relationship between the respondent and the employer i.e. Appellant 1 Bank had come to an end for all practical purposes on 31-12-1993 i.e. the date of superannuation. The departmental inquiry initiated against the respondent before his retirement could be continued for a limited purpose for determining whether or not he is entitled for full pensionary benefits and gratuity.”

(Emphasis supplied)

29. In **Ramesh Chandra Sharma** (supra), the issue was whether punishment of dismissal could be inflicted on an employee who has

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already retired on attaining the age of superannuation. In that context, this Court considered Regulation 20(3)(iii) of the Service Regulations (*which is in same terms as Regulation 20(3) (iii) of 1979 Regulations extracted in the preceding paragraph*) and Regulations 22, 43 and 48 of the Pension Regulations, which are reproduced below:

“22. (i) Resignation or dismissal or removal or termination of an employee from the services of the Bank shall entail forfeiture of his entire past service and consequently shall not qualify for pensionary benefits.

43. *Withholding or withdrawal of pension.*— The competent authority may, by order in writing, withhold or withdraw a pension or a part thereof, whether permanently or for a specified period, if the pensioner is convicted of a serious crime or criminal breach of trust or forgery of (*sic* or) acting fraudulently or is found guilty of grave misconduct.

Provided that where a part of pension is withheld or withdrawn, the amount of such pension shall not be reduced below the minimum pension per mensem payable under these Regulations.

48. *Recovery of pecuniary loss caused to the Bank.*—(1) The competent authority may withhold or withdraw a pension or a part thereof, whether permanently or for a specified period and order recovery from pension of the whole or part of any pecuniary loss caused to the Bank if in any departmental or judicial proceedings the pensioner is found guilty of grave misconduct or negligence or criminal breach of trust or forgery or acts done fraudulently during the period of his service:

Provided that the Board shall be consulted before any final orders are passed;

Provided further that departmental proceedings, if instituted while the employee was in service, shall, after the retirement of the employee, be deemed to be proceedings under these Regulations and shall be continued and concluded by the authority by which they were commenced in the same manner as if the employee had continued in service;

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(2) No departmental proceedings, if not instituted while the employee was in service, shall be instituted in respect of an event which took place more than four years before such institution:

Provided that the disciplinary proceedings so instituted shall be in accordance with the procedure applicable to disciplinary proceedings in relation to the employee during the period of his service.

(3) Where the competent authority orders recovery of pecuniary loss from the pension, the recovery shall not ordinarily be made at a rate exceeding one-third of the pension admissible on the date of retirement of the employee:

Provided that where a part of pension is withheld or withdrawn, the amount of pension drawn by a pensioner shall not be less than the minimum pension payable under these Regulations.”

Construing the object of Regulation 20(3)(iii) (supra), this Court observed:

“17.

The said Regulation clearly envisages continuation of a disciplinary proceeding despite the officer ceasing to be in service on the date of superannuation. For the said purpose a legal fiction has been created providing that the delinquent officer would be deemed to be in service until the proceedings are concluded and final order is passed thereon. The said Regulation being statutory in nature should be given full effect.”

Thereafter, upon considering Regulations 22, 43 and 48 of the Pension Regulations, it was held:

“25. Indisputably as a consequence of the order imposing the punishment of dismissal from service the appellant would not have qualified for the pensionary benefits.

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26. Where a proceeding is initiated for withholding or withdrawal of pension, Regulation 43 of the Pension Regulations would be attracted. But provisions of the said Regulation if read in its entirety clearly go to show that an officer would not qualify for pensionary benefits, if, *inter alia*, he is dismissed from service.

27. Regulation 48 empowers the Bank to recover pecuniary loss caused to it from the pensionary benefits. Regulation 20(3)(iii) of the (Discipline and Appeal) Regulations must be read in conjunction with the Pension Regulations. Where the employees are pension optees, Regulation 48(1) shall apply. In any event, if an officer is removed or dismissed from service under Regulation 4 of the (Discipline and Appeal) Regulations, the Bank need not take recourse to Regulation 48 of the Pension Regulations as Regulation 22 thereof would be attracted.”

30. In ***Chairman-cum-Managing Director, Mahanadi Coalfields Ltd. vs. Rabindranath Choubey*** (supra) (for short, ***Mahanadi Coalfields Ltd.***), the issue, *inter alia*, under consideration was, ‘whether, in view of Rule 34.2 of the 1978 Rules, the punishment of dismissal can be imposed upon finding one guilty of misconduct, where departmental enquiry is instituted while the employee is in service and continued after he attains the age of superannuation?’
31. Rule 34.2 and 34.3 of CDA Rules, which were considered by this Court in ***Mahanadi Coalfields Ltd.***, read as under:

“34.2. Disciplinary proceeding, if instituted while the employee was in service whether before his retirement or during his re-employment shall, after the final retirement of the employee, be deemed to be proceeding and shall be continued and concluded by the authority by which it was commenced in the same manner as if the employee had continued in service.

34.3. During the pendency of the disciplinary proceedings, the Disciplinary Authority may withhold payment of gratuity, for ordering the recovery from gratuity of the whole or part of any pecuniary loss caused to the Company if have been guilty of offences /misconduct as mentioned in sub-

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section (6) of Section 4 of the Payment of Gratuity Act, 1972 or to have caused pecuniary loss to the Company by misconduct or negligence, during his service including service rendered on deputation or on re-employment after retirement. However, the provisions of Sections 7(3) and 7(3-A) of the Payment of Gratuity Act, 1972 should be kept in view in the event of delayed payment, in the case the employee is fully exonerated.”

32. In that context, in ***Mahanadi Coalfields Ltd.***, this Court held:

“7. Indisputably, the respondent was governed by the CDA Rules. Therefore, Rules 34.2 and 34.3 of the CDA Rules shall be applicable and the respondent employee shall be governed by the said provisions. Rule 34 permits the management to withhold the gratuity during the pendency of the disciplinary proceedings. Rule 34.2 permits the disciplinary proceedings to be continued and concluded even after the employee has attained the age of superannuation, provided the disciplinary proceedings are instituted while the employee was in service. It also further provides that such disciplinary proceedings shall be deemed to be the proceedings and shall be continued and concluded by the authority by which it was commenced in the same manner as if the employee had continued in service. Therefore, as such, on a fair reading of Rule 34.2 of the CDA Rules, an employee shall be deemed to be continued in service, after he attains the age of superannuation/retired, for the limited purpose of continuing and concluding the disciplinary proceedings which were instituted while the employee was in service. Therefore, at the conclusion of such disciplinary proceedings any of the penalty provided under Rule 27 of the CDA Rules can be imposed by the authority including the order of dismissal. If the submission on behalf of the employee that after the employee has attained the age of superannuation and/or he has retired from service, despite Rule 34.2, no order of penalty of dismissal can be passed is accepted, in that case, it will be frustrating permitting the authority to continue and conclude the disciplinary proceedings after

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retirement. If the order of dismissal cannot be passed after the employee has retired and/or has attained the age of superannuation in the disciplinary proceedings which were instituted while the employee was in service, in that case, there shall not be any fruitful purpose to continue and conclude the disciplinary proceedings in the same manner as if the employee had continued in service.

8. It is true that while considering the very provisions of the CDA Rules, namely, Rule 34.2 and Rule 34.3 of the CDA Rules, this Court in *Jaswant Singh Gill* [*Jaswant Singh Gill v. Bharat Coking Coal Ltd.*, (2007) 1 SCC 663 : (2007) 1 SCC (L&S) 584] has observed and held that once the employee is permitted to retire on attaining the age of superannuation, thereafter no order of dismissal can be passed. However, for the reasons stated hereinabove, we are not in agreement with the view taken by this Court in *Jaswant Singh Gill* [*Jaswant Singh Gill v. Bharat Coking Coal Ltd.*, (2007) 1 SCC 663: (2007) 1 SCC (L&S) 584]. As observed hereinabove, if no major penalty is permissible after retirement, even in a case where the disciplinary proceedings were instituted while the employee was in service, in that case, Rule 34.2 would become otiose and shall be meaningless.

9. On the contrary, there is a decision of three-Judge Bench of this Court in *Ram Lal Bhaskar* [*SBI v. Ram Lal Bhaskar*, (2011) 10 SCC 249: (2012) 1 SCC (L&S) 402] taking just a contrary view. In *Ram Lal Bhaskar* [*SBI v. Ram Lal Bhaskar*, (2011) 10 SCC 249: (2012) 1 SCC (L&S) 402], Rule 19(3) of the State Bank of India Officers Service Rules, 1992 came up for consideration which was *pari materia* with Rule 34.2 of the CDA Rules. The said Rule 19(3) of the State Bank of India Officers Service Rules, 1992 also permits the disciplinary proceedings to continue even after the retirement of an employee if those were instituted when the delinquent employee was in service. In that case, charge-sheet was served upon the respondent before his retirement. The proceedings continued after his retirement and were conducted in accordance with the relevant Rules where charges were

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proved. Punishment of dismissal was imposed. The High Court allowed [*Ramlal Bhaskar v. SBI*, Writ-A No. 8415 of 2003, order dated 12-4-2006 (All)] the petition and quashed the order of dismissal. This Court reversed the said decision of the High Court. In the said decision, it was specifically observed by this Court while considering the *pari materia* provisions that in case disciplinary proceedings under the relevant Rules of service have been initiated against an officer before he ceased to be in the bank's service by the operation of, or by virtue of, any of the Rules or the provisions of the Rules, the disciplinary proceedings may, at the discretion of the Managing Director, be continued and concluded by the authority by whom the proceedings were initiated in the manner provided for in the Rules as if the officer continues to be in service, so however, that he shall be deemed to be in service only for the purpose of the continuance and conclusion of such proceedings. In the said decision, this Court also took note of another decision of this Court in *Rajinder Lal Capoor* [*UCO Bank v. Rajinder Lal Capoor*, (2007) 6 SCC 694 : (2007) 2 SCC (L&S) 550] and it is observed even in the said decision that the UCO Bank Officer Employees' Service Regulations, 1979 which were also *pari materia* to the SBI Rules as well as the CDA Rules, could be invoked only when the disciplinary proceedings had been initiated prior to the delinquent officer ceased to be in service."

33. What is important to note is that in ***Mahanadi Coalfields Ltd.***, this Court had the occasion to consider its earlier decision in ***Ramesh Chandra Sharma***, and the same was approved.
34. The ratio of ***Mahanadi Coalfields Ltd.*** is found in paragraphs 47 and 48 of the judgment, which are reproduced below:

"47. Thus considering the provisions of Rules 34.2 and 34.3 of the CDA Rules, the inquiry can be continued given the deeming fiction in the same manner as if the employee had continued in service and appropriate punishment, including that of dismissal can be imposed apart from the forfeiture of the gratuity wholly or partially including the recovery of the pecuniary loss as the case may be.

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48. In view of the above and for the reasons stated above and in view of the decision of the three-Judge Bench of this Court in *Ram Lal Bhaskar* [*SBI v. Ram Lal Bhaskar*, (2011) 10 SCC 249 : (2012) 1 SCC (L&S) 402] and our conclusions as above, it is observed and held that (1) the appellant employer has a right to withhold the gratuity during the pendency of the disciplinary proceedings, and (2) the disciplinary authority has powers to impose the penalty of dismissal/major penalty upon the respondent even after his attaining the age of superannuation, as the disciplinary proceedings were initiated while the employee was in service.”

35. In ***Mahanadi Coalfields Ltd.***, Ajay Rastogi, J. wrote a separate opinion partly concurring and partly dissenting with the majority view. In respect of the first question, Ajay Rastogi, J. concurred with the majority view whereas in respect of the second question, that is, whether the penalty of dismissal could be imposed after the employee had retired from service, Ajay Rastogi, J. opined thus:

“78.2. Que. 2—Whether the penalty of dismissal could be imposed after the employee stood retired from service?

Ans. In my considered view, after conclusion of the disciplinary inquiry, if held guilty, indeed a penalty can be inflicted upon an employee/delinquent who stood retired from service and what should be the nature of penalty will always depend on the relevant scheme of the Rules and on the facts and circumstances of each case, but either of the substantive penalties specified under Rule 27 of the 1978 Rules including dismissal from service are not open to be inflicted on conclusion of the disciplinary proceedings and the punishment of forfeiture of gratuity commensurate with the nature of guilt may be inflicted upon a delinquent employee provided under Rule 34.3 of the 1978 Rules read with sub-section (6) of Section 4 of the 1972 Act.”

36. On a survey of the decisions cited and discussed above, in our view, what is settled is that if the extant service Rules/Regulations permit continuance of the disciplinary proceedings, initiated against an officer/employee before he had attained the age of superannuation, those

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can be continued and brought to its logical conclusion even after he had attained the age of superannuation. And where, pursuant to such proceedings, the ultimate penalty imposed is of dismissal, there may be no technical difficulty in its implementation as it may result in forfeiture of pension and other retiral dues. Therefore, in such an event, the question of entitlement to pensionary benefits may not arise. However, where the punishment imposed is such which may, instead of forfeiture of pension in its entirety, result in mere reduction or adjustment of pension, or recovery from post retiral dues, the Court may have to consider whether such punishment is implementable or not, post- retirement.

37. In the instant case, the punishment awarded is of reducing the pay scale by three stages on permanent basis. Such reduction in the pay scale would relate back to the date the incumbent superannuated from service. Ordinarily, pension is computed based on salary last drawn/ payable. Therefore, in our view, it would not be difficult to implement such a punishment as pension can be computed accordingly.
38. For the foregoing reasons, in our view, the Division Bench of the High Court was justified in allowing the writ appeal by properly construing Regulation 20(3)(iii) of the Service Regulations.
39. The appeal therefore lacks merit and is accordingly dismissed. Pending applications, if any, shall stand disposed of. There shall be no order as to costs.

Result of the case: Appeal dismissed.

†Headnotes prepared by: Ankit Gyan

Samarendra Nath Kundu & Anr.

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(Criminal Appeal No. 654 of 2013)

1 April 2026

[J.B. Pardiwala and Manoj Misra,* JJ.]

Issue for Consideration

Whether the appellants, who are co-accused, are entitled to the benefit of this Court's decision in the matter of co-accused-'SM'; whether the benefit of notification dated 19.11.2010 would be available to the appellants.

Headnotes[†]

Code of Criminal Procedure, 1973 – s.197(1) – Protection under, when not available – First respondent-complainant (wife of the deceased) filed complaint against three police officials viz. co-accused-'SM', an Assistant Commissioner of Police; the first-appellant and the second-appellant, a Police Constable alleging that at the instance of 'SM', the appellants murdered her husband – Magistrate took cognizance on the complaint, accused persons summoned – SM's petition for quashing the proceedings on the aforesaid complaint on the ground that no cognizance could have been taken without a proper sanction as contemplated in s.197, CrPC was dismissed – However, the appeal filed by 'SM' thereagainst was allowed by Supreme Court – Magistrate extended the benefit of this Court's order to the appellants as well – First respondent filed criminal revision, allowed on the ground that this Court's order in SM's case was *qua* him alone, and it did not apply to other accused against whom no sanction was required – Correctness:

Held: This Court quashed the proceedings against 'SM' not on the ground that no offence was committed by him or that no offence at all was committed, but for want of sanction – The proceedings were quashed as he was a public servant (i.e., Assistant Commissioner

* Author

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of Police) not removable from his office save by or with the sanction of the Government and the offence alleged was committed by him while acting or purporting to act in the discharge of his official duty – In those circumstances, this Court took the view that he was entitled to the protection of sub-section (1) of s.197 and, therefore, in absence of sanction, the complaint and the proceedings were liable to be quashed – The benefit of decision in SM's case would be available to the appellants only if they were not removable from office save by or with the sanction of the Government – Previous sanction is required for prosecuting only such public servants who could be removed by sanction of the Government – Undisputedly, when cognizance of the alleged offence was taken, the appellants were subordinate rank officers not falling in the category of those officers who could be removed from service only with the sanction of the Government thus, there was no requirement of sanction as envisaged u/s.197 (1) – Hence, the benefit of the decision in 'SM' is not available to the appellants – Protection of sub-section (1) was not available to the appellants – Penal Code, 1860 – ss.302/201/109 r/w s.120-B. [Paras 7, 9-11]

Code of Criminal Procedure, 1973 – s.197(2) – Notifications dtd. 19.11.2010 issued in exercise of the power conferred upon the State Government by sub-section (3) of s.197 *inter alia* stating that the provisions of sub-section (2) of s.197 of the Code shall apply to all sub-ordinate ranks of Police force constituted under the Calcutta Police Act, 1866 and Calcutta Sub-Urban Police Act, 1866; and to subordinate ranks in police force, enrolled or appointed under the Police Act, 1861 – Appellants sought protection under sub-section (2) on the basis of the notification dtd. 19.11.2010:

Held: A subsequent bar on the power of the court to take cognizance of an offence is of no consequence to those proceedings where cognizance was taken when there was no such bar – The notification(s) would not affect those proceedings where cognizance was not barred when taken – Moreover, there is nothing in the notification(s) or CrPC which may nullify a valid cognizance order – Cognizance was taken in the year 2001, much before the notification – Therefore, the benefit of s.197 is not available to the appellants. [Para 14]

Samarendra Nath Kundu & Anr. v. Sadhana Das & Anr.**Code of Criminal Procedure, 1973 – s.197 (1), (2) – Bar under:**

Held: The bar of sub-sections (1) and (2) of s.197 is on Court's power to take cognizance of an offence allegedly committed by a public servant or member of a Force while acting or purporting to act in the discharge of official duty save with the previous sanction of the Government – If the bar applies, the Court cannot take cognizance of the offence and therefore, it cannot proceed to try the same – Thus, Court cannot try an offence of which it cannot take cognizance. [Para 14]

Case Law Cited

Sankaran Moitra v. Sadhna Das & Another [2006] 3 SCR 305 : (2006) 4 SCC 584 – held inapplicable.

Fakhruzamma v. State of Jharkhand [2013] 12 SCR 824 : (2013) 15 SCC 552 – relied on.

Nagraj v. State of Mysore, [1964] 3 SCR 671 : AIR 1964 SC 269 : 1963 SCC OnLine SC 249; *Bajjnath v. State of M.P.* [1966] 1 SCR 210 : AIR 1966 SC 220 : 1965 SCC OnLine SC 294 – referred to.

List of Acts

Code of Criminal Procedure, 1973; Calcutta Police Act, 1866; Calcutta Sub-Urban Police Act, 1866; Police Act, 1861; Penal Code, 1860.

List of Keywords

Section 197 (1), CrPC; Section 197 (2), CrPC; Protection of Section 197 (1), CrPC not available; Benefit of Section 197, CrPC not available; Proceedings quashed for want of sanction; Proceedings quashed against public servant; Police Constable; Assistant Commissioner of Police; Public servant not removable from office save by or with the sanction of the Government; Not removable from office save by or with the sanction of the Government; Offence alleged committed while acting or purporting to act in the discharge of official duty; Subordinate rank officers; Subordinate rank officers not falling in the category of officers removeable from service only with the sanction of the Government; No requirement of sanction as envisaged under Section 197 (1) of CrPC; Protection of sub-section (1) of Section 197, CrPC not available; Co-accused not entitled to benefit of Court's decision in the matter of co-accused; Notifications issued in exercise of

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the power conferred upon State Government by sub-section (3) of Section 197, CrPC; Bar of sub-sections (1) and (2) of Section 197, CrPC; Bar of sub-sections (1) and (2) of Section 197, CrPC; Cognizance of an offence allegedly committed by a public servant or member of a Force acting in discharge of official duty; Save with the previous sanction of the Government; Section 197 (3), CrPC; Previous sanction of the Government.

Case Arising From

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No. 654 Of 2013

From the Judgment and Order dated 02.05.2012 of the High Court at Calcutta in CRRA No. 874 of 2008.

Appearances for Parties

Advs. for the Appellant(s):

Raj Kamal, Ms. Pallavi Malhotra, Ms. Muskan Sidana, Aseem Atwal, Anurag Chandra, Ms. Nupur Kaushik.

Advs. for the Respondent(s):

Mangaljit Mukherjee, Ranjan Mukherjee, Ms. Astha Sharma, Sanjeev Kaushik, Simranjeet Singh Rekhi, Ms. Muskan Surana.

Judgment / Order of the Supreme Court

Judgment

Manoj Misra, J.

1. This appeal impugns the judgment and order of the High Court at Calcutta¹ dated 02.05.2012 in Criminal Revision No. 874 of 2008, by which the revision application of the first-respondent Smt. Sadhna Das (hereinafter referred to as the complainant) against the order of Chief Judicial Magistrate, Alipore, South 24-Parganas² dated 28.12.2007 in Case No. C-1107 of 2001 was allowed and the learned Magistrate was directed to proceed against the accused (the appellants herein).

1 The High Court

2 The learned Magistrate

Samarendra Nath Kundu & Anr. v. Sadhana Das & Anr.**FACTS**

2. The relevant facts are as under:

- (i) The complainant i.e., the wife of the deceased made a complaint against three police officials namely, Sankaran Moitra (an Assistant Commissioner of Police), S.M. Kundu (the first-appellant), Officer-in-Charge of Phoolbagan Police Station, Calcutta and Sudhir Sikdar alias Sudhangshu Kumar Sikdar (the second-appellant), a Police Constable attached to the Phoolbagan Police Station, Calcutta. In the complaint it was, *inter alia*, alleged that at the instance of Sankaran Moitra, the other two accused, namely, the appellants herein, murdered complainant's husband.
- (ii) The learned Magistrate took cognizance on the complaint and, after following complaint case procedure as contemplated under the Code of Criminal Procedure, 1973³, summoned the accused under Sections 302/201/109 read with Section 120-B of the Indian Penal Code, 1860⁴.
- (iii) Sankaran Moitra filed a petition under Section 482 of Cr.P.C. for quashing the proceedings on the aforesaid complaint, *inter alia*, on the ground that no cognizance could have been taken without a proper sanction as contemplated in Section 197 of Cr.P.C.
- (iv) The High Court *vide* order dated 11.07.2003 dismissed the aforesaid petition holding that beating a person to death cannot be regarded as an act in the discharge of official duties.
- (v) Aggrieved by High Court's order, Sankaran Moitra filed Criminal Appeal No. 330 of 2006 before this Court, which was allowed *vide* order dated 24.03.2006⁵. While allowing the appeal, this Court noticed/ observed that the incident occurred on the day of elections to the State Assembly; the accused applicant was in uniform; the counter affidavit filed on behalf of the State

3 Cr.P.C.

4 IPC

5 Reported as Sankaran Moitra v. Sadhna Das & Another, (2006) 4 SCC 584

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revealed that on the election day, information was received at the police station regarding violent clashes between supporters of two political parties upon which the applicant had arrived at the spot in his official vehicle and, thereafter, a lathi charge took place; and husband of the complainant may have received injuries in that lathi charge, resulting in his death. After noticing/ observing as above, this Court held that as maintenance of law and order and prevention of breach of public order on the polling day was part of the officers' duty, the act was done in the performance of duty or in purported performance of duty, therefore protection of Section 197(1) would be available. The operative portion of the order reads thus:

"25. ... We are therefore satisfied that the High Court was in error in holding that sanction under Section 197(1) was not needed in this case. We hold that such sanction was necessary and for want of sanction the prosecution must be quashed at this stage. It is not for us now to answer the submission of learned counsel for the complainant that this is an eminently fit case for grant of such sanction.

26. We thus allow this appeal and set aside the order of the High Court quash the complaint only on the ground of want of sanction under Section 197(1) of the Code of Criminal Procedure. The observations herein, however, shall not prejudice the rights of the complainant in any prosecution after the requirements of Section 197(1) of the Code of Criminal Procedure are complied with."

- (vi) The learned Magistrate upon receiving the aforesaid order of this Court, *vide* order dated 28.12.2007, extended the benefit of this Court's order to the appellants as well.
- (vii) Aggrieved by the order of the learned Magistrate dated 28.12.2007, the complainant (i.e., the first-respondent) filed a criminal revision before the High Court.
- (viii) By the impugned order, the criminal revision was allowed, *inter alia*, on the ground that this Court's order in ***Sankaran Moitra***

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was *qua* Sankaran Moitra alone, and it did not apply to other accused against whom no sanction was required.

3. We have heard learned counsel for the parties.

SUBMISSIONS ON BEHALF OF APPELLANTS

4. The submission of the learned counsel for the appellant, *inter alia*, is that the Government of West Bengal⁶, *vide* notification dated 19.11.2010, under sub-section (3) of Section 197 of Cr.P.C., has extended the benefit of the provisions of sub-section (2) of Section 197 to all subordinate rank police officers enrolled or appointed under the Police Act, 1861 charged with the maintenance of public order. As a result, *vide* letter dated 06.12.2010, the Government sought opinion from the Commissioner of Police, Calcutta⁷ *qua* grant of sanction to prosecute the appellants. In response thereof, the Commissioner wrote letter dated 15.12.2010 stating that it is not a fit case for according sanction as police officer(s) had discharged their duties in the capacity of public servant on the day of elections to the State Legislative Assembly. Relying on the said letter, on behalf of the appellants, it was contended that the incident occurred while the appellants were discharging their duties pursuant to direction of their superiors and as, by notification dated 19.11.2010, requirement of sanction is essential even for police officers in the subordinate ranks, there exists no justification to prosecute the appellants in absence of the sanction. Therefore, the appeal be allowed, the order of the High Court be set aside and the order of the learned Magistrate be restored.

SUBMISSIONS ON BEHALF OF COMPLAINANT

5. *Per contra*, on behalf of the complainant (i.e., the first-respondent) it was submitted that the deceased had received multiple injuries as could be evinced from paragraphs 71, 72 and 73⁸ of this Court's

⁶ The Government

⁷ The Commissioner

⁸ 71. "Dr. Rabindra Basu, who performed post-mortem examination, state that he found the following injuries on the person of Topi Das:

1. One abrasion with a reddish crust 1.4 inches x .3 inch more or less transversely placed across left side of forehead lower part being placed 1 inch above lateral 1/3rd left eye brow.
2. One abrasion .4 inch x .3 inch with reddish crust placed 1 inch above medial end of left eyebrow and ½ inch lateral to midline.
3. One linear abrasion .6 inch x .1 inch with reddish crust over lateral aspect of uppermost part

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judgment in ***Sankaran Moitra (supra)*** which clearly indicate that it was a case of brutal murder. Moreover, the judgment in ***Sankaran Moitra (supra)*** would not apply to the appellants as on the date of cognizance, the appellants were not protected by Section 197 of Cr.P.C. Further, the notification dated 19.11.2010 applies only to those cases where cognizance is taken after 19.11.2010. Thus, the appeal is liable to be dismissed.

DISCUSSION

6. Upon consideration of the rival submissions and perusal of the materials available on record, in our view, following issues fall for our consideration:
 - (1) Whether the appellants, who are co-accused, are entitled to the benefit of this Court's decision in the matter of co-accused Sankaran` Moitra?
 - (2) Whether the benefit of notification dated 19.11.2010 would be available to the appellants?

of left forearm.

4. One abrasion = x .1 inch with reddish crust over postern lateral aspect of upper 1/3rd of left forearm.
5. One abrasion ½ x .1 inch over dorsum of left hand.
6. One linear abrasion .4 inch x .1 inch with reddish rust over dorsal aspect of web between index and middle finger."

72. On internal examination, he noticed the following injuries:

1. One haematoma in the scalp tissue 3 ½ inches x 2 inches over right temporal region.
2. One haematoma in the scalp tissue over vault of the skull 4 inches x .4 inch over parieto-occipital region of scalp.
3. One haematoma in the scalp tissue over vault of the skull 4 inches x 3 inches involving left parieto toppe (sic) region.
4. One haematoma 2 ½ inches x 1 ½ inches over left frontal region (forehead).
5. Extradural Haemorrhage over vault of the brain involving posterior aspects of both parietal lobes.
6. Thin lasecor (sic) sub-aural haemorrhage all over both the cerebral hemisphere inching under surfaced.

73. He then stated:

"All the internal organs were congested. Larynx and trachea were found congested and the lumen was filled up with shaving lathery froth with and sand seen even below bifunction of trachea. Lungs were voluminous, doughy filled and on section and squeezing copious amount of frothy blood mixed fluid came out. Heart showed Grade-II atteroma (sic) at the root of aorta.

On the basis of my findings I have the following opinion: "*Death was due to the effects of head injuries associated with drowning ante-mortem and homicidal in nature.*"

The injuries which I found are consistent with a trauma caused by blunt weapon such as Lathi."

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7. In so far as the first issue is concerned, it is important to note that this Court had quashed the proceedings against Sankaran Moitra not on the ground that no offence has been committed by him or that no offence at all was committed, but for want of sanction. The proceedings were quashed as he was a public servant (i.e., Assistant Commissioner of Police) not removable from his office save by or with the sanction of the Government and the offence alleged was committed by him while acting or purporting to act in the discharge of his official duty. In those circumstances, this Court took the view that he was entitled to the protection of sub-section (1) of Section 197 and, therefore, in absence of sanction, the complaint and the proceedings were liable to be quashed. What is important to note is that in the case of Sankaran Moitra there was no dispute that he was not removable from office save by or with the sanction of the Government. What is also important is that it was left open to proceed against Sankaran Moitra after obtaining the sanction. In such circumstances, the benefit of decision in ***Sankaran Moitra (supra)*** would be available to the appellants only if they were not removable from office save by or with the sanction of the Government.
8. 'Government' is not defined in Cr.P.C. therefore, by virtue of Section 2 (y) of Cr.P.C., we would have to refer to the definition of 'Government' as provided in IPC. Section 17 of IPC defines 'Government' as follows:

“The word Government denotes the Central Government or the Government of a State.”
9. In ***Nagraj v. State of Mysore***⁹, this Court held that if the Inspector General of Police can dismiss a Sub-Inspector, no sanction of the State Government would be necessary for such an officer even if he had committed the alleged offence while acting or purporting to act in the discharge of his official duty. Following the above decision, in ***Fakhruzamma v. State of Jharkhand***¹⁰ it was held

9 [1964] 3 SCR 671 : AIR 1964 SC 269 : 1963 SCC OnLine SC 249

10 (2013) 15 SCC 552, paragraph 6

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that previous sanction is required for prosecuting only such public servants who could be removed by sanction of the Government.

10. As there is no dispute that when cognizance of the alleged offence was taken, the appellants were subordinate rank officers not falling in the category of those officers who could be removed from service only with the sanction of the Government, in our view, there was no requirement of sanction as envisaged under Section 197 (1) of Cr.P.C. Hence, the benefit of the decision in ***Sankaran Moitra (supra)*** is not available to the appellants. Issue No.(1) is answered accordingly.

ISSUE No. (2)

11. Sub-sections (1) and (2) of Section 197 of Cr.P.C. provides protection to different categories of persons. We have already held above that protection of sub-section (1) was not available to the appellants. Now, we shall consider whether protection of sub-section (2) of Section 197 is available. According to sub-section (2), no court shall take cognizance of any offence alleged to have been committed by any member of the Armed Forces of the Union while acting or purporting to act in the discharge of his official duty, except with the previous sanction of the Central Government. Sub-section (3) of Section 197 of Cr.P.C. empowers the State Government to direct, by notification, that the protection envisaged under sub-section (2) shall apply to such class or category of members of the Forces charged with the maintenance of public order as may be specified therein. In light of the provisions of sub-section (3), even though the appellants do not fall in the category of officers not removable from service save by or with the sanction of the Government, they seek protection under sub-section (2) on the basis of the notification dated 19.11.2010 issued by the Government under sub-section (3) of Section 197 of Cr.P.C.
12. In fact, twin notifications dated 19.11.2010 have been placed on record. The first relates to subordinate ranks in police force constituted under the Calcutta Police Act, 1866 and Calcutta Sub-Urban Police Act, 1866 whereas the second relates to subordinate ranks in police force, enrolled or appointed under the Police Act, 1861. These twin notifications are reproduced below:

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Part I

Order by the Governor of West Bengal

2149

GOVERNMENT OF WEST BENGAL

Home (Political) Department

Secret Section

NOTIFICATION

No. 2103-P.S.

Dated Kolkata, the 19th November, 2010

In exercise of the power conferred by sub-section (3) of Section 197 of the Code of Criminal Procedure, 1973 (2 of 1974) (hereinafter referred to as the Code), the Governor is pleased hereby to direct that the provisions of sub-section (2) of Section 197 of the Code shall apply to all sub-ordinate ranks of Police force, appointed constituted and administered under the Calcutta Police Act, 1866 (Ben. Act IV of 1866) and Calcutta Suburban Police Act, 1866 (Ben. Act. II of 1866) charged with the maintenance of public order.

By order of the Governor,

Sd/- A.G. GHOSH

OSD & Ex-officio

Spl. Secy. to the Govt. of West Bengal

No. 2103/1(1)-P.S.

Copy forwarded to the Commissioner of Police, Kolkata for information and necessary action.

Sd/-

OSD & Ex-officio

Jt. Secy. to the Govt. of West Bengal

2150

GOVERNMENT OF WEST BENGAL

Home (Political) Department

Secret Section

NOTIFICATION

No. 2104-P.S.

Dated Kolkata, the 19th November, 2010

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In exercise of the power conferred by sub-section (3) of Section 197 of the Code of Criminal Procedure, 1973 (2 of 1974) (hereinafter referred to as the Code), the Governor is pleased hereby to direct that the provisions of sub-section (2) of Section 197 of the Code shall apply to all sub-ordinate ranks of Police force, enrolled or appointed under the Police Act, 1861 (5 of 1861) charged with the maintenance of public order.

By order of the Governor,

Sd/- A.G. GHOSH

OSD & Ex-officio

Spl. Secy. to the Govt. of West Bengal

13. Apparently the aforesaid notifications were issued in exercise of the power conferred upon the State Government by sub-section (3) of Section 197. As a result, we will have to examine whether the appellants' case would come under the protective umbrella of sub-section (2) of Section 197 in view of the notification issued under sub-section (3). Before we dwell on the applicability of the provisions of sub-section (2), we must understand the stage at which the bar envisaged under Section 197 applies.
14. The bar of sub-sections (1) and (2) of Section 197 is on Court's power to take cognizance of an offence allegedly committed by a public servant or member of a Force while acting or purporting to act in the discharge of official duty save with the previous sanction of the Government. If the bar applies, the Court cannot take cognizance of the offence and therefore, it cannot proceed to try the same. In other words, the court cannot try an offence of which it cannot take cognizance. In ***Bajinath v. State of M.P.***¹¹ it was held that a post-cognizance sanction will not save the proceedings. Reason is simple, when cognizance was taken the bar applied. Conversely, if there is no bar on the date when cognizance of the offence is taken, the court can proceed to try the offence. This is so, because the bar applies at the stage of cognizance. Therefore, in our view, a subsequent bar on the power of the court to take cognizance of an offence is of

11 [1966] 1 SCR 210 : AIR 1966 SC 220 : 1965 SCC OnLine SC 294

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no consequence to those proceedings where cognizance was taken when there was no such bar. As a sequitur, the notification(s) would not affect those proceedings where cognizance was not barred when taken. Besides, there is nothing in the notification(s) or Cr.P.C. which may nullify a valid cognizance order.

15. In the instant case, cognizance was taken in the year 2001, that is, much before the notification. Therefore, in our considered view, the benefit of Section 197 is not available to the appellants. As a result, the appeal lacks merit and is, accordingly, dismissed. The interim order, if any, stands discharged. Pending application(s), if any, shall also stand disposed of.
16. We, however, clarify that we have not expressed any opinion on the merits of the allegations made against the appellants.

Result of the case: Appeal dismissed.

[†]Headnotes prepared by: Divya Pandey

Jai Prakash Saini
v.
Managing Director, U.P. Cooperative Federation Ltd. & Ors.
(Civil Appeal No. 4130 of 2026)
01 April 2026
[Sanjay Karol and Manoj Misra, * JJ.]

Issue for Consideration

In the instant case, the department had not produced any witness in the enquiry even though the charges levelled upon the appellant were denied by him. Whether the enquiry stood vitiated.

Headnotes[†]

U.P. Cooperative Societies Act, 1965 – U.P. Cooperative Societies Employees Service Regulations, 1975 – regn. 85 – Employees Service Rules, 1980 of U.P. Cooperative Federation Limited – r.84 – Dismissal from service – Violation of principles of natural justice – Appellant was posted as the in-charge of the paddy procurement centre at U.P. Cooperative Federation Limited – He was served a charge-sheet alleging, *inter alia*, that as the in-charge of the centre he had purchased 1946.60 quintals of paddy from farmers for delivery to M/s Pashupati Nath for de-husking, but delivery was short by 1093.60 quintals – Departmental enquiry began – *Vide* supplementary charge sheet it is alleged that appellant embezzled Rs. 2,00,850 by showing purchases of 5000 sacks of de-husked paddy for storage – Charges proved – Appellant was dismissed from service and a direction to recover the amount was issued – Writ petition filed before the High Court was dismissed – Appellant, *inter alia*, contends that not even a single witness was examined in support of the charges and no oral enquiry was held as required by the extant service rules – Correctness:

Held: It is settled that unless the charged employee accepts his guilt in clear terms, an enquiry on the charges drawn against him would have to be held – In the enquiry, the employer /department would have to take steps first to lead evidence against the workmen/delinquent charged and give an opportunity to him to

* Author

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cross examine those witnesses – Only thereafter, the workmen / delinquent shall be asked whether he wants to lead any evidence and/ or submit an explanation about the evidence led against him – Even in a case based solely on documentary evidence, unless the relied upon documents are admitted by the charged employee, a witness would have to be examined to prove those documents and when so examined, the witness would have to be tendered for cross-examination – In the instant case, the department had not produced any witness in the enquiry even though the charges levelled upon the appellant were denied by him – Therefore, in view of this court, the enquiry stood vitiated – Once the enquiry stood vitiated, the consequential order of punishment/recovery cannot be sustained – Impugned judgment of the High Court is set aside – The order of dismissal and consequential recovery is also set aside – Liberty granted to the Federation to hold a *de novo* enquiry. [Paras 17, 18]

Case Law Cited

Chamoli District Co-operative Bank Limited & Another v. Raghunath Singh Rana & Others [2016] 7 SCR 86 : (2016) 12 SCC 204; *Sur Enamel and Stamping Works Ltd. v. Workmen*, [1964] 3 SCR 616 : AIR 1963 SC 1914 : 1963 SCC OnLine SC 97; *State of Uttaranchal & Ors. v. Kharak Singh*, [2008] 12 SCR 54 : (2008) 8 SCC 236 – referred to.

List of Acts

U.P. Cooperative Societies Act, 1965; U.P. Cooperative Societies Employees Service Regulations, 1975; Employees Service Rules, 1980 of U.P. Cooperative Federation Limited; Evidence Act, 1872.

List of Keywords

Violation of principles of natural justice; *De-novo* enquiry; No oral hearing; Witnesses not examined; Dismissal of employee; Opportunity to cross examine; Enquiry vitiated.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 4130 of 2026

From the Judgment and Order dated 12.04.2019 of the High Court of Judicature at Allahabad, Lucknow Bench in SB No. 12353 of 2016.

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Appearances for Parties

Advs. for the Appellant(s):

Rajiv Srivastava, Ms. Garima Srivastava, Arpit Shukla, Ms. Gargi Srivastava.

Advs. for the Respondent(s):

Gaurav Dhingra, Sunny Choudhary, Mayur Chaturvedi, Ayush Singh.

Judgment / Order of the Supreme Court

Judgment

Manoj Misra, J.

1. Leave granted.
2. This appeal impugns the judgment and order of the High Court¹ dated 12.04.2019 whereby the writ petition² of the appellant impugning the order dated 30.11.2015 dismissing him from service and directing recovery of Rs.9,53,433 has been dismissed.
3. The appellant was employed in U.P. Cooperative Federation Limited³ and, at the relevant time, posted as the in-charge of paddy procurement centre. He was served a charge-sheet alleging, *inter alia*, that as the in-charge of the centre he had purchased 1946.60 quintals of paddy from farmers for delivery to M/s Pashupati Nath Food Agro (for short, M/s Pashupati Nath) for de-husking, but delivery was short by 1093.60 quintals. During pendency of the enquiry on the said charge-sheet, a supplementary charge-sheet was served upon the appellant alleging that he had embezzled Rs. 2,00,850 by showing purchases of 5000 sacks of de-husked paddy for storage. The charges were found proved in the enquiry. As a result, the appellant was dismissed from service and a direction to recover the amount was issued.
4. The order of dismissal/ recovery was challenged before the High Court, *inter alia*, on the ground that the enquiry was *de-hors* the extant

1 The High Court of Judicature at Allahabad, Lucknow Bench

2 Service Bench No.12353 of 2016

3 The Federation

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rules and violated the principles of natural justice. It was pleaded that no oral enquiry was held, no date, place and time of enquiry was fixed, and no witness was examined to prove the charges.

5. In the counter affidavit to the writ petition, the respondents accepted that the service conditions of the writ petitioner (i.e., the appellant herein) were governed by the provisions of U.P. Cooperative Societies Act, 1965⁴ as well as U.P. Cooperative Societies Employees Service Regulations, 1975⁵ and Employees Service Rules, 1980 of U.P. Cooperative Federation Limited⁶. It was highlighted that there existed material on record to indicate that the appellant had embezzled the amount sought to be recovered from him. Further, the appellant was provided ample opportunity of hearing in the enquiry. Therefore, there was no violation of the principles of natural justice.
6. By the impugned order, the High Court dismissed the writ petition of the appellant. Reasons for the dismissal of the writ petition are found in paragraphs 19 to 26 of the impugned judgment which are reproduced below:

“19. The petitioner was served with a charge-sheet as well as supplementary charge-sheet dated 26.10.2013 and 21.12.2013, respectively. In the said charge-sheet as well as supplementary charge-sheet, it was specifically mentioned that in case petitioner wants to produce any defence witness and wants an opportunity of personal hearing; then, he shall specifically request for the same in his reply to the charge-sheet and supplementary charge-sheet.

20. The petitioner had submitted his reply dated 11.11.2013 to the charge-sheet and reply dated 03.01.2014 to the supplementary charge-sheet denying the charges made against him. The Enquiry Officer thereafter proceeded to hold the enquiry. The Enquiry Officer concluded the enquiry and submitted the enquiry report dated 23.01.2014. The perusal of enquiry report indicates that after submission of reply to the charge-sheet as well as supplementary

4 1965 Act

5 1975 Regulations

6 1980 Service Rules

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charge-sheet the Enquiry Officer had fixed the date for holding oral enquiry and in this regard oral enquiry was held on 16.01.2014. The Enquiry Officer considering the charge-sheet, evidence relied in support of the charges, reply as well as evidence relied in defence and the relevant records and thereafter came to conclusion that the charges levelled against the petitioner have been found proved and he is guilty of the alleged misconduct.

21. It is to be noted that the petitioner did not make any request for producing any defence witness during enquiry nor any request to cross-examine any person whose letter or report was relied in support of the charges was made. Neither in the replies submitted to the charge-sheet as well as supplementary charge-sheet nor by any separate letter, the petitioner had made any request to the Enquiry Officer to produce any defence witness or to cross-examine any person in order to deny the alleged charges. The Enquiry Officer on the basis of evidence on record had come to the conclusion that the charges levelled against the petitioner are found proved.

22. In the given facts and circumstances, it is very much clear that the Enquiry Officer had followed the procedure prescribed in conducting the enquiry and there was no violation of principles of natural justice.

23. So far as the contention that the petitioner was not given opportunity to submit his reply to the enquiry report is concerned, it is to be noted that the petitioner was issued show cause notice dated 24.04.2014 and along with the said show cause notice enquiry report dated 23.01.2014 was annexed. The petitioner was called upon to submit his reply on the proposed punishment as mentioned in the said show cause notice. He was also informed that if he wants an opportunity of personal hearing and wants to produce any witness, etc. in his defence, he may inform and in this regard, may give the details of the names of witnesses and their addresses. It was clarified that at the time of hearing, he will have to produce his witnesses at his own expenses.

24. The petitioner submitted his reply dated 21.05.2014 to the said show cause notice. In this reply, it was submitted that

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he has to submit many documents and produce witnesses which is possible only in oral enquiry. In the oral enquiry, several persons were required to be cross-examined, however, they were not cross-examined. The opportunity of personal hearing cannot take the place of oral enquiry. He shall be given an opportunity of personal hearing only after holding oral enquiry. He shall not be burdened to bear the expenses of producing the defence witnesses.

25. The perusal of the impugned order clearly goes to indicate that the Disciplinary Authority before passing the impugned order had given opportunity of hearing to the petitioner and in this regard the petitioner was heard by the Disciplinary Authority, Managing Director, PCF on 12.06.2014. After considering the entire material on record and reply to the show cause notice, the Disciplinary Authority by a detailed order had come to the conclusion that the petitioner is guilty of the charges levelled against him and, as such, liable to be punished by awarding punishment of dismissal from service. The competent authority has passed a detailed and reasoned order to award the punishment to the petitioner.

26. Considering the entire aspect of the matter, we are of the considered view that the contention raised by the petitioner has no force and the order impugned awarding punishment of dismissal from service to the petitioner is in accordance with law.”

(Emphasis supplied)

7. We have heard learned counsel for the parties and have perused the records.
8. The learned counsel for the appellant submitted that despite the fact that the charges levelled in the charge-sheet were denied by the appellant, not even a single witness was examined in support of the charges and no oral enquiry was held as is required by the extant service rules, therefore, the order of dismissal and consequential recovery is in teeth of the service rules and violates the principles of natural justice.
9. *Per contra*, on behalf of the respondent it was submitted that there was no specific denial of the charges therefore, examination of

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witnesses was not required. Moreover, the enquiry report is based on available materials and is well-reasoned, therefore, the High Court was justified in dismissing the writ petition.

10. We have accorded due consideration to the rival submissions and have perused the materials on record. Before we proceed to address the respective submissions, we may put on record that while closing the hearing of this matter, we had requested the learned counsel for the parties to submit their written submissions. Besides, we had requested the counsel representing the respondents to make a specific statement whether any witness was examined by the Federation in the course of disciplinary proceedings held against the appellant.
11. Pursuant thereto, written submissions have been filed.
12. In the written submissions filed on behalf of the appellant, it has been reiterated that no oral enquiry was held, no witness was examined in the disciplinary proceedings and the disciplinary proceedings are in complete violation of the extant rules as also the principles of natural justice. The appellant has also relied on a decision of this Court in ***Chamoli District Co-operative Bank Limited & Another vs. Raghunath Singh Rana & Others***⁷ wherein on ground of there being no oral enquiry, the order of punishment was set aside with liberty to the respondent to hold a *de novo* enquiry in accordance with the rules.
13. In the written submission filed on behalf of the respondents, it is admitted that no witness was examined in the enquiry. However, it is contended that in response to the charge of not supplying 1093.66 quintals of paddy to M/s. Pashupati Nath, the reply of the appellant was evasive and, therefore, it amounted to admitting the charge. Hence, it was not necessary to produce any witness to prove the charge as under Section 58 of the Evidence Act, 1872, facts admitted need not be proved.
14. We do not find substance in the submissions made on behalf of the respondents because there is no categorical admission of the charge by the appellant. Further, a departmental charge-sheet is not a plaint that an evasive reply thereto may amount to an admission. In a departmental enquiry, unless the charge is admitted, the burden to prove the charge lies on the employer/ department. Here, there

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was no admission of guilt *qua* the charge. Even the High Court, in paragraph 20 of its judgment, had indicated that the writ petitioner (i.e., the appellant herein) had denied the charges made against him. In our view, therefore, the contention on behalf of the respondents that the appellant had admitted the charges is incorrect.

15. Rule 84 of the Service Rules, 1980, which governs the disciplinary proceedings against an employee of the Federation, is *in pari materia* with Regulation 85 of 1975 Regulations, which is extracted below:

“85. Disciplinary Proceedings.—(i) The disciplinary proceedings against an employee shall be conducted by the inquiring officer [referred to in clause (iv) below] with due observance of the principles of natural justice for which it shall be necessary—

(a) The employee shall be served with a charge-sheet containing specific charges and mention of evidence in support of each charge and he shall be required to submit explanation in respect of the charges within reasonable time which shall not be less than fifteen days;

(b) Such an employee shall also be given an opportunity to produce at his own cost or to cross-examine witnesses in his defence and shall also be given an opportunity of being heard in person, if he so desires;

(c) If no explanation in respect of charge-sheet is received or the explanation submitted is unsatisfactory, the competent authority may award him appropriate punishment considered necessary.

(ii) (a) Where an employee is dismissed or removed from service on the ground of conduct which has led to his conviction on a criminal charge; or

(b) Where the employee has absconded and his whereabouts are not known to the society for more than three months; or

(c) Where the employee refuses or fails without sufficient cause to appear before the inquiring officer when specifically called upon in writing to appear; or

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(d) Where it is otherwise (for reasons to be recorded) not possible to communicate with him, the competent authority may award appropriate punishment without taking, or continuing, disciplinary proceedings.

(iii) Disciplinary proceedings shall be taken by the society against the employee on a report made to this effect by the inspecting authority or an officer of the society under whose control the employee is working.

(iv) The inquiring officer shall be appointed by the appointing authority or by an officer of the society authorised for the purpose by the appointing authority:

Provided that the officer at whose instance disciplinary action was started shall not be appointed as an inquiring officer nor shall the inquiring officer be the appellate authority.”

16. In ***Chamoli District Co-operative (supra)***, Regulation 85 of 1975 Regulations was applicable, yet no oral enquiry was held. The order of major punishment was challenged by the employee concerned on the ground that no oral enquiry was held. That is, neither any witness was examined to prove the charge nor any witness was offered for cross-examination. This Court after considering a series of its earlier decisions including ***Sur Enamel and Stamping Works Ltd. v. Workmen***⁸ and

8 See: AIR 1963 SC 1914; (1964) 3 SCR 616; 1963 SCC OnLine SC 97

“4. ... An enquiry cannot be said to have been properly held unless, (i) the employee proceeded against has been informed clearly of the charges levelled against him, (ii) the witnesses are examined -- ordinarily in the presence of the employee -- in respect of the charges, (iii) the employee is given a fair opportunity to cross examine witnesses, (iv) he is given a fair opportunity to examine witnesses including himself in his defence if he so wishes on any relevant matter, and (v) the inquiry officer records his findings with reasons for the same in his report. In the present case the persons whose statements made behind the backs of the employees were used by the inquiring authority were not made available for cross examination but it would appear that they were not even present at the inquiry. It does not even appear that these reports were made available to the employee at any time before the inquiry was held. Even if the persons who made the reports had been present and the employee given an opportunity to cross examine them, it would have been difficult to say in these circumstances that that was a fair and sufficient opportunity. But in this case, it appears that the persons who made the reports did not attend the inquiry at all. From whatever aspect the matter is examined it is clear that there was no inquiry worth the name and the tribunal was justified in entirely ignoring the conclusion reached by the Domestic Tribunal.”

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State of Uttaranchal & Ors. v. Kharak Singh⁹, concluded thus:

“22. From the propositions of law, as enunciated by the Apex Court as noted above, and the facts of the present case, we arrive at the following conclusions:

22.1. After service of charge sheet dated 16.01.1993 although the petitioners submitted his reply on 04.02.1993 but neither Inquiry Officer fixed any date of oral inquiry nor any inquiry was held by the inquiry Officer.

22.2. Mandatory requirement of a disciplinary inquiry i.e. holding of an inquiry when the charges are refuted and serving the inquiry report to the delinquent has been breached in the present case.

22.3. Respondent 1 employee having not been given opportunity to produce his witnesses in his defence and having not been given an opportunity of being heard in person, the statutory provisions as enshrined in Regulation 85(i)(b), have been violated.

22.4. The disciplinary authority issued show case notice dated 04.05.1993 to respondent 1 employee without holding of an inquiry and subsequent resolution by disciplinary authority taken in the year 2000 without their being any further steps is clearly unsustainable. The High

⁹ See: (2008) 8 SCC 236

“15. From the above decisions, the following principles would emerge:

1. The inquiries must be conducted bona fide and care must be taken to see that the inquiries do not become empty formalities.
2. If an officer is a witness to any of the incidents which is the subject matter of the inquiry or if the inquiry was initiated on a report of an officer, then in all fairness he should not be the inquiry officer. If the said position becomes known after the appointment of the inquiry officer, during the inquiry, steps should be taken to see that the task of holding an inquiry is assigned to some other officer.
3. In an inquiry, the employer /department should take steps first to lead evidence against the workmen / delinquent charged and give an opportunity to him to cross examine the witnesses of the employer. Only thereafter, the workmen / delinquent be asked whether he wants to lead any evidence and asked to give any explanation about the evidence led against him.
4. On receipt of the inquiry report, before proceeding further, it is incumbent on the part of the disciplinary / punishing authority to supply a copy of the inquiry report and all connected materials relied on by the inquiry officer to enable him to offer his views, if any.”

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Court has rightly quashed the dismissal order by giving liberty to the Bank to hold de novo inquiry within a period of six months, if it so desires.

22.5. The bank shall be at liberty to proceed with the disciplinary inquiry as per directions of the High Court in para 1 of the judgment. The High Court has already held that petitioner shall be deemed to be under suspension and shall be paid suspension allowance in accordance with the rules.”

17. From the decisions of this Court in ***Sur Enamel (supra)*** and ***Kharak Singh (supra)***, followed in ***Chamoli District Cooperative (supra)***, which deals with similar service rules as are applicable here, it is now settled that unless the charged employee accepts his guilt in clear terms, an enquiry on the charges drawn against him would have to be held. In the enquiry, the employer /department would have to take steps first to lead evidence against the workmen / delinquent charged and give an opportunity to him to cross examine those witnesses. Only thereafter, the workmen / delinquent shall be asked whether he wants to lead any evidence and/ or submit an explanation about the evidence led against him. Even in a case based solely on documentary evidence, unless the relied upon documents are admitted by the charged employee, a witness would have to be examined to prove those documents and when so examined, the witness would have to be tendered for cross-examination.
18. In the instant case, we find that the department had not produced any witness in the enquiry even though the charges levelled upon the appellant were denied by him. Therefore, in our view, the enquiry stood vitiated. Once the enquiry stood vitiated, the consequential order of punishment/ recovery cannot be sustained. We therefore allow this appeal. The impugned judgment and order of the High Court is set aside. The writ petition of the appellant stands allowed to the extent indicated below. The order of dismissal and consequential recovery is set aside. The Federation is, however, at liberty to hold a *de novo* enquiry, if it so desires, within a period of six months from the date of this order. If the Federation does not hold *de novo* enquiry as permitted above, the appellant shall be entitled to reinstatement with benefit of continuity in service including arrears of salary after adjusting suspension allowance, if any, paid already. In case the

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Federation chooses to hold an enquiry, it shall reinstate the appellant and place him under suspension till completion of the enquiry and during this period pay suspension allowance as may be payable in accordance with law. In case *de novo* enquiry is held, other service benefits including arrears of salary as well as benefits of continuity in service shall depend on the outcome of the enquiry.

19. Pending application(s), if any, shall stand disposed of.
20. There is no order as to costs.

Result of the case: Appeal allowed.

[†]Headnotes prepared by: Ankit Gyan

**Shankar
v.
State of Rajasthan**

(Criminal Appeal No. 1735 of 2026)

02 April 2026

[Sanjay Karol* and Nongmeikapam Kotiswar Singh, JJ.]

Issue for Consideration

Whether in the facts and circumstances of the case, the concurrent conviction of the appellant-accused for killing his wife by setting her on fire, ought to be upheld.

Headnotes[†]

Evidence Act, 1872 – s.32 – Dying declaration – When can be relied upon – Appellant beat up his wife, poured kerosene over her and killed her by setting her on fire – Concurrent conviction u/s.302, IPC relying upon on the dying declaration of the deceased stating that it was the appellant who had poured kerosene on her and set her on fire – Challenge to:

Held: Dying declarations are exceptions to the rule of hearsay and, if a Court finds them consistent, believable and free of tutoring, it can convict the person named therein – In the present case, the medical evidence is consistent with the dying declaration – Appeal dismissed – *Bhartiya Sakshya Adhiniyam, 2023 – s.26 – Penal Code, 1860 – ss.302, 342.* [Paras 9, 12]

Concurrent findings of conviction – Scope of interference, restricted:

Held: It would only be permissible for this Court to interfere if the Courts below had committed manifest errors in law, misdirected itself in appreciating evidence, or completely missed out crucial pieces of evidence that would have bearing on the overall outcome of the case. [Para 7, 13]

Crimes Against Women – Dowry, domestic violence, etc. – Long-drawn legislative efforts for eradication of however, not to much yield – Reasons therefor. [Paras 14-18]

* Author

Shankar v. State of Rajasthan**Case Law Cited**

Manjunath v. State of Karnataka [2023] 14 SCR 727 : 2023 SCC OnLine SC 1421; *Shayara Bano v. Union of India* [2017] 9 SCR 797 : (2017) 9 SCC 1; *Joseph Shine v. Union of India* [2018] 11 SCR 765 : (2018) 2 SCC 189; *Secretary, Ministry of Defence v. Babita Puniya* [2020] 3 SCR 833 : (2020) 7 SCC 469; *Vineeta Sharma v. Rakesh Sharma* [2020] 10 SCR 135 : (2020) 9 SCC 1; *Arnesh Kumar v. State of Bihar* [2014] 8 SCR 128 : (2014) 8 SCC 273; *Hiral P. Harsora v. Kusum Narottamdas Harsora* [2016] 9 SCR 515 : (2016) 10 SCC 165; *Shakti Vahini v. Union of India* [2018] 3 SCR 770 : (2018) 7 SCC 192; *Shafin Jahan v. Asokan K.M* [2018] 4 SCR 955 : (2018) 16 SCC 368 – referred to.

List of Acts

Evidence Act, 1872; Bhartiya Sakshya Adhiniyam, 2023; Penal Code, 1860; Code of Criminal Procedure, 1973; Dowry Prohibition Act, 1961; Protection of Women from Domestic Violence Act, 2005; Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013.

List of Keywords

Dying declaration; Wife killed by setting her on fire; Kerosene poured; Concurrent findings of conviction; Concurrent conviction; Medical evidence consistent with dying declaration; Burning a wife; Dowry; Domestic violence.

Case Arising From

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No. 1735 of 2026

From the Judgment and Order dated 20.08.2019 of the High Court of Judicature for Rajasthan at Jaipur in DBCRA No. 65 of 2015.

Appearances for Parties

Advs. for the Appellant(s):

Ms. Kavita Vadia, Sr. Adv., Tabrez Ahmad, Syed Mehdi Imam, Varun Verma, Chavi Jain, S. U. Abbas.

Advs. for the Respondent(s):

Divyank Panwar, Ms. Pallavi Garg, Ms. Sanjana Sharma, Prajwal Singh, Ms. Nidhi Jaswal.

Supreme Court Reports**Judgment / Order of the Supreme Court****Judgment****Sanjay Karol, J.**

Leave granted.

2. Shankar, the appellant was accused of having beaten up, poured kerosene over his wife – Sugna Bai, and killed her by setting her on fire. The Trial Court, Sessions Judge, Bundi, in Sessions Case No.249/2012 in terms of judgment dated 10.12.2014 sentenced him to life imprisonment under Section 302 and rigorous imprisonment for one year under Section 342, Indian Penal Code 1860¹. Fines of Rs.1000/- each for both the offences was also imposed, and simple imprisonment for one month was indicated to be suffered by him in the event of default. Criminal Appeal No.65 of 2015 was dismissed by the learned Division Bench by judgment dated 20.08.2019. Shankar, now is before this Court, asking us to overturn his concurrent conviction.
3. The facts, leading up to the position as indicated above was that the deceased had married the appellant about a month prior to her death on 19.10.2012 and within approximately 20 days the relationship had taken a sour turn on account of alleged excessive consumption of alcohol and the former possessing a violent streak. The deceased had apparently gone to her parental home when the appellant demanded that she return home immediately and make fresh food for him. While she was complying with such a demand, the appellant beat her up and, while doing so was allegedly drunk. Although she managed to free herself and move away, the appellant allegedly poured kerosene and threw a lit matchstick on her. Resultantly, she screamed causing the neighbours and those nearby including the appellant, to come to her aid. This included pouring water and also using blanket to quell the flame. Parents of the deceased who had, by this time, reached the scene of incident called the ambulance and she was taken to MBSH Hospital, Rajasthan for treatment.

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4. The FIR was recorded as under:

“Statement Smt. Sugna Bai W/o Shankar D/o Bheru caste Bhil age 20 years R/O Near Power House, Dabi PS, Dabi District Bundi, presently Dhaneshwar PS, Dabi District Bundi (Rajasthan), under treatment, admitted in Burn Ward, Bed No.3, MBSH Hospital (Rajasthan), Date 15-10-12, Time 5.20 pm, on request, stated in the form that I was living with my husband at the above mentioned address in a rented room in the house of Shri Gulab Chand S/o Gajanand Ji Kalal in village Dhaneshwar, my parental home is also in village Dhaneshwar. About a month before my relationship with my x-husband Ramesh S/o Nanda caste Bhil resident of Dabi broke down, with the consent of my parents, I had a love married with Shankar S/o Modhu caste Bhil resident of Dabi, presently Dhaneshwar. He kept me well for about 20 days, but for the last 10-12 days, my husband Shankar used to beat me up after drinking alcohol every day and did not allow me to talk to anyone. Today, on 15-10-12, at about 12:30 PM, I had gone to my father’s house to meet my mother, where my husband Shankar came and said, come home and make rotis, I am hungry. As soon as I said that, I came from home to our rented room and came and started cutting ladyfinger to make vegetables. Then my husband Shankar came who was drunk. As soon as he came, he started beating me with kicks and punches and strangled me, from which I was freed with great difficulty. Then a plastic bottle kept in the room was filled with about half a bottle of kerosene oil. He locked the room from inside and poured kerosene on me and set me on fire with a matchstick and opened the latch from inside and ran away. When I shouted, he came back outside and threw a blanket on the fire on my body. At that very moment, the tenant living in the adjacent room, whose name and address I do not know, came running. My husband ran outside and the tenant woman poured water on me and after wetting the blanket, put it on me then my fire was extinguished. Later whoever heard about it came running. Somebody informed my parents and they also came running to my room and called 108 ambulance, which brought me for

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treatment and got me admitted to Bada Safakhana Kota, where I am undergoing treatment. Due to the burns, my whole body including face has blisters and the skin has torn. SD Ni. Thumb impression Sugna Bai Police Station Debi District Bundi Bumukam MBSH Burn ward Kota/ Date 15-10-12 Time 5.45 PM Action Police. It is certified that the above mentioned form statement of the victim Smt. Sugna Bai W/O Shankar D/O Bheru caste Bhil age 20 years R/O present Dhaneshwar Jair admitted in Burn Ward Bed No. 3 MBSH Kota, should be written down word by word as per the statement given by the victim, please read it out loud and consider it to be correct. When the body of the victim was examined, the skin on forehead, left cheek, beard, hands and entire body was burnt due to fire. This has happened. They will be medically examined. Text of the form.

From the search and inspection, the case falls under sections 323,307 IPC, hence, a case was registered at the return at police station. ASI was busy on the spot and investigation was commenced.

Sd Inspector
Thumb Sugana Bai
Sd Gopal Lal
ASI PS-Dabi/Date 15.10.12
Time 10 PM.

Police action Taken-

The above mentioned form statement of Smt. Sugana Bai W/o Shankar caste Bhil, age 20 years R/O near Power House, Dabi, presently Dhaneshwar PS Dabi (Bundi), under treatment, admitted in MBS Hospital Burn Ward Bed No. 3, Kota was brought and presented by Gopal Lal ASI I/C police station. From the written form statement, the crime under section 323, 307 IPC is found to fall under the category, hence, case No. 220/12, Section above, was registered and investigation was started.”

5. Upon completion of investigation, challan was presented for trial. To establish its case, the prosecution examined 15 witnesses and exhibited 23 documents. The accused did not lead any oral evidence

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and only furnished only one document in defence. In his statement under Section 313 Code of Criminal Procedure, 1973² he pled innocence and deliberate false implication. The findings of the Trial Court are tabulated as below:

Sl. No.	Point for consideration	Relevant paragraphs	Conclusion
1.	Whether the death of Smt. Sugna Bai was not natural but was caused as a result of the injuries caused by the burning of her body with fire substance before death.	9-13	Death of Sugna Bai was not natural and caused by injuries due to igneous substance.
2.	Did the accused Shankar voluntarily restrain his wife Smt. Sugna Bai Bhil (deceased) in a rented room in the house of Gulab Chand Kalal situated in Munja Dhaneshwar at about 12-12.30 PM on 15.10.2012 and wrongfully confined her by locking the room from inside.	14-55	The prosecution has been successful in proving the offences against the appellant under Sections 342 and 302 IPC beyond reasonable doubt.
3.	Whether the accused Shankar with the intent to commit culpable homicide of his wife Smt. Sugna Bai Bhil, on the said date, time and place, voluntarily burnt her by pouring kerosene oil on her body and setting her on fire with an igneous substance (match stick) and as a result of the injuries caused by the burning she died on 19.10.2012 at 7 .a.m. in Maharao Bhim Singh Hospital, Kota, while undergoing treatment. Under these circumstances the accused committed the murder of his wife Smt. Sugna Bai Bhil.		
4.	If yes then what will be the punishment?	57-64	Particulars already mentioned in para 1 (supra)

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6. On appeal, the High Court found the view taken by the Trial Court to be entirely justified, including the reliance placed on the dying declaration of the deceased. As such, the conviction and sentence of the appellant was confirmed.
7. We have heard Ms. Kaveeta Wadia, learned senior counsel for the appellant and Mr. Divyank Panwar, learned counsel for the respondent-State. At the outset, it must be stated that the scope of interference in concurrent findings of conviction, is well- settled, as being fairly restricted. It would only be permissible for this Court to do so if the Courts below had committed manifest errors in law, misdirected itself in appreciating evidence, or completely missed out crucial pieces of evidence that would have bearing on the overall outcome of the case. The only aspect that remains to be seen is whether any of these criteria above, or any other ones of the recognised parameters, are met.
8. The dying declaration which forms the basis of punishment awarded to the appellant, is not appended to the record placed before this Court. We record our surprise on that count, particularly given that it is the most essential document in a case of this nature. In these circumstances, we have no choice but to reproduce for reference, the relevant portion of the judgment of the Trial Court as follows:-

“Dying statement Exhibit P.20 has been recorded by PW. 12 Ajay Kumar Sharma, the then Additional Civil Judge (Special Court) No.4, Kota in the form of question and answer and before recording this statement, the clinical opinion has been taken on the back side of the paper of the same statement itself in which doctor has shown Sugna Bai to be competent to make the said statement. It is also mentioned on the same page that Sugna Bai has been identified by Gopal Lal Meena, ASI and the endorsement to this effect bears the signature of Gopal Lal Meena. The dying declaration Exhibit P.20 is based on only 05 questions and their short answers in the form of question and answer. Here the said questions and their answers are being written as follows:-

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Question.1 Who did this to you?

Answer – My husband poured kerosene on me and set me on fire.

Question.2 When did you get burnt?

Answer – I was burnt in my rented room at 12 noon. Then my husband ran away.

Question.3 What was it about which you were burnt?

Answer – my husband drinks alcohol and suspects me. If I look at anyone else, he fights.

Question.4 Who came to save?

Answer – There is a tenant near our house, his wife saved him. I don't know the name.

Questions.5 Who lives in the room?

Answer – My husband and I live here.

On this dying declaration (Exhibit P.20) the thumb impression of Sugna Bai (deceased) is marked on. At the end of this declaration, the said Magistrate put his seal on it and has been signed.”

9. Section 32 of the Indian Evidence Act, 1872 and Section 26 of its successor, Bhartiya Sakshya Adhiniyam, 2023 deal with dying declarations. Generally speaking, these declarations enjoy a special position given the timing and the nature thereof. This position rests on a philosophical understanding that when a person is about to meet his maker or in other words the oncoming of death and its finality is imminent, considerations which may force a person to speak other than the truth pale into insignificance and what does fall from them would, therefore, be only the truth. They are exceptions to the rule of hearsay and, if a Court finds them consistent, believable and free of tutoring, it can convict the person named therein. This Court

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has, in a number of judgments including one by one of us (Sanjay Karol, J.) in ***Manjunath v. State of Karnataka***³, after considering the law on the issue culled out the applicable principles.

10. In assailing his concurrent conviction, one of the grounds urged by the appellant was “...*the magistrate while recording the dying declaration of the deceased has reported that the mental condition of the victim is not good and not in a position to give statement as she was admitted in hospital on 15.10.2012 and died on 19.10.2012. The Magistrate has taken her certification on some blank paper and he had made the endorsement on blank paper it is true that she could not sign on blank paper as she was not educated.*” At the cost of brevity, the statement of the concerned officer namely Mr. Ajay Kumar Sharma, learned ACJM No.4-Kota at the relevant time, is reproduced as under : -

“Examination in Chief :-

On 15-10-2012, I was posted as Additional Chief Judicial Magistrate No.4, Kota. On that day, Gopal Lal ASI of Police Station Daabi presented a written requisition Exhibit P-19 to the effect that a woman from our police station area is admitted in M.B.S. in a burnt condition and we want to record her dying declaration. The order passed by me on the application is from C to D and the signature is from E to F. After this, I recorded the dying declaration of Sugna Bai admitted in M.B.S. Hospital, Kota. Before recording the statement, I had taken a certificate from the duty doctor regarding the condition of giving the statement of Sugna Bai, the dying declaration is Exhibit P-20 on which the certificate of the doctor from E to F is mentioned and Sugna Bai was identified by Shri Gopal Lal, whose reference is mentioned from A to B. Sugna Bai’s dying declaration is recorded by me in the form of questions and answers. Exhibit P-20 has my signatures G to H. When the statement of Sugna Bai was recorded, she was in a position to give the statement and was

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conscious. After recording the said dying statement, the said statement and documents were sent by me to the concerned court through Exhibit P-22, on which my signatures A to B are there.

CROSS EXAMINATION BY THE ADVOCATES OF ACCUSED :-

It is true that I had sent Exhibit P-22 to the concerned Court in my capacity as ACJM No.4 on which my seal is not marked. It is true that I did not put a note on the dying declaration Exhibit P-20 that injured was in a sound mind to give the statement, and today herself said that I had obtained a certificate in this regard from the duty doctor. It is true that there is no mention that the dying declaration is certified by the doctor. I first got the injured identified from Gopal Lal and then took the certificates from the doctor and after this the statements were recorded. On the day the application Exhibit P-19 was presented, I was working as the Chief Judicial Magistrate, Kota. It is true that I have not written the word C.J.M. below my ordersheet. It is true that the name of the acting C.J.M. is not mentioned in in Exhibit P-19. That day I had remand duty and I was the one working. I am a resident of Jaipur. I could very well understand the language in which the injured gave her statement. I cannot say whether she was speaking Hadoti or Mewadi Language at that time, but I could been written in question-answer format as it is according to the law. It is wrong to say that since injured was not in a position to speak, I took injured's statement in question-answer format because that is as per law. It is true that I have not mentioned the time in my dying statement as to what time the statement was taken. It is wrong to say that I took the help of Gopal Lal ASI to understand the language of religion. When I recorded Injured's statement, only I and injured were present. No one else was present. I had sent injured's family out. I did not ask Majhruba's mother whether Majhruba was in a position to give a statement or not."

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A perusal of the above extracted statement makes abundantly clear that nowhere did the officer state to the effect that the deceased not of sound mind. It is also evident that the duty doctor had given a certificate of her condition. PW-15 (Dr. Tez Pratap Singh) the duty doctor has testified that prior to giving the certificate on a blank paper he had examined the condition of the deceased. It stands to reason that, after the condition has been certified, only then, would the doctor record the statement on paper. The fact that it was on the flip side of the same paper does not affect the sanctity thereof. That being the case, we cannot appreciate the ground as raised by the appellant.

11. Yet another point also needs to be addressed. Before the learned Trial Court the counsel for the accused attempted to argue that the parents of the deceased tutored her into giving the statement that she gave. However, we are of the considered view that such a submission, was correctly, not accepted by the Trial Court. It appears to us, to be nothing but a bald assertion.
12. In this case, the eyewitnesses PW-2 (Brajmohan) and PW-3 (Mamta Bai) have turned hostile and supported the prosecution case. In ordinary circumstances this would accrue to the favour of the accused. However, given the consistency of medical evidence with the dying declaration, the difference in events testified to by the above two witnesses would lose its significance. In respect of PW-3 and PW-8 (parents of the deceased), it be observed that apart from a vague implication of tutoring which has not made its way into either the examination-in-chief or cross examination, their statements cannot be challenged or kept aside. As such their statements cannot be of any use to the appellant, in discrediting the case of the prosecution. That apart the medical evidence as given by PW-9 (Dr. Navneet Parashar) and PW-10 (Dr. Rakesh Sharma) are consistent with the statement of the deceased that she was burnt. One of the grounds raised is that the evidence of PW-10 cannot be relied upon by the Court for the reason that he was not a practicing doctor and was only a '*medical jurist*'. That in our view, cannot be a reason to disregard his testimony for it is not the case that he was unqualified to give such a testimony nor is it the case that he was underqualified. Additionally, his

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testimony is also in line with the testimony of PW-9, Medical Officer at MBS Hospital, who has also deposed that the deceased was burnt and the cause of death was *septicaemia* due to burning.

13. Taking a cumulative view of the above discussion, the appeal must fail, and is accordingly dismissed. However, before parting with the matter we deem it necessary to pen down a postscript.
14. The offence in question is of the year 2011. At that point in time, we were 64 years into being an independent country. The Constitution promises equality, non-discrimination on the basis of sex and the right to life and liberty amongst others. However, cases such as these, demonstrate that even after so many years, rights enshrined in the founding Charter are still elusive for many. It could be argued and very well proved that a further fourteen years down the line, in spite of incremental progress the issues highlighted by the incidence such as in the present case, largely remain the same. Over the years numerous legislations were enacted, schemes brought into force, and judgments delivered, focussed on the upliftment of women and eradication of difficulties faced by them arising out of inherent social stigma and deep-rooted patriarchal and conservative practices.

The process of unshackling the society from these deeply stigmatic understandings of women and their roles, began immediately after independence. Early legislative efforts such as the Dowry Prohibition Act, 1961 were aimed at dismantling one of the most deep-rooted practices of patriarchal control, i.e., dowry. This was followed by introduction of provisions like Section 498A, IPC addressing cruelty by husbands and relatives, and later the Protection of Women from Domestic Violence Act, 2005⁴ which recognized domestic abuse as a civil wrong requiring immediate relief and protection. When it comes to equality in workplace, the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 institutionalized safeguards following the *Vishaka* guidelines laid down by this Court.

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The interpretation of these rights and their expansion into varied aspects of women's life has taken place through a series of judicial pronouncements. In ***Shayara Bano v. Union of India***⁵, the practice of instant *triple talaq* was declared unconstitutional, affirming women's rights within personal law frameworks. In ***Joseph Shine v. Union of India***⁶, the Court struck down the adultery law, emphasizing equality and autonomy. In ***Secretary, Ministry of Defence v. Babita Puniya***⁷, the Court upheld the right of women officers to be granted permanent commission in the Indian Army, rejecting institutional stereotypes about gender roles. In ***Vineeta Sharma v. Rakesh Sharma***⁸, daughters were recognized as equal coparceners in Hindu joint family property. The Court has also addressed the complexities of domestic violence, in ***Arnesh Kumar v. State of Bihar***⁹, while cautioning against misuse of Section 498A, it reaffirmed the seriousness of cruelty against married women, and in ***Hiral P. Harsora v. Kusum Narottamdas Harsora***¹⁰, it expanded the scope of the DVA to include complaints against female relatives within the household. The Court has further intervened in matters of personal liberty and choice. In ***Shakti Vahini v. Union of India***¹¹, it issued detailed guidelines to prevent honour killings, recognizing that societal and familial control over women's choices in marriage is a direct assault on their fundamental rights. Similarly, in ***Shafin Jahan v. Asokan K.M***¹², the Court upheld an adult woman's right to choose her partner, affirming that neither the State nor the family can dictate personal decisions central to individual dignity and autonomy.

15. Parallel to legal reform, the State has also invested in welfare and social transformation schemes. Programmes such as ***Beti Bachao, Beti Padhao***, are aimed at correcting gender imbalances and improving girls' education, while initiatives like ***Sukanya Samridhi***

5 (2017) 9 SCC 1

6 (2018) 2 SCC 189

7 (2020) 7 SCC 469.

8 (2020) 9 SCC 1

9 (2014) 8 SCC 273

10 (2016) 10 SCC 165.

11 (2018) 7 SCC 192.

12 (2018) 16 SCC 368.

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Yojana and *Ujjwala Yojana* aim to enhance financial security and improve living conditions for women.

16. Yet, despite this sustained intervention from different branches of Government, empirical data shows that all is not well. It presents a sobering picture indeed. As per the National Crime Records Bureau, more than 4.48 lakh crimes against women were recorded in 2023¹³. Dowry-related violence continues to claim over 6,000 lives annually, revealing the persistence of practices that have long been outlawed. Complaints before the National Commission for Women also consistently show domestic violence as one of the most reported grievances¹⁴. What makes this reality particularly troubling is the context in which it exists. India has experienced significant economic growth, rising literacy, and increased participation of women in education and the workforce. Gender Roles do not apply strictly anymore in many urban areas. One cannot assume that all house-hold related work falls to the woman, whereas it is only the male who is tasked with bread winning. Yet, in rural and semi-urban scenarios, patriarchy remains a facet of everyday life. Authority within the household is still overwhelmingly male, and women's autonomy is often conditional and constrained. Even if the woman earns, it would still be expected of her that she would set the house right before leaving for work, and busily engage herself in similar work including preparation of meals, when she returns from work.
17. The coexistence of progress and violence signals to a paradox. Legal and economic advancements are visible on a macro-level, but patriarchy still permeates the everyday. Dowry is outlawed and has been for decades but the social legitimacy that sustains it is yet to be dismantled. Welfare schemes can incentivize education, but cannot alter long-held beliefs about women's roles within marriage and family. As a result, practices such as domestic abuse or even extreme acts like burning a wife (such as in this case) persist not as aberrations, but as indications of a disease afflicted social order.

13 <https://www.ncrb.gov.in/uploads/files/1CrimeinIndia2023Part11.pdf>

14 <https://ncwapps.nic.in/frmReportNatureState.aspx?Year=2023>;
<https://ncwapps.nic.in/frmReportNatureState.aspx?Year=2024>;
<https://ncwapps.nic.in/frmReportNatureState.aspx?Year=2025>

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18. After decades of laws, schemes, reforms, and judicial recognition of equality across workplaces, homes, personal relationships, and even the armed forces, why does the control over women's bodies, choices, and lives still persist so deeply within society? Perhaps, the answer lies only with "*We, the People of India*".

Pending applications, if any, shall stand disposed of.

Result of the case: Appeal dismissed.

[†]Headnotes prepared by: Divya Pandey

